



# TRUE PARTNERS CHANGING THE WORLD TOGETHER

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Kainos Group plc is a UK-headquartered provider of sophisticated IT services to major public sector, commercial and healthcare customers, and a developer of software applications. Our shares are listed on the London Stock Exchange (LSE: KNOS).

#### Our expertise spans three divisions:

**Digital Services** develops and supports custom digital service platforms, which help customers solve key business problems such as the need to improve their service, reduce costs and increase productivity.

**Workday Services** is a respected Workday partner, providing a comprehensive range of services to support customers deploying Workday's Finance, HR and Planning products.

**Workday Products** develops proprietary software products that complement Workday, by enhancing our customers' system security and compliance and improving their document generation and storage.

#### Our purpose

Our purpose is to help our customers with their most challenging projects and, together with our partners, help them build the capability to succeed in the digital age.

#### Find out more

You can discover more about us at [www.kainos.com](http://www.kainos.com).



## Strategic Report

FINANCIAL  
HIGHLIGHTS

|                                        | 2026           | 2025    | Change      |
|----------------------------------------|----------------|---------|-------------|
| Revenue                                | <b>£431.1m</b> | £367.2m | <b>+17%</b> |
| Statutory profit before tax            | <b>£58.1m</b>  | £48.6m  | <b>+19%</b> |
| Adjusted pre-tax profit <sup>(1)</sup> | <b>£67.1m</b>  | £65.6m  | <b>+2%</b>  |
| Diluted earnings per share             | <b>35.1p</b>   | 28.2p   | <b>+24%</b> |
| Adjusted diluted earnings per share    | <b>41.1p</b>   | 38.3p   | <b>+7%</b>  |
| Total dividend per share               | <b>29.6p</b>   | 28.4p   | <b>+4%</b>  |
| Bookings                               | <b>£505.3m</b> | £382.4m | <b>+32%</b> |
| Product Annual Recurring Revenue (ARR) | <b>£89.0m</b>  | £72.6m  | <b>+23%</b> |
| Contracted backlog                     | <b>£433.9m</b> | £368.2m | <b>+18%</b> |
| Cash <sup>(2)</sup>                    | <b>£89.1m</b>  | £133.7m | <b>-33%</b> |

Strong sales execution has driven revenue growth across the Group, with profit slightly ahead of expectations despite anticipated cost increases

- Revenue increased by 17% (16% organic, 19% ccy) to £431.1 million (2025: £367.2 million).
- Adjusted pre-tax profit was 2% higher (5% ccy) at £67.1 million, with an adjusted profit margin of 16% (2025: 18%).
- Following a series of large contract awards during the year, we significantly increased the use of contractors and third-party suppliers to support growth and provide delivery capacity. Contractor costs increased to £18.5 million (2025: £4.5 million), while third-party supplier costs increased to £30.1 million (2025: £14.7 million), including both short-term capacity support and strategic supplier arrangements.
- In addition, the period included the first full year of investment in our Built on Workday partnership, together with higher employee costs relating to increased National Insurance contributions and elevated bonus payments reflecting stronger business performance.
- Bookings grew by 32% to £505.3 million (2025: £382.4 million) and the year-end contracted backlog rose 18% to £433.9 million (31 March 2025: £368.2 million).
- Cash conversion of 99% (2025: 112%) contributed to a robust year-end cash position<sup>(2)</sup> of £89.1 million (2025: £133.7 million), after returning £55.7 million through share buybacks, acquiring Davis Pierrynowski Limited (Davis Pier), progressing construction of our Belfast HQ and paying restructuring costs provided for in FY25.
- The current share buyback programme completed on 15 May 2026, with a total of 3,729,068 shares bought back for consideration of £30.0 million.

(1) The Financial Review section reconciles adjusted and statutory profit measures. See also the Definition of terms section for more information on adjusted measures and other key terms and metrics used in this report.

(2) Includes £6.2 million (31 March 2025: £5.4 million) of treasury deposits which do not meet the definition of cash and cash equivalents.

## Strategic Report

OPERATIONAL  
HIGHLIGHTSCONTINUED  
**RAPID GROWTH**  
IN WORKDAY  
PRODUCTSRevenue  
rose**15%**

Workday Products continued its rapid growth and is on track to reach our ARR targets of £100 million by the end of 2026 and £200 million by the end of 2030

- Revenue rose 15% (19% ccy) to £81.7 million (2025: £71.3 million), with ARR increasing by 23% (24% ccy) to £89.0 million (2025: £72.6 million).
- Reaching £100 million ARR will represent a significant milestone for the business and one achieved by very few UK software companies. This progress reflects the strength of the founding team and colleagues across the division, led by Malachy Smith, whose vision, drive and leadership have been central to building one of the UK's most scaled and successful software businesses.
  - » As we build towards our £200 million ARR target, we have invested in the leadership team within the division, adding additional expertise and experience to the team across several senior roles.
  - » These appointments include a Chief Marketing Officer (ex-Google, Microsoft), Chief Product Officer (ex-UiPath, Optimizely), Chief Customer Officer (ex-Mimecast, Veeva), and a Chief Revenue Officer (ex-Splunk, VMware).
  - » Derek Brown (ex-Quantexa, BAE) will join in June to lead this expanded team, with Malachy transitioning to an advisory role in the Group focused on new areas with significant growth potential.
- Workday Products now has nearly 700 customers (31 March 2025: more than 560) with around 41% taking two or more products (31 March 2025: around 35%).
- We continued to invest in our products, with R&D expenditure rising by 11% to £18.7 million (2025: £16.8 million), all of which was expensed in the year. Sales and marketing spend increased by 21% to £18.7 million (2025: £15.5 million), including £2.3 million of additional costs associated with the first full year of our Workday partnership.
- Through an exclusive arrangement, Workday is reselling our new Pay Transparency product to its customers, to help them meet the requirements of the European Pay Transparency Directive which comes into force from next month.



## SIGNIFICANT CONTRACT WINS IN DIGITAL SERVICES

Revenue  
increased by

**23%**

Digital Services returned to growth with significant contract wins in healthcare and the public sector and continued expansion in North America

- Revenue increased by 23% (20% organic, 23% ccy) to £241.7 million (2025: £197.2 million).
- Bookings were 29% higher at £261.3 million (2025: £202.0 million), contributing to a year-end contracted backlog of £180.3 million (31 March 2025: £160.1 million).
- Public sector revenue rose by 11% to £136.0 million (2025: £122.1 million)<sup>(3)</sup> and healthcare revenue was 55% up at £74.9 million (2025: £48.2 million), with both sectors benefiting from large new contract wins including programmes with the Home Office, Department for Transport, Driver and Vehicle Standards Agency and NHS England.
- During the year, we deprioritised acquiring new commercial customers to invest in growth opportunities in other parts of Digital Services. As a result, commercial sector revenue was 41% lower at £10.7 million (2025: £18.0 million).
- Revenue in North America was 127% higher at £20.2 million (2025: £8.9 million), with strong organic growth (75%) and a six-month contribution from Davis Pier, a consultancy specialising in addressing complex challenges for public sector and community organisations.

## STRONG SALES PERFORMANCE IN WORKDAY SERVICES

Revenue  
increased by

**9%**

Workday Services also returned to growth in FY26, due to a strong sales performance and our focus on more complex deployments where we have deep expertise

- We are a leading Workday consulting specialist, the seventh<sup>(4)</sup> largest globally by certified consultant numbers.
- Revenue increased by 9% (12% ccy) to £107.6 million (2025: £98.7 million), with 12% growth in the Americas. EMEA revenue was down 1% but the trend is improving, with sequential growth each half year since H2 2025.
- We continued to make good progress in new markets, with revenue in Australia and New Zealand growing quickly and opportunities emerging in Latin America.
- Bookings increased by 44% to £121.8 million (2025: £84.6 million), with a contracted backlog of £74.9 million at the year end (31 March 2025: £59.3 million).

(3) Digital Services' sectoral revenues for FY25 have been re-presented to exclude North America, which we now report separately.

(4) According to partner metrics sourced from Workday, October 2025.

**Strategic Report**Operational Highlights *continued*International  
revenue rose by**18%****A BUSINESS  
BASED ON  
CUSTOMER  
SERVICE  
EXCELLENCE**Existing customers  
generated revenue of**£370m****HARNESSING  
THE POTENTIAL  
OF AI FOR OUR  
CUSTOMERS**Revenues for AI- and  
data-related projects  
increased by**11%**

We continue to benefit from our geographical breadth, with international markets generating 41% of Group revenue (2025: 41%)

- International revenue rose by 18% to £177.2 million (2025: £149.9 million).
- Workday Services and Workday Products have particularly strong international customer bases, which generate 83% of their aggregate revenues (2025: 81%).

**Excellent service drives customer satisfaction and retention**

- Our customers continued to rate our services as 'excellent', with a Net Promoter Score of 61 (2025: 70).
- Existing customers generated revenue of £370.0 million (2025: £299.4 million), up 24%, representing 86% of Group revenue (2025: 82%).
- Customer numbers increased to 1,253 at the year end (31 March 2025: 1,094).

**Continued growth in our AI business, as we help customers responsibly harness its potential**

- Revenues for AI- and data-related projects increased 11% to £45.8 million (2025: £41.1 million) and now represent 19% of Digital Services' revenue (2025: 21%).
- To date, we have delivered over 400 AI and data projects, including 158 in FY26.
- Since 2018, Kainos has been the seventh largest supplier of AI to the UK public sector, with over £66 million in awarded contracts.
- We continue to invest in our Responsible AI capabilities and are doubling the size of the Kainos Responsible AI team to support safe, responsible, and scalable adoption of AI by our customers.
- We launched a Workday AI Centre of Excellence, building on our founding membership of Workday's Agent Partner Network and deep expertise across Workday Services and Products.

Employee retention  
remains strong at

**90%**

## Engaged and committed colleagues underpin our business performance

- We have 3,475 people (31 March 2025: 2,865) across 17 countries, with the increase reflecting organic growth and the 120 colleagues who joined us with Davis Pier.
- The number of employed staff rose from 2,796 at 31 March 2025 to 3,216 at the year end.
- Employee retention remains strong at 90% (2025: 93%), supported by high engagement of 77% (2025: 75%) in our internal surveys.

## A POSITIVE OUTLOOK FOR FY27

### Current trading and outlook

- We operate in markets with clear long-term structural drivers, as organisations increasingly seek to harness technology to improve their service quality and productivity, and reduce cost.
- Our near-term performance is supported by a healthy pipeline, a significant contracted backlog and a strong balance sheet.
- In FY27, we expect:
  - » Continued momentum in Workday Products, including achieving our initial ARR target of £100 million by the end of 2026.
  - » Further growth in Digital Services, led by our public sector and healthcare segments in the UK and our strengthened position in North America.
  - » Another positive year for Workday Services, as we continue to focus on complex deployments for customers and consulting activities linked to our own products, coupled with further progress in our newer international markets.

Our three divisions give us significant diversification by business type, sector, geography and customers. This exposes us to a broad range of growth opportunities, while helping to reduce risk.

## Our operating divisions

### Digital Services

Digital Services addresses customers' business challenges by developing and supporting customised digital services for them. We deliver large, complex projects that focus on improving customer service and productivity, while ensuring the platforms are secure, accessible and cost effective.

Our public sector projects are often part of the UK's national IT infrastructure, helping more than 60 million users while saving customers hundreds of millions of pounds. In healthcare, our solutions enable faster, more cost-effective and patient-focused services.

We serve over 120 customers, including the Home Office, the Government of Ontario, Rolls-Royce, the Crown Prosecution Service, DEFRA, NHS England and the UK Health Security Agency. In the UK public healthcare system, we work for more than 45 national, regional and local bodies, and clinical research institutes.

### Workday Services

As one of Workday Inc's most-respected partners, we deploy its Finance, HR and Planning products to our clients in Europe and North America, with a growing presence in Asia Pacific. Our experience in complex deployment and integrations means customers trust us to launch, test and extend their Workday systems.

Since becoming a Workday partner in 2011, we have grown into one of the largest globally, with teams in 17 countries and more than 600 customers worldwide.

We are proud to work with organisations such as Glencore (Canada), Daniel J. Edelman Holdings (USA), Natura (Brazil), City of Helsinki (Finland), Perth Airport (Australia) and Miller Insurance (UK).

### Workday Products

We develop SaaS products that complement Workday's platform and are part of its Built on Workday program. We have two areas of focus.

First, our market-leading suite of Smart products solves key operational challenges for Workday customers around Governance, Risk and Compliance (GRC) management and controls:

- **Smart Test** (launched in 2014): Creates automated, customised tests for a customer's unique Workday configuration.
- **Smart Audit** (2021): Delivers automated, always-on security and compliance controls and monitoring for Workday customers.
- **Smart Shield** (2022): Patented solution which ensures privacy and control of sensitive data to deliver effective Workday reports.

Second, we have two software solutions that extend the functionality of Workday to address important use cases for HR teams:

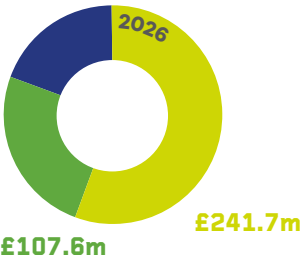
- **Employee Document Management (EDM)** (2024): Delivers a compliant, automated, digital employee document solution, reducing administration and accelerating employee onboarding.
- **Pay Transparency Analyzer** (2025): Enables customers to comply with the new EU Pay Transparency Directive. This was built by Kainos for Workday as part of our key strategic partnership and is sold directly by Workday to their global customer base.

Almost 700 customers use at least one of our products, including: State of Georgia (USA), Genesys (USA), Bupa (UK), Skyscanner (UK) and Julius Baer (Switzerland).



Revenue

Revenue by operating division FY26  
£81.7m



- Digital Services**  
56% of Group total,  
5-year growth: 5% CAGR
- Workday Services**  
25% of Group total,  
5-year growth: 11% CAGR
- Workday Products**  
19% of Group total,  
5-year growth: 26% CAGR

Our Customers

Active customers:

1,253  
(2025: 1,094)

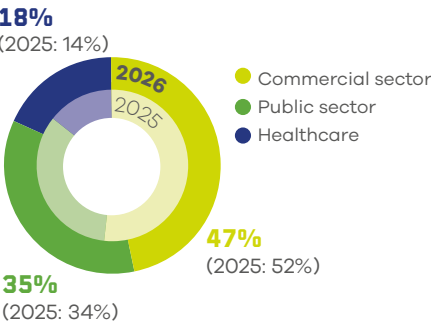
Net Promoter  
Score:

61  
(2025: 70)

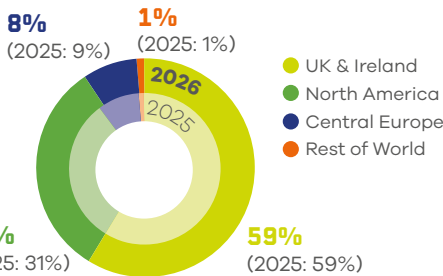
Revenue from  
existing customers:

86%  
(2025: 82%)

Customers by sector (revenue):



Customers by region (revenue):



Our People

Number of staff  
and contractors:

3,475  
(2025: 2,865)

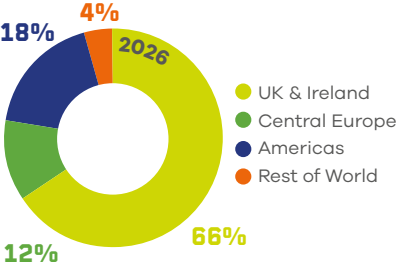
Number of  
employed staff:

3,216  
(2025: 2,796)

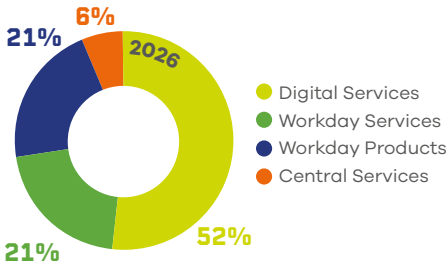
Employee  
retention:

90%  
(2025: 93%)

People by region:



People by division:





## Strategic Report

# OUR INVESTMENT CASE

We believe the following factors make Kainos a compelling proposition for investors.

**1. Attractive markets with long-term growth drivers**

We have strong positions in markets that are set to grow for years to come, driven by our customers' need to solve core business problems through digital transformation. The rapid emergence of new technologies, particularly the growing range of applications for AI, also creates opportunities for us.

**2. Excellent customer relationships underpin high repeat business and new wins**

Customers trust us to deliver complex and mission-critical digital transformations. We develop long-term relationships with them based on outstanding service. Our NPS of 61 is well above the benchmark for excellence of 50.

We grow our business with customers over time, with 86% of our FY26 revenue coming from existing customers. In the UK public and healthcare sectors, this repeat business is supported by our positions on major procurement frameworks. These are multi-year agreements that enable customers to select from a list of approved suppliers, generating high visibility of revenue for us.

### **3. Rapid growth in Workday Products delivering repeat revenue, high margins and attractive cash flows**

Workday Products is our fastest-growing division and we are excited by its prospects. Its high gross margins allow us to fund continued investment in product development and sales and marketing, which continue to deliver results. Our subscription model generates recurring revenue and attractive cash flows, as we are typically paid annually in advance.

### **4. Strategic partnerships with industry leaders**

All three divisions benefit from key partnerships. In Workday Services, we are Workday's seventh largest partner globally by number of certified consultants. In Workday Products, our Built on Workday partnership is unique in the industry. Digital Services also has important partnerships with Microsoft and AWS.

### **5. Significant international expansion opportunity**

Workday Services and Workday Products generate around 83% of their combined revenues from international customers. We see considerable scope for further growth, as we deepen our presence in our core North American and European markets and expand into new regions. Digital Services has a rapidly growing business in Canada, which we have significantly strengthened in the last 12 months through the acquisition of Davis Pier and organic investment.

### **6. A diversified business, with a substantial contracted backlog and robust balance sheet**

While we can never be immune to economic conditions, we have built resilience through our diversification by service line, geography and customer type. High levels of repeat business and rapidly growing recurring revenue in Workday Products add to this resilience, as does our contracted backlog. This is typically at least 85% of prior-year revenue. We are also financially robust, having been debt free since becoming a public company. At 31 March 2026, we had net cash of £89.1 million, giving us the resources to invest for growth.

## Strategic Report

# CHIEF EXECUTIVE OFFICER'S STATEMENT



## // THE GROUP PERFORMED STRONGLY IN FY26, GIVING US MOMENTUM AS WE ENTER OUR NEW FINANCIAL YEAR.

WE SEE GREAT OPPORTUNITIES AHEAD FOR EACH OF OUR DIVISIONS, AS WE HELP OUR CUSTOMERS DEPLOY TECHNOLOGY TO SOLVE THEIR CRITICAL BUSINESS ISSUES."

**Brendan Mooney**  
Chief Executive Officer

### A positive year

This was a good year for Kainos, with our excellent sales performance driving strong revenue growth of 17%, to £431.1 million. Overall bookings increased by 32% to £505.3 million and our backlog at the year end was £433.9 million, up 18%, which gives us confidence and momentum going into FY27.

Workday Products continued its excellent growth, with revenue increasing by 15% to £81.7 million. We passed the industry milestone of \$100 million of ARR (approximately £75 million), which only around 1% of SaaS companies achieve. At 31 March 2026, ARR was £89.0 million and we are making strong progress towards our targets of £100 million by the end of 2026 and £200 million by the end of 2030. We have continued to deepen our partnership with Workday, which is reselling our newly

developed Pay Transparency product to its customers. We have also significantly strengthened the divisional leadership team, recruiting senior talent to support the next phase of growth.

Digital Services' revenue rose by 23% to £241.7 million. The healthcare sector was particularly strong (up 55%), with public sector revenue growing by 11%. Both sectors benefited from substantial contract wins in the year. Digital Services also continued to grow rapidly in North America, supported by the acquisition of Davis Pier, a specialist consultancy in Canada that significantly enhances our position.

Workday Services increased revenue by 9% to £107.6 million, with growth in North America and good progress with newer markets including Australia, New Zealand and Latin America. Revenue in EMEA was 1% lower but the trend is improving, with sequential growth each half year since H2 2025.



## Strategic Report

### Chief Executive Officer's Statement *continued*

The level of growth has required us to employ contractors and third-party consultants to provide capacity, which reduced margins in the year. We have also seen additional costs from higher employers' National Insurance, increased bonuses as a result of our better results, and the first full year of investment to support our Workday partnership. As a consequence, adjusted pre-tax profit was 2% higher at £67.1 million. As we replace temporary contractors with full-time employees over the course of the year, we anticipate clear margin improvement.

We have continued to invest in the business, including in our product portfolio, acquiring Davis Pier and also starting construction of our new Belfast headquarters. Our financial strength and cash generation also allowed us to return £56.2 million to shareholders through two buyback programmes, while retaining £89.1 million of net cash at the year end.

#### Supporting our customers

At the end of FY26, we had 1,253 active customers across the Group, up from 1,094 at 31 March 2025. This success reflects our excellent service delivery, as shown by our Net Promoter Score of 61 (2025: 70). We support our customers best when we focus on the areas where we can add most value: large-scale digital transformation projects in the public sector and healthcare, complex Workday implementations and new software products that enable our customers to do more with their Workday platforms. We greatly appreciate our customer loyalty, with 86% of Group revenue in the year coming from existing customers, demonstrating the strength of our relationships.

The application of AI-enabled solutions is becoming integral to digital transformation and we are committed to using it responsibly for our customers. We have strengthened our AI-related governance and expanded our Responsible AI team, which helps us to manage AI risks and support customers to adopt AI safely.

As new technologies, such as AI, create opportunities for us and our customers, we have refocused our innovation team. We identify emerging trends with long-term potential and combine these with customer challenges, translating both into solutions with our divisions and validating their impact directly with customers. This brings innovation closer to our customers and enables faster identification of the highest potential opportunities.

#### People

The Group ended the year with around 3,475 people, up from 2,865 at the end of FY25. This reflects both our organic growth and the 120 colleagues we welcomed from Davis Pier. The number of people employed increased from around 2,800 to 3,216 and we continue to recruit talented people, as we reduce our reliance on contractors to provide capacity.

Kainos has a positive culture, which is one of our greatest strengths. Our employee engagement remains high at 77% (2025: 75%) and retention is strong at 90% (2025: 93%). We are investing in development, promoting from within and strengthening our teams with key hires, ensuring the Group has the next generation of leadership in place.

#### Being a responsible business

Creating social value is inherent to our business. Our work to improve public and healthcare services makes life better for citizens and reduces the cost to taxpayers. At the same time, we help our public sector and healthcare customers to tackle economic, social and environmental issues that are important to them, throughout the life of our contracts. As well as being the right thing to do, creating measurable social value is a key criterion on which our bids are judged, and we perform consistently well in this area.

We have continued our initiatives to inspire the next generation of technology leaders through our educational outreach, with more than 1,900 young people taking part this year. One of our goals is to encourage people from under-represented groups to consider a technology career, including continuing to attract young women into the industry. Women currently make up 37% of our workforce (2025: 36%), which is ahead of the average of 21% in UK tech team roles but shows we still have more to do.

Kainos' commitment to climate action remains strong. We achieved our near-term, science-based net zero targets as planned in FY26, delivering a 75% reduction in Scope 1 and Scope 2 emissions and a 45% reduction in Scope 3 emissions (intensity-based) from our FY20 base year. This progress was delivered despite the acquisition of Davis Pier, the start of construction of our new headquarters building and continued business growth during the year. Building on this momentum, we intend to set new science-based targets to drive further emissions reductions. This year, we also maintained our Carbon Disclosure Project (CDP) B-rating (2025: B-rating).

### Board changes

We were delighted to welcome Shruthi Chindalur as a Non-Executive Director in September 2025. She has more than 20 years' experience in the technology, SaaS and AdTech sectors, giving her invaluable expertise in software and global markets. She is already making a valuable contribution to our Board discussions and we look forward to working with her in the years ahead.

Since the year end, Katie Davis has informed us that she will step down as a Non-Executive Director following the Annual General Meeting in September 2026. We are very grateful for her energy, insight and guidance during the nearly seven years she has been on the Board.

### Outlook

While the macroeconomic and geopolitical environment remains uncertain, we are encouraged by the momentum in the business, which is underpinned by our substantial contracted backlog as we enter our new financial year. We expect further strong growth in Workday Products and continued progress in Digital Services and Workday Services, resulting in another positive year for Kainos.

Looking further ahead, we see great opportunities for all our divisions. There are powerful structural drivers in our markets, as organisations seek the benefits of deploying technology to solve their critical business issues.

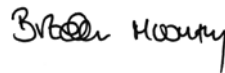
AI is reshaping enterprise technology. We believe the next decade will not be defined by AI replacing people or compressing services, but by organisations needing partners they can trust to deploy AI responsibly inside their most important systems: those that deliver public services, treat patients and serve customers. That work rewards depth, judgement and accountability rather than scale alone, and it is the work Kainos has built its reputation on.

We see AI as the most significant opportunity in our markets since the move to cloud. We expect a growing share of our work to involve embedding AI capabilities into the platforms our customers already rely on and building software products in which AI is a defining feature rather than an add-on.

Our Digital Services, Workday Products and Workday Services businesses, together with our AI Centres of Excellence, position us to advise and assist our customers on their AI. While Microsoft and Workday remain core to our delivery, we are actively building partnerships with other leading AI providers to ensure our customers benefit from the best, most appropriate, technology as the AI landscape continues to evolve. The strength of our customer relationships, our domain expertise and our track record of responsible delivery mean we are well placed to play a central role for our customers.

### Thank you

As always, I would like to express my appreciation to our customers and colleagues. We are grateful for the trust and confidence our customers continue to place in Kainos, and for the continued engagement and commitment our colleagues have shown throughout the year.



**Brendan Mooney**  
Chief Executive Officer

**"THE NEXT DECADE  
WILL NOT BE  
DEFINED BY AI  
REPLACING  
PEOPLE OR  
COMPRESSING  
SERVICES,  
BUT BY  
ORGANISATIONS  
NEEDING  
PARTNERS THEY  
CAN TRUST TO  
DEPLOY AI  
RESPONSIBLY  
INSIDE  
THEIR MOST  
IMPORTANT  
SYSTEMS."**

## Strategic Report

OUR  
MARKETS

Powerful long-term trends are driving demand for our services. We have designed our strategy to take advantage of these trends, giving us confidence in our growth prospects.

See the Our Strategy section for more information.

TREND  
1Demand for digital transformation  
through bespoke systems

2030

The deadline for completing the UK Government's Roadmap for Modern Digital Government



£45bn

The potential annual savings and productivity benefits from implementing the Roadmap

The UK Government is facing immense pressure to cut costs and improve public services. Its recent Roadmap for Modern Digital Government sets out a six-point plan that brings together the most important products, platforms and transformation initiatives planned in the period to 2030. The Roadmap aims to:

1. Join up public services.
2. Harness the power of AI for the public good.
3. Strengthen and extend digital and data public infrastructure.
4. Invest in leadership and talent.
5. Transform how the public sector funds, buys and manages technology.
6. Make government more open and accountable.

The plan will see legacy systems replaced across government.

As outlined in its 2025 State of Digital Government Review, the government estimates this programme could deliver £45 billion a year in savings and productivity benefits. The government recognises the key role of the private sector in delivering its agenda, including launching the Digital Commercial Centre of Excellence to help get the best from its suppliers, and working on new funding models.

The NHS is our principal healthcare client. Digitisation is a necessary part of delivering better outcomes for patients, which is a key priority for the government. Its 10 Year Health Plan for England includes a commitment to make the NHS "the most digitally accessible health system in the world". This has led to renewed focus and investment in several areas, as the government looks to shift the NHS focus from treatment to prevention, and from analogue to digital.

TREND  
2**Demand for digital transformation  
by implementing Workday****11,500+**

Workday customers worldwide

**160**Global Workday partners, with Kainos ranked  
7th by number of certified consultants

**“WE HAVE AN  
OUTSTANDING  
RELATIONSHIP  
WITH WORKDAY  
AND ITS  
SUCCESS IN  
ATTRACTING  
NEW  
CUSTOMERS  
IS A KEY  
DRIVER FOR  
WORKDAY  
SERVICES.”**

We have an outstanding relationship with Workday and its success in attracting new customers is a key driver for Workday Services. Workday continues to grow rapidly, with its results to 31 January 2026 showing revenue rising by 13.1% to \$9.6 billion<sup>(5)</sup>. Workday is now used by more than 11,500 customers globally.

As the technology landscape becomes increasingly complex, many organisations prefer to simplify their IT by replacing individual software packages with integrated suites from one provider. Workday's particular strengths are in supporting customers' HR, financial management and planning needs, through a SaaS suite of applications that are cloud native, mobile-first and increasingly powered by AI. In total, Workday has 70 million users and its customers manage 120 million workers through the system. Weekly software updates mean Workday customers are always using the latest version of the software, preventing systems from becoming outdated.

Workday's primary competition are Oracle and SAP. While each has several thousand implementation partners, Workday has appointed just 160 partners to deploy its software, believing that a small number of high-quality accredited partners delivers the best deployments for customers.

Workday customers can also require additional solutions to address a unique business requirement, without having to implement another platform alongside Workday. This has created a growing market for Workday Extend services and software products that enhance Workday's platform, which we serve through our Workday Products business.

(5) Workday Annual Results:  
2025 Results.

**Strategic Report**Our Markets *continued*

**"AI WILL HAVE THE MOST SIGNIFICANT IMPACT ON OUR MARKETS IN THE NEAR TERM. AROUND 70% OF BUSINESSES ARE STILL IN THE EARLY STAGES OF ADOPTING AI BUT TAKE-UP IS ACCELERATING RAPIDLY."**

**TREND**  
**3**

### Emerging technologies creating new opportunities


**35+**

AI-driven concepts and accelerators validated with customers in FY26, with 7 developed into reusable patterns

Technological advances continue to open up new possibilities for us.

AI will have the most significant impact on our markets in the near term. Around 70% of businesses are still in the early stages of adopting AI but take-up is accelerating rapidly. However, organisations face challenges in securing AI systems and building governance around its use, as well as scaling AI from an individual productivity tool to an organisational asset.

The growth in agentic AI is a key trend, taking AI beyond basic productivity tasks. AI agents' ability to plan, reason and act without human intervention has far-reaching implications, with the potential to unlock major efficiencies but necessitating strict guardrails to prevent unauthorised actions. Research from Gartner published in September 2025 suggested 40% of enterprise apps would feature AI agents by the end of 2026, up from less than 5% in 2025, showing the rapid pace of adoption.

AI coding tools are accelerating delivery cycles for software companies, reducing time to market.

**£4.7m**

Pipeline value from 27 new AI opportunities identified across North America, EMEA, and the UK

Hyperautomation is another rapidly growing area. It combines technologies such as AI, machine learning and robotics to automate as many business tasks as possible. This market is forecast to reach more than \$300 billion by 2035, up from around \$65 billion in 2025. This shows the strong demand for intelligent robotics in sectors such as manufacturing, logistics and IT operations.

Quantum computing has huge potential in applications such as drug discovery and trading in financial markets. While current hardware limitations mean existing technology is generally more effective, as quantum computing develops it will require new software stacks and integration with existing systems.

Edge computing is also accelerating. By processing and storing data closer to where it is created, rather than through a data centre, it allows time-critical tasks to be performed on local devices such as phones or in vehicles. This reduces latency, improves the user experience and reduces cloud costs. New software and AI integration will be required to unlock the potential of these local applications.

For more information on the technology trends we are tracking through our Futures team, see the Innovation, research and development section.





Our competitive environment

A strong track record of delivery is important for success in all our divisions, underpinning our relationships with existing customers and providing credibility to win new work.

The competitive environment has generally been stable, although the number of Workday partners has increased over the last two to three years. However, our expertise in complex projects helps us to compete effectively on the quality of our proposition, while avoiding projects where price is the overly dominant factor in the customer's decision.

“OUR EXPERTISE IN COMPLEX PROJECTS HELPS US TO COMPETE EFFECTIVELY ON THE QUALITY OF OUR PROPOSITION, WHILE AVOIDING PROJECTS WHERE PRICE IS THE OVERLY DOMINANT FACTOR.”

Digital Services

£3,237m

Addressable market<sup>(6)</sup>  
(2025: £3,263 million)

Example competitors:  
Deloitte, Capgemini, CGI,  
Atos, Equal Experts, Solirius.

Workday Services

£1,696m

Addressable market<sup>(7)</sup>  
(2025: £1,369 million)

Example competitors:  
Strada, Cognizant, TopBloc,  
Accenture, Deloitte.

Workday Products

£1,000m

Smart suite addressable market<sup>(8)</sup>  
(2025: £900 million)

£600m

EDM addressable market<sup>(9)</sup>  
(2025: £700 million)

£300m

PTA addressable market  
(2025: not applicable)

Example competitors:  
Opkey, Pathlock, Sailpoint,  
AppOmni, ServiceNow.

(6) The size of the digital solutions market in Central (£1,854 million), Health (£372 million), Defence (£828 million), Education (£35 million) and Police (£148 million) according to TechMarketView Public Sector Suppliers, Trends & Forecasts 2025.

(7) Estimate of total addressable market.

(8) Estimated global Workday automated testing market.

(9) Estimated global Workday document management market, April 2026.

## Strategic Report

## OUR BUSINESS MODEL

**What we do**

We provide sophisticated IT services and software products to major public sector, commercial and healthcare customers.

For more information on our operating divisions, see the Kainos at a Glance section.

**How we operate****Digital Services**

In the public and healthcare sectors, we typically work for customers with large portfolios of transformation projects, which require significant budgets. Our strong track record of successful programme delivery and positions on major frameworks help us to win new projects in these sectors. Frameworks streamline procurement by allowing buyers to select from pre-approved suppliers, with agreed terms and conditions.

Having secured a project, we design, build, test and implement the solution. Major projects have multiple stages, meaning they tend to generate revenue over many years. We often grow our business with a customer over time, as we earn their trust by proving our ability to solve their problems, generating high levels of repeat business across their organisation.

The recent trend towards longer and larger projects in the UK public and healthcare sectors may require us to partner with other companies with specialist skills. As the lead contractor, we oversee our partners to ensure they deliver to the right quality.

**Workday Services**

Our Workday customers range from smaller, dynamic companies to some of the world's most recognisable brands.

Workday contracts directly with its end customers and then recommends partners such as Kainos to implement the project. We are usually recommended because of our international presence or our deep knowledge of Workday's modules.

Most customers begin with the Financial, Planning or HCM (HR) modules, then add further modules over time, so a customer often generates a multi-year revenue stream. We also secure work from existing Workday customers to implement the next phase of their system, whether that is into a new business unit or geography or to extend its capabilities.

In addition, we also often generate consulting revenue as we support customers with implementing the EDM product offered by our Workday Products division.

**Workday Products**

We gain product customers through our marketing activities, referrals from existing customers and our partnership with Workday. A typical customer takes multiple products from us over time and our strong customer satisfaction leads to high Net Revenue Retention (NRR).

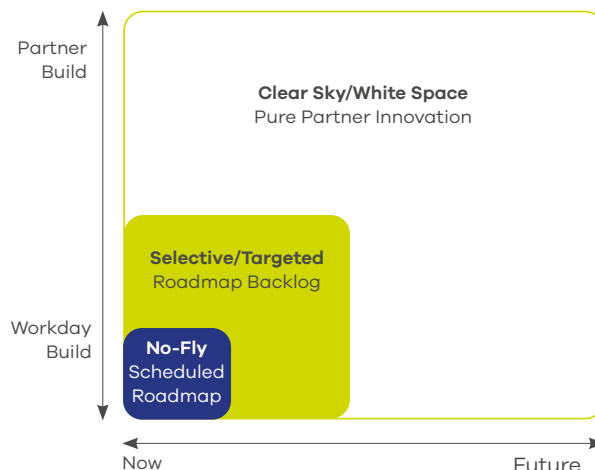
With the exception of our most recent product, Pay Transparency Analyzer, which is resold by Workday, our contracts are direct with the end customer, which allows us to control commercial arrangements and understand the quality of our customer service. This also helps shape our product roadmap, with customer feedback inspiring new products that address unmet needs.

Workday is constantly enhancing its platform and when it identifies functionality that it does not wish to pursue, it makes it available to partners such as Kainos to develop. Selected partners are also empowered to innovate in areas of unmet customer need, for example through new apps, products or AI agents. Kainos is one of 15 partners for Workday's Agent System of Record, showing our leadership in this space.

**Opportunities:**

-  Products
-  AI Agents
-  Apps

- Workday identifies opportunities to enhance its platform.
- Ideas that Workday chooses not to pursue are made available to selected partners like Kainos.
- Selected partners are empowered to innovate and deliver value in areas of white space – new apps, products and AI Agents – to address unmet customer needs.
- Kainos is one of five partners chosen for Workday's Agent System of Record (ASOR), highlighting our leadership in this space.



### Our commercial model

In Digital Services and Workday Services, we primarily charge on a time and materials basis for consultancy services. We also have a growing number of fixed-price engagements. Fees are typically invoiced monthly for work completed.

In Workday Products, all products have contracts that are typically for three years, with a subscription fee charged annually in advance.

### Our sources of competitive advantage

#### Our people

We hire the very best experienced talent and young people with potential. By investing in their development and providing interesting and challenging work on projects that are often of national importance, we maintain a very low attrition rate.

#### Our reputation

Our strong reputation is based on a long track record of successful delivery. This is critical for winning new work and for attracting talented people. In Digital Services, this is reflected in our presence on important government frameworks. We are a leading Workday consulting specialist, the seventh largest globally by certified consultant numbers.

#### Our customer relationships

We look for customers who prioritise long-term cost of ownership over the lowest possible up-front price, and who want a partner that adds value. Our Net Promoter Score of 61 shows we provide best-in-class customer service, contributing to over 80% of our revenue each year coming from existing customers.

#### Our partner relationships

We have an excellent relationship with Workday, having been a partner since 2011. Our strategic partnership for Workday Products is the first of its kind. We also have strong partnerships with Microsoft and AWS. In addition to our delivery excellence, we are positioned as thought leaders, often serving on their internal advisory panels.

#### Our intellectual property (IP)

We have a range of proprietary products, such as our Smart Suite and Employee Document Management for Workday, and we continue to invest in extending their capabilities. We protect our software IP through patenting.

Our innovation and research activities also focus on the application of new technology such as AI, machine learning and automation, and we are delivering engagements in these areas.

### The value we create

We create a broad range of financial and non-financial value for our stakeholders.

#### For our people

We provide rewarding, well-paid employment in a dynamic environment, where people can work with colleagues who are often world-class in their fields. As we grow, we create new opportunities for our people to grow with us.

#### For our customers

We help our customers to improve their services, save money, reduce risk and manage their organisation more effectively.

#### For our partners

We support Workday's business growth by successfully implementing its system for its customers and expanding usage of its platform. Similarly, we generate growing volumes of business for Microsoft and AWS as we replace ageing on-premise systems with cloud-based services.

#### For our shareholders

Long-term growth in revenue and profits, strong cash flow and a capital-light business model support our ability to generate high returns, invest for further growth and pay an attractive dividend to shareholders.

#### For society

As a creator of skilled and highly paid work, we generate tax revenues that support public services and help public sector and NHS customers make the best use of taxpayers' money, while improving the services they offer to citizens and patients.

We are also proud to be a responsible organisation, including our net zero carbon commitments, supporting our communities and our outreach programmes.

**"OUR NET PROMOTER SCORE OF 61 SHOWS WE PROVIDE BEST-IN-CLASS CUSTOMER SERVICE, CONTRIBUTING TO OVER 80% OF OUR REVENUE EACH YEAR COMING FROM EXISTING CUSTOMERS."**

See the Environmental, Social and Governance (ESG) Commitments section of this report for more details.



## Strategic Report

## OUR STRATEGY

Our ambition is to be a global, independent company operating towards the disruptive end of technology, that will thrive today and for generations. By pursuing this ambition, we believe we can achieve long-term growth in revenue, adjusted pre-tax profit and cash flow.

The Group strategy has three key pillars: our people, the markets we operate in and our customers. Our priorities within each pillar are set out below, along with the key metrics we use to measure our progress and links to where more information on our progress can be found. The Group's principal risks are described in the Risk factors and uncertainties section on pages 60 to 65.



**1 People** People are the fundamental component of our strategy. Our long-term success depends on their talent, skill and motivation, and having the capacity to deliver our customer contracts.

**Strategic priorities**

- Maintain a positive culture and high employee engagement.
- Ensure effective talent acquisition, development and succession planning.
- Continue to establish Kainos as a global company, by ensuring consistency of standards and processes.

**Link to risk**

- 9. Increasing customer demands in a competitive skills market

**How we measure progress**

Our key metrics include:

**3,475**

**Total headcount**  
(+610)

**3,216**

**Number of employed staff**  
(+420)

**77%**

**Employee engagement**  
(+2 pts)

**90%**

**Employee retention**  
(-3 pts)

For further information see:

- People section (page 40)
- Employee engagement (page 41)
- Section 172 statement (page 52)





**Markets** We focus on dynamic, higher-growth markets where the talents of our people shine brightest. In building for the long term, we:

- expect to continue to grow our international presence;
- prefer organic growth and only acquire businesses in exceptional circumstances, such as when we need to obtain unique skills; and
- aim to have a well-balanced business, which is not overly reliant on any one market, region or sector.

**Workday Products**

**Strategic priorities**

- Increase the number of Workday customers who use our software.
- Ensure high levels of customer satisfaction, driving strong NRR.
- Invest in our existing products and develop additional products within the Workday ecosystem.
- Continue to work with Workday to increase the scope and impact of our Built on Workday partnership.

**Link to risk**

- 2. Global macroeconomic events
- 4. Partner relationships
- 9. Increasing customer demands in a competitive skills market

**How we measure progress**

Our key metrics include:

**15%**

**Workday Products revenue growth**

**£89.0m**

**ARR**  
(+23%)

**696**

**Number of Workday Products customers**  
(+130)

**£18.7m**

**Investment in Products R&D**  
(+11%)

**£18.7m**

**Investment in Products sales and marketing**  
(+21%)

For further information see:  
• Operational Review: Workday Products (page 24)



**Digital Services**

**Strategic priorities**

- Grow within the public and healthcare sectors, by engaging in transformation projects across UK Government and the NHS.
- Expand internationally, focused initially on Canada.

**Link to risk**

- 2. Global macroeconomic events
- 8. Unsafe use of AI
- 9. Increasing customer demands in a competitive skills market

**How we measure progress**

Our key metrics include:

**+23%**

**Digital Services revenue growth**

**+11%**

**Public sector revenue growth**

**+55%**

**Healthcare revenue growth**

**£180.3m**

**Backlog**  
(+13%)

**+127%**

**+138% ccy**

**+75% organic**

**North America revenue growth**

For further information see:  
• Operational Review: Digital Services (page 25)





## Strategic Report

Our Strategy *continued*

### Workday Services

#### Strategic priorities

- Grow in our established markets, as Workday continues to expand within these markets.
- Grow internationally, establishing operations in countries with large and growing numbers of Workday customers.

#### How we measure progress

Our key metrics include:

**+9%**

Workday Services  
revenue growth

**+12%**

**+17% ccy**

North America  
revenue growth

**-1%**

**-1% ccy**

EMEA revenue growth

**£74.9m**

Backlog  
(+26%)

#### Link to risk

- 2. Global macroeconomic events
- 4. Partner relationships
- 9. Increasing customer demands in a competitive skills market

For further information see:

- Operational Review: Workday Services (page 28)



### New opportunities

#### Strategic priorities

- Develop opportunities, using our structured innovation process to identify and promote ideas that have the potential to become sizeable revenue streams.

#### How we measure progress

Our key metrics include:

**27**

Opportunities identified  
across North America,  
EMEA, and the UK

**£4.7m**

Associated pipeline  
value



**35+**

Concepts and accelerators  
validated with customers,  
with 7 developed into  
reusable patterns that  
can be redeployed across  
engagements

Launched the Workday AI  
Centre of Excellence

#### Link to risk

- 8. Unsafe use of AI
- 9. Increasing customer demands in a competitive skills market

For further information see:

- Operational Review: Innovation, research and development (page 29)





**Customers** Consistently delivering for our customers helps us to build long-lasting, mutually beneficial relationships that will see us thrive as a business.

**Strategic priorities**

- Ensure we understand customers’ evolving needs, so we can continue to provide the exemplary service that underpins our repeat revenue.
- Invest in innovation, so we can deliver new Workday Products and deploy the latest technologies in our Digital Services engagements.

**Link to risk**

- 1. Cyber and information security
- 2. Global macroeconomic events
- 4. Partner relationships
- 8. Unsafe use of AI
- 9. Increasing customer demands in a competitive skills market

**How we measure progress**  
Our key metrics include:

**£431.1m**

**Total revenue**  
(+17%)

**61 pts**

**Customer Net Promoter Score**  
(-9 pts)

**86%**

**Percentage of revenue from existing customers**  
(+4 pts)

**1,253**

**Number of active customers**  
(+159)

For further information see:

- Operational Review (page 24)
- Section 172 statement (page 52)



## Strategic Report

OPERATIONAL  
REVIEW**Our overall performance**

The Group had a positive year in FY26, with revenue up 17% driven by strong sales performances in all divisions.

Workday Products continued its rapid expansion, with revenue up 15% and ARR increasing by 23% (+24% ccy) to £89.0 million. We remain on track for our ARR targets of £100 million by the end of 2026 and £200 million by the end of 2030.

Digital Services' revenue grew 23% (23% ccy, 20% organic), with an excellent performance in healthcare and the public sector returning to growth. North America continued its momentum and benefited from the acquisition of Davis Pier in September 2025.

Workday Services' revenue was 9% higher, driven by strong growth in North America more than offsetting a 1% revenue decline in EMEA. We continue to make progress in our new markets in Australia, New Zealand and Latin America.

Adjusted pre-tax profit increased by 2% (+5% ccy) to £67.1 million, resulting in a 16% margin (2025: 18%). The reduced margin reflected several factors, including:

- our short-term use of contractors (+£14.0 million) and third-party suppliers (+£15.4 million), to give us additional capacity. We are recruiting to fill these positions and expect to displace many of these contractor-related costs during FY27 as we hire permanent staff members;
- a full year of investment to support our Workday partnership (+£2.3 million);
- increased employer National Insurance costs (+£3.0 million); and
- higher bonuses, due to our better performance in the year (+£11.5 million).

We also continued to invest to support the growth of our software products. See Workday Products performance below for details.

Bookings rose 32% to £505.3 million (2025: £382.4 million) and we ended the year with a record contracted backlog of £433.9 million, up 18% (31 March 2025: £368.2 million). As discussed in the Digital Services section below, customers are increasingly awarding larger multi-year contracts.

The Group is highly cash generative with cash conversion remaining high at 99% (2025: 112%) despite payment of restructuring costs provided for in FY25, and higher working capital due to our revenue growth.

At 31 March 2026, we had cash (including treasury deposits) of £89.1 million (31 March 2025: £133.7 million). During the year, our strong balance sheet enabled us to return £56.2 million to shareholders through share buybacks, invest £5.9 million in constructing our new Belfast office and acquire Davis Pier. In total, we have returned £90.0 million via share buybacks over the last 18 months.

**Workday Products performance**

Workday Products had another strong year, with growth. Good sales execution and strong growth in newer products resulted in a 15% increase in revenue (19% ccy) to £81.7 million (2025: £71.3 million), and the 23% growth in ARR described above. Revenue from consulting services related to our EDM product is now reported within Workday Services, who are better placed to deliver implementation services as the product scales. For comparison purposes, the growth rate excluding EDM services would have been 18%.

Almost 700 customers now use our products, with around 41% taking more than one. The year-end backlog increased 20% to £178.7 million (31 March 2025: £148.7 million).

Workday Products generates a high gross margin, giving us capacity to invest for further growth. Our R&D investment rose by 11% to £18.7 million (2025: £16.8 million) and our product-related sales and marketing investment (including £7.5 million of Built on Workday partnership costs) was £18.7 million, up 21% (2025: £15.5 million). The total investment in our software products was therefore £37.4 million (2025: £32.3 million), an increase of 16%. This investment was fully expensed.

Our investment has enabled us to increase the pace of new product introduction in recent years and to develop a deeper relationship with Workday, through the strategic partnership we formed in FY25. In October 2025 Workday announced a new customer solution called "Pay Transparency Analyzer powered by Kainos". Workday is exclusively selling our new Pay Transparency product through its salesforce, making it a highly cost-effective route to the broadest possible market for us. The launch has gone well, with more than 30 customers signed up by the year end.

To ensure we have the leadership capacity and capability to support Workday Products' growth, we have added significantly to the senior team during the year. This has included hiring new leaders for the product, marketing, risk and technology functions.

We currently charge for our software products based on user numbers. While this has worked well to date our market is evolving, for example as AI enables customers to reduce headcount or slow its growth. We have numerous options to adapt our pricing, such as usage-based or consumption models, to ensure it continues to reflect the value our customers receive. We continue to review our approach and do not expect any change to the overall level of our pricing.

#### Digital Services performance

Digital Services had a strong year, with revenue increasing by 23% (20% organic, 23% ccy) to £241.7 million (2025: £197.2 million). Bookings rose by 29% to £261.3 million (2025: £202.0 million) and the contracted backlog at the year end was £180.3 million, up 13% (31 March 2025: £160.1 million).

In both the public and healthcare sectors, customers are increasingly awarding larger and longer contracts. Our success in FY26 reflects our strategic focus on these high-value opportunities, which deliver greater returns relative to the effort required to win them.

## GENESYS

### Case study

### Kainos Smart powers growth and compliance at Genesys

Genesys, a global software leader headquartered in Menlo Park, CA, employs over 6,000 people worldwide. In 2023, the company implemented Workday to modernise its HR and operational systems, supporting ambitious growth targets and a future IPO.

Genesys adopted the entire suite of Kainos products, automating critical processes across testing, security, data privacy, and HR document management. This transformation enabled Genesys to streamline workflows, reduce manual effort, and enhance compliance.

**20 weeks of testing saved**  
during bi-annual Workday updates

**Reduced effort**  
Annual testing required eight fewer FTEs

**820+ changes**  
Implemented since go-live, accelerating roadmap delivery

**80% reduction in risk**  
of data breach through automated data masking

**Embedded SOX-ready controls**  
proactive security checks praised by auditor



Automation has given us the confidence to scale quickly and securely. We've accelerated updates, strengthened compliance, and reduced risk while preparing for IPO."

**Ravindra Sunku** | Head of FinTech, Genesys

## Strategic Report

### Operational Review *continued*

At the same time, we remain selective about pursuing smaller contracts when they provide an entry point with new customers, enabling us to establish relationships and expand our engagement over time.

#### Public sector

Public sector revenue grew 11% to £136.0 million (2025: £122.1 million), as we secured significant new multi-year programmes in FY26. These included contracts with:

- the Home Office, to support the digital infrastructure for managing people and goods at the UK border;
- the Department for Transport, to run, maintain and improve its bus data services; and

- the Driver and Vehicle Standards Agency (DVSA), to deliver a platform making it easier to schedule driving tests.

We also continued to win new work with other central government departments, including the Ministry of Defence.

We were pleased that the quality of our work was recognised in the year. In partnership with the Department for Environment, Food and Rural Affairs, we won the Digital Transformation Project of the Year at the 2025 Digital Revolution Awards. The project created a robust new digital inspection system, to protect the UK's biosecurity while maintaining the flow of vital agricultural and food imports into the UK.



UK Government



Kainos played a pivotal role in the success of this project – not just as a delivery partner, but as a driver of innovation. Their expertise, collaborative mindset, and ability to manage high-stakes technical challenges were critical to achieving such an ambitious outcome.”

**Philippa Manley** | Digital Services Director, HMPO

#### Case study

### Powering a digital revolution in passport services

Once limited by legacy systems, His Majesty's Passport Office (HMPO) joined forces with Kainos to rebuild its foundations. The result: a cloud-native Passport Data Service powering one of the UK Government's boldest digital transformations.

The new platform delivers faster applications, better citizen experiences, and seamless cross-government collaboration – all powered by secure, serverless technology. HMPO can now unlock deeper insights, share trusted data, scale effortlessly, and uphold the highest standards of security. It's a revolution in UK identity services, transforming one of the nation's largest data sets into the backbone of world-class digital identity.

**1+ billion passport records**  
migrated seamlessly

**£36m saved annually**

**50%+ reduction**  
in operational complexity

**Zero disruption**  
to citizen-facing services

### Healthcare sector

Revenue was up 55% to £74.9 million (2025: £48.2 million). While the government is working through its plan to bring NHS England (NHSE) back into its direct control, we have not seen any disruption to contract awards and the overall direction is for even greater use of technology in the health service, as described below.

During the year we won significant contracts with NHSE, including a Digital Health Checks project through NHS England's Digital Prevention Service Portfolio (DPSP). The project will improve access to vaccinations and screenings through the NHS App and accelerate the delivery of personalised, preventative healthcare in line with the government's 10 Year Health Plan for England.

The 10 Year Health Plan includes a commitment to make the NHS "the most digitally accessible health system in the world". This has led to renewed focus and investment in a number of areas, as the government looks to shift the NHS focus from treatment to prevention, and from analogue to digital. Kainos is well positioned to win work in these areas of investment, such as preventative healthcare, genomics, health data and AI.

### Commercial sector

The commercial sector is the smallest in Digital Services and the market has been subdued for several years. We therefore deprioritised the sector for growth in FY26, which has benefited our performance in healthcare and the public sector by allowing us to redeploy our people to focus on those opportunities. We continue to support our existing commercial customers.

Revenue in the year was £10.7 million (2025: £18.0 million) representing 4% of divisional revenue.

### North America

Our international Digital Services business is primarily in North America, in particular Canada. Revenue continued to grow rapidly, with a 127% increase (138% ccy) to £20.2 million (2025: £8.9 million). This included an initial contribution from Davis Pier, which we acquired in September 2025. On an organic basis, revenue growth was 75%.

Davis Pier is a high-growth Canadian consultancy that specialises in addressing complex challenges for public sector and community organisations across Canada. We knew the business well, having partnered with Davis Pier since 2022. We have strong shared values and cultures that prioritise customers, people and impact, and we were delighted to welcome its team of 120

## DAVIS PIER

### Case study

## Digital transformation to deliver safer, faster and more reliable excavation services

Hitting underground infrastructure such as pipes and cables is a major hazard during any excavation work. In Ontario, Canada, the One Call service plays a vital role in protecting the public and underground infrastructure.

To dig safely, excavators must first obtain a utility 'locate' from One Call. This is a significant administrative challenge for the service, with more than one million requests received annually, across an area four times larger than the UK. Manual, repetitive and error-prone processes resulted in chronic delays, increased costs and setbacks to major infrastructure projects.

Kainos received an introduction to the customer through Microsoft, who recommended us based on our reputation in the UK. We showcased our work with the UK's Department for Transport and Street Manager service, with the One Call CEO visiting our UK client. We then put together a compelling joint proposal, comprising Kainos and Davis Pier teams.

The result was a fully automated reporting process with improved data reliability, enabling enforcement of compliance. The customer is now exploring operational efficiencies in HR and finance, using AI.

people to our Digital Services division. The integration has gone well and the business has performed in line with our expectations since we acquired it.

We see continuing strong growth potential in Canada, which needs to invest in digital government, where it currently ranks 47th globally versus seventh for the UK. Our focus to date has mainly been in Nova Scotia, which has a population of around 1 million. We are now also targeting Alberta (5 million) and Ontario (16 million), giving us significant scope to grow. In the medium term, our ambition is to achieve annual revenue of £50 million.



## Strategic Report

### Operational Review *continued*

#### Workday Services performance

We are a leading Workday partner in Europe and a full services partner in the US, which is Workday's biggest market. At the year end we had 944 accredited Workday consultants (31 March 2025: 809).

Workday Services' revenue was 9% higher (12% ccy) at £107.6 million (2025: £98.7 million). Excluding the EDM-related services revenue previously reported within Workday Products, revenue was 6% higher. Revenue in North America grew strongly, with a 12% increase, and the region generated 52% of divisional revenue (2025: 51%). EMEA revenue was 1% lower and accounted for 44% of divisional revenue (2025: 49%).

Sales bookings increased by 44% to £121.8 million (2025: £84.6 million) and the contracted backlog at the year end was £74.9 million (31 March 2025: £59.3 million). The strong sales performance in the year reflected our focus on our core strengths in complex deployments, which helped us to win more large consulting contracts.

In December 2025, we announced that we are expanding our Workday Services operations in Poland to support Workday's growing customer base and its investment in that market. We have been operating in Poland since 2008 and see it as a key part of our European growth story.

In newer markets, our businesses in Australia and New Zealand continue to grow rapidly from a small base and are exceeding our initial expectations. We are also exploring opportunities in Latin America.

We continue to add complementary services that enhance our customers' experience with Workday. In March 2026, we created a strategic partnership with Retain, which offers a best-in-class resource and skills management platform. Combined with Workday's strength in human capital management, this will enable organisations to improve their employee utilisation and assign the right people to the right work, at the right time.

#### Our customers

The tables below show that our business is well diversified, by customer type and geographically:

| Revenue by sector       | 2026 | 2025 |
|-------------------------|------|------|
| Commercial customers    | 47%  | 52%  |
| Public sector customers | 35%  | 34%  |
| Healthcare customers    | 18%  | 14%  |

| Revenue by region | 2026 | 2025 |
|-------------------|------|------|
| UK & Ireland      | 59%  | 59%  |
| North America     | 32%  | 31%  |
| Central Europe    | 8%   | 9%   |
| Rest of the World | 1%   | 1%   |

Total international revenue was £177.2 million (2025: £149.9 million).

#### Artificial intelligence

Revenue from AI and data-related projects grew by 11% to £45.8 million (2025: £41.1 million), representing 19% of Digital Services' revenue.

During FY26 we increasingly moved from proof-of-concept projects to deploying AI in real-world applications for customers. For example, we built an assistant for the Department for Transport's street works team, which can answer questions from the internal team and the public on a wide range of legislation and guidance.

Our Microsoft AI Centre of Excellence continues to grow and helped us to secure several wins, including building a regulatory intelligence agent for a financial services customer. We are also one of the first organisations to launch an AI agent on the Microsoft marketplace. Day One is an onboarding agent for new employees and large organisations which was downloaded more than 300 times within a few days of launch, without any promotion.

We have also created a Workday AI Centre of Excellence, to formalise our approach to capitalising on the agentic AI opportunity within Workday Services. Our goal is to work with customers to help them get the most from AI and the Workday platform. We also have several AI agents available for Workday, such as the Help Agent, which simplifies navigation of Workday's knowledge base with conversational search.

We continue to scale up our use of AI internally, to help our people improve their productivity. Everyone in Kainos now has a Microsoft 365 Copilot licence that gives them access to AI tools that are appropriate to their role, such as coding for developers. We have supported this rollout with training.

#### Ensuring responsible use of AI

Deploying AI solutions safely and responsibly is vital, both for our customers and for us. We recognise this in our 'unsafe use of AI' principal risk (see the Risk Factors and Uncertainties section for further information). We are currently doubling the size of our Responsible AI team in Kainos, to enhance our assessment of AI-related risks and support our business development, with the team enabling us to work with customers so they can move forward safely with AI adoption.

Our AI Governance Committee also plays a key role, regularly considering projects where we have identified higher AI-related risks for us and our customers. In addition to ensuring we are effectively mitigating these risks, the Committee assesses whether projects align to our culture and values, and will turn them down if necessary.

#### Innovation, research and development

We continue to focus our innovation function on the areas where we see the greatest potential for customer impact, aligning it more closely with our businesses.

We identify emerging technologies with long-term strategic potential, focusing on areas such as Agentic AI, quantum technologies, enterprise digital twins and near-Earth observation. These insights guide where we invest and experiment.

We then translate these insights, alongside specific customer challenges, into practical solutions in partnership with our businesses. These are tested with customers to determine whether there is a scalable opportunity, with successful solutions being rolled out more widely. The Workday AI Centre of Excellence is one such example, originating from patterns identified in customer demand.



#### Case study

### Deploying a modern and scalable HR and finance platform

ConsultNet is a talent solutions company that helps businesses solve complex challenges by integrating talent, technology and scalable delivery models.

It required a modern HR and finance platform to enable its growth plans and ongoing operations. In just 30 weeks, Kainos deployed Workday HCM, Financial Management, Payroll and Projects, including multiple business-critical integrations such as banking, the JobDiva recruitment software platform and the US Government's E-verify system, which allows companies to confirm individuals are eligible to work in the United States.

Workday is now the single source of truth for ConsultNet, giving it a modern, scalable HR and finance platform and the foundation for long-term operational efficiency and partner-enabled growth.

## Strategic Report

# OUR ENVIRONMENTAL, SOCIAL AND GOVERNANCE (ESG) COMMITMENTS

This section is our Non-Financial and Sustainability Information Statement. The required disclosures on our business model, principal risks and non-financial key performance indicators can be found in the relevant sections of this Annual Report.

We use the UN Sustainability Development Goals (SDGs) as a framework for our efforts, focusing on the following five SDGs:



We focus on these specific SDGs because they align most closely to where our business has the greatest impact. In summary:

- **SDG 3 – Good Health and Wellbeing:** our people are central to our long-term success, and creating a safe, healthy and supportive working environment enables individuals and teams to perform sustainably over time.
- **SDG 4 – Quality Education:** because improving access to digital skills and education supports both our future workforce and wider social mobility, delivered through learning, early-careers pathways and education outreach in the communities where we operate.
- **SDG 5 – Gender Equality:** because building diverse leadership and teams strengthens decisionmaking, innovation and performance, and reflects our commitment to creating an inclusive workplace with equitable opportunities for progression.
- **SDG 10 – Reduced Inequalities:** to address barriers to opportunity, through fair employment practices, inclusive ways of working, and targeted social value activity that supports under-represented groups.
- **SDG 13 – Climate Action:** to manage climate-related risk responsibly, reduce our environmental impact, and support customers through low-carbon digital delivery and services that contribute to the transition to a more sustainable economy.

## Governance of ESG issues

The Board has overall responsibility for approving and overseeing our strategy and operations, including our approach to ESG matters. It has nominated the following Directors to oversee our ESG activities:

- **Environment:** Rosaleen Blair (Chair) is our climate action sponsor. Day-to-day accountability for leading and delivering Kainos' climate strategy sits with Brendan Mooney (CEO), ensuring alignment between Board priorities, business strategy and operational delivery.
- **Social:** Brendan Mooney has overall responsibility as CEO. Our Chief People Officer sets the strategy for our people-related activity.
- **Governance:** James Kidd (Senior Independent Director) leads on governance matters. He also chairs the Audit & Risk Committee. Our Chief Legal Office and Company Secretary has operational responsibility for legal and governance matters.

## ESG Impact Group

To support the effective oversight and operational coordination of our ESG priorities, we have established an ESG Impact Group. It provides cross-business alignment and oversight, ensuring that ESG activities align to our strategy, risk profile and regulatory obligations.

Chaired by our Head of Engagement, Culture and Development and comprising subject matter experts, the ESG Impact Group helps to align our ESG commitments to the social value outcomes we deliver for customers.

Strategic or material matters, or those impacting Kainos' risk profile, are escalated through established governance channels, including the CEO and Board, ensuring appropriate oversight and accountability.

## Environmental: protecting and restoring our planet

Contributes to: SDG 13 Climate Action

### Reducing our environmental impact

As an IT services and software provider, we have a modest direct impact on the environment, which is primarily through our carbon emissions. Even so, we continue to improve our understanding of our impact and work to manage and reduce it. Failing to do so could damage our reputation with customers, investors and employees, and we recognise this in our 'long-term climate change and sustainability' principal risk.

Reducing our emissions is also essential for continuing to win work. All companies bidding for UK Government contracts worth more than £5.0 million per year must produce a carbon reduction plan, which includes the company's emissions, reduction targets and actions. This allows procurement teams to ensure suppliers are aligned to the government's 2050 net zero target. Our latest plan can be downloaded from the Sustainability section of our website.

FY26 marks the conclusion of our initial near-term Science Based Targets initiative (SBTi) cycle (FY20–FY26)<sup>(10)</sup>. We achieved our near-term, science-based net zero targets as planned by FY26.

Absolute Scope 1 and 2 GHG emissions were reduced by 75%, comfortably exceeding our 70% reduction target set for FY26, reflecting sustained reductions from energy and office-related actions and despite the acquisition of Davis Pier and the start of construction of our new headquarters building. For our Scope 3 GHG emissions, in FY26 we achieved a 45% reduction per unit of value added, against our 45% target threshold. This demonstrates that business growth and carbon intensity are decoupling, with continued value creation alongside reduced emissions intensity.

We recognise growing interest in the environmental impact of AI. To date, we have not observed a measurable impact from our use of AI on Kainos' carbon footprint. We are continuing to build our understanding as AI usage evolves. We remain focused on responsible adoption, prioritising practical use cases with clear value, efficient architectures, green cloud and green engineering practices, and engagement with suppliers. As data quality and measurement methodologies improve, we will continue to ensure our climate commitments and our approach to AI remain aligned. Alongside this, we are increasingly supporting clients

to use AI to improve efficiency, reduce waste and progress their own low-carbon transitions (see the section below).

Our annual submissions to CDP help us to identify actions to improve our climate governance and support our implementation of the Task Force on Climate-related Financial Disclosures (TCFD) framework. We maintained our 'B' rating in FY26, which recognises that:

- we are taking proactive steps in environmental management, moving beyond basic disclosure to implementing effective strategies; and
- our collective effort in managing and reducing our environmental impact shows a continued commitment to sustainability.

While our overall rating was unchanged from FY25, we improved our governance and risk scores, reflecting our progress.

We continue to comply with all our environmental legal requirements across all our activities. This year there were zero breaches of environmental regulations (2025: zero).

### Helping to reduce emissions in our value chain

We aim to make a wider impact by helping our customers, employees and suppliers to achieve low-carbon futures.

Our services help our customers reduce their own emissions in several ways. These include:

- Reducing energy use, by transitioning from energy intensive on-premises data centres to cloud platforms. We have developed a Cloud Carbon Calculator to quantify the potential savings.
- Increasing operational efficiency through AI-powered business transformation. These solutions typically reduce manual processes; eliminate energy-intensive manual workflows and reduce emissions during implementation.
- Embedding green software principles across our delivery teams, with around 250 staff certified as Green Software Practitioners, supporting our goal of reducing the environmental impact of digital services and promoting greener practices.

Our latest CDP submission is available from the Climate Action section of our website and sets out a range of other customer sustainability benefits from our work.

**"ABSOLUTE SCOPE 1 AND 2 GHG EMISSIONS WERE REDUCED BY 75%, COMFORTABLY EXCEEDING OUR 70% REDUCTION TARGET SET FOR FY26."**

See the Metrics and targets section for more information.



(10) FY20 Base year emissions data: Scope 1: 87 tonnes CO<sub>2</sub>e, Scope 2: 409 tonnes CO<sub>2</sub>e, Scope 3: (full) 9,828 tonnes CO<sub>2</sub>e, (Scope 3 business travel only is 3,456 tonnes CO<sub>2</sub>e). Total full emissions for FY20 were 10,324 tonnes CO<sub>2</sub>e. FY20 total for Scope 1, 2 and Scope 3 business travel were 3,952 tonnes CO<sub>2</sub>e.

## Strategic Report

Our Environmental, Social and Governance (ESG) Commitments *continued*

We also remain an active member of DEFRA's Government Digital Sustainability Alliance. This collaboration enables us to help shape national digital sustainability policy, influence sector-wide standards and share best practices across government and industry.

For employees, we launched climate e-learning in FY26, which provides information to help them reduce their footprint at home and at work. We are looking to increase our supplier collaboration in FY27 through continued use of Watershed, the market-leading platform.

### Reporting our environmental performance

We report in line with the Streamlined Energy and Carbon Reporting Regulation (SECR), TCFD and the Sustainability Accounting Standards Board's standard for the software & IT services sector.

### TCFD disclosures

Our TCFD disclosures are set out in the following tables and are consistent with the TCFD Recommendations and Recommended Disclosures. Supporting detail is available in this year's CDP submission<sup>(11)</sup>.

## Governance

### a) Describe the Board's oversight of climate-related risks and opportunities.

#### Disclosure

Governance of climate-related matters is set out in the Governance of ESG issues section on page 30.

The Group Risk Register is our primary tool for monitoring and reporting risk, including climate-related risks. The Audit & Risk Committee reviews our principal risks twice a year or more regularly if substantial changes occur. The Committee updates the Board on new or emerging climate risks, areas of focus or issues requiring attention.

Long-term climate change and sustainability is one of our principal risks, due to the potential reputational harm if we fail to reduce our impact. The Risks and opportunities section provides more information on this risk, our risk management framework and our governance structure.

The Board receives formal updates on climate matters twice a year. The first session reviews our carbon footprint and highlights from our reduction initiatives, and verifies the climate action plan for the coming year (see below). This mid-year session includes a detailed presentation on our H1 footprint, our CDP submission and progress against our SBTi near-term targets. These updates are jointly delivered by the CEO and representatives from the ESG Impact Group. The timing is typically linked to events such as a CDP response or SBTi update.

The Board includes climate-related agenda items at its meetings, for example if there are material changes to the strategy or additional investment requests. The Board may also receive news about climate action as part of the monthly People or ESG Board papers.

Climate-related costs are factored into the annual budget, which is overseen by the CEO and approved by the Board (see below). As a provider of software products and services, climate change is not a material influence on our business strategy, other than looking to take advantage of the opportunities presented, as described later in this section.

The Board has set climate-related goals for senior management via the Remuneration Committee. The Long Term Incentive Share plans include conditions tied to emission reduction. Specifically, 10% of the Executive performance share plan and 2.2% of their total reward are linked to climate management. These incentives support our climate action strategy and SBTi targets.

(11) Climate action.

## Governance

### b) Describe management's role in assessing and managing climate-related risks and opportunities.

#### Disclosure

The roles of our CEO and ESG Impact Group are set out in the Governance of ESG issues section on page 30.

Our management ensures we act on climate-related risks and opportunities. Staffing and climate-related costs are factored into the annual budget cycle, reporting costs and development of new business opportunities. We use our enterprise climate platform (Watershed) to calculate our carbon footprint and provide monthly updates to the leadership on our performance.

We have a wide range of activities to inform colleagues about our climate strategy and encourage them to reduce their impact. These include:

- our climate action plan, which we update annually and use for internal communications;
- updates on progress towards our SBTi targets;
- an online climate action channel, for sharing sustainability-related content;
- internal publications and CEO-hosted walkthroughs of our annual report and investor presentation, including climate action progress;
- updates to policy and communications about our green travel principles;
- continuous personal development sessions on climate; and
- promotion of related learning, including the Green Software Practitioner Certification and internal climate action eLearning.

We measure the impact of these and other initiatives through the Workday Peakon platform, with 74% (2025: 75%) of respondents agreeing that Kainos makes a positive contribution to climate action.

## Strategy

### a) Describe the climate-related risks and opportunities that the organisation has identified over the short, medium and long term.

#### Disclosure

We use the following timeframes when considering climate risk and the impact on our business.

- Short term: 0-2 years
- Medium term: 3-9 years
- Long term: 10+ years

#### Potential areas of risk

*Physical.* Extreme weather could damage our offices, restrict business travel, disrupt cloud and internet connectivity, interrupt power supplies or disrupt our supply chains, for instance the supply of laptops.

*Transition.* The transition to a low-carbon economy could result in increased regulation, greater reporting requirements, changes to operational practices and shifts in customer demand.

*Reputational.* Our reputation could be damaged if we fail to meet our climate targets and regulatory requirements or fail to continue our internal education and awareness initiatives.

*Liability.* We may face liabilities if we receive incorrect advice on our own sustainability-related areas or fail to provide our customers with any required emissions data relating to the services we provide to them.

#### Potential areas of opportunity

*Products and Services.* There is the potential to help our customers achieve a lower-carbon future by moving their services to the cloud or redesigning their services to be more energy-efficient. We are well-established in this market.

*Reputation.* Being seen as a sustainability leader in the technology sector can enhance our reputation and create new business opportunities for us.

See Helping to reduce emissions in our value chain on page 31.





## Strategic Report

Our Environmental, Social and Governance (ESG) Commitments *continued*

### Strategy

b) Describe the impact of climate-related risks and opportunities on the organisation's businesses, strategy, and financial planning.

#### Disclosure

##### Impact on our businesses

##### Potential areas of risk

Using our enterprise risk framework, our assessment of the impact of climate-related risk to our business is moderate likelihood, moderate impact.

*Physical.* While some disruption could occur, we are a consulting organisation with a distributed workforce, a cloud infrastructure and limited supply chain and should be able to work remotely for extended periods of time. This assessment assumes electricity and internet services continue reliably. (moderate risk, long-term)

*Transition.* As part of our drive to carbon net zero, we actively monitor and consider the changes to the legislative and regulatory landscape. (low risk, medium-term)

*Reputational.* We are proactive on climate topics, which resonates with our colleagues, customers and other stakeholders. At the same time, we recognise that reputations can be damaged very quickly. (moderate risk, medium-term)

*Liability.* We understand the importance of accurate emissions data and how this could impact our business and our customers, hence the importance we place on ensuring robust data management and reporting systems to ensure compliance and mitigation of risk. (low risk, medium-term)

##### Potential areas of opportunity

Given that well-designed digital services can reduce the carbon footprint of an organisation's technology operations, we expect this to increase demand for our services in the future. To aid customers in making that assessment, we provide a Carbon Calculator to help calculate the cost and carbon reduction of moving services or data from on-premise settings to cloud locations.

We anticipate that this opportunity will drive growth in our cloud services revenue over the next three to five years, enhancing our financial performance and reinforcing our commitment to environmental sustainability.

##### Impact on our strategy

Our analysis shows that the primary risk for us in relation to climate change is reputational. Our reputation as a climate-aware organisation is also a potential source of business opportunity. Much of our climate-related work therefore focuses on enhancing our reputation in this area, both through our proactive approach to reducing our emissions and by creating tools to help our customers understand the carbon impact of running their projects.

Climate-related disruption to our supply chain is not a material risk to our strategy, and we have not identified any significant adaptation or mitigation activities, investments in R&D or changes to our operations or locations that are needed due to climate change. We rarely acquire or divest businesses and climate issues will not therefore have a meaningful impact on these activities. We do not expect climate issues to have an impact on our access to capital.

##### Impact on our financial planning and capital allocation

We consider the costs of our climate actions in our annual budget, as noted above. Climate issues are not likely to materially affect our financial position over any of the timescales we have considered, either by reducing the value of our assets or increasing our liabilities.

Our climate actions do not require significant capital expenditure and climate risks and opportunities do not have any material influence on our capital allocation, as our climate-related risks and opportunities do not vary significantly across our divisions.

See the Financial Review for further information on our capital allocation approach.



## Strategy

c) Describe the resilience of the organisation's strategy, taking into consideration different climate-related scenarios, including a 2°C lower scenario.

### Disclosure

In FY25, we commissioned scenario analysis in line with the TCFD Guidance on Scenario Analysis for Non-Financial Companies. This analysis remains valid and we have not updated it during FY26.

The analysis considered the following Shared Socioeconomic Pathway (SSP) and Representative Concentration Pathway (RCP) scenarios:

| SSP  | RCP     | Global temperature increase | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|------|---------|-----------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| SSP1 | RCP 1.9 | 1.4°C                       | <b>Sustainability (low challenges to mitigation and adaptation)</b>                                                                                                                                                                                                                                                                                                                                                                                                                     |
|      | RCP 2.6 | 1.8°C                       | A low-carbon transition is successful and timely. Regulation is stringent, net zero is reached by 2050 (RCP 1.9) or shortly after (RCP 2.6), resulting in a more sustainable society. Societal benefits are realised as well.                                                                                                                                                                                                                                                           |
| SSP2 | RCP 4.5 | 2.7°C                       | <b>Middle of the Road (medium challenges to mitigation and adaptation)</b><br>Progress towards sustainability and a fossil-free society continues but is slow. Socioeconomic statuses stay relatively the same as the present, with income and development continuing to be unequal. Environmental systems degrade. However, overall intensive resources and energy use declines.                                                                                                       |
| SSP3 | RCP 7.0 | 3.6°C                       | <b>Regional Rivalry (high challenges to mitigation and adaptation)</b><br>GHG emissions continue to rise, almost doubling by 2100. National, energy and food security concerns take precedent over the environment. Environmental protection is a low priority which leads to strong environmental degradation. Adaptation is prioritised over mitigation.                                                                                                                              |
| SSP5 | RCP 8.5 | 4.4°C                       | <b>Fossil-Fuelled Development (high challenges to mitigation, low challenges to adaptation)</b><br>Market approaches to technological progress are valued more than government regulation. Globalisation has increased, and investments in human and social capital are prioritised. However, fossil fuels remain the primary and preferred energy source and consumption-based lifestyles are prevalent. The global economy booms yet the population peaks and then starts to decline. |

Our scenario analysis therefore includes the 2°C or lower scenario required by TCFD. The Climate Action Tracker shows that under existing government policies worldwide, the most likely outcome is a 2.7°C increase, which is also included in our scenarios.

The analysis shows that:

- Transition risks are greatest under SSP1 and also prevalent under SSP2. For example, there is a potential impact on the cost of renewable energy credits and increased costs for IT equipment due to import carbon pricing. These risks are present across all timeframes considered. Transition risks under SSP3 and SSP5 are low to negligible.
- Physical risks are greatest under SSP3 and SSP5. The impact increases over time, with both acute and chronic effects. Under the most significant temperature increases, there is the potential in the long term for socioeconomic hardship and disruption to the global economy, affecting our ability to grow the business. Costs may increase (for example, due to higher electricity use to cool offices) and the impact of heat on employees may affect productivity.

We are confident that our climate actions make us resilient to the impact of transitional risks under the SSP1 and SSP2 scenarios. We are not significantly exposed to physical risks (for example, coastal flooding) under these scenarios. The long-term physical risks presented by very high temperature increases, such as the impact on the global economy, cannot easily be mitigated at this stage and we will consider what actions we can take in future to increase our resilience if necessary.

## Strategic Report

Our Environmental, Social and Governance (ESG) Commitments *continued*

Our approach to assessing risks is described in the Risk factors and uncertainties section of this report.



### Risk

#### a) Describe the organisation's processes for identifying and assessing climate-related risks.

##### Disclosure

Climate-related reputational risk has been a principal risk for us since 2021. The Audit & Risk Committee oversees all principal risks and the plans to mitigate and manage their potential impact. The heat map in the Risk factors and uncertainties section shows the relative significance of climate-related risk compared with our other principal risks.

Kainos stays up to date on climate-related regulations through our Audit & Risk Committee, chaired by a Non-Executive Director, and our wider ESG Impact Group. These teams regularly review regulatory changes and assess their impact on our business and our customers. Key roles ensure our climate risk assessments are aligned with the latest requirements. This approach is further supported through CEO and Board oversight, and external reviews of our practices, including CDP, helping to ensure we proactively manage climate risks and opportunities.

#### b) Describe the organisation's processes for managing climate-related risks.

##### Disclosure

In line with our overall approach, outlined in the Risk factors and uncertainties section, we review our Risk Register twice each year, with further updates, where required, provided to the Audit & Risk Committee. Climate-related risks are reviewed as part of this process.

We determine the materiality of climate-related risks by integrating climate risks into our enterprise risk management framework. This process involves evaluating the potential financial, operational and reputational impacts of identified risks, prioritising these based on their likelihood and potential severity, and focusing on those that could significantly impact our operations and strategic objectives. This assessment is based on a combination of internal data, external regulatory requirements, and climate scenario analysis. In doing so, we address the most important risks and opportunities, aligning our strategy with our sustainability goals.

#### c) Describe how processes for identifying, assessing, and managing climate-related risks are integrated into the organisation's overall risk management.

##### Disclosure

As discussed in further detail in the Risk factors and uncertainties section, the Group Risk Register is our main tool for monitoring and reporting risk. Senior management co-ordinates the Register's preparation, using input from Executive and Leader teams from across Kainos.

The Register is reviewed regularly by the Chair of the ESG Impact Group and updated with any new or emerging climate risks, areas of focus or individual risks that require attention.

Each principal risk is assigned to a senior manager, who is responsible for ensuring that we have appropriate controls and mitigating actions to reduce the likelihood and potential impact of the risk being realised.

Climate-related risks are allocated to our CEO, Brendan Mooney.

## Metrics and targets

a) Disclose the metrics used by the organisation to assess climate-related risks and opportunities in line with its strategy and risk management process.

### Disclosure

As noted above, we believe that our key risk is reputational risk, with our mitigation focused on achieving carbon net zero status. This focus is reflected in our metrics, which all focus on our emissions.

See the Carbon footprint section below for more information.

b) Disclose Scope 1, Scope 2 and, if appropriate, Scope 3 GHG emissions, and the related risks.

### Disclosure

Our emissions are disclosed in the Carbon footprint section below. The primary related risk is the reputational risk discussed earlier in these disclosures.

c) Describe the targets used by the organisation to manage climate-related risks and opportunities and performance against targets.

### Disclosure

We set SBTi near-term net zero targets for Scope 1, 2 and 3 emissions.

From our base year (FY20) we have:

- reduced Scope 1 and 2 emissions by 75% (124 tCO<sub>2</sub>e), against our target of 70% (149 tCO<sub>2</sub>e) by FY26; and
- reduced Scope 3 emissions per unit of value added by 45%, against our target of 45%. This is an intensity-based target calculated using gross profit.

Scope 1 and 2 performance is ahead of the SBTi pathway.

Using emissions calculated via Watershed in line with the GHG Protocol, Kainos' absolute Scope 1 and 2 emissions are below the level required to meet our FY26 Science Based Target, reflecting sustained reductions from energy and office-related actions.

Scope 3 is managed through an intensity-based target.

Our Science Based Target for Scope 3 is defined as a 45% reduction in emissions per unit of value added (GEVA) by FY26. This year we achieved a 45% reduction in Scope 3. While absolute Scope 3 emissions fluctuate with business activity, our calculated intensity remains aligned with the SBTi pathway.

Information on our base year and current year emissions can be found in the Carbon footprint section below.

SBTi is currently consulting on revisions to its Corporate Net-Zero Standard. Once the revised Standard has been finalised, we intend to set updated near-term science-based emissions reduction targets and to develop a corresponding climate transition plan, setting out how these targets will be achieved, including governance, delivery priorities and progress monitoring.

## Strategic Report

### Our Environmental, Social and Governance (ESG) Commitments *continued*

#### Carbon footprint: methodology

We use Watershed to reliably measure and report our emissions.

To calculate the disclosures below, we have used the GHG Protocol Corporate Accounting and Reporting standard (revised edition) and emission factors from the UK Government's GHG Conversion Factors for Company Reporting 2019. The standard requires a statement of relevant intensity ratios, which are also set out below. These

figures were calculated from data available for our main operations and extrapolated to take account of our smaller locations.

Davis Pier was not included in a re-baseline, as the emissions impact was below the SBTi 5% materiality threshold. Scope 3 emissions were also not included, due to ongoing systems integration. However, Scope 1 and 2 emissions were estimated using office floor area, and headcount was incorporated for commuting data.

| Carbon footprint: our GHG emissions for FY26                                                     | Global tonnes of CO <sub>2</sub> e |            |              |            |
|--------------------------------------------------------------------------------------------------|------------------------------------|------------|--------------|------------|
|                                                                                                  | 2026                               |            | 2025         |            |
|                                                                                                  | UK                                 | Non-UK     | UK           | Non-UK     |
| Scope 1: Combustion of fuels and operation of facility                                           | 46                                 | 23         | 89           | 22         |
| Scope 2: Emissions from generation of electricity, heat, steam and cooling purchased for own use | 8.0                                | 47.0       | 0.3          | 46.7       |
| Scope 3: Business travel                                                                         | 1,793                              | 769        | 1,576        | 676        |
| <b>Total emissions by location</b>                                                               | <b>1,847</b>                       | <b>839</b> | <b>1,665</b> | <b>745</b> |
| <b>Total emissions for year</b>                                                                  | <b>2,686</b>                       |            | <b>2,410</b> |            |

#### Total energy consumption for activities for which the Company is responsible (Scope 1 and 2)

|                         | 2026 | 2025 |
|-------------------------|------|------|
| Global – kWh (thousand) | 420  | 332  |
| UK – kWh (thousand)     | 501  | 659  |

The following table expresses our annual emissions in relation to quantifiable factors associated with our activities:

| Intensity ratios                               | 2026 | 2025 |
|------------------------------------------------|------|------|
| tCO <sub>2</sub> e/£ million revenue           | 6.23 | 6.56 |
| tCO <sub>2</sub> e/average number of employees | 0.91 | 0.82 |

Our carbon impact for the year was as follows:

- **Scope 1** We generated 69 tonnes of carbon dioxide equivalent (CO<sub>2</sub>e), relating to oil-based central heating in our premises (2025: 111 tonnes CO<sub>2</sub>e). This reflects a smaller office footprint and lower onsite energy use following the sale of office space at our Belfast site, alongside revised operating hours at our Belfast office.
- **Scope 2** emissions result from the generation of purchased energy and largely relate to our offices. We generated 8 tonnes CO<sub>2</sub>e in the UK and a further 47 tonnes CO<sub>2</sub>e worldwide (2025: 47 tonnes CO<sub>2</sub>e). The year-on-year increase of approximately 8 tonnes of CO<sub>2</sub>e in Scope 2 emissions was primarily due to changes in UK electricity contract

arrangements and the acquisition of Davis Pier, affecting both UK and global emissions, rather than a material change in energy efficiency. Despite this increase, Scope 2 emissions remained within our SBTi target trajectory, and together with reductions in Scope 1 emissions contributed to meeting and exceeding our Scope 1 and 2 emissions, achieving 75% reduction (124 tCO<sub>2</sub>e), against our target of 70% (149 tCO<sub>2</sub>e) by FY26.

- **Scope 3** emissions relating to business travel. In FY26, our emissions in this category increased by 14% to 2,562 tonnes CO<sub>2</sub>e (2025: 2,252 tonnes CO<sub>2</sub>e) as a result of our business growth in the year, rather than a reduction in travel efficiency. Business travel remains our most material emissions source and is

tracked separately against a dedicated Scope 3 reduction target, recognising the different levers, behaviours and dependencies involved compared with operational emissions. Our total Scope 1, Scope 2 and Scope 3 business travel emissions were 2,686 tonnes CO<sub>2</sub>e, a reduction of 32% compared with our FY20 base year (3,952 tonnes CO<sub>2</sub>e). This reflects strong progress overall, with Scope 1 and 2 emissions aligned to our operational decarbonisation trajectory, while Scope 3 business travel continues to be a priority focus area for future reductions.

We also estimate our full Scope 3 emissions, including business travel. In FY26, these amounted to 12,817 tonnes of CO<sub>2</sub>e (2025: 9,622 tonnes CO<sub>2</sub>e). The increase was mainly due to increased emissions from purchased goods and services and capital goods, reflecting higher procurement and investment activity during the year, alongside an increase in business travel. Despite this growth-related increase in absolute emissions, we met our SBTi-approved 45% reduction in Scope 3 intensity target (based on gross profit) in comparison with the base year, which measures emissions relative to business growth rather than on an absolute basis.

Our total emissions in FY26, including full Scope 3 emissions, were 12,941 tonnes CO<sub>2</sub>e. This represents:

- a 32% increase compared with 2025 (9,780 tonnes CO<sub>2</sub>e); and
- a 25% increase compared with our 2020 base year (10,324 tonnes CO<sub>2</sub>e), reflecting business growth.

This is shown in the reduction in our intensity ratios:

| Intensity ratios                               | 2026 | 2020  |
|------------------------------------------------|------|-------|
| tCO <sub>2</sub> e/£ million revenue           | 6.23 | 22.10 |
| tCO <sub>2</sub> e/average number of employees | 0.91 | 2.78  |

In previous years, we used carbon offsets to maintain a carbon neutral position while progressing our emissions reduction programme. In 2025, we decided not to purchase offsets or carbon removals, recognising the growing emphasis on direct emissions reduction and the importance of actions that deliver tangible environmental and social value. Instead, we are focusing on local decarbonisation and community-based projects that support biodiversity, social value outcomes and long-term emissions reduction, while continuing to focus on reducing our operational and value-chain emissions in line with our science-based targets.

#### Saving energy

We have an energy savings action plan, which we produced in line with the requirements of the Energy Savings Opportunity Scheme. The plan covers the period from December 2023 to December 2027.

We have begun constructing a new office in Belfast, with a low-energy design and a goal of less than 70 kWh/sqm Energy Use Intensity (EUI). An all-electric approach will ensure the building is prepared for Net Zero Carbon in operation, aligning with future sustainability needs. We are following the BREEAM methodology and targeting a BREEAM Outstanding rating. BREEAM promotes sustainability across various aspects of building design, construction and operation, to minimise the building's environmental impact, enhance occupant wellbeing and contribute to a more sustainable development.

Alongside changes to our estate, emissions have also been influenced by updates to building operations, including reduced weekend opening and extended holiday closures. Ahead of moving to our new office, our energy-saving activity has focused on behavioural change and short-term reduction measures. These include running energy awareness campaigns for colleagues, ensuring boilers and heating, ventilation and air-conditioning (HVAC) systems are serviced annually, and developing tailored end-of-day shutdown procedures for buildings, such as ensuring lights and appliances are switched off.

**"WE HAVE BEGUN CONSTRUCTING A NEW OFFICE IN BELFAST, WITH A LOW-ENERGY DESIGN. AN ALL-ELECTRIC APPROACH WILL ENSURE THE BUILDING IS PREPARED FOR NET ZERO CARBON IN OPERATION."**



Strategic Report

Our Environmental, Social and Governance (ESG) Commitments *continued*

Social: Our people

Our success depends upon the ability, skills and motivation of our people. Our strategic priorities in relation to our people are to:

- maintain a positive culture and high employee engagement;
- ensure effective talent acquisition, development and succession planning; and
- continue to establish Kainos as a global company.

Culture and engagement

Culture

Our culture drives us to create meaningful change through technology, by enabling integrity, innovation, improvement and teamwork flourish.

This is underpinned by our values. We are all:

Creative

There is always a better way. And we don't stop until we find it. It's how we transform innovation into dramatic change.

Cooperative

Here, there is an I in team: I for the individuals who bring their best selves to work, liberally sharing knowledge, information and experience, listening and keeping an open mind.

Determined

Individually, all together, there is no obstacle we can't overcome. It's how we get the job done. In fact, we've built our reputation on it.

Honest

Keeping it real, being truthful in our words and actions, and always being constructive is how we continue to build success. It's something our people and our customers see immediately.

Respectful

Respect does not have to be earned. Here it is given freely to all. Because we treat others how we would like to be treated. Everyone, equally.

In FY26 we have consistently showcased the behaviours that we want to see in Kainos. We do this at all levels of the business, from town halls led by senior management through to team talks. For example, to promote uptake of AI tools we may use one of our monthly webinars to highlight a colleague who has found an innovative way to integrate AI into their workflow.

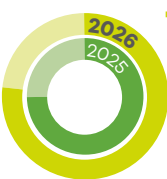
To provide a framework for how we think about our culture, we have developed four cultural pillars, which define what we stand for. These pillars were developed through our People Promise employer brand programme, which involved extensive consultation with colleagues about what they value most about working at Kainos and what we want our culture to stand for as we grow.

The four pillars – Put People First, Know Your Impact, Be the Benchmark and Embrace the Future – emerged from that work as clear, statement-based expressions of our culture, reflecting both our heritage and our direction. We will be rolling these out over the coming year.

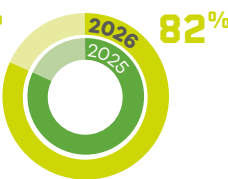
See the Corporate Governance Report on page 78 for information on how the Board oversees our culture.

Measures:

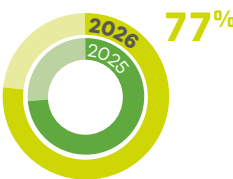
Peakon scores:



2025: 75%  
Engagement

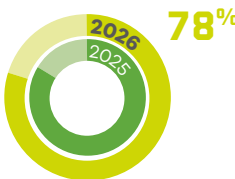


2025: 82%  
Diversity & Inclusion



2025: 74%  
Wellbeing

Glassdoor approval rating:



2025: 80%

### Engagement

Colleague feedback is a key part of achieving our ambition to be a great employer. We use Workday Peakon, which provides a holistic view of employee sentiment and allows comparison against over 350 global technology employers.

We ask our colleagues for feedback each month. The results show employee engagement remains high at 77% (2025: 75%), with the diversity and inclusion rating at 82% (2025: 82%) and wellbeing measuring 77% (2025: 74%).

We also measure engagement through Glassdoor, which enables current and former employees to provide feedback on companies. While Kainos was ranked 14th in Glassdoor's UK Best Places to Work list in 2025, we were not included in the 2026 ranking. Glassdoor's Employees' Choice Awards are based on the volume, quality and consistency of anonymous employee reviews over a fixed eligibility period, and rankings can vary significantly year-on-year as relative employee sentiment and market dynamics evolve. Despite not featuring in the 2026 list, Kainos continues to perform strongly on Glassdoor. In March 2026, we had an approval rating of 78%, above the typical Glassdoor average of c. 70% – 74% (3.5–3.7 out of 5) for overall company ratings. Similarly, 72% of respondents would recommend working at Kainos to a friend.

In February 2026, Kainos was independently ranked among the UK's top 30 IT and Software employers in the Financial Times' 2026 UK Best Employers ranking. We also achieved a significant rise from 333rd to 172nd overall.

We work hard to retain the talented people already in Kainos. We are also very focused on attracting, developing and engaging talented colleagues. We continue to attract strong interest in key recruitment markets, with tens of thousands of candidates applying each year to join Kainos. During the year our

headcount increased to 3,475 people (2025: 2,865). This reflects our business growth and around 120 colleagues joining us through the acquisition of Davis Pier.

We are focused on creating a workplace that people want to join and then stay to develop their careers. With the global shortage in digital skills, we are pleased that 90% of our colleagues made the choice to stay and develop their career at Kainos (2025: 93%).

### Wellbeing

*Contributes to: SDG 3 Good Health and Wellbeing*

Our approach to looking after our colleagues includes supporting them with five key areas of wellbeing. In addition to career development (see below), these areas are emotional, physical, financial and social wellbeing. We have a wide range of activities in each of these areas, along with a wellbeing platform and app, and wellbeing champions across the business. Our offering also includes:

- employee assistance programmes that provide 24/7 confidential access to expert advice across a range of areas, including wellbeing and financial and legal advice; and
- private medical and permanent health insurance.

Financial wellbeing encompasses our compelling reward framework of salary, bonus (where applicable), pension and a comprehensive benefits package. In response to employee feedback, we introduced flexible benefits in the UK in FY26, enabling our people to tailor their benefits to suit their needs. We are rolling this out to other countries in FY27. The scheme allows colleagues to reduce or opt out of certain benefits. In return, they can:

- increase their other core benefits, which include medical and dental cover, life insurance and pension contributions;

### Measures:

#### Shares and options allocated in FY26:



**814,965**

(£5.9 million at 31 March 2026 closing price<sup>(12)</sup>)

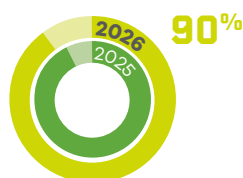
#### Shares and options allocated since 2015:



**13,966,060**

(£102.0 million at 31 March 2026 closing price<sup>(12)</sup>)

### Staff retention:



2025: 93%

### Headcount:



2026

2025

### Absence levels:



**5.8 days per person**

2025: 7 days

(12) KNOS closing share price on 31 March 2026: 730p.

## Strategic Report

### Our Environmental, Social and Governance (ESG) Commitments *continued*

- take their choice of supplementary benefits, which include critical illness cover, life insurance for their partner, health assessments and a number of other insurance products; and/or
- receive an allowance they can spend on approved items that contribute to physical, mental or emotional health, such as gym membership, counselling sessions and fitness equipment.

To enable colleagues to share in the value they create, we gift shares to employees in the UK, Ireland, Poland and US, and operate cash-equivalent schemes in our other locations. We also operate a save-as-you-earn share-based scheme.

#### Talent acquisition, development and succession planning

We have spent considerable time in the year preparing the next generation of leaders for Kainos. In addition to considering succession planning for the CEO and CFO (see the Nominations Committee Report for further information), we have looked at key roles at Group and divisional level, making internal promotions and external hires to give us strength in depth and enable people to develop by taking on larger roles, positioning them for even more seniority later.

During the year, nine members of the Group Executive team were either newly appointed or took on expanded responsibilities, reflecting a combination of internal progression and targeted external hires. More broadly, we made 11 senior-level (Leader+) promotions and added 13 senior-level external hires, bringing the total number of colleagues operating at senior levels across the Group to 93. Succession plans are now in place for 38 senior roles, with identified successors supported through targeted development and stretch opportunities, helping to ensure leadership continuity and long-term organisational resilience.

As noted in the Workday Products section of the Operational Review, we have been particularly active in recruiting senior leaders for that business, to ensure we have the capacity and capability required to take the growth opportunities ahead of it. This has included appointing a new Chief Product Officer, Chief Marketing Officer, Chief Risk Officer and Chief Technology Officer.

#### Career development

We have 962 people managers who support our people's career development (2025: 987). They undertake our Effective Manager programme, which covers management and personal leadership skills, everyday coaching, and giving and receiving feedback.

Each colleague has an annual performance appraisal, which includes planning for the year(s) ahead. We complement this with monthly one-to-ones, to ensure career plans are progressing. We also support our people with tools such as online coaching.

We have a diverse curriculum of internal courses and comprehensive self-study materials to support technical and professional qualifications and certifications. We also have comprehensive talent development programmes, mapped to key career stages, ranging from early career employees displaying leadership potential to senior management who we see as successors for executive roles.

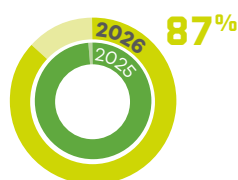
#### Measures:

Number of promotions:



2025: 369

Annual appraisals completed:



2025: 99%

Training days completed:



2025: 13,468

Training expenditure:



2025: £0.9 million

## Diversity and inclusion

*Contributes to: SDG 5 Gender Equality and SDG 10 Reduced Inequalities*

Diversity and Inclusion (D&I) is integral to our strategy and ensuring we have a strong talent pipeline. We know that having culturally diverse leadership and teams is likely to:

- increase our people's wellbeing, engagement and retention;
- help us deliver technology and services that meet the diverse needs of users and citizens; and
- support innovation and help us quickly bring new ideas to market.

D&I therefore benefits our people, customers, service users and shareholders. Our D&I policy commits to a culture that responds to the needs of all groups and takes a zero-tolerance attitude to bullying, harassment, exclusion or victimisation.

### Our commitments and accreditations

We support the Office of the United Nations High Commissioner for Human Rights (OHCHR), UN Standards of Conduct for Business Tackling Discrimination against LGBTI People, the Race at Work Charter and the Armed Forces Covenant.

In FY26, we were proud to become the first organisation in Northern Ireland to achieve Disability Confident Leader status. This reflects our commitment to inclusion and is the highest level of accreditation in the Disability Confident scheme, putting us in the top 3% of the 19,000 participants. In addition, Kainos is a member of Inclusive Employers, which helps organisations to build an inclusive workplace.

## How we are organised

Our Global D&I Council drives delivery of our D&I programme. It is sponsored by our Chief People Officer and comprises colleagues from across our business. It is supported by our five Employee Network Groups, which are each sponsored by a member of the Executive team, to ensure representation at all senior decision-making forums.

### Our data

We use Workday VIBE Index™ to allow colleagues to voluntarily and confidentially disclose details about their ethnicity, disability, marital status, religion, citizenship status, nationality, sexual orientation, sex at birth and gender identity.

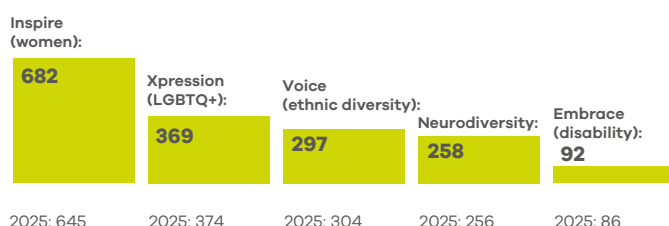
### D&I training

To support our people, we provide the following training:

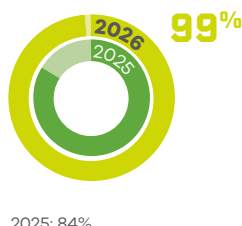
- Our Inclusion, Diversity, Equality and Equity e-learning, which is an essential module for all Kainos staff. Over 3,200 people have completed it (2025: over 2,800). People managers take an additional module to help them understand their role in creating an inclusive environment.
- Our Inclusive Leadership Programme, with 45% of Leaders and 58% of Executives having attended.

**"IN FY26, WE WERE PROUD TO BECOME THE FIRST ORGANISATION IN NORTHERN IRELAND TO ACHIEVE DISABILITY CONFIDENT LEADER STATUS."**

## Members in Employee Network Groups:



## Diversity data disclosed by employees:



## Strategic Report

### Our Environmental, Social and Governance (ESG) Commitments *continued*

#### Gender balance

Recent data indicates that despite some improvement, gender diversity in the technology industry globally remains a challenge. In the UK, women make up 21% of the technology workforce overall, with only 15% of leadership positions being held by women.

The table below shows our gender diversity at the year end.

The Listing Rules disclosures on Board and senior management gender and ethnic diversity can be found in the Nominations Committee Report.

There are 275 women at manager and principal levels (2025: 219), representing 33% of manager roles (2025: 32%). The under-representation of women in Kainos and the sector means that our journey towards gender parity is a long-term endeavour. Our gender parity plan has three key themes and associated actions plans, outlined below.

#### *a) Develop the talents and careers of women already in Kainos*

We work with Women in Business to help women develop networks and provide specialist learning. Our Inspire Network provides day-to-day support and hosts workshops to empower women and foster personal and professional growth. Informal learning is also prevalent, including mentoring (115 mentors and 115 mentees).

#### *b) Become the destination employer for talented women*

We believe that the most effective way to encourage people to join Kainos is to showcase our talented colleagues. For example, this year we had two female finalists recognised through external industry awards, including Outstanding Apprentice and Young Woman Engineer categories, highlighting the impact of our early-career and emerging female talent.

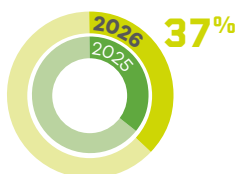
#### *c) Encourage more women into digital careers*

The Outreach section in this report describes our activities, including gifting digital bursaries to undergraduate women at university and events for young women considering a digital career. We were delighted to engage 846 young women across our 11 programmes and 28 events, where over 1,900 students participated (2025: 1,462 young women, over 3,000 students).

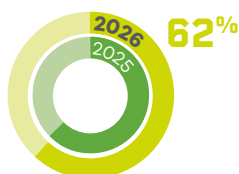
| Gender diversity                         | Board      | Executive managers | All employees  | Board      | Executive managers | All employees  |
|------------------------------------------|------------|--------------------|----------------|------------|--------------------|----------------|
| Male                                     | 3<br>(50%) | 22<br>(85%)        | 1,978<br>(62%) | 3<br>(60%) | 15<br>(83%)        | 1,717<br>(63%) |
| Female                                   | 3<br>(50%) | 4<br>(15%)         | 1,201<br>(37%) | 2<br>(40%) | 3<br>(17%)         | 974<br>(36%)   |
| Non-binary, transgender or not disclosed | –<br>(0%)  | –<br>(0%)          | 37<br>(1%)     | –<br>(0%)  | –<br>(0%)          | 20<br>(1%)     |

## Measures:

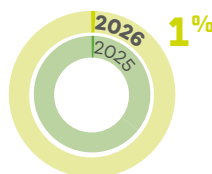
### Gender identity:



2025: 36%  
Women

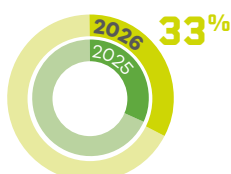


2025: 63%  
Men



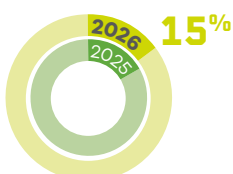
2025: 1%  
Non-binary, transgender  
or prefer not to disclose  
this information

### Women at manager level and principal level:



2025: 32%

### Women at executive level:



2025: 17%

## Continuing to establish Kainos as a global company

Expanding into new international markets is a core part of our growth strategy. When we first enter a market, we may initially outsource some people-related functions such as payroll services. However, it is important that everyone who works for us around the world feels a full part of the Group and we therefore continue to integrate new locations into the rest of the organisation.

In addition to bringing functions such as payroll in-house, our work includes ensuring colleagues in new locations have equal access to benefits and that we have consistent rules, for example around recruitment – which are also tailored to reflect local legislation and practices.

For example, following the acquisition of Davis Pier in Canada, we took a people-centred approach to integration. Davis Pier colleagues transitioned onto Kainos' core systems, policies and processes, ensuring consistency in areas such as compliance, data and people practices. At the same time, Davis Pier retained local ownership over brand and market presence, supported by our wider business. This balanced

integration enables clarity and alignment at Group level, while protecting the strengths of local teams and supporting engagement and retention as the business grows.

In FY27 we will continue to improve how colleagues experience our central services, with a focus on simplicity, clarity and end-to-end ownership. Through the "Central Services Made Simple" initiative, cross-functional teams will identify and streamline high-impact processes that span multiple functions, reducing friction, duplication and effort for colleagues. In addition, we will continue to progress our 'AI-First' priority in a safe, responsible and transparent way. This will include building colleague confidence and capability in AI use, supported by clear guidance on approved tools, consistent risk checks for new AI-enabled technologies, and a single, up-to-date register of AI tools and approved use cases across the business. This approach supports innovation and efficiency while maintaining appropriate controls around security, privacy and compliance.



## Strategic Report

Our Environmental, Social and Governance (ESG) Commitments *continued*

### Social: Communities

*Contributes to: SDG 4 Quality Education and SDG 10 Reduced Inequalities*

In addition to the substantial social value we create through our customer projects, we support our communities by providing employment and educational outreach to young people, and through our charitable initiatives.

#### Creating social value

Social value is a fundamental part of how we engage with our customers and sustain our ability to win work in the UK public sector and healthcare markets. While social value has always been important to us, the Procurement Act 2023 now requires our customers in these sectors to maximise public benefit through the contracts they award. The quality of our technical solution remains key but social value must carry at least 10% of the evaluation weight in every tender process.

This shift means that customers require specific, deliverable outcomes tied to their priorities such as climate action, addressing skills gaps, reducing crime, and jobs and training for people who face barriers to employment. The emphasis is on supporting delivery of these outcomes over the life of the contract, with measurable performance and transparent reporting.

The social value created must be over and above the core deliverables of the contract. This requires us to take a joined-up approach to our ESG activities, ensuring we understand what customers are asking of us so we can align our internal activities to support them. For example, where a customer has identified biodiversity and nature as its focus for social value, we will look for opportunities for our employee volunteers to support initiatives in that area.

### Social value in action

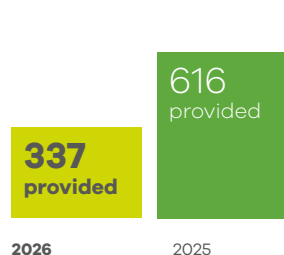
This approach is reflected in how we work with customers to deliver social value outcomes that go beyond the core scope of the contract.

For example, as part of our social value commitments on Ministry of Defence programmes, Kainos colleagues partnered with the Ministry of Defence and a community organisation to deliver a practical, place-based project in a deprived London community. Employee volunteers worked alongside local stakeholders to design and build a new community play structure, creating a safe and inclusive space for children and families while also supporting skills development, teamwork and environmental sustainability. This initiative directly aligned to the customer's social value priorities and delivered a tangible, lasting benefit for the local community over and above the contractual deliverables.

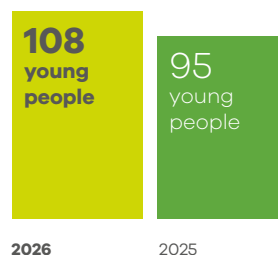
We also support customers' employment and skills objectives through targeted inclusion initiatives. Through our ongoing partnership with Leonard Cheshire's Change 100 programme, Kainos provides paid internships for talented disabled students and graduates, helping to reduce barriers to employment and address skills gaps in the technology sector. In partnership with public sector clients, including the Driver and Vehicle Standards Agency, Change 100 participants have contributed to live projects while receiving mentoring and professional development support. This approach enables us to meet customer social value commitments focused on inclusive employment and skills development, while creating meaningful pathways into sustainable careers in technology.

#### Measures:

Virtual and in-person placements:



Digital inclusion bursaries, young people since FY22 launch:



Employment and outreach

Graduate employment and apprenticeship scheme

We recruited 111 graduates in FY26 (2025: 66) across our Belfast, Derry, Indianapolis and Halifax, Canada locations. We also offer our popular Earn as You Learn® (EAYL) apprenticeship scheme, which identifies talented young people outside our traditional graduate recruitment activity.

Outreach

We use outreach to promote awareness of digital technologies among school leavers and young people, and help them build skills to forge a fulfilling career in technology. In the past year, over 1,900 young people were involved in one of our programmes (2025: over 3,000). Since 2015, we have engaged over 14,000 young people in the UK, Ireland, Poland and the Americas through our outreach activities (2025: over 12,500).

In FY26, 87 colleagues recorded over 300 days of mentoring support for young people (2025: 159 mentors and over 500 days). We offer learning to support colleagues to become outreach mentors, which significantly increases participation.

In partnership with Ulster University and Zero Gravity, our Digital Bursaries aim to widen the participation of young people who are traditionally under-represented at university. We also partner with:

- disability charity Leonard Cheshire, offering paid internships for computing graduates living with a disability; and
- Now Group, a social enterprise and autism charity, to provide paid work placements for young people seeking entry-level employment.

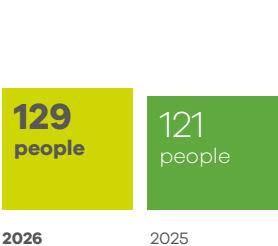
Positive outcomes for young people are often shaped by teachers. Throughout the year we engaged with 50 educators, helping them acquire skills in artificial intelligence and to bring the latest technologies to their classrooms (2025: 121 educators).

Supporting charitable causes

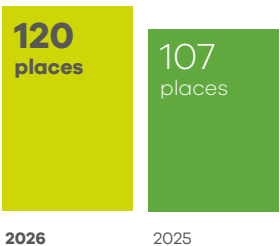
Our people select a global charity, which we support for a minimum of two years. We allocate 50% of our funds to it, with the other 50% supporting local charities. Our current global charity is Cancer Research. We also have volunteer-led charity committees at all our locations and provide financial support for their activities. Everyone in Kainos can also take two paid days each year to get involved in social and charitable activities.

**"SINCE 2015, WE HAVE ENGAGED OVER 14,000 YOUNG PEOPLE IN THE UK, IRELAND, POLAND AND THE AMERICAS THROUGH OUR OUTREACH ACTIVITIES."**

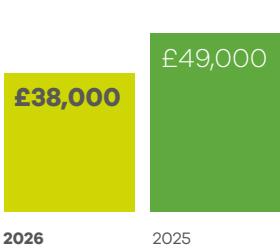
Graduates and students employed:



EAYL apprenticeship places since programme launch in 2013:



Charity donations:



## Strategic Report

### Our Environmental, Social and Governance (ESG) Commitments *continued*

#### Governance

##### Our stakeholders

Our key stakeholder groups are our workforce, customers, shareholders and communities.

Each month, the Board receives detailed reports from management, which include the outputs from stakeholder engagement. The Directors also engage directly with stakeholder groups as appropriate. The information below summarises our engagement with each stakeholder group and the outcomes.

##### a) Our employees

We engage with our people to understand how they view Kainos as an employer and where we can improve. This helps us to attract and retain the talent we need to fulfil our strategy.

##### Their interests

- Reward and benefits.
- Career progression.
- Training and development.
- Our culture and strategy.
- Teamwork and peer and manager support.
- Health and wellbeing.
- Diversity and inclusion.
- Our ethical stance.

##### How we engage

- Each month, we use Workday Peakon to measure sentiment and capture confidential feedback about our strengths and areas for improvement. The outputs are shared with the Board and made available to all staff through online dashboards. Progress with our plans to address feedback is reported monthly to the Executive team, quarterly to the workforce and twice yearly to the Board.

- The Directors engage with employees through office visits, presentations from staff at Board meetings, organised events and Board dinners.
- Our CEO holds monthly 'Kainos in Brief' sessions with staff groups, to share news and receive direct input from staff.
- Our Executive team hosts twice-yearly strategy review sessions with staff groups, to discuss culture, engagement and performance.
- Our internal social network platform (Microsoft Viva Engage) allows every person to publish, share and comment on all aspects of working in Kainos.

##### Outcomes

- We continue to achieve a high employee engagement score, currently 77% (2025: 75%).

##### b) Our customers

We engage with our customers so we can understand their evolving needs and attitudes towards our service. This enables us to maintain high levels of customer satisfaction, generate repeat business and to win work with new customers.

##### Their interests

- Quality and cost of service.
- Our ability to meet agreed deadlines.
- Our ability to innovate and deploy new technology for them.
- Our ethical stance.

##### How we engage

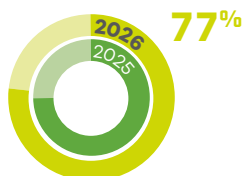
- Our project teams typically interact with customers daily. Feedback or escalations are shared within the project team and, where appropriate, with the Executive Team and the Board.
- We use an online customer survey to capture our NPS. Surveys happen on a rolling basis, with customers asked for feedback twice a year. The result is shared monthly with the Board. The responses inform our continuous improvement programme, which aims to meet or exceed customer expectations on every project.

Further information on our workforce engagement is set out in the Corporate Governance Report and in the Social: Our people section of this report.



#### Measures:

##### Employment engagement score:



2025: 75%

- The Executive Directors, primarily the CEO, meet with customers during the year. These meetings are typically with our largest customers.
- Project success stories and retrospectives are included as part of the regular Board agenda, with the teams involved in the project presenting to the Board and receiving Board input and feedback.

#### Outcomes

- We received 376 completed NPS surveys (2025: 347), with an overall NPS score of 61 (2025: 70), with a score above 50 rated as 'excellent'.
- During the year, the Board received twelve presentations on our customers (2025: seven).

#### c) Our shareholders

We value the support of our shareholders and recognise the importance of keeping them informed about our strategy, performance and progress with key strategic programmes.

#### Their interests

- Strategy and its implementation.
- Operational and financial performance.
- Dividends and total shareholder return.
- Our ethical stance, including our approach to ESG matters.
- Our remuneration practices.
- Developments in our markets.

#### How we engage

- Our CEO and CFO meet analysts and institutional shareholders throughout the year, with detailed updates following our interim and full year results. They provide regular feedback from these meetings to the Board. The Chair proactively leads engagement with major shareholders on material matters. Our PR and financial advisors also obtain formal feedback from shareholders, which is reported to the Board.
- Our Chair engages with shareholders on topics they raise.
- We communicate with private investors through the RNS service, the Annual Report and the AGM.

- We make financial and other information available on our website.

#### Outcomes

- Beyond normal discussions about our trading performance, during the year our shareholder conversations focused on CEO succession, the redundancy programme in March 2025, AI opportunities and risks and our capital allocation policy.

#### d) Our communities

As a responsible business, we need to contribute to the communities we operate in.

#### Their interests

- Our engagement with community-based programmes.
- Our carbon footprint and commitment to reducing our environmental impact.
- Employment options for their communities.
- Our tax strategy and tax transparency.
- Our ethical stance.

#### How we engage

- Our outreach programmes engage with our local communities to ensure that our programmes support the needs of our stakeholders.
- Our volunteer-led charity committees support and amplify the fundraising efforts of our colleagues and oversee the selection of our global and local charities.
- Relevant community initiatives are managed within the relevant Board committees and discussed with the full Board.

#### Outcomes

- We recruited 124 graduates, placement students and school leavers in FY26 (2025: 103).
- We maintained charitable donations at £38,000 (2025: £49,000).

**"WE CONTINUE TO ACHIEVE A HIGH EMPLOYEE ENGAGEMENT SCORE, CURRENTLY 77%"**

Further information is set out in the Corporate Governance Report and the Social: Communities section of this report.



## Strategic Report

### Our Environmental, Social and Governance (ESG) Commitments *continued*

#### Business conduct

We are committed to high standards of business conduct. This encompasses our ethical principles, protecting human rights, preventing bribery and corruption, and our quality, data privacy and security standards.

Our culture is built on openness and accountability, which we believe reduces the risk of legal or ethical violations and supports swift resolution if they occur. However, all businesses face the risk of things going wrong or unknowingly harbouring illegal or unethical conduct. To enable our people to speak up about actual or suspected issues, we have a whistleblowing policy and an independently run whistleblowing hotline. This allows our people to make confidential reports, which can be anonymous.

We actively communicate our whistleblowing policy and provide mandatory training on it. We review the policy every year, with the current version last reviewed in November 2025.

There were zero incidents referred through our whistleblowing process in FY26 (2025: zero).

#### Code of ethics: our ethical principles and commitments

Each year, 60 million users interact with systems or services we have delivered. To create the best outcomes for them and for our people, customers and communities, we must have clear ethical principles and align everything we do to them.

Our code of ethics sets out our principles in six areas: wellbeing, equality, the environment, transparency, integrity, and taking the initiative to make a positive difference. These principles are divided into 36 ethical commitments. The code of ethics deliberately uses clear and active terms to describe how to apply our commitments in our business dealings.

We created our code of ethics following wide-ranging discussions with colleagues

and published it via our internal Viva Engage platform. Although this has a dedicated Ethics channel, ethical conversations occur across the platform. For instance, they feature in discussions in channels including:

- #Innovation (facial recognition, responsible innovation, streetlamp cameras)
- #Data&AI (AI, ethics and medical research, data ethics, ethical principles in defence)
- #AllCompany (assessing our customers' ethical approach)
- #TechOutreach (ethics and the future of employment)
- #Ethics (cashless society, big tech and ethics, animal welfare, smart cities)
- #Diversity&Inclusion (anti-racism, #23andMe)
- #ClimateAction (our customers' climate stance)

### Human rights

The software sector is generally considered to present a lower inherent risk of modern slavery and human trafficking. Our business model does not rely on complex or labour-intensive supply chains, and we do not operate in sectors typically associated with heightened modern slavery risk. While we have expanded our global workforce to include colleagues in India and the Philippines, we continue to assess our overall risk exposure as low, reflecting the nature of our activities, the professional roles we employ, and the regulatory environments in which we operate.

Even so, we are clear that we do not tolerate slavery or human trafficking in our supply chains. We conduct supplier due diligence audits to ensure they have appropriate modern slavery policies. We have mandatory training for our employees, which covers awareness of the various forms of modern slavery, how to identify the signs of slavery and how to respond. Employees must formally attest that they will abide by our modern slavery prevention policies. We publish a Modern Slavery Statement every year, with the most recent version released in September 2025.

Our whistleblowing policy encourages staff to report any human rights violations, including modern slavery. No violations were reported during the year (2025: zero).

Many of our employees' human rights are protected by the policies and commitments set out in the Diversity and Inclusion section in this report. We also carry out checks to ensure employees have the necessary documentation to legally work in the country where we are employing them and that we do not employ anyone under the legal minimum working age.

### Anti-bribery and anti-corruption

We operate a zero-tolerance approach to corruption and bribery and encourage staff to report suspected wrongdoing as soon as possible. We have a global anti-corruption and anti-bribery policy, which we review every year and was most recently updated in 2025. We provide mandatory training, which includes training on the whistleblowing policy.

In FY26, there were no reported breaches of our anti-bribery and corruption policy (2025: zero).

### Quality standards, data privacy and security

Consistently delivering a high-quality service to our customers requires us to have a robust quality management system and to safeguard the sensitive information we process every day.

Our quality management system is based on the following certifications:

- ISO9001 Quality Management System, held since 1993.
- ISO20000 Information Technology Service Management System, held since 2009.
- ISO27001 Information Security Management System, held since 2011.
- Cyber Essentials Plus, held since 2022.

We ensure adherence to these standards through our training programme, supplemented by internal audit reviews.

The certification process includes an annual external assessment to ensure that our controls are robust, applied consistently and updated regularly, to reflect best practice.

To ensure data privacy and security, we prioritise secure data handling processes, product design, hosting and operational management. Our people complete security awareness and data handling training annually.

We regularly assess our information security risks in IT steering meetings with our senior management. We also participate in third-party assessments for customers, to evidence that our security controls are effective and address any risks.

We have selected SOC2 Certification for our Smart products. This covers security, availability, processing integrity, confidentiality and privacy. These practices are subject to external assessment annually, by global consulting firm EY.

During the year there were no data security or privacy breaches that required reporting to the Information Commissioner (2025: zero).

**"CONSISTENTLY DELIVERING A HIGH-QUALITY SERVICE TO OUR CUSTOMERS REQUIRES US TO HAVE A ROBUST QUALITY MANAGEMENT SYSTEM AND TO SAFEGUARD THE SENSITIVE INFORMATION WE PROCESS EVERY DAY."**



Strategic Report  
Our Environmental, Social and Governance (ESG) Commitments *continued*

Section 172 statement

The Directors have an obligation to act in accordance with a general set of duties, which are set out in Section 172 of the Companies Act 2006.

Section 172 requires a director of a company to act in the way he or she considers, in good faith, would support the long-term success of the company and its various stakeholders. In doing this, directors need to consider a variety of matters, which are set out in the table below.

The Directors are briefed on these duties as part of their induction and through regular training. They also have access to professional advice from the Company Secretary or, if necessary, from an external advisor.

The Directors consider, both individually and together, that they have exercised care in their decision-making, are cognisant of their Section 172 obligations, and take into consideration the needs and interests of the various stakeholder groups as part of all Board decision-making.

The table below explains how the Directors addressed each of the matters set out in Section 172.

Further information on each area can be found in the Key Board discussions and activities section, and in other parts of the report indicated in the table.

| Section 172 matter                 | How the Board considered this matter in FY26                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| The long-term impact of decisions. | <p>Key decisions during the year, taken with a view to ensuring the long-term success of the Company, included approving:</p> <ul style="list-style-type: none"><li>• The acquisition of Davis Pier. The Board sees North America, and particularly Canada, as a long-term growth market for Kainos. The acquisition strengthens our existing position and means we are better placed to take advantage of the opportunities in the coming years. See the Digital Services section of the Operational Review for more information.</li><li>• The two share buyback programmes. Kainos has a very strong balance sheet and continues to generate cash inflows each year. The Directors considered the capital the business would require to successfully implement its growth strategy and concluded that returning excess capital to shareholders was appropriate. See the Financial Review for more information.</li><li>• The appointment of Shruthi Chindalur as a Non-Executive Director. Shruthi has important skills and experience that the Board considers important for the Company’s future development, notably her expertise in software and global markets. See the Nominations Committee Report for more information.</li></ul> |

| Section 172 matter                                                                   | How the Board considered this matter in FY26                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|--------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| The interests of our employees.                                                      | <p>The Board pays close attention to employee matters throughout the year, receiving regular information on employment engagement, retention and health and wellbeing.</p> <p>The Board and its Committees also considered a range of people-related matters, including:</p> <ul style="list-style-type: none"> <li>• succession planning for the Executive Directors and other senior management;</li> <li>• senior-level recruitment for the Workday Products division; and</li> <li>• the structure of bonus schemes below Executive Director level.</li> </ul> <p>In addition, the Board continued to engage with employees and receive presentations from management across the business during the year.</p>                                                                                                                                                                                     |
| Our relationships with our suppliers and customers.                                  | <p>The Board receives and reviews Net Promoter Score (NPS) data in each Board pack.</p> <p>Many of the Board's discussions and decisions during the year directly related to the interests of customers, suppliers and our other key business partners. These included the acquisition of Davis Pier, considering the strategic priorities of the Group's divisions, and oversight of sustainability, cyber security and information security matters.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Our impact in our communities and on the environment.                                | <p>During the year, the Board received updates on progress against the Group's climate-related initiatives and SBTi-approved net zero target, and reviewed the annual climate action plan for the year ahead.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| The importance of maintaining our reputation for high standards of business conduct. | <p>Ethical governance and compliance with regulatory standards underpin our operations. The Board ensures that the Group's corporate governance framework aligns with best practices and evolving regulatory requirements.</p> <p>Specific activities during the year included:</p> <ul style="list-style-type: none"> <li>• approving the latest versions of the Health &amp; Safety Policies and Modern Slavery Statement; and</li> <li>• all Board members taking part in cyber security training.</li> </ul> <p>The Board also closely monitors the Group's culture, recognising its importance in ensuring behaviours align with the Company's ethical standards (see the Board oversight of culture section).</p> <p>Through the Audit &amp; Risk Committee, the Board oversees the Group's whistleblowing arrangements, which did not identify any issues with business ethics and conduct.</p> |
| The need to act fairly between our shareholders.                                     | <p>The Directors considered the appropriate mechanism for returning capital to shareholders and concluded that the share buyback programmes were equitable, as they were conducted on market and treated all shareholders fairly.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |

See the Employees section of Our stakeholders for more information.



See the TCFD disclosures section for more information.



## Strategic Report

FINANCIAL  
REVIEW

FY26 was a positive year for the Group, with growth across all three divisions.



### Revenue

Revenue for the year increased by 17% (19% ccy, 16% organic) to £431.1 million (2025: £367.2 million). Within this:

- Workday Products' revenue grew by 15% (19% ccy) to £81.7 million (2025: £71.3 million). As described in the Workday Products' operational review, services related to our EDM product are now delivered by our Workday Services division. For comparison purposes, if the services element of EDM had been delivered by Workday Services last year, the like-for-like growth rate for Workday Products would have been 18%.
- Digital Services increased revenue by 23% (23% ccy, 20% organic) to £241.7 million (2025: £197.2 million), with excellent growth in healthcare, a strong performance in the public sector and an initial six months of revenue from Davis Pier, which added £4.6 million to the total.
- Workday Services revenue was 9% higher at £107.6 million (12% ccy) (2025: £98.7 million), driven by North America. Our newer geographies in Australia and New Zealand also grew rapidly, while revenue in EMEA was 1% lower. Excluding EDM-related services, revenue growth in Workday Services was 6%.

The Group Operational Review provides more information on our revenue performance.

### Gross margin

Our overall gross margin decreased to 46.1% (2025: 47.9%). This was a combination of:

- A stable underlying margin in Workday Products. The current year margin of 77.8% is in line with the FY25 margin excluding EDM services (77.5%).
- Digital Services achieving a gross margin of 35.6% (2025: 36.4%), reflecting an increased proportion of engagements where we partnered with other organisations to deliver for customers, which is typically at a lower margin, greater use of contractors to provide short-term capacity and increased employers' national insurance contributions.
- Workday Services' gross margin decreasing by 6 percentage points to 45.8% (2025: 51.7%), as a result of higher staff costs, following wage growth in recent years which has now moderated, and the inclusion of EDM-related services, which are at a lower margin. Excluding EDM-related services, the current year margin would have been 47.7%.

### Operating expenses

Operating expenses rose from £134.1 million in FY25 to £144.3 million in FY26. Operating expenses in FY25 included restructuring costs of £8.4 million. Excluding restructuring costs from the FY25 total, operating expenses increased by 15% in FY26.

Under the terms of our strategic partnership with Workday announced in July 2024, we pay annual fees of approximately £7.8 million. FY26 included the first full year of these costs, compared with the £5.2 million recorded in FY25, which covered a period of around eight months.

Our investment in product development increased to £18.7 million (2025: £16.8 million), all of which was expensed during the year. We recognised £6.0 million of Research & Development Expenditure Credit (RDEC) income during the year (2025: £5.1 million).

### Alternative performance measures

We use alternative performance measures to monitor day-to-day performance and to assist management's financial, strategic and operating decisions.

We believe these adjusted measures provide a clearer view of trading performance, enable meaningful period-to-period comparisons and offer useful insight for users of our financial statements. The items we adjust are consistent with those used by comparable companies.

Specifically we exclude the following:

#### Costs directly attributable to acquisitions.

This includes amortisation of acquired intangible assets, deferred consideration including compensation for post-combination services and acquisition-related expenses such as legal and professional costs incurred mainly in the period of acquisition. These costs are unique to each acquisition and can vary significantly between periods depending on the timing and size of acquisitions, the nature of intangible assets acquired and the structure of consideration. We therefore consider that these costs do not reflect underlying operations.

#### Share-based payment costs.

Share-based payment is an important aspect of employee compensation. However, we believe it is useful to exclude this expense to better understand our core business performance and facilitate comparison of our results to those of peer companies. Our arrangements consist of both equity-settled and cash-settled schemes and the expense incurred will be influenced by factors including the market value of our shares, forfeiture rates and volatility, which are generally beyond our control and may not correlate to the operation of the business.

#### Significant and non-recurring items.

In the prior period we excluded restructuring costs incurred. We consider adjusting these costs provides more meaningful period-to-period comparisons.

We adjust for the above items consistently across all our adjusted measures, namely 'adjusted profit before tax', 'adjusted EBITDA', 'cash conversion' and 'adjusted diluted and basic earnings per share'.

**"REVENUE FOR THE YEAR INCREASED BY 17% (19% CCY, 16% ORGANIC) TO £431.1 MILLION (2025: £367.2 MILLION)."**

**Strategic Report**Financial Review *continued*

The adjusted profit measures we use are not defined in UK-adopted International Accounting Standards and our definitions may not be comparable with similarly-titled performance measures and disclosures by other entities. As such,

these measures should not be considered in isolation but as supplementary information to the financial statements.

The adjusted profit measures reconcile to the reported numbers as follows:

| <b>Adjusted profit measures</b>               | <b>2026<br/>(£000s)</b> | <b>2025<br/>(£000s)</b> |
|-----------------------------------------------|-------------------------|-------------------------|
| <b>PROFIT BEFORE TAX</b>                      | <b>58,111</b>           | 48,640                  |
| Share-based payment expense and related costs | <b>5,373</b>            | 5,930                   |
| Amortisation of acquired intangible assets    | <b>1,302</b>            | 836                     |
| Restructuring costs                           | –                       | 8,411                   |
| Compensation for post-combination services    | <b>2,132</b>            | 877                     |
| Acquisition-related expenses                  | <b>145</b>              | 948                     |
| <b>ADJUSTED PROFIT BEFORE TAX</b>             | <b>67,063</b>           | 65,642                  |
| <b>PROFIT AFTER TAX</b>                       | <b>42,500</b>           | 35,560                  |
| <i>After tax impact of:</i>                   |                         |                         |
| Share-based payment expense and related costs | <b>3,930</b>            | 4,335                   |
| Amortisation of acquired intangible assets    | <b>1,116</b>            | 645                     |
| Restructuring costs                           | –                       | 6,194                   |
| Compensation for post-combination services    | <b>2,132</b>            | 877                     |
| Acquisition-related expenses                  | <b>145</b>              | 693                     |
| <b>ADJUSTED PROFIT AFTER TAX</b>              | <b>49,823</b>           | 48,304                  |
| <b>Adjusted EBITDA</b>                        | <b>2026<br/>(£000s)</b> | <b>2025<br/>(£000s)</b> |
| <b>ADJUSTED PROFIT BEFORE TAX</b>             | <b>67,063</b>           | 65,642                  |
| Depreciation of property, plant and equipment | <b>3,278</b>            | 3,381                   |
| Depreciation of right-of-use assets           | <b>1,287</b>            | 1,277                   |
| Finance expense                               | <b>383</b>              | 333                     |
| Finance income                                | <b>(3,722)</b>          | (6,440)                 |
| <b>ADJUSTED EBITDA</b>                        | <b>68,289</b>           | 64,193                  |

Adjusted pre-tax profit increased by 2% to £67.1 million (2025: £65.6 million). Profit before tax increased by 19% to £58.1 million (2025: £48.6 million).

#### Corporation tax charge

The effective tax rate for the year was 27% (2025: 27%), which is higher than the UK corporation tax rate, mainly due to the impact of higher tax rates in the United States and non-deductible acquisition expenses in Canada.

We envisage our future effective tax rates to be broadly in line with this rate.

#### Earnings per share

Adjusted diluted earnings per share increased by 7% to 41.1p (2025: 38.3p) while diluted earnings per share increased by 24% to 35.1p (2025: 28.2p). The weighted average number of shares in issue decreased by 3% in FY26, due to the share buyback programmes, increasing our earnings per share measures by 3%. Further information is provided in note 11 to the consolidated financial statements.

#### Financial position

We continue to have a strong financial position, with a substantial cash balance (see below), no debt and net assets of £100.5 million (31 March 2025: £138.0 million).

The acquisition of Davis Pier resulted in goodwill increasing to £44.3 million (31 March 2025: £37.3 million) and intangible assets rising from £4.2 million at 31 March 2025 to £8.9 million at the year end. More information can be found in note 28 to the consolidated financial statements.

The combined net trade receivables and accrued income balance increased by 54% to £83.4 million (31 March 2025: £54.2 million), reflecting substantial revenue growth in the

final quarter of the year. Trade payables and accruals rose to £76.5 million (31 March 2025: £54.3 million), due mainly to increased bonus (driven by the strong financial performance) and contractor accruals.

#### Cash and cash conversion

The Group is highly cash generative, with our Workday Products business in particular having an attractive cash profile, as we receive payment from customers annually in advance. Cash conversion, which is cash generated by operating activities as a percentage of adjusted EBITDA, was 99% (2025: 112%).

At the year end, we held cash and treasury deposits of £89.1 million (31 March 2025: £133.7 million), with the movement in the year including:

- £55.7 million returned to shareholders through two share buyback programmes (see Capital allocation policy below);
- £5.9 million of cash outflows relating to the construction of our new Belfast office, which is due to open in 2027; and
- £7.9 million in relation to the acquisition of Davis Pier.

#### Dividend

Our progressive dividend policy provides shareholder returns, while ensuring we have sufficient funds to invest in long-term growth. The Directors have recommended a final dividend of 19.8p which, if approved by shareholders, will be paid on 23 October 2026 to shareholders on the register on 2 October 2026, with an ex-dividend date of 1 October 2026. This will make the total dividend for the year 29.6p (2025: 28.4p) which will represent a distribution of 70% of adjusted profit after tax (2025: 73%).

**“WE CONTINUE TO HAVE A STRONG FINANCIAL POSITION, WITH A SUBSTANTIAL CASH BALANCE, NO DEBT AND NET ASSETS OF £100.5 MILLION.”**

**£89.1m**

of cash and treasury deposits  
(2025: £133.7 million)

**£55.7m**

returned to shareholders  
through two share buyback  
programmes



## Strategic Report

### Financial Review *continued*

#### Capital allocation policy

Kainos has a strong unlevered balance sheet and continues to generate significant operating cash flow. The graphics below show the Board's priorities for deploying our cash.

Where we have more cash than we need to fund growth, the Board will consider one-off returns of capital to shareholders.

On 9 May 2025, we completed the share buyback programme announced on 11 November 2024. As part of this programme, a total of 3,993,382 shares (including 1,054,544 purchased during the current year) were bought back for consideration of £30.0 million.

In May 2025, we launched another share buyback programme, which completed on 18 November 2025. This resulted in 3,706,558 shares being bought back for consideration of £30.0 million.

In November 2025, we renewed our share buyback programme, with the intention to return up to a further £30.0 million, excluding expenses. At the year end, we had acquired 2,292,044 shares under this programme, at a cost of £18.5 million, including transaction costs of £0.1 million. Since year end, we purchased a further 1,437,024 shares for £11.6 million. This programme completed on 15 May 2026, with a total of 3,729,068 shares purchased for consideration of £30.2 million, including transaction costs of £0.2 million.

At the year end, we had cancelled 6,894,781 shares acquired during the year and held 361,544 shares we had purchased but not cancelled.

The total amount returned to shareholders to date through the three programmes is £90.0 million.

The Board has no current plans to launch a further share buyback programme but will keep future capital returns, including share buybacks, under review alongside other uses of capital, in light of market conditions and the Group's strategic priorities, to maximise shareholder value.



**Richard McCann**  
Chief Financial Officer  
16 May 2026



#### Growing the business

- Organically
- Targeted acquisition



#### Maintaining a robust balance sheet

- Cash reserves **£89.1m**
- Debt free



#### Progressive dividend policy

Total dividend **29.6p**  
(FY25: 28.4p)



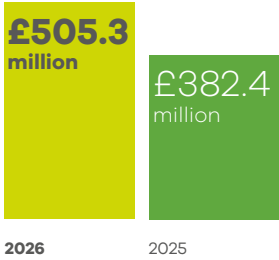
#### Returning surplus cash to shareholders

**£90m** returned to shareholders over three share buyback programmes

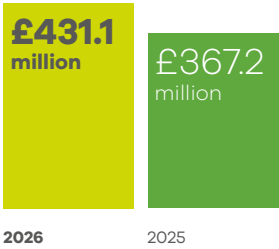
KEY PERFORMANCE INDICATORS (KPIs)

Financial KPIs:

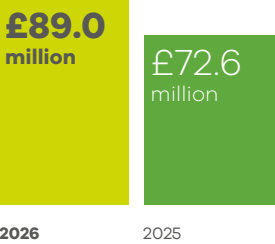
Bookings:



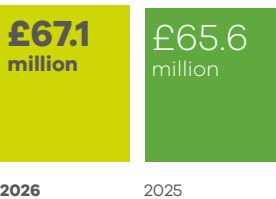
Revenue:



Product ARR:

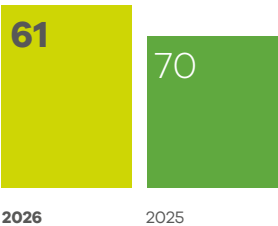


Adjusted pre-tax profit:

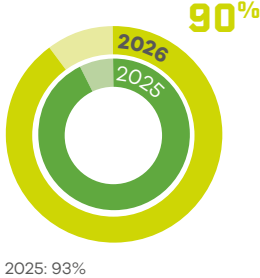


Non-Financial KPIs:

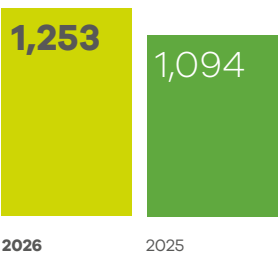
Customer Net Promoter Score:



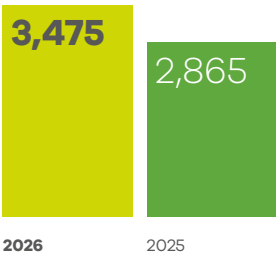
Staff retention:



Number of customers:



Number of staff:



We aim to increase revenue and profit while maintaining a healthy financial position and investing in the people and opportunities which underpin our growth.

We track several KPIs to identify trends in our operating performance and to assess progress of our key objectives, such as staff wellbeing and engagement.

Financial KPI targets are used as a basis for remuneration awards and are identified in the Directors' Remuneration Report.

# RISK FACTORS AND UNCERTAINTIES

## Risk factors and uncertainties

### Our risk governance and risk management process

We have developed our risk management framework and associated governance structures to help us safeguard our people, our customers and our business.

The Board is responsible for ensuring that risk is managed across the business. While we can never eliminate all risk, the Board considers that our risk assessment framework and governance structures are robust and provide assurance that we are effectively identifying, monitoring and managing risk.

The Group Risk Register is our principal tool for monitoring and reporting risk. It describes each principal risk, its potential impact, the likelihood of it materialising and mitigating controls to reduce the risk to an accepted level. Senior management co-ordinates the Register's preparation, using input from all areas of the business. Each risk is assigned to a senior manager, who ensures that we develop controls and mitigating actions to reduce the risk's likelihood and potential impact.

Kainos maintains a risk management platform, to capture information on risks, such as the risk owner, the mitigations in place and other risk management activities. The platform provides dashboards to support oversight and enables us to drill down from enterprise-level risks to risks being managed at individual business or sector level. This framework also gives us visibility of emerging risks and ensures they are appropriately managed and mitigated.

We have continued to refine our approach as certain sectors have grown. For example, we have introduced risk registers specific to the UK defence and healthcare sectors, which feed into our public sector risk register. This ensures we capture and manage the nuances of risk in those markets.

The Audit & Risk Committee formally reviews the Risk Register twice each year and may meet at other times if there is an emerging risk or substantial changes to principal risks which require attention. The Committee updates the Board after each formal review of the Risk Register and when risks change significantly.

### Our risk appetite

We have a formal risk appetite statement, which the Audit & Risk Committee reviews annually and the Board approves. This groups our principal risks into three categories, reflecting the level of risk the Board is prepared to accept. Measured-tolerance risks – including innovation, adoption of new technologies and partnerships – where the Board accepts a higher level of risk in pursuit of growth, provided risks are well understood and managed. Low-appetite risks – including cyber security and data protection – where the Group seeks to minimise exposure while recognising that some residual risk is unavoidable in operating the business. Zero-appetite risks – including legal or regulatory non-compliance, ethical breaches, or risks that could threaten the Group's ability to operate as a going concern.

### Our risk profile

Our risks continue to evolve, particularly in relation to:

- AI, where the technology is rapidly evolving, the scale of the impact and opportunities for our business and our customers is unclear, and our customers vary in their willingness and ability to adopt AI; and
- cyber security, with the growing involvement of nation states and the increasing sophistication of AI-led cyber attacks and phishing attempts.

Regulation and legislation also continue to change. For example, the UK Government's Cyber Security and Resilience (Network and Information Systems) Bill is currently progressing through Parliament. It aims to increase UK defences against cyber attacks and better protect essential and digital services. This may have implications for our public sector work in the UK, although the final form of the legislation is yet to be determined.

Macroeconomic conditions also remain uncertain, with the war in Iran having the potential to significantly impact the global economy and government finances.

Overall, however, our net risk position has not significantly changed in the last 12 months. We have continued to enhance our mitigations where necessary and consider that our risk profile is stable.

More information on the trend in each of our principal risks can be found on the following pages.

### Detailed risk assessment

The following tables summarise our principal risks, informed by our Group Risk Register, with their current likelihood and potential impact shown in the heatmap after risk mitigations have been applied. The table is not intended to be exhaustive and there may be risks that we do not currently consider to be serious or which we are willing to accept to support strategic objectives.

Where possible, we have taken steps to manage or mitigate risks using a combination of technical, operational and legal controls, but we cannot entirely safeguard against all of them.

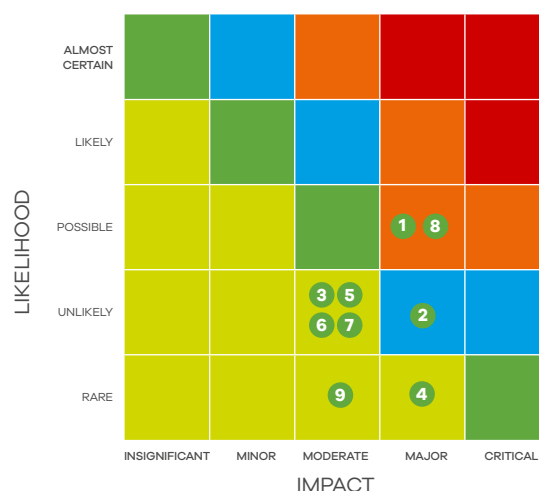
### Kainos Principal Risks

1. **Cyber and information security**
2. **Global macroeconomic events**
3. **Exchange rate fluctuations**
4. **Partner relationships**
5. **Increasing complexity of global data protection laws**
6. **Long-term climate change and sustainability**
7. **Non-compliance with laws and regulations**
8. **Unsafe use of AI**
9. **Increasing customer demands in a competitive skills market**

Severity (Likelihood x impact)

|          |     |          |      |          |
|----------|-----|----------|------|----------|
| VERY LOW | LOW | MODERATE | HIGH | CRITICAL |
|----------|-----|----------|------|----------|

\*Positions reflect residual risk after mitigation.



## 1. Cyber and information security

HIGH

Description and trend



INCREASING

We must maintain robust controls to safeguard the confidentiality, integrity and availability of our IT systems, both internally and as part of our customer offerings.

Cyber threats continue to increase in number and sophistication, with nation-state activity and the use of artificial intelligence accelerating the effectiveness and scale of attacks. However, sustained investment in our cyber security capabilities, governance and controls including strengthened monitoring, independent assurance, improved resilience and enhanced Board-level oversight have broadly offset this increased threat activity. As a result, while the external threat environment continues to increase, the residual level of cyber risk has remained broadly unchanged over the year.

Potential impact

People,  
Customers,  
Markets

Failure to protect sensitive data and systems could expose us to legal, financial and reputational risk. This could reduce short-term profits, trigger regulatory fines, incur significant remediation costs and contractual liabilities, and damage customer relationships and market credibility.

Mitigation

We continuously monitor the threat landscape and invest in strengthening our defences. We review and test our Information Security Programme against industry best practice, assisted by independent certifications including ISO 27001, Cyber Essentials and Cyber Essentials Plus. We have also embedded cyber risk management into daily operations, collaborating closely with business units to identify, assess and mitigate cyber risks in customer-facing projects. All staff complete mandatory training on information security and data privacy.

Comprehensive internal and external assessments and audits ensure ongoing focus on emerging threats and support the maturity of our security capabilities.

Our senior management receives regular updates through the Cyber Steering and Audit & Risk Committees, with representation from our Chief Information Security Officer, Chief Information Officer, cyber and information security teams, and our legal and business management.

During FY26 we have provided training to the Board on cyber security and enhanced our governance of this area by aligning to the National Cyber Security Centre's Cyber Governance Code of Practice.

## Strategic Report

### Risk Factors and Uncertainties *continued*

| 2. Global macroeconomic events                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | MODERATE |
|------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| <p>Description and trend</p>  <p><b>NO CHANGE</b></p>   | <p>We may be affected by:</p> <ul style="list-style-type: none"> <li>• an economic recession, contributing to insolvency, closure, consolidation or rationalisation within our customer base;</li> <li>• instability in the financial system, including a material downturn in financial markets, market disruptions or suspensions;</li> <li>• increased geopolitical instability; or</li> <li>• major changes in UK Government structure, for example the disbanding or reorganisation of key public sector bodies.</li> </ul> <p>Kainos continues to monitor the situation with the war in Iran and the economic extent of any potential impacts remains uncertain. Kainos do not have any business operations in the region.</p>                                                                                                                                                                                                                  |          |
| <p>Potential impact</p> <p><b>People, Customers, Markets</b></p>                                                                         | <p>These events could reduce our revenue, profit, growth and cash flow, increase costs, disrupt operations, damage our reputation or lead to financial loss if customers fail to renew their contracts.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |          |
| <p>Mitigation</p>                                                                                                                        | <p>We aim to build a balanced business, with revenue diversified across:</p> <ul style="list-style-type: none"> <li>• Service lines: Digital Services (56%), Workday Services (25%) and Workday Products (19%);</li> <li>• Sectors: commercial (47%), public sector (35%) and healthcare (18%);</li> <li>• Regions: UK &amp; Ireland (59%), Americas (32%), Central Europe (8%) and the rest of the world (1%); and</li> <li>• business models: services (79%), subscriptions (18%), third party and other (3%).</li> </ul> <p>Our resilience is strengthened by our substantial contracted backlog, which typically exceeds 85% of prior-year revenue and provides short-term protection.</p> <p>We also conduct regular reviews of risk mitigation activities across each business unit and sector. These include efforts to strengthen customer relationships, diversify our customer base and pursue opportunities in new geographic markets.</p> |          |
| 3. Exchange rate fluctuations                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | VERY LOW |
| <p>Description and trend</p>  <p><b>NO CHANGE</b></p> | <p>There is a risk of material detrimental movement in foreign exchange rates.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |          |
| <p>Potential impact</p> <p><b>Markets</b></p>                                                                                            | <p>This could harm our revenue, profit, growth and cash flow over a sustained period.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |          |
| <p>Mitigation</p>                                                                                                                        | <p>We have a treasury policy to mitigate currency risk, which we review and approve annually. Further information on our foreign currency risk management can be found in note 26 to the financial statements.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |          |

| 4. Partner relationships                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | VERY LOW |
|------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| <p>Description and trend</p>  <p><b>NO CHANGE</b></p>   | <p>Our relationship with Workday Inc is key to our Workday Products and Workday Services divisions. We also have important relationships with other partners, notably Microsoft and AWS. Our partner arrangements may include access to proprietary materials such as training, know-how or branding, which we require to deliver or enhance our services.</p> <p>Our key partnerships remain strong and there has been no change to the level of risk.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |          |
| <p>Potential impact</p> <p><b>Customers, Markets</b></p>                                                                                 | <p>A deterioration in strategic partner relationships could result in us losing access to essential intellectual property or services, which could impact partner-influenced sales. This could reduce revenue, profit and cash flow in the short term and damage our reputation, customer relationships and market confidence in us.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |          |
| <p>Mitigation</p>                                                                                                                        | <p>We have contracts with our main partners, including Workday, Microsoft and AWS, and a Strategic Alliances team to establish and manage relationships with all key partners. Our partner managers have regular contact with key partners.</p> <p>In the last two years we have strengthened our relationship with Workday through our Built on Workday partnership, and with Microsoft through our Microsoft AI Centre of Excellence. We are also part of the AWS Managed Service Provider programme, ensuring that delivery of projects built on AWS meets Amazon's own high standards for security and quality delivery.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |          |
| 5. Increasing complexity of global data protection laws                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | VERY LOW |
| <p>Description and trend</p>  <p><b>NO CHANGE</b></p> | <p>We need to comply with legal, regulatory and contractual information security and data privacy requirements. In Europe, GDPR requires robust controls to prevent unauthorised access to personal data. Other jurisdictions have similar measures and as we expand into new regions, we must understand and adhere to them.</p> <p>While the global regulatory landscape continues to evolve, this risk remains stable, with no material new data protection regulations or legislation coming into force during the period. We remain aware of, and actively monitor, upcoming and evolving legislation that may impact our business, including developments in cyber security, digital resilience and artificial intelligence regulation in the UK and internationally. We will continue to assess the potential implications of such developments and adapt our controls, governance and operating practices as required.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |          |
| <p>Potential impact</p> <p><b>People, Customers, Markets</b></p>                                                                         | <p>Non-compliance could expose us to liability and financial penalties, reduce short-term profit and cash flow, and damage our customer relationships and market credibility.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |          |
| <p>Mitigation</p>                                                                                                                        | <p>We review how these regulations and legislation affect us and our customers, which in turn influences our internal controls and processes and the design of products, solutions and working practices. Specific data privacy controls or conditions are included, where relevant, in our customer or supplier contracts.</p> <p>We make staff aware of the potential impact of changing regulations and provide company-wide mandatory annual training. Our activities to comply with GDPR include, but are not limited to:</p> <ul style="list-style-type: none"> <li>• staff education on data privacy;</li> <li>• Data Privacy Impact Assessments (qualification screening at a minimum) and data mapping (Record of Processing) for all areas where Kainos acts as data controller;</li> <li>• customer consent through legitimate-interest terms and conditions;</li> <li>• retention controls; and</li> <li>• ensuring personal rights are respected, such as the right to be forgotten, right to amend, right to view/disclosure.</li> </ul> <p>As we enter new regions, we review relevant privacy laws. For example, we subscribe to the revised US Data Privacy Framework and Transfer Risk Assessments for relevant countries.</p> <p>We also implement effective initial controls at the project level. We have a Data Protection Steering body, which meets monthly to ensure that the data privacy mandate is prioritised, planned and governed accordingly.</p> |          |

## Strategic Report

### Risk Factors and Uncertainties *continued*

| 6. Long-term climate change and sustainability                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | VERY LOW |
|---------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| <p>Description and trend</p> <p><br/>NO CHANGE</p>   | <p>Investors and other stakeholders are increasingly focused on sustainability and climate action. We face a reputational risk if we decide not to act or act too slowly.</p> <p>This risk has remained unchanged over the last 12 months. The government has recently published final versions of the UK Sustainability Reporting Standards (UK SRS1 and UK SRS 2). Adopting these standards is currently voluntary and we are already well prepared for the sustainability and carbon reporting requirements, due to our compliance with TCFD.</p>                                                                                                                                                                                                                                                                                                                                                         |          |
| <p>Potential impact</p> <p>People, Customers, Markets</p>                                                                             | <p>A slow response to our climate responsibilities could lead to fines for non-compliance and potential reputational damage. Reputational damage may encourage colleagues to leave Kainos or deter applicants from joining us. It may also deter customers from appointing us to projects and investors owning our shares.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |          |
| <p>Mitigation</p>                                                                                                                     | <p>We have robust reduction plans in place, aligned to our net zero targets. Further details can be found in the Our Environmental, Social and Governance (ESG) Commitments section.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |          |
| 7. Non-compliance with laws and regulations                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | VERY LOW |
| <p>Description and trend</p> <p><br/>NO CHANGE</p> | <p>We must comply with a growing number of increasingly complex laws and regulations. Customers are also facing increasing regulatory requirements across areas such as artificial intelligence, cyber security, data protection and operational resilience, and we must design our products and services to comply with applicable laws and regulations, even where we are not directly within scope.</p> <p>While the regulatory landscape continues to evolve, there were no material new laws or regulations coming into force during the period that changed our compliance obligations, and the overall level of risk has therefore remained broadly unchanged over the last 12 months. We remain aware of, and actively monitor, upcoming regulatory developments that may impact our business and our customers, and we will adapt our controls, governance and operating practices as required.</p> |          |
| <p>Potential impact</p> <p>People, Customers, Markets</p>                                                                             | <p>Non-compliance could expose us to liability and/or fines, reduce short-term profit and cash flow and cause reputational damage.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |          |
| <p>Mitigation</p>                                                                                                                     | <p>Our Finance and Legal teams review draft and current regulatory and legislative requirements, such as emerging AI legislation, and provide an impact assessment for our products and services.</p> <p>We monitor our internal processes and systems to ensure compliance with applicable laws and regulations.</p> <p>We have processes designed to ensure awareness of regulatory requirements and that the relevant information is appropriately disseminated. We have policies and mandatory training in relation to bribery and corruption. More details can be found in the Business Ethics section of this report.</p>                                                                                                                                                                                                                                                                              |          |



| 8. Unsafe use of AI                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | HIGH     |
|-----------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|
| <p>Description and trend</p> <p><br/><b>INCREASING</b></p>   | <p>Using AI technology without appropriate safeguards or ethical considerations could lead to the mishandling of sensitive data, privacy violations and reputational damage through bias, discrimination or use of technology which does not consider ethical concerns.</p> <p>AI is advancing rapidly and we are increasingly using it to benefit our customers and enhance our own efficiency. We also have some customers who are unable or reluctant to use AI tools, for example due to security, privacy or regulatory concerns. While our use of AI is growing, we consider that the risk is stable, due to our continued strengthening of our governance in this area.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                         |          |
| <p>Potential impact</p> <p><b>People, Customers</b></p>                                                                                       | <p>Unsafe use of AI could lead to financial penalties, for example due to non-adherence to data privacy regulations such as GDPR, or instances of copyright infringement. Publishing unverified and/or biased content generated by AI models or failing to deliver AI projects with established governance standards could damage our reputation.</p> <p>Conversely, reluctance to embrace AI technology may adversely affect our competitive position, due to missed opportunities and an inability to benefit from the efficiencies that AI technology can offer.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |          |
| <p>Mitigation</p>                                                                                                                             | <p>We continue to strengthen our governance of AI, to ensure we and our customers can adopt it safely and responsibly.</p> <p>Our Chief AI Officer leads the strategy and execution of safe AI practices, supported by our Head of AI Security and Head of AI Ethics and Governance. We have rolled out AI safety and security mandatory training for all employees, with completion metrics actively monitored by the senior management team.</p> <p>The AI Governance Committee monitors the evolving regulatory landscape and designs and implements controls to ensure we comply with relevant legislation and regulations. The Committee regularly reviews projects with higher AI-related risks and ensures we are effectively mitigating them. It also considers whether customer projects align to our culture and values, and turns down projects if necessary.</p> <p>Our Digital Services business has a Responsible AI team, which provides expertise in AI-related risks and supports customers so they can adopt AI safely. We are growing this team and expect to double its size in the coming months.</p> |          |
| 9. Increasing customer demands in a competitive skills market                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | VERY LOW |
| <p>Description and trend</p> <p><br/><b>DECREASING</b></p> | <p>Demand for skills in areas such as business development, low code, data and AI, cyber security and application development may create challenges when recruiting new people and retaining our current skilled employees.</p> <p>This risk has continued to decrease, due to the actions we have taken to ensure we have the capacity and capability we need to succeed.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |          |
| <p>Potential impact</p> <p><b>People, Customers, Markets</b></p>                                                                              | <p>This could limit our ability to deliver solutions to customers, exposing us to liability, reducing short-term profit and cash flow, and harming our reputation, customer relationships, and staff morale.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |          |
| <p>Mitigation</p>                                                                                                                             | <p>In FY26, we have been heavily focused on succession planning and talent management, to ensure we have the capacity and capabilities we need. This has included proactively moving talent across the organisation to fill gaps and support development, as well as recruiting experienced people in key areas, such as our Workday Products business.</p> <p>We have established ourselves as an employer of choice in our key locations by strengthening our Recruitment team, streamlining hiring processes, and promoting our employer brand. We continue to focus on employee engagement through competitive benefits, career development, and regular feedback, contributing to high retention.</p> <p>We also continue to act on feedback from our people to further improve their experience of working for us. For example, we have launched flexible benefits in the UK and will be rolling this out to other locations.</p>                                                                                                                                                                                    |          |

## Strategic Report

# VIABILITY STATEMENT

In line with Provision 31 of the UK Corporate Governance Code, the Directors have assessed the Group's viability over a three-year period ending 31 March 2029. This assessment considered our current financial position, past and projected financial performance, our business model and strategy, and principal risks and uncertainties.

### The assessment period

The Directors consider that the three-year timeframe remains appropriate, as it aligns with our strategic planning timeline, is sufficient to assess the rate of change in our three divisions, and is consistent with the nature and investment cycle of a technology business.

### Assessment of viability

In performing the assessment, the Directors considered our long-term strategy and focus, the demand for our products and services, the increasing level of recurring revenue and low customer attrition, the track record of strong cash generation and the healthy cash balance, with no debt.

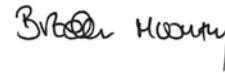
The Directors also considered the risks of regional and political changes in our main markets on each of our business areas. Additionally, the review included sensitivity analysis modelling the impact of severe, yet plausible scenarios associated with the Group's principal and emerging risks, which could have the most significant impact on viability over the three-year period, as outlined in the table below.

In all scenarios modelled, the Group remains profitable with a positive cash balance. The sensitivity analysis did not include any mitigating actions. However, we have a relatively low fixed-cost base, which enables us to respond quickly to adverse economic conditions when required, further supported by our strong cash position, low capital commitments and no borrowings.

### Conclusions

Based on this assessment, the Directors have a reasonable expectation that even if these risks materialise, the Group will be able to continue in operation and meet its liabilities as they fall due over the three-year period of their assessment. We recognise that such assessments are subject to a level of uncertainty that increases with time and that future outcomes cannot be guaranteed or predicted with certainty.

The Strategic Report was approved by the Board and signed on its behalf by:



**Brendan Mooney**  
Chief Executive Officer  
15 May 2026

| Risk No. | Principal or Emerging Risk            | Scenario Assumptions Applied                                                                                            |
|----------|---------------------------------------|-------------------------------------------------------------------------------------------------------------------------|
| 1        | <b>Cyber and information security</b> | A cyber attack results in significant remediation costs, regulatory fines and lower revenue due to reputational damage. |
| 2        | <b>Global macroeconomic events</b>    | Geopolitical events lead to an economic recession and decreased demand from our customers.                              |
| 4        | <b>Partner relationships</b>          | Deterioration in a strategic partner relationship reduces our revenue.                                                  |

# CORPORATE GOVERNANCE

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## Corporate Governance

CHAIR'S INTRODUCTION  
TO GOVERNANCE

FY26 has been a year of strong progress and we feel a new sense of energy, pace and agility across the Group, following the tone set by the Executive team. This is reflected in this year's financial performance, our contracted backlog and the pipeline of opportunities, all of which make us optimistic about the year ahead.

We are also seeing the initial benefits of our intensive focus on succession planning, development, coaching and mentoring. We have significantly increased our bench strength in key Group and divisional roles, reinvigorating our teams in Digital Services and Workday Services and conducting a global search for the right talent to lead Workday Products. Kainos is becoming a more mature and outward-looking organisation, without compromising on bringing through our own talent to be our future leaders.

#### The Board's key activities and focus areas

The Board's key decisions in the year were to approve the acquisition of Davis Pier, two share buyback programmes and Shruthi Chindalur's appointment as a Non-Executive Director. Further details are provided in the Board's key activities and focus areas on pages 70 to 75.

Challenging, approving and monitoring the Group's strategy are among our most-important duties. We look to test the underlying assumptions and ensure the strategy aligns with our purpose and values. Last year's Board evaluation showed we wanted to spend more time on strategy and every Board meeting therefore devotes a session to the Group's future development.

This year's Board strategy workshop focused on the growth opportunity in Workday Products. We thoroughly challenged ourselves on the strategy for that business, with several members of the division's external advisory board coming in to share their views. We concluded that the strategy was right, supporting our decision to accelerate the division's succession planning. The Executive team also held a week-long deep-dive on Group strategy and their output will come to the Board in a working session this summer.

Cyber security and AI have been a major focus across Kainos and the Board took part in cyber security training this year. We also received ESG-related training and we will continue our learning and development as we move forward, reflecting our aim to be the highest-performing Board we can.

This aim includes how the Board Committees function and ensuring we add the right level of value. Each Committee has set formal objectives for the year ahead, with measurable goals, due dates and owners. This will allow us to track and evaluate each Committee's performance and support us with appropriately challenging the Executive team.

#### Board composition

Following the Board changes in FY25, one of our actions for this year was to appoint another Non-Executive Director. We were delighted that Shruthi Chindalur joined us in September 2025 and her industry background and recent executive experience have filled the gaps we had identified in our Board skills matrix.

In April 2026, Katie Davis informed us that she would be stepping down as a Non-Executive Director following the AGM on 22 September 2026. Katie will have been on the Board for nearly seven years, including six years as Chair of the Remuneration Committee, and we are immensely grateful for her contribution during that time.

As the industry is rapidly evolving, we regularly review the skills matrix to see if any new gaps are appearing. The current Board is well balanced with a broad skillset and in addition to recruiting a successor for Katie, we may consider adding a further Non-Executive Director in time. Experience in digital, international business and larger FTSE companies may be beneficial.

## Culture

The Group's culture is a source of advantage and the Board pays close attention to it. While the core aspects of our culture are unwavering, such as the importance of excellent customer service and treating people the right way, we also recognise the need to continue to shape our culture so it helps us achieve our objectives. The renewed sense of energy and pace I noted above is an example of such a cultural shift. Having an appropriate level of curiosity is also critical in the current environment, as we leverage AI for our customers and embed it in everything we do.

In addition to the culture-related metrics we monitor (see Board oversight of culture) our schedule includes regular presentations from colleagues. In FY26, these have come from a much wider community of people across the Group, giving us access to the broader talent in Kainos and benefiting the teams as well.

We also hold Board meetings in different offices, giving us a chance to meet the local leadership and colleagues below senior management, often in a more informal setting. In FY26, we visited our locations in Birmingham, Belfast and London. These interactions give us a direct insight into our people's experience of working in Kainos.

The Remuneration Committee and the Board also spent time considering rewards below Executive Director level, including the right structure for bonus schemes. These have a direct impact on culture, through the activities and outcomes we incentivise.

## Statement of compliance with the UK Corporate Governance Code

We apply the 2024 UK Corporate Governance Code (the Code), which is available at [www.frc.org.uk](http://www.frc.org.uk). Throughout FY26, the Company complied with all of the Code's provisions, with the following exceptions:

- Provision 24 requires a company's audit committee to comprise at least three independent Non-Executive Directors. Between 1 April 2025 and 24 September 2025, the Audit & Risk Committee had two members. This followed changes to Board membership in 2024, with the Committee's former Chair retiring from the Board and the requirement for me to step down from the Committee on my appointment as Chair of the Company. With Shruthi Chindalur joining the Committee from 24 September 2025, we returned to compliance with Provision 24.
- Provision 20 states that companies should generally use open advertising or an external search consultancy for appointing a Non-Executive Director. For Shruthi's appointment, the Nominations Committee considered the options for the recruitment process and concluded that a targeted search led by the Group's internal talent acquisition team was the most appropriate option. Given the requirement for a Non-Executive Director with deep technology and software sector experience, the Committee was satisfied that the Group's internal expertise enabled a rigorous, objective and effective process, while maintaining focus on diversity and the overall balance and composition of the Board.

## The Board's priorities

In FY27, we will concentrate on:

- supporting management with driving profitability, in addition to top-line growth;
- succession planning and further strengthening our skills at a senior level; and
- continued progress with international expansion, including maximising the opportunity presented by Davis Pier.



**Rosaleen Blair**

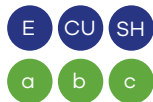
Chair  
15 May 2026

## Corporate Governance

KEY BOARD DISCUSSIONS  
AND ACTIVITIES

The table below sets out the key matters the Board discussed during the year.

## Strategy and future development

| Topic                                                                                                                                                                                                                                                                                                                        | What the Board considered                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Outcomes or decisions                                                                                                                                                                                                                                              | Stakeholders and s172 matters considered                                              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| The Group's strategic priorities, in particular achieving the growth potential in Workday Products                                                                                                                                                                                                                           | <p>Annual strategy workshop covered:</p> <ul style="list-style-type: none"> <li>The Group's strategic priorities, including the long-term growth potential of Workday Products.</li> <li>Performance and outlook across the Group's divisions and sectors.</li> <li>Developments in the market and technology landscape, including the role of emerging technologies such as AI.</li> <li>Portfolio focus and investment priorities to support sustainable growth.</li> <li>Leadership and organisational capability required to support the next phase of growth.</li> </ul> | <p>The Board concluded that the Group strategy remained appropriate and was being effectively implemented.</p> <p>The Board supported management's proposals to add to the senior leadership in Workday Products, including recruiting a CEO for the division.</p> |    |
| <p>Updates and discussions of strategy and performance in individual sectors and divisions, including:</p> <ul style="list-style-type: none"> <li>Workday Products: Built on Workday 12-month update and use of AI</li> <li>Workday Services: EMEA and the Americas</li> <li>Digital Services: across all sectors</li> </ul> | <ul style="list-style-type: none"> <li>Performance against strategic objectives in each sector and division.</li> <li>Market conditions and the competitive landscape, including demand trends, pricing pressures and customer behaviour.</li> <li>Progress against key growth initiatives, including product development, international expansion and use of AI.</li> <li>Risks and opportunities specific to each sector and geography.</li> </ul>                                                                                                                          | <p>The Board reviewed performance and market conditions across the sectors and divisions and provided direction on priority growth areas.</p>                                                                                                                      |  |



### Strategy and future development *continued*

| Topic                                        | What the Board considered                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Outcomes or decisions                                                                                                                                             | Stakeholders and s172 matters considered |
|----------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
| Acquisition of Davis Pierrynowski Ltd        | <p>The Board reviewed the merits of the proposed transaction, including:</p> <ul style="list-style-type: none"> <li>alignment to the Group's international growth strategy</li> <li>the business's skills and capabilities, and the fit with Kainos' existing business in Canada</li> <li>the strength of the existing relationship with Davis Pier</li> <li>Davis Pier's financial performance and growth prospects</li> <li>Davis Pier's cultural fit with Kainos</li> <li>the valuation and transaction structure</li> </ul> | The Board concluded that Davis Pier was a strong fit with Kainos and approved the acquisition, which was announced on 19 September 2025.                          | <div>E CU SH</div> <div>a b c</div>      |
| Update on the Microsoft Centre of Excellence | The Board reviewed progress of the Microsoft AI Centre of Excellence, including its role in supporting the Group's strategy through closer alignment with Microsoft, driving AI-focused innovation and contributing to pipeline development.                                                                                                                                                                                                                                                                                    | The Board noted positive momentum and supported the continued focus of the Centre of Excellence in accelerating growth through the Group's Microsoft partnership. | CU                                       |

### Performance and financial matters

| Topic                                                                     | What the Board considered                                                                                                                                                                                                                               | Outcomes or decisions                                                                                                                                                                                 | Stakeholders and s172 matters considered |
|---------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
| Operational and financial performance, at both Group and divisional level | <p>Reports from management on revenue, margin and cash flow performance.</p> <p>Performance against budget and market expectations, the reasons for any variances and any actions management proposed.</p> <p>Forecasts for each division for FY26.</p> | <p>The Board approved:</p> <ul style="list-style-type: none"> <li>the full-year results for FY25 and the half-year results for FY26.</li> <li>trading updates in April and September 2025.</li> </ul> | <div>E SH</div> <div>b c</div>           |
| Annual budget and the three-year forecast                                 | <p>The resources required and in place to achieve budget objectives.</p> <p>The key drivers of revenue and margin performance in the budget period.</p> <p>The macroeconomic backdrop.</p> <p>Government policy.</p>                                    | The Board approved the annual budget.                                                                                                                                                                 | <div>E CU SH</div> <div>b c</div>        |



## Corporate Governance

Key Board discussions and activities *continued*

### Performance and financial matters *continued*

| Topic                                                        | What the Board considered                                                                                                                                                                                                                                                                                                                                                                                                       | Outcomes or decisions                                                                                                                                                                                                                                                                            | Stakeholders and s172 matters considered |
|--------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
| Share buyback programmes                                     | <p>The impact on balance sheet strength and the Group's ability to maintain confidence among stakeholders, including employees and customers.</p> <p>The ability to continue to invest in the business, both organically and through acquisitions.</p> <p>The impact on the Group's financial performance, including earnings per share.</p> <p>Shareholder and adviser views on the attractiveness of a return of capital.</p> | <p>The Board approved:</p> <ul style="list-style-type: none"> <li>a share buyback programme of up to £30.0 million, announced in May 2025.</li> <li>the renewal of the share buyback programme in November 2025, to repurchase up to a further £30.0 million of the Company's shares.</li> </ul> | <p>SH</p> <p>a f</p>                     |
| Interim and final dividend payments                          | <p>The dividend policy and its continued appropriateness.</p> <p>The Group's earnings and cash flow performance.</p> <p>Shareholder views about the importance of the dividend.</p>                                                                                                                                                                                                                                             | <p>The Board:</p> <ul style="list-style-type: none"> <li>proposed a final dividend for FY25 of 19.1p per share, which was approved by shareholders at the 2025 AGM.</li> <li>approved the interim dividend for FY26 of 9.8p per share.</li> </ul>                                                | <p>SH</p> <p>a</p>                       |
| Progress with constructing the Bankmore building in Belfast. | <p>Progress against the construction programme, governance and independent oversight arrangements and the importance of the development in supporting employees and the Group's long-term presence in Belfast.</p>                                                                                                                                                                                                              | <p>The Board noted progress on the development, confirmed that appropriate governance and oversight arrangements were in place and continued to receive regular updates.</p>                                                                                                                     | <p>E</p> <p>a b d</p>                    |

## People and culture

| Topic                                                        | What the Board considered                                                                                                                                                                                                               | Outcomes or decisions                                                                                                                                                                    | Stakeholders and s172 matters considered |
|--------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
| Appointment of a new Non-Executive Director                  | See the Nominations Committee report on page 81 for further information.                                                                                                                                                                | Key decision: The Board approved the appointment of Shruthi Chindalur, with effect from 24 September 2025.                                                                               | SH<br>a b                                |
| Succession planning                                          | See the Nominations Committee report on page 82 for further information.                                                                                                                                                                | The Board considered succession plans for key leadership roles and confirmed that appropriate plans and development actions were in place to support the Group's long-term strategy.     | E SH<br>a b                              |
| Executive search for a CEO for the Workday Products division | See the Nominations Committee report on page 82 for further information.                                                                                                                                                                | The Board considered and supported the approach to the executive search for a CEO for the Workday Products division, confirming that it was aligned with the Group's long-term strategy. | E SH<br>a b                              |
| Deep-dive on bonuses                                         | A deep dive on bonus arrangements for employees below Executive Director level, including alignment with the Group's strategy, values driving the right behaviours and differentiating high performance.                                | The Board supported the proposed improvements to bonus schemes for employees below Executive Director level, as described in the Remuneration Committee report on page 89.               | E<br>a b                                 |
| Approval of Health & Safety Policy                           | An update on the Group's global Health & Safety policies, including revisions to ensure consistency across locations, regulatory compliance and alignment with the Group's operational footprint.                                       | The Board approved the updated global Health & Safety policies, including new regionally specific policies, and authorised their implementation.                                         | E<br>b e                                 |
| Approval of Modern Slavery Statement                         | The annual Modern Slavery Statement, prepared in accordance with section 54 of the Modern Slavery Act 2015, setting out the steps taken by the Group to prevent modern slavery and human trafficking in its business and supply chains. | The Board approved the statement, which was published on the Company's website in September 2025.                                                                                        | E<br>b e                                 |

## Sustainability

| Topic      | What the Board considered                                                                                                                                                                                                | Outcomes or decisions                                                                                                                                                                                               | Stakeholders and s172 matters considered |
|------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
| ESG update | An update on the Group's ESG priorities and progress, including climate-related matters, regulatory developments and how ESG and social value activities support the Group's strategy and long-term value for customers. | The Board noted the update and confirmed that governance and oversight arrangements, including ongoing Director training on climate-related matters, were in place to support the Group's long-term sustainability. | E CO<br>a b d<br>e                       |

## Corporate Governance

Key Board discussions and activities *continued*

### Risk management and internal control (via the Audit & Risk Committee)

| Topic                                  | What the Board considered                                                                                                                                                                                                                                                                                                                                                                      | Outcomes or decisions                                                                                                                                                                                                                  | Stakeholders and s172 matters considered                                                                  |
|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|
| Review of principal risks.             | The Board, via the Audit & Risk Committee, reviewed the principal risks facing the Group, including updates to the Enterprise Risk Register and changes in the Group's risk profile. Particular focus was given to cyber security risk, the safe use of AI, internal controls readiness and the impact of the Group's growth, including increased scale and complexity of operations.          | The Board agreed the principal risks facing the business and the mitigating actions in place, and confirmed that appropriate oversight and escalation arrangements were operating effectively.                                         | <div> <div>E</div> <div>CU</div> <div>SH</div> <div>b</div> <div>d</div> <div>e</div> <div>f</div> </div> |
| Cyber and information security         | Reports on the Group's cyber security posture, including the external threat environment, trends in security incidents, compliance with the NCSC Cyber Government Code of Practice and progress against agreed remediation actions. The Board also considered supply chain and contractor-related risks, cyber resilience testing and the adequacy of training and governance arrangements.    | The Board supported the continued prioritisation of cyber security as a key risk area, endorsed the actions being taken to strengthen controls and resilience, and agreed to ongoing enhanced Board-level oversight of cyber security. | <div> <div>E</div> <div>CU</div> <div>a</div> <div>c</div> <div>e</div> </div>                            |
| Internal audit reports                 | Reports on internal audit activity undertaken during the year, including reviews of key finance processes and cyber security controls, the findings and recommendations arising from those reviews and progress against agreed actions. The Board also considered the development of the Group's internal controls framework in preparation for future effectiveness attestation requirements. | The Board noted the findings of internal audit activity, supported the remediation actions in progress and reinforced the importance of timely implementation of agreed recommendations to strengthen the Group's control environment. | <div> <div>SH</div> <div>a</div> <div>e</div> </div>                                                      |
| Update on legal and compliance matters | Updates on key legal and compliance matters affecting the Group, including regulatory developments, data protection and cyber-related considerations, developments relating to the use of AI, corporate governance matters and the Group's insurance arrangements.                                                                                                                             | The Board noted the update and confirmed that appropriate frameworks and oversight were in place to manage legal and compliance risks across the Group.                                                                                | <div> <div>SH</div> <div>e</div> </div>                                                                   |

**Key to stakeholders and section 172 matters considered***Stakeholders*

- E** Employees
- CU** Customers
- CO** Communities
- SH** Shareholders

*Section 172 matters*

- a** Long-term consequences of decisions
- b** Interests of employees
- c** Business relationships with clients, suppliers and others
- d** Impact on the community and environment
- e** Reputation for high standards of business conduct
- f** Acting fairly between members of the Company

## Corporate Governance

## DIRECTORS' BIOGRAPHIES



**Rosaleen Blair**  
Chair



Rosaleen is the founder and Chair of AMS, a leading global provider of talent outsourcing and consulting services. She founded the company in 1996 with the ambition of transforming the way blue-chip multinationals attract, engage, and retain top talent. Rosaleen was CEO of AMS for 23 years, leading the business from a start-up to a global business with over 15,000 colleagues operating in over 80 countries.

Rosaleen is an investor and mentor to several entrepreneurs and growth businesses. She is a Non-Executive Director of BGF and Board member of Endeavor Ireland. Rosaleen is involved in several not-for-profit initiatives, notably serving as Chair of the London Irish Centre.

Rosaleen has been recognised with several awards including Veuve Clicquot Businesswoman of the Year (2007) and EY London Entrepreneur of the Year (2006). In the 2017 New Year's Honours list she was awarded a CBE for services to business.

Rosaleen was appointed Chair on 24 September 2024, having joined the Board on 1 January 2021. She is Chair of the Nominations Committee and a member of the Remuneration Committee.



**Brendan Mooney**  
Chief Executive Officer (CEO)

Brendan joined Kainos in 1989 as a trainee software engineer before moving into several technical and commercial roles in Dublin, London and the US.

He was first appointed CEO of Kainos in 2001 and led Kainos through a successful IPO in 2015, helping to turn Kainos into an international business and one of the UK's leading IT providers. Brendan stepped down as CEO in September 2023 after 22 years in the role and was reappointed as CEO in December 2024.

In addition to his role at Kainos, Brendan has previously served as a Non-Executive Director on several private technology companies, at the Probation Service for Northern Ireland and as a Lay Magistrate. Brendan has received both an Honorary Doctor of Science (DSc) and an Honorary Doctor of Economics (DSc Econ), in recognition of Kainos' contribution to the economy.

## Key

-  Nominations Committee
-  Audit & Risk Committee
-  Remuneration Committee
-  Chair of the Committee



**Richard McCann**  
Chief Financial Officer  
(CFO)

Richard is a Fellow of the Institute of Chartered Accountants in Ireland and trained with Coopers & Lybrand, before moving into industry with Galen Holdings plc. He joined Galen as financial controller of a start-up subsidiary in the US and subsequently became Senior Vice President in charge of Corporate Finance, with responsibility for acquisitions and investor relations. He was Managing Director of two subsidiaries in the Almac Group, including a US subsidiary that provides software development services for pharmaceutical companies.

Richard joined the Kainos Board in 2011 as Chief Financial Officer.

**Shruthi Chindalur**   
Independent  
Non-Executive Director

Shruthi has 25 years' experience in technology, SaaS and advertising technology. She has previously held senior commercial and operational roles at Oracle, LinkedIn and Criteo, covering various global markets and sectors. She recently held a Non-Executive Director role for four years at The Access Group, a leading provider of business management software to small and mid-sized organisations globally. She is currently a Non-Executive Director at Bytes Technology Group plc, one of the UK and Ireland's leading providers of AI, cloud and security solutions and Pinewood Technologies Group plc, an AI-based automotive intelligence platform company. Shruthi was appointed to the Kainos Board on 24 September 2025. She is a member of the Audit & Risk, Nominations and Remuneration Committees.

**Katie Davis**   
Independent  
Non-Executive Director

Katie is an experienced leader, with a strong track record of delivery in both the public and private sectors. She joined Accenture's Chicago office in 1987, moving to London in 1988 and becoming a partner in Accenture's Customer Relationship Management practice in 2000.

In 2005, Katie joined the Cabinet Office, with responsibility for increasing the capacity and capability of UK central government and the wider public sector to deliver large-scale IT-enabled business change. She subsequently held several senior positions in the Cabinet Office, Home Office, Department of Health and NHS. In 2012, Katie was named as one of the 25 most influential women in IT by Computer Weekly. She holds a BS in Electrical Engineering from the University of Illinois at Champaign/Urbana. Until March 2026, she served as an Independent Non-Executive Director at leading pensions software specialist Heywood Pension Technologies.

Katie was appointed to the Board on 28 November 2019. She is Chair of the Remuneration Committee and a member of the Audit & Risk and Nominations Committees.

**James Kidd**   
Independent  
Non-Executive Director

James is a Chartered Accountant. He joined AVEVA in 2004 and held several senior finance roles before being appointed CFO in 2011. He was Chief Executive Officer from January 2017 to February 2018, leading the merger with the Schneider Electric industrial software business before being appointed Deputy CEO and Chief Financial Officer of the enlarged AVEVA Group.

James stepped down from AVEVA in March 2023. During his time on the board, AVEVA grew to over 6,500 people globally, with revenue of £1.2 billion. Prior to joining AVEVA, James worked for Arthur Andersen and Deloitte, serving technology clients in both transactional and audit engagements.

James was appointed to the Board on 1 October 2023. He is the Senior Independent Director (SID), Chair of the Audit & Risk Committee and a member of the Nominations and Remuneration Committees.

## Corporate Governance

# CORPORATE GOVERNANCE REPORT

This section of the Annual Report outlines how we maintain high standards of corporate governance, as well as summarising how each Board Committee functions and their work during the year.

## Board leadership

The Board's role is to promote Kainos' long-term success and create value for its stakeholders. It is responsible for the Company's overall governance and sets the Group's strategic direction, while delegating the day-to-day management of the business to the Executive Directors.

The Board has a formal Schedule of Matters Reserved for its decision, which defines the matters that are reserved for the Board and supports clear accountability between the Board and management. These matters include, among others:

- approving the Group's strategic aims and objectives;
- setting the Group's values and standards;
- adopting budgets or business plans;
- decisions on acquisitions, disposals and material financial commitments;
- setting the dividend policy and declaring dividend payments;
- approving changes to the capital structure, including shares issues and buybacks;
- approving the Annual Report and full year and interim results announcements;
- approving circulars, listing particulars and resolutions; and
- releasing inside information.

## Division of responsibilities

We have a written policy, available on the 'Investor Relations' section of our website, setting out the division of responsibilities

between the Chair, CEO and Senior Independent Director (SID), so their roles complement each other. In summary:

- As Chair, Rosaleen Blair is principally responsible for leading the Board, promoting constructive debate among the Directors, facilitating communication with shareholders and overseeing strategy.
- As CEO, Brendan Mooney is responsible for all aspects of our operations. He leads and develops our strategic plans and identifies risk factors.
- As SID, James Kidd provides a sounding board for the Chair and acts as an intermediary for the other Directors and shareholders.

## Board Committees

The Board's principal committees are the Audit & Risk, Nominations and Remuneration Committees. Their terms of reference can be found in the Investor Relations section of our website.

In addition, the Disclosure Committee supports the Group and the Board in identifying, assessing, and controlling potentially sensitive information, ensuring compliance with market reporting obligations. Its members include the Chair, CEO, CFO, SID and the Chief Legal Officer.

## Board and Committee meeting attendance

The Directors' attendance at Board and Committee meetings is shown below. Shruthi Chindalur joined the Board and the Committees on 24 September 2025, and the table shows the number of meetings she was eligible to attend.

|                   | Board | Audit & Risk Committee | Remuneration Committee | Nominations Committee |
|-------------------|-------|------------------------|------------------------|-----------------------|
| Rosaleen Blair    | 13/13 | –                      | 5/5                    | 6/6                   |
| Brendan Mooney    | 13/13 | –                      | –                      | –                     |
| Richard McCann    | 13/13 | –                      | –                      | –                     |
| Katie Davis       | 13/13 | 3/3                    | 5/5                    | 6/6                   |
| James Kidd        | 13/13 | 3/3                    | 5/5                    | 6/6                   |
| Shruthi Chindalur | 7/7   | 2/2                    | 3/3                    | 3/3                   |



In addition, the Chair holds two scheduled meetings with the Non-Executive Directors each year, without the Executive Directors present. These meetings provide space for confidential discussions, independent oversight and strategic reflection, and took place following the full Board meetings in August and November 2025.

The Non-Executive Directors also meet without the Chair or the Executive Directors. This allows them to appraise the Chair's performance, in line with Provision 12 of the Code. In FY26, this meeting took place following the November 2025 Board meeting.

To ensure that Directors are fully briefed, a Board pack containing comprehensive Board and Committee papers is uploaded to a secure Board intranet site, approximately one week prior to scheduled meetings. The Directors have access to the Company Secretary's advice and services. They can also obtain independent legal advice at the Company's expense, if needed to carry out their duties.

### Board independence

The Board meets the Code requirement that at least half the Board, excluding the Chair, should be NEDs whom the Board considers to be independent.

We carry out due diligence on each NED's independence before they join the Board and when we invite incumbent NEDs to serve for another term. The Board confirms that Katie Davis, James Kidd and Shruthi Chindalur are independent in character and judgement and that Rosaleen Blair was independent on her appointment as Chair.

### Stakeholder engagement

The Group's long-term success depends on understanding the views and needs of its stakeholders. The Board welcomes interaction with all stakeholders and directly engages with shareholders and employees each year. The Board is always available to other stakeholders, including customers and communities, as an alternative to meetings with the Executive Directors.

Full details of our stakeholder engagement, including how the Directors are kept informed when they have not directly engaged with stakeholders, are set out in the Governance: Our stakeholders section on page 48.

### Shareholder engagement

The Executive Directors are primarily responsible for shareholder engagement, supported by the Corporate team. Our CEO and CFO meet analysts and institutional shareholders throughout the year, with detailed updates following our interim and full year results. The Board receives regular feedback from these meetings, as well as formal feedback obtained by our PR and financial advisors.

In accordance with Code Provision 3, the Chair engages with shareholders on topics raised, addressing enquiries, setting out our position and offering to discuss further where required. In addition, the Chair and all of the Board are available to meet with shareholders at the Group's AGM.

### Workforce engagement

Continued dialogue between the Board and our workforce is an important part of our people approach. The Nominations Committee reviews our workforce engagement mechanisms annually, to ensure they remain effective.

Workforce engagement during the year was led through our People Leadership forum. Chaired by the Chief People Officer, this group meets fortnightly, bringing together senior people leaders and subject matter experts to discuss people, culture and engagement matters. These meetings provide a structured forum for considering feedback from colleagues, including engagement insights, proposals for change, and emerging people-related issues and trends.

Where recommendations or proposals have implications across multiple teams, business areas or regions, they are escalated to the Business Unit Operations Committee for discussion and approval. This Committee is chaired by the Chief Financial Officer, with the Chief Executive Officer and Executives from each business area in attendance. It provides oversight of people and workforce matters with broader organisational impact. Matters of strategic importance are subsequently reported to or discussed with the Board, as appropriate.

During the financial year, discussions informed through this approach included employee flexible benefits, vacation leave, sickness absence, bonuses and pay transparency, all of which are central to workforce wellbeing and engagement.

This governance structure ensures that workforce views are considered in decision-making and that the Board retains visibility and oversight of significant people and culture matters, in line with Provision 5 of the Code.

## Corporate Governance

### Corporate Governance Report *continued*

#### Board oversight of culture

Our culture and values are described in the Our Environmental, Social and Governance (ESG) Commitments section on page 30.

The Board plays a pivotal role in shaping and overseeing our culture, through its decisions, leadership and ongoing engagement. In addition to its interactions with the Executive team, senior leaders and colleagues, as described in the Chair's introduction, the Board has several mechanisms to help nurture and oversee Kainos' unique culture.

Each month, the Board reviews a broad range of people and culture metrics, including:

- Peakon (employee voice) results for engagement, wellbeing and D&I;
- Glassdoor results;
- retention rates;
- total headcount, the number of job applications received and hires made at both junior and senior levels;
- training days and investment in training;
- the number of promotions; and
- gender parity.

We use the Peakon survey and Glassdoor data to identify our 'People Promise' projects, which are designed to imbue a culture of continuous learning and improvement of our people experience. This data is used as part of the periodic Board presentations by our Chief People Officer.

Our global Diversity and Inclusion Group reports quarterly to our leadership teams and every six months to the Nominations Committee. It helps to create a workplace that reflects and contributes to the diverse global communities in which Kainos operates, informing our D&I plan and gender pay gap approach, ensuring our policies, processes and behaviours are inclusive and that our people are educated. See the Social: Our people section on page 40 for more information.

Reward and remuneration play a crucial role in shaping culture, as they influence employee engagement and retention. Our remuneration strategy is supported by the Remuneration Steering Committee, which reports the findings of its meetings to the full Board and helps us take a strategic approach to workforce remuneration. Building on Peakon feedback from our staff, we introduced a flexible benefits package for colleagues in the UK during FY26, which will be rolled out to other countries in FY27.

This work has enabled the Board to conclude that the Group's policies, practices and behaviours remain aligned to its purpose, values and strategy.

# COMPOSITION, SUCCESSION AND EVALUATION NOMINATIONS COMMITTEE REPORT



Dear fellow shareholders,

I am pleased to present the Nominations Committee Report for the year ended 31 March 2026.

The Committee plays a vital role in ensuring that the Board has the right balance of skills, experience and perspectives to support the Company's long-term success.

## Committee membership and meetings

Katie Davis, James Kidd and I were Committee members throughout the year. On 24 September 2025, Shruthi Chindalur joined the Board and the Committee. The Committee therefore complies with the composition requirements in Provision 17 of the Code.

The Committee met six times during the year. Attendance at our meetings is set out in the Corporate Governance Report on page 78. The CEO and Chief People Officer attend by invitation and the Company Secretary is secretary to the Committee.

## Responsibilities

Our main responsibilities are reflected in the key activities described in the following sections. More detail can be found in the Committee's terms of reference, which are available at [www.kainos.com/investor-relations](http://www.kainos.com/investor-relations).

## Matters considered during the year

### Non-Executive Director appointment

In my report to you last year, I noted that we were searching for a further Non-Executive Director, following the retirements of Tom Burnet and Andy Malpass in FY25. As discussed in my introduction to the Corporate Governance Report on page 68, we announced Shruthi Chindalur's appointment on 17 July 2025 and she joined the Board and its Committees on 24 September 2025.

This was the culmination of an extensive search for a candidate with deep digital experience and leadership skills. Shruthi's background in software and global markets, as well as her very recent experience in executive roles, made her the outstanding candidate.

The Committee engaged our internal talent acquisition team to support the recruitment process, as discussed in my introduction to the Corporate Governance Report on page 69.

When joining the Board, Non-Executive Directors receive a tailored induction. Shruthi's induction comprised:

- One-to-one briefings from Executive and senior Business Unit Management on:
  - Group and Business Unit strategies, including their key markets, customers and competitive positioning
  - The Group's financial structure, investment and risk management processes, and the Group's auditor
  - Company culture, our people, remuneration and talent strategies, and succession planning
  - Our technology and AI strategy
- Governance and regulatory induction, including:
  - The Board and Committee structure
  - Being a PLC – the regulatory environment
  - Director and PDMR duties and obligations
  - Control of sensitive information
- Review of Board Materials, including:
  - Recent Board and Committee papers and minutes
  - The latest Annual Report and investor presentations
  - Key policies

## Corporate Governance

### Nominations Committee Report *continued*

#### Succession planning, talent and development

Succession planning and talent development were priorities for us throughout the year. The Committee leads succession planning for the Board and Executive levels, considering the evolving skills and experience we need and our focus on diversity, retention, training and internal mobility.

All Executive team and other critical roles have a formal succession plan, containing longer-term succession options and an emergency successor, to ensure business continuity. We put development plans in place for potential successors, to ensure they are ready for the role.

We discussed succession planning at each of our meetings during the year, looking at successors for the Executive Directors and key Group and divisional roles, with a particular focus on the succession plan within our Workday Products division. For more information, see the Talent acquisition, development and succession planning section on page 42 of the Strategic Report.

In addition, we held sessions to assess our senior executives and considered their training needs. This included greater use of external training and development opportunities, in addition to our internal leadership curriculum.

#### Non-Executive Director successions

The Nominations Committee also plans for rotation of Non-Executive Directors. As I outlined in my introduction, we regularly review the Board's skills matrix to consider which skills remain critical and to identify any emerging gaps. This work will inform our recruitment of a Non-Executive Director to succeed Katie Davis and we will consider further Non-Executive Director appointments that complement the Board's skills and experience.

#### Gender diversity

|               | Number of Board members | Percentage of the Board | Number of senior Board positions (CEO, CFO, SID, Chair) | Number in executive management | Percentage of executive management |
|---------------|-------------------------|-------------------------|---------------------------------------------------------|--------------------------------|------------------------------------|
| Men           | 3                       | 50%                     | 3                                                       | 22                             | 85%                                |
| Women         | 3                       | 50%                     | 1                                                       | 4                              | 15%                                |
| Other         | –                       | –                       | –                                                       | –                              | –                                  |
| Not specified | –                       | –                       | –                                                       | –                              | –                                  |

#### Ethnic diversity

|                                                                | Number of Board members | Percentage of the Board | Number of senior Board positions (CEO, CFO, SID, Chair) | Number in executive management | Percentage of executive management |
|----------------------------------------------------------------|-------------------------|-------------------------|---------------------------------------------------------|--------------------------------|------------------------------------|
| White British or other White (including minority-white groups) | 5                       | 83%                     | 4                                                       | 26                             | 100%                               |
| Mixed Multiple Ethnic Groups                                   | –                       | –                       | –                                                       | –                              | –                                  |
| Asian/Asian British                                            | 1                       | 17%                     | –                                                       | –                              | –                                  |
| Black/African/Caribbean/ Black British                         | –                       | –                       | –                                                       | –                              | –                                  |
| Other ethnic group including Arab                              | –                       | –                       | –                                                       | –                              | –                                  |
| Not specified/prefer not to say                                | –                       | –                       | –                                                       | –                              | –                                  |

#### Board and Executive composition, balance and diversity

Our Board comprises me as Chair, three further independent Non-Executive Directors and two Executive Directors. More information can be found in the Directors' biographies section on pages 76 to 77.

Achieving diversity in the technology sector presents challenges, due to the profile of the available talent pool. However, we strongly believe that diversity creates a more inclusive corporate culture, better equips companies to navigate challenges and supports long-term strategic needs. We view diversity through a broad lens, to include gender, ethnicity, nationality, skills, social mobility and experience.

The tables below set out the disclosures required by the Listing Rules for gender and ethnic diversity. Data is self-reported by the Board and collected through Workday VIBE Index™ for all other employees.

At 31 March 2026, three (50%) of our six Directors were women (31 March 2025: 40%) and we had one woman in a senior Board position, with me as Chair. We therefore comply with the FCA's Listing Rule requirements on gender diversity. Following Shruthi Chindalur's appointment, we also comply with the FCA's Listing Rule requirement on ethnic diversity.

Further information on our D&I strategy, progress and data collection can be found in the Environmental, Social and Governance (ESG) Commitments section on page 30.

Board evaluation

We held an internal evaluation in January 2026. Our last externally facilitated evaluation took place in January 2024 and we will therefore commission an external evaluation in January 2027.

Our Company Secretary led this year’s evaluation, using a comprehensive questionnaire. Topics covered included:

- Board composition
- Board dynamics
- Board support
- Board Committees
- Focus of meetings
- Strategic oversight
- Risk management and internal controls
- Stakeholder oversight
- Talent and succession planning
- Priorities for change

The Directors completed the questionnaire online, after which the Company Secretary compiled the results and presented them to the Board at our January 2026 meeting.

Overall, the survey concluded that the Board is operating effectively and that each Director continues to perform effectively and demonstrates commitment to their roles. Areas of strength include positive relationships between the Executive and Non-Executive Directors, well-chaired and effective committees and the recent improvement in diversity and SaaS experience on the Board. We also identified the following focus areas for the year ahead:

- streamline Board and Committee collateral and agendas, to direct greater focus on our strategic priorities;
- set objectives for each Committee, so we can measure their performance; and
- schedule additional time for dedicated strategic discussions.

We have identified the Committee objectives for FY27, which can be found at the end of each Committee report.

The Non-Executive Directors also separately evaluated my performance as Chair. The SID confirmed that I continued to perform effectively, as supported by the evaluation results.

Progress with 2024 focus areas

The 2024 Board evaluation identified the following focus areas, which we have successfully addressed in 2025:

| Focus area                                                            | Actions taken                                                                                                                                                                                                                                                                                                                                        |
|-----------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Recruit an additional Non-Executive Director                          | We appointed Shruthi Chindalur in September 2025.                                                                                                                                                                                                                                                                                                    |
| Progress talent and succession planning                               | We made substantial progress with talent and succession planning, as described above and in the People section on page 42.                                                                                                                                                                                                                           |
| Enable the Board to spend more time on key topics, including strategy | Each Board meeting includes a dedicated Strategy and Future Development session, which enables the Board to consider key topics in depth. The Board also held its annual strategy session during the year. See the Chair’s Introduction on page 68 and the Board’s key activities and discussions section on pages 70 to 75 for further information. |

Directors’ training

As noted above and in my introduction on page 68, we intend to increase the Directors’ formal training and development opportunities, so we can ensure the Board is as effective as possible.

Recognising the critical importance of cyber security, in February 2026 the Board completed National Cyber Security Centre (NCSC) training on Cyber Governance for Boards. This will support our oversight of this matter at Board and Committee level. The training covered:

- the purpose of the NCSC’s Cyber Governance code of Practice;
- governance of cyber risk;
- cyber strategy and alignment with business strategy and organisational goals;
- promotion of a positive cyber security culture;
- cyber incident preparedness, response and recovery; and
- ensuring effective assurance and oversight.

To build understanding and collective ownership of our climate commitments, we launched a Climate Action eLearning module to all colleagues during FY26. The short course explains Kainos’ climate goals, including our science based targets, how we measure and report emissions and the practical steps individuals can take to reduce their climate impact at work and beyond. The module focuses on real world actions – such as greener travel choices, data quality, sustainable delivery practices and local engagement – and signposts colleagues to wider support, tools and communities, including our Climate Action Viva Engage channel, Green Teams and volunteering opportunities. All Directors completed this training in FY26.

## Corporate Governance

### Nominations Committee Report *continued*

#### Director election and re-election

At the 2026 AGM, all Directors will retire, in line with Provision 18 of the Code. Rosaleen Blair, Brendan Mooney, Richard McCann and James Kidd are standing for re-election, and Shruthi Chindalur is standing for election to the Board. As announced on 28 April 2026, Katie Davis is not seeking re-election and will step down from the Board at the conclusion of the AGM. The Board confirms that each of the Directors continues to be effective in their role.

#### Service agreements and letters of appointment

All Directors' service agreements and letters of appointment can be requested from the Company Secretary and will be available to shareholders to view at the 2026 AGM. Summary details of the Executive Directors' service agreements are also contained in the Directors' Remuneration Report.

#### Non-Executive Directors' appointment periods and time commitments

Each Non-Executive Director is appointed for an initial three-year term, subject to a three-month notice period and annual re-election by shareholders at the AGM. At the end of the three-year term, the Board may invite a Non-Executive Director to continue for a further period, if the Board is satisfied with their performance, independence and time commitment.

Before a new Non-Executive Director is appointed, they must confirm that they can allocate sufficient time to carry out their duties and responsibilities effectively. There is a minimum 20-day commitment each year, which is set out in the letter of appointment.

#### The Committee's priorities

Our priorities for the year ahead are to focus on:

- Board composition and skills for strategy execution;
- succession planning and leadership continuity;
- diversity, equity and inclusion at Board and senior leadership level; and
- Board and Director effectiveness and development.



**Rosaleen Blair**

Nominations Committee Chair  
15 May 2026

# AUDIT, RISK AND INTERNAL CONTROL AUDIT & RISK COMMITTEE REPORT



I am pleased to present the Audit & Risk Committee Report for FY26, which outlines how we discharged our responsibilities and the key issues we considered.

The Committee fulfils a vital role in the Company's governance framework, providing valuable independent challenge and oversight of the Group's accounting, financial reporting, internal controls and risk management, as well as overseeing the relationship with the external auditor.

## Composition

As discussed in the Chair's Introduction to Governance, Katie Davis and I were the Committee's only members between the start of the financial year and 24 September 2025, when Shruthi Chindalur joined the Board and the Committee. This brought the Committee back in line with the Code, which requires audit committees to comprise at least three independent Non-Executive Directors. The Committee only met once in FY26 prior to Shruthi's appointment and I am confident that the reduction in our membership in this period did not affect the quality of our work.

The Committee members' financial and commercial experience enables us to deal effectively with the matters we are required to address and to challenge management when necessary. The Board is therefore satisfied that the Committee has the necessary competence and experience relevant to the sector in which Kainos operates.

I am a chartered accountant, with relevant financial experience, having served as CFO, Deputy CEO and CEO of AVEVA Group plc. I also keep up to date on financial and corporate governance best practice by attending training sessions and updates. I therefore meet the Code requirement that at least one member of the Committee has recent and relevant financial experience, and the Disclosure Guidance and Transparency Rules requirement for at least one member to have competence in accounting and/or auditing.

The Company Secretary is secretary to the Audit & Risk Committee.

## Responsibilities

Our main responsibilities are reflected in the key activities described in the following sections. More detail can be found in the Committee's terms of reference, which are available at [www.kainos.com/investor-relations](http://www.kainos.com/investor-relations). We reviewed and reapproved our terms of reference at our February 2026 meeting.

## Committee meetings and key activities

The Committee held three meetings during the year. Only Committee members have the right to attend meetings but we also invite Executive Directors, members of the Finance team and other senior management, including those presenting to us on risk-related matters, to attend as required. Representatives of the external and internal auditors also routinely attend our meetings.

We have a broad agenda and our principal activities during the financial year were as follows:

### May 2025

- Reviewed the report to the Committee from KPMG (the external auditor) for the year ended 31 March 2025.
- Assessed the integrity, completeness and consistency of financial reporting.
- Received a presentation from the Finance team on the significant judgements and other areas for consideration in relation to the financial statements.
- Reviewed and approved the Group's going concern and viability statements.
- Reviewed and recommended that the Board approve the Final Results Announcement and the 2025 Annual Report, concluding that the Annual Report, taken as a whole, is fair, balanced and understandable, and provides the information necessary for shareholders to assess the Company's position, performance, business model and strategy.
- Reviewed and concluded on the effectiveness of the external auditor.
- Received updates on cyber security and internal audit.
- Reviewed the Group's Enterprise Risk Register.



## Corporate Governance

### Audit & Risk Committee Report *continued*

#### November 2025

- Received presentations from:
  - KPMG on its review of the interim financial statements; and
  - the Finance team on the key accounting judgements and other areas for consideration in the Interim Report.
- Received feedback from the Finance team on KPMG's performance in reviewing the Interim Report.
- Reviewed the Interim Report, including the going concern statement and key disclosures, and recommended its approval to the Board.
- Reviewed the Group's Enterprise Risk Register.
- Received updates on:
  - Cyber security; and
  - Internal audit.

#### February 2026

- Reviewed the external audit plan for the year ended 31 March 2026.
- Received updates on:
  - Cyber security
  - Tax and treasury
  - Financial controls and policies
  - Legal and compliance matters
  - Internal audit
- Reviewed the Group's Enterprise Risk Register.
- Completed the annual review of insurance.

#### Key assumptions, judgements and estimates

We identified the matters below as being significant to the FY26 financial statements, considering their materiality and the degree of management judgement required. We discussed the issues in detail, to ensure that the approaches taken were appropriate. This included reviewing presentations and reports from management and the external auditor.

|                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Revenue recognition</b>         | <p>The Group has a clear revenue recognition policy, as described in note 3 of the consolidated financial statements. The policy is reviewed at least annually and there were no changes during the year.</p> <p>We reviewed and challenged management's judgements, assumptions and estimates relating to the level of contract or fixed-price provisioning for rectification and irrecoverable accrued income.</p> <p>We also received and considered updates from KPMG on the findings of its procedures over revenue recognition during the year.</p> <p>Following these reviews, we are satisfied that the Group's processes and internal controls are appropriate and revenue recognition is in line with IFRS15 'Revenue from contracts with customers'.</p> |
| <b>Development costs</b>           | <p>We received updates from management on accounting for development costs.</p> <p>During each reporting period, management works with product leaders in the business to update a document which details development expenditure incurred by product or module. Management then assesses this expenditure against the capitalisation criteria in IAS38 'Intangible Assets'.</p> <p>Having discussed and reviewed this approach, we are satisfied that the accounting for development costs is in line with IAS38.</p>                                                                                                                                                                                                                                              |
| <b>Tax strategy</b>                | <p>We recognise the tax complexity and risk related to the Group's multinational operations and the areas of uncertainty that arise.</p> <p>We considered:</p> <ul style="list-style-type: none"> <li>• the appropriateness of deferred tax assets and tax provisions;</li> <li>• accounting for R&amp;D expenditure credit, and its impact on the reported results; and</li> <li>• the application of the Group's transfer pricing policy and its impact on the reported results.</li> </ul> <p>We are satisfied the treatment adopted is fair and reasonable in all circumstances.</p> <p>The Group's UK tax strategy is available online at <a href="http://www.kainos.com/information/uk-tax-strategy">www.kainos.com/information/uk-tax-strategy</a>.</p>      |
| <b>Going concern and viability</b> | <p>We reviewed management's process for assessing the Group's going concern and longer-term viability, including:</p> <ul style="list-style-type: none"> <li>• the period over which viability should be assessed;</li> <li>• whether the scenarios identified were appropriate, in light of the Group's principal risks and uncertainties; and</li> <li>• whether management made reasonable assumptions in calculating the financial impact of a viability scenario.</li> </ul> <p>We were satisfied with management's work and supported its conclusions in respect of the Company's going concern and longer-term viability.</p>                                                                                                                                |

There were no material changes to significant accounting policies during FY26.

### Fair, balanced and understandable assessment

One of our responsibilities is to assess whether the Annual Report and Financial Statements, taken as a whole, is fair, balanced and understandable and provides the information necessary for shareholders to assess the Group's position and performance, business model and strategy. Having completed our review, we have confirmed to the Board that it is appropriate to make this statement for the FY26 Annual Report and Financial Statements. The Board's confirmation can be found in the Directors' responsibilities statement on page 111.

### Financial Reporting Council (FRC) review

In December 2025, the FRC notified the Committee of its review of the Group's Annual Report and Accounts for the year ended 31 March 2025. The Group provided additional information regarding presentation and disclosure, and all matters were successfully addressed and closed in January 2026.

The scope of the FRC review was limited to compliance with reporting requirements and was not designed to provide assurance that the Annual Report and Accounts for FY25 were correct in all material respects.

### External audit

The Committee oversees the relationship with the external auditor and its performance. This includes making recommendations on appointing, reappointing or removing the auditor.

We appointed KPMG as external auditor following shareholder approval at the AGM in September 2021 and it is subject to annual re-appointment. We confirm that Kainos complied with the provisions of The Statutory Audit Services for Large Companies Market Investigation (Mandatory Use of Competitive Tender Processes and Audit Committee Responsibilities) Order 2014 during the financial year ended 31 March 2026.

### Auditor independence and objectivity

We carefully review the auditor's independence and objectivity and have not identified any issues that could compromise it. As part of our review, we received written confirmation from KPMG that it considered itself to be independent. The current audit partner is Niall Savage, who has been in the role since 2025. Audit partners for listed companies are ordinarily rotated every five years.

We have a non-audit services policy to ensure that the auditor's independence and objectivity is not impaired by providing non-audit services to the Group. We review the policy annually, with the most recent review in February 2026.

The policy classifies non-audit work into assignments for which:

- management can engage the external auditor without referral to the Audit & Risk Committee;
- approval to engage the auditor must be provided on a case-by-case basis; and
- the auditor is excluded.

The policy aims to ensure that in providing non-audit services, the external auditor is not in a position whereby it is:

- auditing its own work;
- making management decisions for the Group;
- creating a mutuality of interest; or
- required to advocate for the Group.

The table below shows the approval levels specified in the policy:

| Description                                                                     | Approval required            |
|---------------------------------------------------------------------------------|------------------------------|
| <b>Hiring staff from the external auditor</b>                                   | Audit & Risk Committee       |
| <b>External audit fee</b>                                                       | Audit & Risk Committee       |
| <b>Any engagement &gt; £20,000</b>                                              | Audit & Risk Committee Chair |
| <b>Services between £5,000 and £20,000 in aggregate for each financial year</b> | Chief Financial Officer      |
| <b>Permitted services up to an aggregate of £5,000 in any financial year</b>    | Group Head of Finance        |

Other than reviewing the interim financial statements for the period ended 30 September 2025, KPMG did not provide any non-audit services during the year.

Fees paid to KPMG for auditing the consolidated financial statements are set out in note 6 to the consolidated financial statements.

### Effectiveness of the external auditor

We review the auditor's effectiveness and quality on an ongoing basis, to ensure a high-quality external audit process. During the year, we specifically considered:

- the audit plan, including identified significant risks, presented at the February 2026 meeting;
- KPMG's robustness and perceptiveness in its handling of key accounting and audit judgements;
- the audit team's experience and expertise, demonstrated by its direct communication with, and support to, the Committee;
- engagement with our Finance team in planning the audit and its execution; and
- the content, insights and added value of KPMG's formal reports.

Based on our review, we consider the external auditor to be effective.

### Risk management and internal control

The key elements of the Group's internal control and risk management systems include:

- regular Board meetings to consider matters reserved for the Directors' attention;
- regular management meetings to monitor divisional performance. Management is responsible for identifying and evaluating significant risks in its area of business, and for designing and operating suitable internal controls;

## Corporate Governance

### Audit & Risk Committee Report *continued*

- maintenance of a Group Risk Register, to identify and track the risks facing the business. The key risks are summarised for the Audit & Risk Committee's review and are operationally owned and managed by management;
- a comprehensive annual budget process, for review and approval by the Board, with updated forecasts regularly prepared throughout the year. Operating results are reported monthly to the Board and compared to the latest forecast, with explanations for all significant variances; and
- documentation of key policies and procedures.

The Board is ultimately responsible for the Group's systems of internal controls and risk management and for reviewing their effectiveness. These systems are designed to manage risk, rather than eliminate it, and can provide only reasonable and not absolute assurance against material misstatement or loss. This includes the risk of failure to achieve business objectives. The concept of reasonable assurance recognises that the cost of control procedures should not exceed their expected benefits.

Information on the Group's principal and emerging risks is set out in the Strategic Report.

The Board confirms that Kainos has established systems, procedures and controls for identifying, evaluating and managing the principal and emerging risks it faces, and that they have been in place for the period under review and up to the date of approval of the Annual Report. The Board regularly reviews the effectiveness of those systems, procedures and controls.

As required by the Code, the Audit & Risk Committee has reviewed the internal controls and risk management systems, including those relating to financial reporting, information security, business continuity, management of employees, and operational and compliance matters. We have confirmed to the Board that we are satisfied that Kainos has established internal controls and risk management systems that are effective and compliant with the current governance provisions.

The 2024 edition of the UK Corporate Governance Code introduced new requirements relating to audit, risk and internal control. Most significantly, Provision 29 introduces new Board responsibilities for monitoring, reviewing and ensuring the effectiveness of the risk management and internal control framework, including a statement on the effectiveness of all material controls at the balance sheet date. This provision comes into force for reporting periods beginning on or after 1 January 2026, which means it will first apply to Kainos in FY27.

We have paid close attention to management's work to ensure compliance with Provision 29. This has included identifying and agreeing the material controls and drafting the material controls documentation. In the next phase, we will test all the material controls to ensure they are operating effectively. Our progress to date means we are confident of being able to make the required statement on the effectiveness of material controls at the 31 March 2027 balance sheet date.

### Internal audit

Following the successful completion of two internal audit projects in FY25, we appointed Grant Thornton to provide internal audit services to the Group from FY26, by conducting 'deep dive' reviews on areas of greater risk.

In FY26, Grant Thornton reviewed our order-to-cash processes, with no significant control weaknesses identified. It also reviewed aspects of our cyber security, reviewing two products in the Workday Products business as well as testing our systems more broadly. These reviews confirmed the overall robustness of our approach, as well as identifying further enhancements that we are either addressing or had completed by the year end.

In addition to Grant Thornton's work, many of our customers review our cyber security posture in detail, as part of their assurance processes. The Group has also been recertified to be compliant with the ISO 27001 standard for information management systems.

We continue to use internal subject specialists across the business to test aspects of our control environment. At the year end, a review of processes in our Argentinian operation was under way and we intend to review the finance function in Davis Pier later in 2026.

Cyber security will remain a focus area for the Committee and for internal audit reviews. Grant Thornton is currently conducting an audit of our treasury function and will report to the Committee in the first quarter of FY27. The internal audit plan for FY27 also includes a review of higher-risk projects in Digital Services, including project management and quality control.

### Whistleblowing

Provision 6 of the Code requires the Group to have a channel for the workforce to raise concerns in confidence, including anonymously. See the Governance: Business conduct section on page 50 for more information.

### The Committee's priorities

In FY27, our priorities are to:

- ensure the Group complies with Provision 29 of the Code;
- oversee the optimisation of the Group's legal structure, to minimise the compliance burden and deliver tax efficiencies;
- monitor the Group's cyber security posture, oversee cyber risk management and the adoption of the NCSC Cyber Governance Code of Practice;
- finalise the internal audit plan for FY27 and oversee its execution; and
- monitor the financial health of the project to construct One Bankmore, the Group's new Belfast headquarters.



**James Kidd**

Chair of the Audit & Risk Committee  
15 May 2026

# DIRECTORS' REMUNERATION REPORT



## Statement from the Chair of the Remuneration Committee

As Chair of the Remuneration Committee, I am pleased to introduce our Directors' Remuneration Report for the year ended 31 March 2026.

## Composition

At the year end, the Remuneration Committee members were Rosaleen Blair, James Kidd, Shruthi Chindalur and me, as the Committee Chair.

While only Committee members are entitled to attend meetings, we also invite the Executive Directors to attend as necessary, as well as employee representatives from across the business to participate in strategic remuneration discussions.

The Company Secretary is secretary to the Committee.

## Responsibilities

Our main responsibilities are reflected in the key activities described in this statement. More detail can be found in the Committee's terms of reference, which were updated and reapproved in March 2026 and are available at [www.kainos.com/investor-relations](http://www.kainos.com/investor-relations).

## Key activities

There were five meetings during the year, with the members' attendance set out in the Corporate Governance Report on page 78.

During the year we:

- oversaw the operation of the Directors' Remuneration Policy approved by shareholders at the 2025 AGM;
- reviewed certain bonus schemes and long-term incentives for colleagues below Executive Director level, to support recruitment and retention and incentivise high performance; and

- continued to oversee remuneration practice across Kainos, to ensure alignment with our reward philosophy.

## Business context

Our financial results reflect a positive year for the Group from a revenue perspective, with Workday Products continuing its strong growth and both Digital Services and Workday Services increasing revenue after facing challenging conditions in the prior year.

The overall revenue growth of 17% translated into 2% growth in adjusted profit before tax, due to a range of higher costs, as we had anticipated. These included increased use of contractors, who provide us with additional capacity when needed, and greater partnering with other companies on large Digital Services projects. One of the Group's objectives is to reduce contractor costs by recruiting our own people. This makes it even more important that we can attract and retain the right talent, including through the rewards we offer.

## Strategic context

We have designed the Directors' Remuneration Policy to support delivery of our strategic objectives, both in the short and long-term. Specifically:

- the annual bonus rewards performance in the year;
- the performance share plan rewards longer-term performance;
- our shareholding requirements directly align the Executive Directors with the shareholder experience, encouraging a long-term perspective; and
- our malus and clawback provisions discourage excessive risk taking in pursuit of our goals.

Further information on each of these elements can be found in the Directors' Remuneration Policy section, starting on page 92.

Overseeing reward for the wider workforce is an important part of our remit. The Remuneration Committee considers wider company pay policies throughout the year and we take these and broader pay trends into account when making decisions on the Executive Directors' compensation. Our Directors' Remuneration Policy sets out the relationship between Executive Directors' pay and employees' remuneration and how annual salary increases and pension contributions align with the broader workforce.

## Corporate Governance

### Directors' Remuneration Report *continued*

Attracting and retaining talent requires us to have the right short- and long-term incentives in place. During the year, the Committee spent time reviewing the structure of some of the bonus schemes for colleagues below Board level. This process was led by the business, through the Bonus Steering Committee, and included defining an overall philosophy for bonuses (see below), as well as important changes to how the schemes operate. To ensure reward reflects delivery, drives the right behaviours and reinforces a high-performance culture, the schemes now offer a higher potential bonus but the threshold at which bonuses start to be paid has also increased.

To reflect the growing scale and maturity of Workday Products, along with our desire to attract the best global talent, the Group has introduced a long-term incentive plan for that division which will be effective from FY27. This will reward achievement of stretching targets for one of our key growth drivers.

As discussed in the People section on page 41, the Group introduced a flexible benefits package in FY26, for colleagues in the UK. This allows them to tailor the benefits they receive to best suit their needs. We will be rolling this out to other countries in the coming year.

Workforce engagement and education remain a priority, to help our employees understand our reward strategy. We have an ongoing campaign to educate our employees and during FY26, the Group ran a range of webinars and other communications to inform our people about the rewards and benefits to which they are entitled.

#### Our bonus philosophy

Bonus schemes in Kainos will:

- Give a clear line of sight to incentivise and be valued by individuals
- Align to strategic goals and drive the right behaviours
- Differentiate high performance
- Be simple, transparent and market competitive

#### Executive outcomes

The Group's financial KPIs of revenue, adjusted pre-tax profit and bookings are used in establishing the Executive Directors' annual bonus targets. Given the weightings in our scheme, the Group's performance for the year translates to a 106% pay-out against these targets, with the key measures outlined below.

|                          | 2026<br>£      | 2025<br>£ |
|--------------------------|----------------|-----------|
| Revenue                  | <b>£431.1m</b> | £367.2m   |
| Adjusted pre-tax profit  | <b>£67.1m</b>  | £65.6m    |
| Bookings                 | <b>£505.3m</b> | £382.4m   |
| Total dividend per share | <b>29.6p</b>   | 28.4p     |

On 28 June 2022, we granted long-term incentive awards to Brendan Mooney and Richard McCann. These awards vested at 20% during the year, and the Executive Directors received 1,350 and 1,498 share options respectively.

Our policy is to pay Executive Directors at a level comparable to the Group's peers. However, Brendan Mooney has requested to take a lower base salary than provided for in our policy, which also reduces the potential value of his incentive awards and pension contributions, which are calculated as a multiple of base salary. If the Company is required to appoint a new CEO in future to succeed Brendan, we would expect the remuneration package on recruitment to be in line with our policy.

The Committee has not applied discretion to any remuneration outcomes in relation to FY26.

#### Share option awards

On 2 June 2025, the Group made performance share awards to Brendan Mooney and Richard McCann of 10,094 and 41,829 share options respectively.

The Committee considered the appropriate performance criteria for these awards, as part of a broader review of all share plans during the previous year. This resulted in the following weightings being applied for these awards:

- total shareholder return remained unchanged at 30%;
- earnings per share (EPS) growth increased from 40% to 50%; and
- the Responsible Company criteria reduced from 30% to 20%.

The increase in the EPS weighting creates a stronger link between performance and outcomes that recipients can directly influence.

The revised Responsible Company weighting reflects a reduction in the number of underlying measures from four to two. We determined that having four measures diluted their individual impact, added complexity and conflicted with our goal of simplifying our share awards. The two criteria we have retained are employee engagement and greenhouse gas emissions. These are clearly aligned to our strategic ambitions and employees can actively contribute to them.

The two measures we removed were:

- Gender diversity in senior management. Diversity and inclusion is strategically important but we considered that this is a subset of the broader engagement measure, which has remained. Employee engagement also moved from cliff-edge vesting to a sliding scale.
- Customer Net Promoter Score. Customer satisfaction is central to our business model but we considered this target was less stretching, given the Group's consistently strong performance.

Full details of the performance criteria can be found on page 100.



The Group also awarded a further 2,936 options to Brendan Mooney on 23 June 2025. Brendan was reappointed as CEO on 11 December 2024 and did not participate in the performance share awards to the Executive Directors in June 2024. This award therefore relates to the period between his reappointment and 31 March 2025.

Further detail of these awards is provided in the Annual Report on Remuneration on page 99.

### Base salaries and fees for the Directors

Base salaries for the Executive Directors are reviewed in June each year, with any change reported in the following Annual Report on Remuneration. In June 2025, Brendan Mooney and Richard McCann did not receive a pay increase which was below the increase for the wider workforce.

As set out in last year's report, the fees paid in FY26 to the Non-Executive Directors were increased for the first time since 2019. This was the result of a benchmarking exercise using multiple data sources including FTSE 250, Willis Towers Watson, Deloitte and PwC data. The increases were as follows and applied from 1 June 2024:

|                                 | Previous fee<br>£ | New fee<br>£ | Change<br>% |
|---------------------------------|-------------------|--------------|-------------|
| Chair                           | 100,000           | 140,000      | 40%         |
| Non-Executive Director          | 50,000            | 60,000       | 20%         |
| Additional fees for:            |                   |              |             |
| Senior Independent Director     | 10,000            | 12,000       | 20%         |
| Chair of Audit & Risk Committee | 8,000             | 10,000       | 25%         |
| Chair of Remuneration Committee | 8,000             | 10,000       | 25%         |

There have been no changes to these fees for FY27.

### Advisors to the Committee

The Committee does not have retained remuneration advisors. However, the Group did receive advice from Deloitte as part of the review of bonus schemes in FY26.

### Shareholder voting

At the AGM in September 2025, shareholders passed several resolutions related to remuneration matters, including approving the updated Directors' Remuneration Policy and the rules for several share schemes. On the Committee's behalf I thank shareholders for their support. More information on shareholder approvals can be found on page 92.

At the 2026 AGM on 22 September 2026, the Directors' Annual Report on Remuneration will be put to an advisory shareholder vote.

### Looking forward

The Committee's priorities over the next year include:

- continued oversight of the operation of the Directors' Remuneration Policy approved by shareholders at the 2025 AGM;
- oversight of the delivery of the FY27 remuneration objectives and key results set by the Group and agreed with the Remuneration Committee. These focus on pay transparency, sales remuneration and flexible benefits rollout to the rest of Group;
- the review and approval of any proposed long-term incentives, including share awards for colleagues below Executive Director level; and
- continued oversight of remuneration practice across Kainos, to ensure alignment with our reward philosophy.



### Katie Davis

Chair of the Remuneration Committee  
15 May 2026

## Corporate Governance

### Directors' Remuneration Report *continued*

#### Shareholders and statement of voting at AGM

Shareholders approved the Directors' Remuneration Policy and the Annual Report on Remuneration for FY25 at the AGM on 23 September 2025, with the votes cast as follows:

| Resolution                                                                 | Votes for  | % of votes for | Votes against | % of votes against | Total votes cast | Votes withheld |
|----------------------------------------------------------------------------|------------|----------------|---------------|--------------------|------------------|----------------|
| Approval of Annual Report on Remuneration for the year ended 31 March 2025 | 92,079,890 | 98.54%         | 1,361,101     | 1.46%              | 93,440,991       | 1,964,387      |
| Approval of the Directors' Remuneration Policy                             | 90,526,754 | 96.88%         | 2,914,687     | 3.12%              | 93,441,441       | 1,963,937      |

We are keen to ensure that shareholders support the Group's remuneration philosophy and policy. As Chair, I welcome shareholder feedback at any time of year, including as part of the AGM process. To date, we have not received any significant dissenting shareholder votes on our Remuneration Policy or the outcomes.

#### Directors' Remuneration Policy

The Directors' Remuneration Policy is set out below. It applies for three years from its approval at the 2025 AGM.

#### Executive Director reward components

##### Base Salary

|                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purpose                | To attract and retain Executive Directors.                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Operation              | Reviewed annually and fixed for 12 months, commencing 1 June each year. The Remuneration Committee considers: <ul style="list-style-type: none"> <li>• an individual's experience and knowledge;</li> <li>• business and individual performance;</li> <li>• achievement of objectives;</li> <li>• comparative salaries and periodic reviews;</li> <li>• the Company's financial position; and</li> <li>• salary increases for Kainos' employees.</li> </ul> |
| Potential remuneration | Percentage increases will normally be in line with other employees in the same location.<br><br>Higher increases may be awarded if there are commercial reasons for doing so, such as to reflect market movements, changes in job responsibilities and to address retention issues.                                                                                                                                                                         |
| Performance metrics    | None.                                                                                                                                                                                                                                                                                                                                                                                                                                                       |

##### Benefits

|                        |                                                                                                                                                                                         |
|------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purpose                | To attract and retain Executive Directors.                                                                                                                                              |
| Operation              | The Executive Directors are entitled to private medical insurance, life insurance and permanent health insurance.                                                                       |
| Potential remuneration | No maximum is set but the Remuneration Committee will monitor the overall cost of the benefits package. Any changes will normally be in line with other employees in the same location. |
| Performance metrics    | None.                                                                                                                                                                                   |

##### Pension

|                        |                                                                                                                                                                                                                   |
|------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purpose                | To attract and retain Executive Directors.                                                                                                                                                                        |
| Operation              | The Executive Directors are entitled to participate in the Kainos pension scheme or receive a payment in lieu of pension.                                                                                         |
| Potential remuneration | The maximum Company contribution for Executive Directors is 5% of base salary, in line with other employees in the same location. Any changes will normally be in line with other employees in the same location. |
| Performance metrics    | None.                                                                                                                                                                                                             |



| <b>Annual Bonus</b>                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|----------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purpose                                | To reward and incentivise performance within a financial year, focus Executive Directors on key objectives and support positive team behaviour, with adequate reward for good performance and excellent reward for exceptional performance.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Operation                              | <p>Performance is measured on an annual basis for each financial year. The Committee establishes and weights the criteria at the beginning of each year, based on Company financial targets, and determines threshold and target levels of performance for each measure. At the end of the year, the Committee determines the extent to which targets were achieved. On-target levels of payment are set for each Executive Director at the start of each year. Up to 150% of these levels may be paid, based on the extent to which the target is exceeded.</p> <p>Annual bonus is normally paid in cash following the completion of the audit of that year's financial statements. One third of payments will be deferred for three years and then paid in cash or in shares.</p> <p>Clawback in line with the Company's malus and clawback policy may be applied at the Remuneration Committee's discretion, in the event of material misstatement of the financial results or other exceptional circumstances, such as gross misconduct.</p> <p>The Remuneration Committee has discretion to apply 'corporate override' if core targets are not achieved or a material negative event occurs.</p> |
| Potential remuneration                 | The maximum annual bonus opportunity under the policy is 150% of the Executive's salary.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Performance metrics                    | <p>Annual bonus is discretionary. The Committee chooses and weights the criteria and sets targets each year, in line with business priorities.</p> <p>An element of the bonus may also be based on personal performance.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Long-Term Incentive Plan (LTIP)</b> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Purpose                                | To motivate Executive Directors, incentivise long-term performance and facilitate share ownership.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Operation                              | <p>Performance share awards are made under the Group's 2025 Performance Share Plan (PSP).</p> <p>Awards, made in the form of nil or nominal cost options, will normally* have a three-year vesting period following the date of award.</p> <p>For Executive Directors, there is an additional two-year holding period prior to exercise. Awards will vest and be exercisable subject to continued employment and meeting appropriately challenging performance conditions specified at the outset. The Remuneration Committee determines the extent to which performance conditions have been met. Awards may be increased for dividends paid during the vesting period.</p> <p>The Remuneration Committee determines the performance conditions, weighting and target performance levels at the point of award. Clawback may be applied in line with the Company malus and clawback policy, at the Committee's discretion, in the event of material misstatement of the financial results or other exceptional circumstances, such as gross misconduct.</p>                                                                                                                                          |
| Potential remuneration                 | <p>The normal maximum level of annual award is 200% of salary. In exceptional circumstances, awards may be made up to a maximum of 300% of salary.</p> <p>In the event of a new appointment the Remuneration Committee would expect to make a higher award, closer to the normal maximum.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Performance metrics                    | The Remuneration Committee will assess what measures and targets best support the Group's long-term focus, so measures and targets may be different from year to year.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |

\* The vesting period will only differ from this in exceptional circumstances, such as in 'good leaver' scenarios or to facilitate recruitment by replacing forfeited remuneration.

## Corporate Governance

### Directors' Remuneration Report *continued*

#### Non-Executive Director payments

| Fees                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purpose                | To attract and retain Non-Executive Directors with appropriate experience and skills.                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Operation              | <p>The Chair and Non-Executive Directors are paid fees, as detailed in this table. The fees reflect their time commitment and responsibilities, and the fees paid in other companies of comparable size and complexity.</p> <p>The Chair's fee is approved by the Board, on the Remuneration Committee's recommendation.</p> <p>Fees for the Non-Executive Directors are approved by the Board, on the recommendation of the Chair and Executive Directors.</p> <p>Additional fees are payable for additional responsibilities.</p> |
| Potential remuneration | <p>The Chair's fee is currently £140,000 per annum. The base fee for Non-Executive Directors is currently £60,000 per annum.</p> <p>Additional fees per annum are awarded:</p> <ul style="list-style-type: none"> <li>• Senior Independent Director – £12,000</li> <li>• Chair of Audit &amp; Risk Committee – £10,000</li> <li>• Chair of Remuneration Committee – £10,000</li> </ul>                                                                                                                                              |
| Performance metrics    | None.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

#### Company-wide share plans

The following share schemes are offered to eligible employees. Executive Directors are eligible to participate as shown.

| Share Incentive Plan (SIP) UK |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|-------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purpose                       | To motivate, facilitate share ownership and align employees with shareholders.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Operation                     | <p>The Share Incentive Plan (SIP) is a tax-advantaged all-employee plan, supervised by the Remuneration Committee. Significant tax advantages apply if shares acquired under the plan are held for five years.</p> <p>UK employees, including Executive Directors, may be awarded free shares up to a maximum value of £3,600 each year.</p> <p>They may purchase partnership shares out of pre-tax salary up to £1,800 per tax year and may be awarded up to two free matching shares for each partnership share acquired (although no partnership purchase or matching has been implemented to date).</p> <p>The Board shall determine if and when further SIP awards will be made and the terms of those awards.</p> |
| Potential remuneration        | Up to £3,600 of free or matching shares per annum.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Performance metrics           | None.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |

**Save As You Earn Option Plan (SAYE)**

|                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purpose                | To motivate, facilitate share ownership and align employees with shareholders.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Operation              | <p>An 'all-employee' share option plan approved by HMRC and supervised by the Remuneration Committee.</p> <p>UK employees, including Executive Directors, may enter into a savings contract under which they agree to save a specified monthly amount for three or five years. At the end of the contract, participating employees may use the amount saved to exercise options with an exercise price of up to a 20% discount to the market share price at the outset.</p> <p>The Board shall determine if and when further SAYE awards will be made and the terms of SAYE participation.</p> |
| Potential remuneration | Under the plan, the maximum monthly savings amount is £500. Executive Directors are eligible to participate in these schemes.                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Performance metrics    | None.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |

**Poland, Ireland & US Share Schemes**

|                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purpose                | To motivate, facilitate share ownership and align employees with shareholders.                                                                                                                                                                                                                                                                                                                                                                                                           |
| Operation              | <p>The Group has implemented share schemes for employees in Poland and the Republic of Ireland to make share awards to these employees on similar terms and of a similar value to those made under the UK SAYE and SIP schemes. It has also implemented a share scheme for employees in the US on similar terms and of a similar value to that made under the UK SIP scheme.</p> <p>The Board shall determine if and when further awards will be made and the terms of those awards.</p> |
| Potential remuneration | Employees based in these countries may be eligible to participate in these plans, at similar levels to those offered to UK employees under the SAYE and SIP schemes. If Executive Directors were based in these countries, they would be able to participate in these schemes.                                                                                                                                                                                                           |
| Performance metrics    | None.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

**Service contracts – Executive Directors**

The key terms of the Executive Directors' contracts are summarised in the table below:

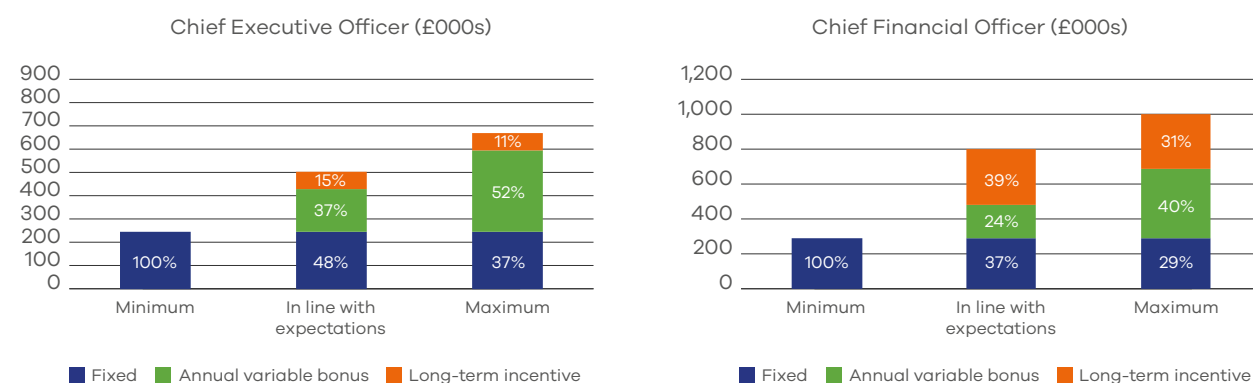
|                                        |                                                                                                                                                                                                                                                                                                                                                                                                             |
|----------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Provisions</b>                      |                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Term and notice</b>                 | Indefinite with 12 months' notice from either party.                                                                                                                                                                                                                                                                                                                                                        |
| <b>Payment</b>                         | Salary and discretionary annual bonus.                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Benefits and other entitlements</b> | Company pension contribution or payment in lieu of pension, private medical insurance and permanent health insurance.                                                                                                                                                                                                                                                                                       |
| <b>Termination</b>                     | May be terminated on 12 months' written notice served by either party. Kainos has a contractual right to pay the Executive Directors in lieu of all their notice and to place them on garden leave during all or part of their notice period. In the event of gross misconduct, their employment will be terminated with immediate effect without the requirement for notice or associated payment in lieu. |

## Corporate Governance

### Directors' Remuneration Report *continued*

#### Illustration of application of Remuneration Policy

The charts below provide estimates of the potential reward opportunities for each Executive Director in FY27, and the split between the different elements of remuneration under three different scenarios: 'minimum', 'in line with expectation' and 'maximum'.



In developing the scenarios, the Committee made the following assumptions:

|                                 |                                                                                                                                                                                                                                                                             |
|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Minimum</b>                  | <p>The fixed amount consists of base salary, benefits and pension.</p> <p>Base salary is the annual salary as at 31 March 2026.</p> <p>Benefits and pensions are measured using the figures in the single figure table for 2026.</p>                                        |
| <b>In line with expectation</b> | <p>Based on what a Director would receive if performance was in line with plan:</p> <ul style="list-style-type: none"> <li>Annual variable bonus pay-out at 100% for on-target performance.</li> <li>100% vesting of long-term incentive awards granted in FY26.</li> </ul> |
| <b>Maximum</b>                  | <p>Maximum pay-out of annual variable bonus is 150% of salary for both CEO and CFO.</p> <p>100% vesting of long-term incentive awards, granted in FY26.</p>                                                                                                                 |

Long-term incentives consist of share awards only and are measured at face value on date of grant, with no assumptions about the increase in share price or dividends.

#### Letters of appointment – Non-Executive Directors

The Non-Executive Directors have letters of appointment which may be terminated in certain circumstances, including the giving of three months' written notice by either party or failure to be re-elected by shareholders.

#### Payments for loss of office

In the event of termination, all Directors will receive payments for loss of office in accordance with the termination provisions of their service contract or letter of appointment.

The default position is that on loss of office, an Executive Director forfeits any right to any bonus payment which would otherwise have accrued in respect of that year. If an Executive Director is deemed a 'good leaver', they will be entitled to receive a pro-rated bonus for the proportion of the year that they worked.

The treatment of an Executive Director's share-based incentives will be determined based on the plan rules. The default treatment will be for outstanding unvested awards to lapse on leaving. For awards granted under the PSP, SIP or SAYE plans, 'good leaver' status may be applied in certain circumstances, and the awards may vest in full.

In respect of performance shares, awards of 'good leavers' will normally vest on the original vesting date, subject to achieving any performance conditions, with the award being pro-rated to reflect the portion of the vesting period elapsed when they leave. Under the plan rules, the Remuneration Committee may determine that awards vest at the point of departure, to the extent that performance conditions have been met at that point (as determined by the Committee acting reasonably) and pro-rated for time, unless the Remuneration Committee allows vesting to a greater extent.

### Remuneration Policy for new Directors

Non-Executive Directors will be appointed on terms substantially similar to the existing Non-Executive Directors and in accordance with the Remuneration Policy at the time.

If a new Executive Director is appointed, or an existing Executive Director agrees a new service contract, the contract would be subject to a notice period of no more than 12 months, with the Director entitled to receive salary, bonus and benefits and take part in the current share plans. The remuneration package for the new Director would be set in accordance with the Remuneration Policy at the time, while reflecting the individual's experience and skill.

The new Director's total remuneration would be consistent with comparable packages, and the Remuneration Committee will seek external advice to validate this. In the year of joining, the annual bonus and associated performance measures will be pro-rated.

When recruiting Executive Directors externally, the Remuneration Committee may need to offer additional one-off cash and/or share-based elements, when in the best interests of Kainos and its shareholders. Such payments would be limited to the remuneration the individual lost when leaving their former employer to join Kainos and would broadly reflect the delivery mechanism for the lost remuneration (for example, cash, shares or options), as well as the time horizons and whether performance requirements are attached to that remuneration. Shareholders will be informed of such payments at the time of appointment.

For an internal appointment, any variable pay element awarded in respect of the prior role would be allowed to pay out according to its terms, adjusted as relevant to take into account the appointment. Other ongoing remuneration obligations existing prior to appointment would continue as appropriate, provided they are put to shareholders for approval at the earliest opportunity.

For both external and internal appointments, the Remuneration Committee may agree that Kainos will meet reasonable relocation expenses, in line with market practice.

### Employees

Kainos offers total remuneration for employees that attracts, motivates and retains talented individuals.

Some employees may receive a bonus, which in many cases will be a percentage of salary, with elements determined by personal performance and the Group's financial performance.

For more senior employees, a higher proportion of remuneration is payable as a bonus.

The benefits available depend on market practice in each country. The pension scheme available to an employee varies according to location, with contributions at a competitive level for each country.

The Group's policy is to offer all employees the chance to take part in SIP or SAYE. More senior employees may receive discretionary share option awards.

When reviewing the Executive Directors' remuneration, the Remuneration Committee considers the pay and benefits of employees. In addition, the Committee consults with employee representatives who attend Remuneration Committee meetings periodically, to ensure that the Remuneration Policy aligns with our culture and employee experience.

### Flexibility, discretion and judgement

The Remuneration Committee developed this policy to ensure that it has sufficient flexibility to deal with unusual situations. As outlined in the policy tables, the Remuneration Committee retains flexibility to determine the objectives, weightings and target performance for the annual bonus at the start of each year. The Committee may also alter the performance criteria during the year, reflecting circumstances and the Group's performance, to ensure targets remain both challenging and appropriate.

Similarly, the Committee has flexibility to determine the conditions, weightings and target performance for share awards at the point awards are made. The Committee can also subsequently amend performance conditions, if events mean that the conditions are no longer a fair measure of performance. The alternative performance condition will be equally challenging.

## Corporate Governance

### Directors' Remuneration Report *continued*

#### Malus and clawback

The Group has a Malus and Clawback Policy, which is available from the Investor Relations section of the website. Under this policy, payments may be subject to malus and/or clawback if any of the following occur:

- **Individual misconduct**, including gross misconduct, breach of fiduciary duty, regulatory breach, non-compliance with Company policies or breach of post-employment restrictions.
- **Financial and business performance-related issues**, including material financial misstatements, significant corporate failure, failure to meet performance targets, reputational damage or excessive risk-taking with adverse impact.
- **External and regulatory triggers**, including regulatory investigations or sanctions, or customer detriment and misconduct.

The timeframes within which bonus and shares may be subject to malus and clawback are:

| Malus        |         |                                                                                                                                                            |
|--------------|---------|------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Bonus        | 1 year  | At any time during the relevant bonus year                                                                                                                 |
| Share awards | 3 years | From the award date. Shares vest three years after the award date and malus can apply to reduce or cancel a share award at any time up to the vesting date |
| Clawback     |         |                                                                                                                                                            |
| Bonus        | 2 years | From the date of payment of the bonus                                                                                                                      |
| Share awards | 2 years | From the share vesting date                                                                                                                                |

These timeframes are appropriate because:

- the malus timeframe covers the period up to the point when the relevant awards are paid (for annual bonus) or vest (for share awards), allowing adjustment before payment is made; and
- the two year clawback period (from bonus payment/award vesting) is considered proportionate, provides sufficient time to identify relevant triggers (including misstatement, regulatory breach or misconduct) and, for Executive Director share awards, aligns with the additional holding period.

#### External appointments

Executive Directors may accept appointments as Non-Executive Directors of other companies, provided that the appointments do not conflict with their duties or time commitments to Kainos. Any external appointment is subject to written approval from the Board. The Executive Director is entitled to retain the fees from such appointments.

Information on the Committee's responsibilities, membership and activities in the year can be found in the Statement from the Chair of the Remuneration Committee.

### Remuneration details

The following tables set out the remuneration for each Director for the years ended 31 March 2026 and 31 March 2025.

#### Single total figure of remuneration for Executive Directors (audited)

| Name                          | Year | Salary | Benefits <sup>(1)</sup> | Bonus | Pension <sup>(2)</sup> | Other <sup>(3)</sup> | Incentive vested <sup>(6)</sup> | Total | Total fixed | Total variable |
|-------------------------------|------|--------|-------------------------|-------|------------------------|----------------------|---------------------------------|-------|-------------|----------------|
| All amounts in (£000s)        |      |        |                         |       |                        |                      |                                 |       |             |                |
| Brendan Mooney <sup>(4)</sup> | 2026 | 227    | 1                       | 191   | 11                     | 2                    | 11                              | 443   | 239         | 204            |
|                               | 2025 | 69     | –                       | 16    | 3                      | 2                    | 10                              | 100   | 72          | 28             |
| Richard McCann                | 2026 | 275    | 1                       | 198   | 14                     | 2                    | 28                              | 518   | 290         | 228            |
|                               | 2025 | 275    | 1                       | 56    | 14                     | 2                    | 18                              | 366   | 290         | 76             |
| Russell Sloan <sup>(5)</sup>  | 2026 | –      | –                       | –     | –                      | –                    | –                               | –     | –           | –              |
|                               | 2025 | 264    | 1                       | 47    | 13                     | 2                    | 28                              | 355   | 278         | 77             |

(1) Benefits is the taxable value of private health insurance received by Executive Directors.

(2) Pension amounts for Brendan Mooney and Richard McCann are payments in lieu of pension.

(3) Other relates to the award of SIP shares. The SIP award to Brendan Mooney in FY25 was prior to his reappointment as CEO.

(4) Brendan Mooney was reappointed as CEO effective 11 December 2024. For FY25, the table above includes his base salary payments from 11 December 2024 to 31 March 2025 (annual base salary £226,600).

(5) Russell Sloan stepped down as CEO effective 11 December 2024. For FY25, the table above includes his base salary payments from 1 April 2024 to 11 December 2024 (annual base salary £380,000).

(6) The 2021 PSPs vested during FY25. The award to Russell Sloan, although granted prior to his appointment as CEO, vested during his tenure as CEO, and its value at vesting date has been included in the table above.

#### Single total figure of remuneration for Non-Executive Directors (audited)

| Name                             | Year | Fees |
|----------------------------------|------|------|
| All amounts in (£000s)           |      |      |
| Rosaleen Blair <sup>(1)</sup>    | 2026 | 140  |
|                                  | 2025 | 100  |
| James Kidd <sup>(2)</sup>        | 2026 | 82   |
|                                  | 2025 | 73   |
| Katie Davis                      | 2026 | 70   |
|                                  | 2025 | 68   |
| Shruthi Chindalur <sup>(3)</sup> | 2026 | 31   |
|                                  | 2025 | –    |
| Tom Burnet <sup>(4)</sup>        | 2026 | –    |
|                                  | 2025 | 61   |
| Andy Malpass <sup>(4)</sup>      | 2026 | –    |
|                                  | 2025 | 34   |

(1) Rosaleen Blair's remuneration for FY25 reflects her appointment as Chair of the Board from 24 September 2024.

(2) James Kidd's remuneration for FY25 includes the additional payments as Chair of the Audit & Risk Committee and SID from 24 September 2024.

(3) Shruthi Chindalur was appointed to the Board with effect from 24 September 2025.

(4) Tom Burnet and Andy Malpass's remuneration for FY25 is for the period from 1 April 2024 to 24 September 2024, when they retired from the Board.



## Corporate Governance

### Annual Report on Remuneration *continued*

#### Annual bonus (audited)

| Objective               | Weighting | Target performance (£ million) | Threshold performance (£ million) | Outcome (£ million) | Eligible bonus pay-out |                        |
|-------------------------|-----------|--------------------------------|-----------------------------------|---------------------|------------------------|------------------------|
|                         |           |                                |                                   |                     | Brendan Mooney (£000s) | Richard McCann (£000s) |
| Revenue                 | 30%       | 394.4                          | 355.2                             | 431.1               | 64                     | 66                     |
| Adjusted pre-tax profit | 40%       | 69.5                           | 55.6                              | 67.1                | 68                     | 70                     |
| Bookings                | 30%       | 458.7                          | 275.2                             | 505.3               | 59                     | 62                     |
| Totals                  | 100%      |                                |                                   |                     | <b>191</b>             | <b>198</b>             |

Under the Remuneration Policy, the maximum annual bonus opportunity is 150% of salary for the CEO and CFO. The bonuses payable to Brendan Mooney and Richard McCann are 84% and 72% of salary respectively.

As per the Remuneration Policy, one-third of the annual bonus amount will be deferred for a period of three years and then paid in cash or shares.

#### FY26 Performance Share Plan (PSP) granted (audited)

On 2 June 2025, the Executive Directors were awarded the following the PSP awards. The awards are share options with a nominal exercise price of £0.005 per option and do not have the right to dividend payments or equivalent until the options have been exercised.

| Executive Director | Date of grant | No. of ordinary shares under option | Face value <sup>(1)</sup> (£000s) | Exercise price per ordinary share | First exercise date | Lapsing date |
|--------------------|---------------|-------------------------------------|-----------------------------------|-----------------------------------|---------------------|--------------|
| Brendan Mooney     | 2 June 2025   | 10,094                              | 74                                | £0.005                            | June 2030           | June 2035    |
| Richard McCann     | 2 June 2025   | 41,829                              | 305                               | £0.005                            | June 2030           | June 2035    |

(1) Calculated using the grant price of £7.30.

The awards are subject to the following performance conditions. The EPS and TSR conditions are measured over the three financial years commencing 1 April 2025. The Responsible Company criteria must be achieved by 31 March 2028:

| Performance condition                                                 | Weighting | Minimum performance                                                      | Mid performance                                        | Maximum performance                                                                               |
|-----------------------------------------------------------------------|-----------|--------------------------------------------------------------------------|--------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| Earnings per share (EPS) growth                                       | 50%       | 30% vesting for growth of 5%                                             | Linear vesting between minimum and maximum performance | 100% vesting if growth is 13% or higher                                                           |
| Total shareholder return (TSR) performance versus FTSE techMARK Index | 30%       | 30% vesting if Company performance is at mean average index price growth | Linear vesting between minimum and maximum performance | 100% vesting if Company performance is at or above mean average index price growth plus 4% points |
| Responsible Company – Workforce engagement                            | 10%       | Workforce engagement (10%): 30% vesting for score of 7+                  | Linear vesting between minimum and maximum performance | Workforce engagement: 100% vesting for score of 7.7+                                              |
| Responsible Company – Scope 3 carbon emissions                        | 10%       | N/A                                                                      | N/A                                                    | Reduction in the intensity of scope 3 carbon emissions of 45%.                                    |

### FY25 Performance Share Plan (PSP) granted (audited)

On 23 June 2025, Brendan Mooney was awarded the following the PSP awards. Brendan was reappointed as CEO on 11 December 2024 and did not participate in the performance share awards to the Executive Directors in June 2024. This award therefore relates to the period between his reappointment and 31 March 2025.

The awards are share options with a nominal exercise price of £0.005 per option and do not have the right to dividend payments or equivalent until the options have been exercised.

| Executive Director | Date of grant | No. of ordinary shares under option | Face value <sup>(1)</sup> (£000s) | Exercise price per ordinary share | First exercise date | Lapsing date |
|--------------------|---------------|-------------------------------------|-----------------------------------|-----------------------------------|---------------------|--------------|
| Brendan Mooney     | 23 June 2025  | 2,936                               | 22                                | £0.005                            | June 2030           | June 2035    |

(1) Calculated using the grant price of £7.41.

The awards are subject to the following performance conditions. The EPS and TSR conditions are measured over the three financial years commencing 1 April 2024. The Responsible Company criteria must be achieved by 31 March 2027:

| Performance condition                                                 | Weighting | Minimum performance                                                      | Mid performance                                        | Maximum performance                                                                               |
|-----------------------------------------------------------------------|-----------|--------------------------------------------------------------------------|--------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| Earnings per share (EPS) growth                                       | 40%       | 30% vesting for growth of 5%                                             | Linear vesting between minimum and maximum performance | 100% vesting if growth is 13% or higher                                                           |
| Total shareholder return (TSR) performance versus FTSE techMARK Index | 30%       | 30% vesting if Company performance is at mean average index price growth | Linear vesting between minimum and maximum performance | 100% vesting if Company performance is at or above mean average index price growth plus 4% points |
| Responsible Company <sup>(1)</sup>                                    | 30%       | N/A                                                                      | N/A                                                    | N/A                                                                                               |

(1) Responsible Company reflects strategic priorities in the areas of diversity, workforce engagement, climate action and customer satisfaction. Includes: 37% of senior management roles held by women (10% vesting), latest available staff engagement score of 7 or above (10% vesting), reduction in the intensity of Scope 3 carbon emissions of 45% (5% vesting) and latest available customer Net Promoter Score of more than 30 (5% vesting).

### FY26 SIP and SAYE schemes granted (audited)

The Executive Directors are entitled to participate in the SIP and SAYE schemes, on the same terms as all other employees with the same length of service.

The SIP shares awarded on 13 November 2025 to Executive Directors are shown below:

| Executive Director | 2025 SIP shares | Face value <sup>(1)</sup> (£000s) | Vesting period                     |
|--------------------|-----------------|-----------------------------------|------------------------------------|
| Brendan Mooney     | 220             | 2                                 | Three years from the date of grant |
| Richard McCann     | 220             | 2                                 | Three years from the date of grant |

(1) Calculated using the grant price of £9.74.

**Corporate Governance**Annual Report on Remuneration *continued***FY23 PSP awards vested in FY26 (audited)**

The performance measurement period for the June 2022 PSP awards ended on 31 March 2025, with the following outcome:

| Award     | Measure                   | Weighting | Vesting scale                                                                                                                                                                                                                          | Performance achieved | % of award vesting |
|-----------|---------------------------|-----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|--------------------|
| June 2022 | EPS                       | 25%       | No vesting if EPS growth below 5% p.a., 30% of awards vest if EPS growth equals 5% p.a. and 100% vests if EPS growth exceeds 13% p.a. Straight-line pro-rata basis from 30% to 100% if EPS growth exceeds 5% but is less than 13% p.a. | (0.23)%              | 0%                 |
| June 2022 | TSR (FTSE techMARK Index) | 45%       | Minimum performance: 30% vesting at median performance.<br><br>Maximum performance: 100% vesting if in upper quartile.<br><br>Mid performance: Linear vesting between minimum and maximum performance.                                 | (4.2)%               | 0%                 |
| June 2022 | Responsible Company       | 30%       | Responsible Company reflects strategic priorities in the areas of diversity, workforce engagement, climate action and customer satisfaction.                                                                                           | 66.67%               | 20%                |

| Executive Director | No. of shares | % vested | Number of shares vested | Number of shares lapsed | Share price at vesting date | Value at vesting date (£000s) |
|--------------------|---------------|----------|-------------------------|-------------------------|-----------------------------|-------------------------------|
| Brendan Mooney     | 6,753         | 20%      | 1,350                   | 5,403                   | £7.34                       | 10                            |
| Richard McCann     | 7,493         | 20%      | 1,498                   | 5,995                   | £7.34                       | 11                            |

**FY24 PSP awards (audited)**

The outcomes of the PSP awards in June and December 2023 are shown below. The measurement period for the performance conditions ended on 31 March 2026.

| Award     | Measure                                    | Weighting | Vesting scale                                                                                                                                                                                                                          | Performance achieved | % of award vesting |
|-----------|--------------------------------------------|-----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|--------------------|
| June 2023 | EPS                                        | 25%       | No vesting if EPS growth below 5% p.a., 30% of awards vest if EPS growth equals 5% p.a. and 100% vests if EPS growth exceeds 13% p.a. Straight-line pro-rata basis from 30% to 100% if EPS growth exceeds 5% but is less than 13% p.a. | (1.2)%               | 0%                 |
| June 2023 | TSR performance versus FTSE techMARK index | 45%       | 30% vesting if Company performance is at mean average index price growth. Linear vesting between minimum and maximum performance. 100% vesting if Company performance is at or above mean average index price growth plus 4% points.   | (9.3)%               | 0%                 |
| June 2023 | Responsible Company                        | 30%       | Responsible Company reflects strategic priorities in the areas of diversity, workforce engagement, climate action and customer satisfaction.                                                                                           | 66.7%                | 20%                |

| Executive Director | No. of shares | % vested | Number of shares vested | Number of shares lapsed | Share price at end of performance period | Value at end of performance period (£000s) |
|--------------------|---------------|----------|-------------------------|-------------------------|------------------------------------------|--------------------------------------------|
| Brendan Mooney     | 5,556         | 20%      | 1,111                   | 4,445                   | £7.30                                    | 8                                          |
| Richard McCann     | 17,019        | 20%      | 3,403                   | 13,616                  | £7.30                                    | 25                                         |

## Payments to past Directors (audited)

### Russell Sloan

As set out in the FY25 Annual Report, Russell stepped down as CEO on 11 December 2024 and his employment with Kainos ended on 10 December 2025 (termination date).

From 1 April 2025 to 10 December 2025, Russell received:

- £265,026 in base salary payments.
- FY25 bonus payment of £31,858. The total FY25 bonus for Russell, pro-rated for the time he was CEO, is £47,786. Two thirds (£31,858) was paid during the year and the remaining third deferred for three years in accordance with our remuneration policy.
- £851 in taxable benefits.

His existing share awards continued to vest in line with their original terms, subject to applicable performance conditions, post-vesting holding periods and malus and clawback. During the year, the June 2022 PSP award vested at 20%, as a result of which he received 1,387 share options, with a value at the end of the vesting period of £10,181.

## Directors' shareholdings (audited)

The interests in the Company's ordinary shares of the Directors in office at 31 March 2026, including their connected persons, were:

| Name              | Shares               |                                    |                                        | Options                   |                              |                          |                           |
|-------------------|----------------------|------------------------------------|----------------------------------------|---------------------------|------------------------------|--------------------------|---------------------------|
|                   | Current shareholding | SIP shares (available to withdraw) | SIP shares (not available to withdraw) | With performance measures | Without performance measures | Vested but not exercised | Exercised during the year |
| Brendan Mooney    | 10,736,558           | 5,199                              | 620                                    | 18,586                    | 575                          | 1,350                    | 117,496                   |
| Richard McCann    | 4,631,476            | 4,048                              | 620                                    | 84,799                    | 575                          | 131,819                  | 544                       |
| Rosaleen Blair    | 10,000               | N/A                                | N/A                                    | N/A                       | N/A                          | N/A                      | N/A                       |
| Shruthi Chindalur | –                    | N/A                                | N/A                                    | N/A                       | N/A                          | N/A                      | N/A                       |
| Katie Davis       | 6,400                | N/A                                | N/A                                    | N/A                       | N/A                          | N/A                      | N/A                       |
| James Kidd        | –                    | N/A                                | N/A                                    | N/A                       | N/A                          | N/A                      | N/A                       |

Dividend equivalent payments are not made in respect of options held.

No other changes in the Directors' interests took place between 31 March 2026 and 30 April 2026.

## Share ownership guideline for Executive Directors

The Remuneration Committee has guidelines for the value of the Executive Directors' shareholdings in Kainos. A minimum shareholding requirement of 200% of annual salary, over a four-year period, applies. In addition, Executive Directors are required to retain shares post-employment equal to 200% of annual salary (or their actual shareholding on departure if that is lower) for a minimum of two years post-employment.

|                | Shareholding requirement (% of salary) | Shareholding requirement met |
|----------------|----------------------------------------|------------------------------|
| Brendan Mooney | 200%                                   | Yes                          |
| Richard McCann | 200%                                   | Yes                          |
| Russell Sloan  | 200%                                   | Note 1                       |

(1) Russell Sloan is required to retain shares held on stepping down as CEO for a two-year period from his termination date.

There is no shareholding guideline for the Non-Executive Directors.

The shareholding requirement has been assessed in relation to the annual base salaries of Executive Directors as at 31 March 2026 and a closing share price of £7.30 on that date.

The following shares count towards the required holding amount:

- shares owned by the Executive Directors in their own name; and
- SIP shares which are available to withdraw.

Unvested or unexercised awards under our share plans do not count towards the ownership target.

## Corporate Governance

### Annual Report on Remuneration *continued*

#### Malus and clawback

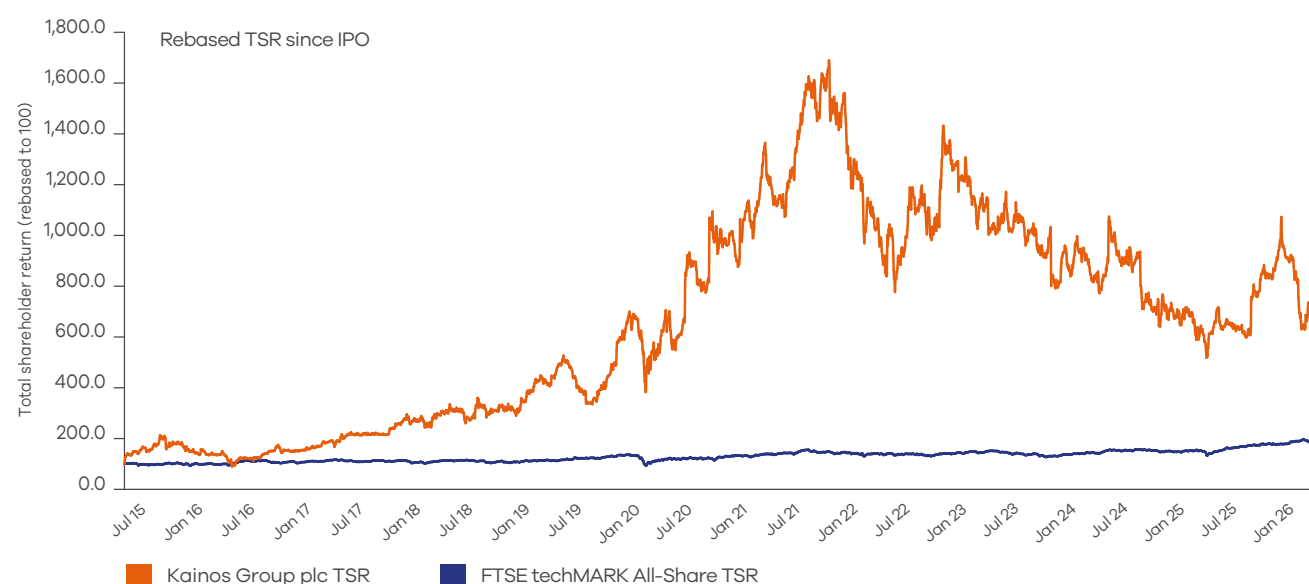
The Company has not used its malus and clawback provisions during the year ended 31 March 2026.

#### Performance graphs and comparator tables

The Board believes that the FTSE techMARK All-Share Index provides the best benchmark for comparing the Company's performance. It is also the index we use as a performance criterion for PSPs.

Our TSR performance against the FTSE techMARK All-Share Index TSR, from the date of IPO in July 2015 to the end of 31 March 2026, is shown below. The Kainos share price and the FTSE techMARK All-Share Index are both rebased to 100 at the start of the period.

#### Kainos TSR performance against FTSE techMARK All-Share Index



#### CEO remuneration (10-year analysis)

The table below sets out the CEO's total remuneration over the last 10 years, valued using the methodology applied to the single total figure of remuneration.

|                     | CEO single figure of total remuneration (£000s) | Annual bonus pay-out against maximum (%) | Long-term incentive vesting rates against maximum opportunity (%) |
|---------------------|-------------------------------------------------|------------------------------------------|-------------------------------------------------------------------|
| <b>2026</b>         | <b>443</b>                                      | <b>56</b>                                | <b>20</b>                                                         |
| 2025 <sup>(1)</sup> | 455                                             | 20                                       | 37                                                                |
| 2024 <sup>(1)</sup> | 572                                             | 35                                       | 100                                                               |
| 2023                | 580                                             | 54                                       | 100                                                               |
| 2022                | 645                                             | 59                                       | 100                                                               |
| 2021                | 591                                             | 65                                       | 100                                                               |
| 2020                | 683                                             | 51                                       | 100                                                               |
| 2019                | 1,036                                           | 65                                       | 96                                                                |
| 2018                | 423                                             | 53                                       | N/A                                                               |
| 2017                | 399                                             | 46                                       | N/A                                                               |

(1) CEO remuneration is the total remuneration for the role of CEO. For FY24 and FY25 it includes remuneration for Brendan Mooney and Russell Sloan as per the single table of remuneration.

### CEO to employee pay ratio

The following table sets out the ratio of the CEO's latest single total figure of remuneration versus UK full-time equivalent (FTE) employees' remuneration.

| Year        | Method   | 25th percentile pay ratio | Median pay ratio | 75th percentile pay ratio |
|-------------|----------|---------------------------|------------------|---------------------------|
| <b>2026</b> | <b>A</b> | <b>9.9:1</b>              | <b>6.3:1</b>     | <b>4.5:1</b>              |
| 2025        | A        | 11.4:1                    | 7.0:1            | 4.9:1                     |

- The Committee has adopted option A as its preferred method for calculating the pay ratio for the year ended 31 March 2026. The Committee considered this is the most efficient and robust approach to gathering data for the year.
- The salaries and wages of UK staff were used to calculate an equivalent single figure of remuneration.
- For 2025, the total single figure used to derive the CEO pay ratio is a combination of the two individuals in position of CEO during the year.
- The wages and salaries figures for the median, 25th and 75th percentile employees used in the pay ratio calculation are as follows:

|                    | Y25  | Y50  | Y75  |
|--------------------|------|------|------|
| Wages and salaries | £45k | £71k | £99k |

### Percentage change in remuneration

The tables below show the percentage change in remuneration for each Director and all UK employees, for both the current and prior periods. The Committee considers the comparator group of all UK employees to be representative of Kainos as a whole and a global comparator group would not result in a material variance.

#### Executive Directors

Percentage increase in remuneration in 2026 compared with remuneration in 2025:

|                                | Brendan Mooney <sup>(2)</sup> | Richard McCann | Employees |
|--------------------------------|-------------------------------|----------------|-----------|
| Salary and fees <sup>(1)</sup> | 226.3%                        | 0%             | 4.7%      |
| All taxable benefits           | 229.4%                        | (2.1%)         | 5.8%      |
| Annual bonuses                 | 1065.1%                       | 254.3%         | 86.1%     |

(1) Executive Directors' salary movements calculated using the single total figure of remuneration.

(2) Brendan Mooney's remuneration for FY25 is from his reappointment as CEO on 11 December 2024.

The percentage growth in Brendan Mooney's remuneration in FY26 reflects his reappointment as CEO on 11 December 2024, with the FY25 comparative therefore including less than four months' remuneration. The percentage growth in bonus payments for both the Executive Directors also reflects the significant improvement in the Group's financial performance in FY26, which resulted in bonuses of 84% of salary for Brendan Mooney and 72% of salary for Richard McCann. In FY25, they received bonuses of 23% and 20% of salary respectively, with Brendan's also being pro-rated for the period he was in the CEO role in that year.

Percentage increase in remuneration in 2025 compared with remuneration in 2024:

|                                | Brendan Mooney <sup>(2)</sup> | Richard McCann | Russell Sloan <sup>(3)</sup> | Employees |
|--------------------------------|-------------------------------|----------------|------------------------------|-----------|
| Salary and fees <sup>(1)</sup> | (38.9%)                       | 1.5%           | 39.5%                        | 11.3%     |
| All taxable benefits           | 0.0%                          | 0.0%           | N/A                          | 9.7%      |
| Annual bonuses                 | (75.8%)                       | (61.4%)        | (49.5%)                      | (45.3%)   |

(1) Executive Directors' salary movements calculated using the single total figure of remuneration.

(2) Remuneration included for Brendan Mooney from his reappointment as CEO on 11 December 2024.

(3) Remuneration included for Russell Sloan up to 11 December 2024, when he stepped down as CEO.

## Corporate Governance

### Annual Report on Remuneration *continued*

#### Non-Executive Directors

Percentage increase in remuneration in 2026 compared with remuneration in 2025:<sup>(1)</sup>

|                      | Rosaleen Blair <sup>(2)</sup> | Katie Davis | James Kidd <sup>(3)</sup> | Shruthi Chindalur <sup>(4)</sup> | Employees |
|----------------------|-------------------------------|-------------|---------------------------|----------------------------------|-----------|
| Salary and fees      | 40%                           | 2.9%        | 12.3%                     | N/A                              | 4.7%      |
| All taxable benefits | –                             | –           | –                         | N/A                              | 5.8%      |
| Annual bonuses       | –                             | –           | –                         | N/A                              | 86.1%     |

(1) Calculated using the single total figure of remuneration table.

(2) Rosaleen Blair was appointed Chair of the Board on 24 September 2024 and received the Chair's fee from that date.

(3) James Kidd was appointed Senior Independent Director and Chair of the Audit & Risk Committee on 24 September 2024 and received additional fees for those roles from that date.

(4) Shruthi Chindalur was appointed to the Board on 24 September 2025.

Percentage increase in remuneration in 2025 compared with remuneration in 2024:<sup>(1)</sup>

|                      | Rosaleen Blair <sup>(2)</sup> | Katie Davis | James Kidd <sup>(3)</sup> | Andy Malpass <sup>(4)</sup> | Tom Burnet <sup>(4)</sup> | Employees |
|----------------------|-------------------------------|-------------|---------------------------|-----------------------------|---------------------------|-----------|
| Salary and fees      | 100.0%                        | 17.2%       | 192.0%                    | (50.0%)                     | (39.0%)                   | 11.3%     |
| All taxable benefits | –                             | –           | –                         | –                           | –                         | 9.7%      |
| Annual bonuses       | –                             | –           | –                         | –                           | –                         | (45.3%)   |

(1) Calculated using the single total figure of remuneration table.

(2) Rosaleen Blair was appointed Chair of the Board on 24 September 2024 and received the Chair's fee from that date.

(3) James Kidd was appointed Senior Independent Director and Chair of the Audit & Risk Committee on 24 September 2024 and received additional fees for those roles from that date.

(4) Tom Burnet and Andy Malpass retired from the Board on 24 September 2024.

#### Relative importance of spend on pay

As a digital technology business with a growth strategy focused on organic development, our primary costs are related to our employees. The profit, corporation tax and dividend figures have been included to provide greater context to staff remuneration.

|                         | 2026<br>(£000s) | 2025<br>(£000s) | Change<br>(£000s) | Change<br>% |
|-------------------------|-----------------|-----------------|-------------------|-------------|
| Staff remuneration      | 273,861         | 259,119         | 14,742            | 6%          |
| Profit before tax       | 58,111          | 48,640          | 9,471             | 19%         |
| Corporation tax         | 15,611          | 13,080          | 2,531             | 19%         |
| Effective tax rate      | 27%             | 27%             | –                 | –%          |
| Dividends paid          | 34,632          | 35,748          | (1,116)           | (3)%        |
| Share buyback programme | 56,210          | 22,785          | 33,425            | 147%        |



**Directors' remuneration for the year commencing 1 April 2026**

|                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|--------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Salary</b>                              | <p>Annual salary reviews for the Executive Directors take place in June each year and any change to their salaries for the remainder of FY27 will therefore be disclosed in next year's annual report.</p> <p>The Remuneration Committee will continue to monitor the remuneration of Executive Directors against other companies in the IT sector and other listed companies with similar market capitalisation, to ensure that the Executive Directors remain sufficiently rewarded to promote long-term success. The Remuneration Committee will also consider salary increases across the wider workforce.</p> |
| <b>Benefits</b>                            | There is no expected change to the value of Executive Directors' benefits in the year commencing 1 April 2026.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Pension</b>                             | There is no expected change to the value of Executive Directors' pension contributions in the year commencing 1 April 2026.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Annual bonus</b>                        | <p>Annual bonus for the year commencing 1 April 2026 will be determined by the policy disclosed in this report. Executive Directors will defer one-third of the annual bonus payable in June 2027 for three years.</p> <p>The targets for the annual bonus for FY27 are not disclosed in this report, as that information is deemed commercially sensitive and may be interpreted to be a forecast. The targets will be disclosed in the 2027 Annual Report.</p>                                                                                                                                                   |
| <b>Long-term incentives</b>                | The Remuneration Committee intends to make further performance share awards in mid-2026. These will be made in line with the Remuneration Policy. The Committee will determine the levels, performance conditions, weighting and growth targets to be applied at the time of award and disclose them in the 2026 Annual Report.                                                                                                                                                                                                                                                                                    |
| <b>Non-Executive Director remuneration</b> | The Non-Executive Directors' annual fees are set out in the 'Remuneration Policy' section of this report. These fees are unchanged compared with the prior year.                                                                                                                                                                                                                                                                                                                                                                                                                                                   |

On behalf of the Board



**Katie Davis**

Chair of the Remuneration Committee  
15 May 2026

## Corporate Governance

# DIRECTORS' REPORT



The Directors present their report and the audited financial statements for Kainos Group plc (company number 09579188) for the year ended 31 March 2026. These will be laid before the shareholders at the AGM to be held on 22 September 2026. The Corporate Governance Report is incorporated by reference into this Directors' Report.

## Forward-looking statements

All sections of the Annual Report contain certain forward-looking statements which, by their nature, involve risk and uncertainty. The forward-looking statements are based on the knowledge and information available at the date of preparation and on what are believed to be reasonable judgements. A wide range of factors may cause the actual results to differ materially from those contained within, or implied by, these forward-looking statements.

The forward-looking statements should not be construed as a profit forecast.

## Other statutory disclosures

In accordance with Section 414C (11) of the Companies Act 2006, to the extent they are not addressed in the Directors' Report, the disclosures relating to the following matters are included in the Strategic Report:

- environmental matters (including greenhouse gas emissions and the impact of the Group's business on the environment) – pages 30 to 39;
- financial performance, position and dividends – pages 54 to 59;
- the Group's employees (including equal opportunities, gender diversity and employee engagement) – pages 40 to 45;
- details of research and development activities – page 29; and
- social, community and human rights issues – pages 46 to 51.

Information on the Group's financial instruments and risk management objectives and policies, including our policy for hedging is provided in note 26 of the financial statements.

## Directors

The Directors who held office during the year are detailed within the Corporate Governance Report.

## Political donations

No political donations were made during the year ended 31 March 2026 (2025: £Nil).

## Off-balance sheet arrangements

There are no off-balance sheet arrangements. Details of the trusts relating to Kainos' share incentive plans are set out in note 24 to the consolidated financial statements. The shares held by the trust rank pari passu with all the other shares in issue and have no special rights.

### Information required by the Listing Rules

For the purposes of LR9.8.4C R, the information required to be disclosed by LR9.8.4 R can be found in the following locations:

| Section topic                                                     | Location                       |
|-------------------------------------------------------------------|--------------------------------|
| <b>1</b> Interest capitalised                                     | Not applicable                 |
| <b>2</b> Publication of unaudited financial information           | Not applicable                 |
| <b>4</b> Details of long-term incentive schemes                   | Directors' Remuneration Report |
| <b>5</b> Waiver of emoluments by a Director                       | Not applicable                 |
| <b>6</b> Waiver of future emoluments by a Director                | Not applicable                 |
| <b>7</b> Non-pre-emptive issues of equity for cash                | Not applicable                 |
| <b>8</b> Section (7) in relation to major subsidiary undertakings | Not applicable                 |
| <b>9</b> Parent participation in a placing by a listed subsidiary | Not applicable                 |
| <b>10</b> Contracts of significance                               | Directors' Report              |
| <b>11</b> Provision of services by a controlling shareholder      | Not applicable                 |
| <b>12</b> Shareholder waivers of dividends                        | Not applicable                 |
| <b>13</b> Shareholder waivers of future dividends                 | Not applicable                 |
| <b>14</b> Agreements with controlling shareholders                | Not applicable                 |

### Share capital and Articles of Association

Details of the called-up and fully paid share capital are set out in note 23 to the consolidated financial statements. The rights and obligations attaching to the shares and the powers of the Directors are set out in the Articles of Association, copies of which can be obtained from Companies House. There are no restrictions on the voting rights attached to the shares and no person holds securities carrying special rights regarding control.

### Authority to purchase own shares

Kainos holds a general authority to purchase up to 12,095,395 ordinary shares in the market. This represented approximately 10% of Kainos' issued share capital as at 14 August 2025, as approved by shareholders at the 2025 AGM. The Company announced two share buyback programmes in FY26, details of which can be found in the Financial Review on page 57.

A similar authority will be requested at the forthcoming AGM, again limited to a maximum of 10% of the issued share capital. The Board intends to exercise this authority only if it believes it will lead to an increase in earnings per share for the remaining shareholders.

### Appointment and replacement of Directors

The appointment and replacement of Directors is governed by the Articles of Association and the Nominations Committee's terms of reference. The Articles of Association may be amended by a special resolution.

### Directors' indemnities

At the date of this Directors' Report, indemnities are in force under which Kainos has agreed to indemnify the Directors and the Company Secretary to the extent permitted by law, and by Kainos Group plc's Articles of Association in respect of losses arising in their capacity as Director or officer of any member of the Kainos Group.

### Directors' and officers' liability insurance

Kainos has purchased and maintained throughout the year Directors' and officers' liability insurance in respect of itself and its Directors and officers.

### Conflicts of interest

At the beginning of each Board meeting, the Directors are reminded of their obligations to identify, declare and manage actual or potential conflicts of interest. The Articles of Association set out the process for the Directors to consider and, if they deem fit, authorise such conflicts. Any conflict would be recorded in the Board minutes and on a register maintained for annual review by the Nominations Committee and the Board.

No conflicts arose in the year ended 31 March 2026.

## Corporate Governance

### Directors' Report *continued*

#### Disclosure of information to auditor

The Directors who held office at the date of approval of the Directors' Report confirm that, so far as they are each aware, there is no relevant audit information of which the auditor is unaware, and each Director has taken the steps that he or she ought to have taken as a Director to ascertain any relevant audit information and to establish that the auditor is aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of Section 418 of the Companies Act 2006.

#### Auditor

In accordance with Section 489 of the Companies Act 2006, a resolution for the reappointment of KPMG as auditor of the Company is to be proposed at the forthcoming AGM.

#### Significant agreements – change of control

Group companies are subject to certain customer contracts, which require them to notify the customer of a change of control of the Group. In some instances, this may allow the customer to terminate its contracts with the Group. The Directors are not aware of, and do not anticipate, any circumstances where any customer would wish to trigger its termination rights under such change of control provisions.

The only significant agreements with change of control provisions are the share incentive plans. Under the CSOP, SAYE and Polish share plans, on a change of control, options and awards that have not lapsed would generally vest in full. Awards under the PSP rules would also vest, subject to the satisfaction of any performance conditions at the time, but these would be time pro-rated.

Kainos is not party to any other significant agreements that take effect, alter or terminate upon a change of control following a takeover or upon a takeover bid.

#### Principal shareholders

Information provided to the Company pursuant to the Financial Conduct Authority's (FCA) Disclosure Guidance and Transparency Rules (DTRs) is published on a Regulatory Information Service and on the Company's website. As at 31 March 2026, the following information had been received, in accordance with DTR5, from holders of notifiable interests in the Company's issued share capital. It should be noted that these holdings may have changed since notified to the Company. The following have disclosed that they (including persons closely connected, where appropriate) have an interest in 3% or more of the issued ordinary share capital.

| Investor                       | Ordinary<br>0.5p shares | % of issued<br>share capital |
|--------------------------------|-------------------------|------------------------------|
| Qubis Limited                  | 10,995,528              | 9.34                         |
| Brendan and Eileen Mooney      | 10,736,558              | 9.12                         |
| Baillie Gifford & Co           | 7,485,280               | 6.36                         |
| Liontrust Asset Management plc | 5,910,090               | 5.02                         |
| Paul Gannon                    | 6,125,533               | 5.20                         |
| Richard McCann                 | 4,631,476               | 3.93                         |
| Dr. Brian Gannon               | 4,285,675               | 3.64                         |

#### Going concern

Our business activities and position in our markets are described in the Operational Review, Our Markets and Risk factors and uncertainties sections of the Strategic Report. The financial position, cash flows and liquidity position are described in the Financial Review and the notes to the consolidated financial statements. In addition, the notes to the consolidated financial statements include our objectives, policies and processes for managing our capital, our financial risk management objectives and our exposures to credit and liquidity risk.

Having reviewed the plans and projections for our business and our current financial position, the Board believes that we are well placed to manage our business risks successfully. We have adequate financial resources, no borrowings, a good level of recurring revenue and a broad spread of customers. As a consequence, and having reviewed the forecasts for the coming year, the Board has a reasonable expectation that we have adequate resources to continue in operational existence for the foreseeable future, a period of not less than 12 months from the date of this report. For this reason, we continue to adopt the going concern basis of accounting in preparing the annual financial statements.

### Long-term viability

The full Viability Statement and the associated explanations made in accordance with Provision 31 of the Code can be found in the Strategic Report.

### Directors' responsibilities statement in respect of the Annual Report and the financial statements

The Directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare Group and Company financial statements for each financial year. Under that law they are required to prepare the Group financial statements in accordance with UK adopted international accounting standards and applicable law. The Directors have elected to prepare the Company financial statements in accordance with FRS 101 Reduced Disclosure Framework and applicable law.

Under Company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Group and Company and of the Group's profit or loss for that year.

In preparing the Group and Company financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable, relevant, reliable and prudent;
- state whether applicable Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Group and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Group or the Company or to cease operations, or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that its financial statements comply with the Companies Act 2006. They are responsible for such internal controls as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Group and to prevent and detect fraud and other irregularities.

Under applicable law and regulations, the Directors are also responsible for preparing a Strategic Report, Directors' Report, Directors' Remuneration Report and Corporate Governance Statement that complies with that law and those regulations.

In accordance with Disclosure Guidance and Transparency Rule ("DTR") 4.1.16R, the financial statements will form part of the annual financial report prepared under DTR 4.1.17R and 4.1.18R. The auditor's report on these financial statements provides no assurance over whether the annual financial report has been prepared in accordance with those requirements.

The Directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

### Responsibility statement of the Directors in respect of the Annual Financial Report

We confirm that to the best of our knowledge:

- the financial statements, prepared in accordance with the applicable set of accounting standards, give a true and fair view of the assets, liabilities, financial position and profit or loss of the Company and the undertakings included in the consolidation taken as a whole; and
- the Strategic Report includes a fair review of the development and performance of the business and the position of the issuer and the undertakings included in the consolidation taken as a whole, together with a description of the principal risks and uncertainties that they face.

We consider the Annual Report and Financial Statements, taken as a whole, is fair, balanced, and understandable and provides the information necessary for shareholders to assess the Group's position and performance, business model and strategy.

This Directors' Report was approved by the Board of Directors on 15 May 2026 and is signed on its behalf by:



**Rosaleen Blair**  
Chair

15 May 2026

## Financial Statements

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**KPMG**

Audit  
The Soloist Building  
1 Lanyon Place  
Belfast BT1 3LP  
Northern Ireland

## Independent Auditor's Report to the Members of Kainos Group plc

### Report on the audit of the financial statements

#### *Opinion*

We have audited the financial statements of Kainos Group plc ('the Company') and its consolidated undertakings ('the Group') for the year ended 31 March 2026 set out on pages 120 to 171, which comprise the Consolidated income statement, Consolidated statement of comprehensive income, Consolidated statement of financial position, Consolidated statement of changes in equity, Consolidated statement of cash flows, Company statement of financial position, Company statement of changes in equity and related notes, including the material accounting policies set out in note 3 to the Group financial statements and note 2 to the Company financial statements.

The financial reporting framework that has been applied in the preparation of the Group financial statements is UK Law, UK-adopted international accounting standards and, as regards the Company financial statements, UK Law and UK accounting standards, including FRS 101 Reduced Disclosure Framework.

In our opinion:

- the financial statements give a true and fair view of the state of the Group's and of the Company's affairs as at 31 March 2026 and of the Group's profit for the year then ended;
- the Group financial statements have been properly prepared in accordance with UK-adopted international accounting standards;
- the Company financial statements have been properly prepared in accordance with FRS 101 Reduced Disclosure Framework issued by the UK's Financial Reporting Council; and
- the financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

#### *Basis for opinion*

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion. Our audit opinion is consistent with our report to the audit committee.

We were appointed as auditor by the shareholders on 23 September 2021. The period of total uninterrupted engagement is for the five financial years ended 31 March 2026. We have fulfilled our ethical responsibilities under, and we remain independent of the Group in accordance with UK ethical requirements, including the Financial Reporting Council (FRC)'s Ethical Standard as applied to listed public interest entities. No non-audit services prohibited by that standard were provided.

#### *Conclusions relating to going concern*

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Group or the Company or to cease their operations, and as they have concluded that the Group and the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate. Our evaluation of the directors' assessment of the entity's ability to continue to adopt the going concern basis of accounting included:

- Obtaining an understanding of the inherent risks to the Group and Company's business model and analysed how those risks might affect the Group and Company's financial resources or ability to continue operations over the going concern period.
- Obtaining an understanding of the directors' use of the going concern basis of preparation. This included inspecting their going concern assessment and associated underlying forecasts and assumptions, and performing inquiries of management and those charged with governance.
- Assessing the appropriateness of key assumptions made in the Group's business plan, by comparing them to historical performance and challenging the achievability of budgeted growth.
- Testing the clerical accuracy of the going concern model including the data used in stress testing.
- We also compared past budgets to actual results to assess the directors' track record of budgeting accurately.



## Financial Statements

**INDEPENDENT AUDITOR'S REPORT** continued

to the members of Kainos Group plc

**Independent Auditor's Report to the Members of Kainos Group plc (continued)**

- We considered whether the going concern disclosure in note 3 to the Group financial statements gives an appropriate and sufficient description of the directors' assessment of going concern.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Group or the Company's ability to continue as a going concern for a period of at least twelve months from the date when the financial statements are authorised for issue.

In relation to the Group and the Company's reporting on how they have applied the UK Corporate Governance Code, we have nothing material to add or draw attention to in relation to the directors' statement in the financial statements about whether the directors considered it appropriate to adopt the going concern basis of accounting.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the absence of reference to a material uncertainty in this auditor's report is not a guarantee that the Group or the Company will continue in operation.

***Detecting irregularities including fraud***

We identified the areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements and risks of material misstatement due to fraud, using our understanding of the entity's industry, regulatory environment and other external factors and inquiry with the directors. In addition, our risk assessment procedures included:

- Inquiring with the directors and other management as to the Group and Company's policies and procedures regarding compliance with laws and regulations, identifying, evaluating and accounting for litigation and claims, as well as whether they have knowledge of non-compliance or instances of litigation or claims.
- Inquiring of directors and the audit committee as to the Group and Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Inquiring of directors regarding their assessment of the risk that the financial statements may be materially misstated due to irregularities, including fraud.
- Inspecting the Group and Company's regulatory and legal correspondence.
- Reading Board, Audit and Risk Committee, Remuneration Committee, Nominations Committee and Approval Committee minutes.
- Performing planning analytical procedures to identify any unusual or unexpected relationships.

We discussed identified laws and regulations, fraud risk factors and the need to remain alert among the audit team.

Firstly, the Group and Company are subject to laws and regulations that directly affect the financial statements including companies and financial reporting legislation, taxation legislation and distributable profits legislation. We assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items, including assessing the financial statement disclosures and agreeing them to supporting documentation when necessary.

Secondly, the Group and Company are subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: health and safety, anti-bribery, employment law, environmental law, and certain aspects of company legislation recognising the nature of the Group's activities.

Auditing standards limit the required audit procedures to identify non-compliance with these non-direct laws and regulations to inquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. These limited procedures did not identify actual or suspected non-compliance.

We assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. As required by auditing standards, we performed procedures to address the risk of management override of controls and the risk of fraudulent revenue recognition. We identified a fraud risk in relation to the Group revenue recognition relating to fixed price contracts where there is an opportunity that an inappropriate amount is estimated for inputs used to measure progress.

Further detail in respect of fraud risk in relation to the Group revenue recognition is set out in the key audit matter disclosures in this report.



## Independent Auditor's Report to the Members of Kainos Group plc (continued)

In response to the fraud risks, we also performed procedures including:

- Identifying journal entries to test for all full scope components based on risk criteria and comparing the identified entries to supporting documentation.
- Evaluating the business purpose of significant unusual transactions.
- Assessing significant accounting estimates for bias.
- Assessing the disclosures in the financial statements.

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations (irregularities) is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remains a higher risk of non-detection of irregularities, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. We are not responsible for preventing non-compliance and cannot be expected to detect non-compliance with all laws and regulations.

### **Key audit matters: our assessment of risks of material misstatement**

Key audit matters are those matters that, in our professional judgement, were of most significance in the audit of the financial statements and include the most significant assessed risks of material misstatement (whether or not due to fraud) identified by us, including those which had the greatest effect on: the overall audit strategy; the allocation of resources in the audit; and directing the efforts of the engagement team. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

In arriving at our audit opinion above, the key audit matters, in decreasing order of audit significance, were as follows (unchanged from 2025):

### **Group key audit matter**

#### **Revenue recognition £431.1m (2025: £367.2m)**

Refer to Group note 3 material accounting policies (Revenue section), Group note 4 material accounting judgements and key sources of estimation uncertainty (Key sources of estimation uncertainty section) and Group note 5 Segment reporting.

| The key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | How the matter was addressed in our audit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>An overstatement of revenue could occur through premature revenue recognition or recording fictitious revenues, due to an incentive to achieve revenue forecasts to meet investor expectations and in order to achieve targets as part of performance-based compensation arrangements.</p> <p>There is an opportunity for fraud in relation to fixed price contracts where an inappropriate amount is estimated for inputs used to measure progress.</p> <p>No fraud risk has been assessed over time and material ('T&amp;M') or Software as a Service ('SaaS') contracts due to there being no significant judgement or estimation involved, with the revenue recognised based on approved time charged and contractual rates for T&amp;M and recognised evenly over the contracted term of the SaaS contract.</p> <p>Whilst we do not deem there to be a fraud risk over T&amp;M or SaaS revenue, all three streams of revenue are potential key audit matters due to the size and volume of transactions recorded and the related audit effort.</p> <p>For the reasons outlined above the engagement team determine this matter to be a key audit matter.</p> | <p>Our audit procedures included, amongst others:</p> <ul style="list-style-type: none"> <li>— <b>Control operation:</b> We obtained and documented our understanding of the process for recording the recognition of revenue and tested the design and implementation of the relevant control.</li> <li>— <b>Tests of detail:</b> For fixed price contracts, we selected a sample of contracts and assessed the level of completion. Supporting evidence included the signed contract, approved time records confirmed by the appropriate person, invoices, evidence of customer payment and discussions with project managers on percentage completion as at 31 March 2026.</li> <li>— For SaaS revenue, we selected a sample of transactions and compared the recorded revenue amounts to the underlying contracts to confirm the revenue was recognised over the correct service period and in the appropriate accounting period.</li> <li>— For T&amp;M revenue we utilised our internal IT specialist to determine that the timesheet data once entered into the system was reliable. We also sampled employee charge out rates and agreeing these back to signed contracts. We also tested a sample of revenue transactions to invoice and customer payment together with discussions with project managers in relation to specific large projects.</li> <li>— Tested a sample of deferred revenue and accrued revenue balances to ensure they are in accordance with the Group's revenue recognition accounting policies.</li> </ul> |

## Financial Statements

## INDEPENDENT AUDITOR'S REPORT continued

to the members of Kainos Group plc



## Independent Auditor's Report to the Members of Kainos Group plc (continued)

| The key audit matter | How the matter was addressed in our audit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|----------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                      | <p>— We considered the Group's revenue accounting policies in accordance with the requirements of IFRS 15.</p> <p>— We made enquiries of the directors' and other management and remained alert to the indicators of fraud during the course of the audit.</p> <p>— <b>Disclosures:</b> We assessed the disclosures presented in the financial statements to explain revenue recognition, including key sources of estimation uncertainty and judgments being applied.</p> <p><b>Our results</b></p> <p>Based on evidence obtained, we found the amount of revenue recognised to be appropriate.</p> |

## Company key audit matter

## Investment in subsidiaries – carrying value £9.0m (2025: £9.0m)

Refer to Company note 2 material accounting policies (Investment in subsidiaries section) and Company note 4 Investments in subsidiaries.

| The key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | How the matter was addressed in our audit                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>The Company holds an investment of £9.0m in subsidiary undertakings and is accounted for at cost less any provision made for impairment.</p> <p>The recoverability of the investments in subsidiaries is not at high risk of significant misstatement or subject to significant judgement. However, due to their materiality in the context of the Company financial statements this is considered to be the area that had the greatest effect on our overall audit of the Company.</p> <p>For the reasons outlined above the engagement team determine this matter to be a key audit matter.</p> | <p>Our procedures included, amongst others:</p> <p>— <b>Tests of detail:</b> We considered management's assessment of impairment indicators over the investment in subsidiaries.</p> <p>— We compared the carrying amount of 100% of the amounts included in investments in subsidiaries with the respective subsidiaries' net assets values to identify whether the net assets values, being an approximation of their minimum recoverable amount, were in excess of the carrying amount.</p> <p>— We considered the Group's market capitalisation to the book value of the investments in subsidiaries which indicated that the market capitalisation exceeded the book value by £0.9 billion as at 31 March 2026.</p> <p><b>Our results</b></p> <p>The results of our testing were satisfactory and we found the carrying amount of the investments in subsidiaries to be acceptable.</p> |

## Our application of materiality and an overview of the scope of our audit

Materiality for the Group financial statements as a whole was set at £3.0m (2025: £2.9m), determined with reference to a benchmark of Group profit before tax, normalised to exclude acquisition related costs and post-combination remuneration expenses of £2.3m (2025: acquisition related costs, post-combination remuneration expenses and one off restructuring costs of £10.2m), of which it represents 5% (2025: 5%). We consider the basis of our materiality to be one of the important considerations for shareholders of the Company in assessing the financial performance of the Group. It is linked to the key earnings measures discussed when the Group presents the financial results. The Group's reported adjusted profit before tax is detailed in note 5. In addition to acquisition related costs and post-combination remuneration expenses, the Group also adjusts for amortisation of acquired intangibles and share based payments expense and related costs to present adjusted profit before tax; these amounts are not excluded from our materiality calculation.

Materiality for the Company financial statements as a whole was set at £0.9m (2025: £1.1m), determined with reference to benchmarks of Company total assets (2025: total assets), of which it represents 1% (2025: 1%). In line with our audit methodology, our procedures on individual account balances and disclosures were performed to a lower threshold, performance materiality, so as to reduce to an acceptable level the risk that individually immaterial misstatements in individual account balances add up to a material amount across the financial statements as a whole.



## Independent Auditor's Report to the Members of Kainos Group plc (continued)

In applying our judgement in determining the percentage to be applied to the benchmark for Group and Company, the following qualitative factors, had the most significant impact, increasing our assessment of materiality and included:

- the Group has no external debt; and
- the stability of the business environment in which it operates.

We applied Group materiality to assist us determine the overall audit strategy.

Performance materiality was set at at 75% (2025: 75%) of materiality for the financial statements as a whole, which equates to £2.3m (2025: £2.2m) for the Group and £0.6m (2025: £0.8m) for the Company. In applying our judgement in determining performance materiality for the Group and Company, the following factors were considered to have the most significant impact, increasing our assessment of performance materiality:

- the low number and value of misstatements detected in the prior year financial statement audit;
- the low number and severity of deficiencies in control activities identified in the prior year financial statement audit; and
- the stability in the senior management and key financial reporting personnel over the last four years.

We applied performance materiality to assist us determine what risks were significant risks and the procedures to be performed.

We reported to the Audit Committee any corrected or uncorrected identified misstatements exceeding £150k (2025: £147k), in addition to other identified misstatements that warranted reporting on qualitative grounds.

Of the Group's 35 (2025: 31) reporting components, we identified 2 (2025: 2) quantitatively significant components. Additionally, having considered qualitative and quantitative factors, we selected 7 (2025: 7) components with accounts contributing to the specific risk of material misstatements of the Group financial statements.

The work on these components, including the audit of the Company, was performed by the Group team. The audit was performed using the materiality levels set out above.

The components within the scope of our work accounted for 84% (2025: 85%) of Group revenue and 89% (2025: 93%) Group total assets.

The remaining 16% (2025: 15%) of total Group revenue and 11% (2025: 7%) of total Group assets is represented by 26 (2025: 22) reporting components, none of which individually represented more than 5% (2025: 4%) of any of total Group revenue or total Group assets. For the residual components, we performed analysis at an aggregated group level to re-examine our assessment that there were no risk of material misstatement within these.

Our audit was undertaken to the materiality and performance materiality level specified above and was all performed by a single engagement team in Belfast.

### ***We have nothing to report on the other information in the annual report***

The directors are responsible for the other information presented in the Annual Report together with the financial statements. The other information comprises the information included in the strategic report, the directors' report and corporate governance sections of the annual report. The financial statements and our auditor's report thereon do not comprise part of the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except as explicitly stated below, any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work we have not identified material misstatements in the other information.

### ***Opinions on other matters prescribed by the Companies Act 2006***

#### ***Strategic report and directors' report***

Based solely on our work on the other information undertaken during the course of the audit:

- we have not identified material misstatements in the directors' report or the strategic report;
- in our opinion, the information given in the strategic report and the directors' report is consistent with the financial statements;
- in our opinion, the strategic report and the directors' report have been prepared in accordance with the Companies Act 2006.

## Financial Statements

**INDEPENDENT AUDITOR'S REPORT** continued

to the members of Kainos Group plc

**Independent Auditor's Report to the Members of Kainos Group plc (continued)***Directors' remuneration report*

In our opinion the part of the Directors' Remuneration Report to be audited has been properly prepared in accordance with the Companies Act 2006.

*Corporate governance statement*

We have reviewed the directors' statement in relation to going concern, longer-term viability and that part of the Corporate Governance Statement relating to the Company's compliance with the provisions of the UK Corporate Governance Code specified for our review by the Listing Rules.

Based on the work undertaken as part of our audit, we have concluded that each of the following elements of the Corporate Governance Statement is materially consistent with the financial statements and our knowledge obtained during the audit:

- Directors' statement with regards the appropriateness of adopting the going concern basis of accounting and any material uncertainties identified set out on page 110;
- Directors' explanation as to their assessment of the Group's prospects, the period this assessment covers and why the period is appropriate set out on page 66;
- Director's statement on whether it has a reasonable expectation that the Group will be able to continue in operation and meets its liabilities set out on pages 66 and 110;
- Directors' statement on fair, balanced and understandable and the information necessary for shareholders to assess the Group's position and performance, business model and strategy set out on page 87;
- Board's confirmation that it has carried out a robust assessment of the emerging and principal risks and the disclosures in the annual report that describe the principal risks and the procedures in place to identify emerging risks and explain how they are being managed or mitigated set out on pages 60 to 65;
- Section of the annual report that describes the review of effectiveness of risk management and internal control systems set out on pages 87 to 88; and
- Section describing the work of the audit committee set out on pages 85 to 88.

Based solely on our work on the other information described above:

- with respect to the Corporate Governance Statement disclosures about internal control and risk management systems in relation to financial reporting processes and about share capital structures:
  - we have not identified material misstatements therein; and
  - the information therein is consistent with the financial statements and has been prepared in accordance with the applicable legal requirements; and
- in our opinion, the Corporate Governance Statement has been prepared in accordance with relevant rules of the Disclosure Guidance and Transparency Rules of the Financial Conduct Authority.

We are also required to report to you if a corporate governance statement has not been prepared by the Company. We have nothing to report in these respects.

***We have nothing to report on the other matters on which we are required to report by exception***

Under the Companies Act 2006, we are required to report to you if, in our opinion:

- adequate accounting records have not been kept by the Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the Company financial statements and the part of the Directors' Remuneration Report to be audited are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

**Respective responsibilities and restrictions on use*****Responsibilities of directors for the financial statements***

As explained more fully in the directors' responsibilities statement set out on page 111, the directors are responsible for: the preparation of the financial statements including being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Group and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Group or the Company or to cease operations, or have no realistic alternative but to do so.



## Independent Auditor's Report to the Members of Kainos Group plc (continued)

### ***Auditor's responsibilities for the audit of the financial statements***

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud, other irregularities or error, and to issue an opinion in an auditor's report. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud, other irregularities or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A fuller description of our responsibilities is provided on the FRC's website at [www.frc.org.uk/auditorsresponsibilities](http://www.frc.org.uk/auditorsresponsibilities).

The Company is required to include these financial statements in an annual financial report prepared under Disclosure Guidance and Transparency Rule 4.1.17R and 4.1.18R. This auditor's report provides no assurance over whether the annual financial report has been prepared in accordance with those requirements.

### ***The purpose of our audit work and to whom we owe our responsibilities***

Our report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

15 May 2026

Niall Savage (Senior Statutory Auditor)  
for and on behalf of  
KPMG, Statutory Auditor  
Chartered Accountants  
The Soloist Building  
1 Lanyon Place  
Belfast  
BT1 3LP

**Financial Statements****CONSOLIDATED INCOME STATEMENT**

For the year ended 31 March 2026

| CONTINUING OPERATIONS                                                                 | Note | 2026<br>(£000s) | 2025<br>(£000s) |
|---------------------------------------------------------------------------------------|------|-----------------|-----------------|
| REVENUE                                                                               | 5    | 431,098         | 367,246         |
| Cost of sales                                                                         | 5    | (232,190)       | (191,337)       |
| GROSS PROFIT                                                                          | 5    | 198,908         | 175,909         |
| OPERATING EXPENSES                                                                    |      |                 |                 |
| Restructuring costs                                                                   | 22   | –               | (8,411)         |
| Other operating expenses                                                              |      | (144,291)       | (125,643)       |
| TOTAL OPERATING EXPENSES                                                              |      | (144,291)       | (134,054)       |
| Impairment gain (including amounts recovered) on trade receivables and accrued income | 26   | 155             | 678             |
| OPERATING PROFIT                                                                      | 6    | 54,772          | 42,533          |
| Finance income                                                                        | 7    | 3,722           | 6,440           |
| Finance expense                                                                       | 7    | (383)           | (333)           |
| PROFIT BEFORE TAX                                                                     |      | 58,111          | 48,640          |
| Income tax expense                                                                    | 9    | (15,611)        | (13,080)        |
| PROFIT FOR THE YEAR                                                                   |      | 42,500          | 35,560          |
| EARNINGS PER SHARE                                                                    |      |                 |                 |
| Basic                                                                                 | 11   | 35.5p           | 28.4p           |
| Diluted                                                                               | 11   | 35.1p           | 28.2p           |

**CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME**

For the year ended 31 March 2026

|                                                                | 2026<br>(£000s) | 2025<br>(£000s) |
|----------------------------------------------------------------|-----------------|-----------------|
| PROFIT FOR THE YEAR                                            | 42,500          | 35,560          |
| ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS: |                 |                 |
| Foreign operations – foreign currency translation differences  | 869             | (1,595)         |
| TOTAL COMPREHENSIVE INCOME FOR THE YEAR                        | 43,369          | 33,965          |



## Financial Statements

**CONSOLIDATED STATEMENT OF FINANCIAL POSITION**

As at 31 March 2026

|                                   | Note | 2026<br>(£000s)  | 2025<br>(£000s) |
|-----------------------------------|------|------------------|-----------------|
| <b>NON-CURRENT ASSETS</b>         |      |                  |                 |
| Goodwill                          | 12   | 44,255           | 37,313          |
| Other intangible assets           | 12   | 8,869            | 4,239           |
| Investment property               | 14   | 3,904            | –               |
| Property, plant and equipment     | 13   | 13,139           | 12,145          |
| Right-of-use assets               | 16   | 5,182            | 4,718           |
| Investments in equity instruments |      | 1,299            | 1,299           |
| Deferred tax asset                | 18   | 4,890            | 4,911           |
|                                   |      | <b>81,538</b>    | 64,625          |
| <b>CURRENT ASSETS</b>             |      |                  |                 |
| Trade and other receivables       | 17   | 55,732           | 38,520          |
| Prepayments                       | 17   | 7,660            | 7,553           |
| Accrued income                    | 17   | 39,530           | 22,673          |
| Cash and cash equivalents         | 19   | 82,806           | 128,288         |
| Treasury deposits                 | 19   | 6,247            | 5,399           |
|                                   |      | <b>191,975</b>   | 202,433         |
| <b>TOTAL ASSETS</b>               |      | <b>273,513</b>   | 267,058         |
| <b>CURRENT LIABILITIES</b>        |      |                  |                 |
| Trade payables and accruals       | 21   | (76,495)         | (54,269)        |
| Deferred income                   | 21   | (60,793)         | (46,358)        |
| Share buyback liability           | 23   | (761)            | –               |
| Current tax liabilities           | 21   | (8,706)          | (2,526)         |
| Other tax and social security     | 21   | (15,456)         | (11,452)        |
| Lease liabilities                 | 20   | (1,239)          | (1,246)         |
| Provisions                        | 22   | –                | (5,388)         |
|                                   |      | <b>(163,450)</b> | (121,239)       |
| <b>NON-CURRENT LIABILITIES</b>    |      |                  |                 |
| Provisions                        | 22   | (1,582)          | (1,546)         |
| Deferred tax liability            | 18   | (3,125)          | (1,976)         |
| Lease liabilities                 | 20   | (4,897)          | (4,312)         |
|                                   |      | <b>(9,604)</b>   | (7,834)         |
| <b>TOTAL LIABILITIES</b>          |      | <b>(173,054)</b> | (129,073)       |
| <b>NET ASSETS</b>                 |      | <b>100,459</b>   | 137,985         |
| <b>EQUITY</b>                     |      |                  |                 |
| Share capital                     | 23   | 589              | 618             |
| Share premium account             |      | 10,647           | 9,481           |
| Other reserves                    | 23   | 7,372            | 3,562           |
| Share-based payment reserve       |      | 41,823           | 36,907          |
| Shares held to be cancelled       | 23   | (2,612)          | (1,431)         |
| Translation reserve               |      | (761)            | (1,630)         |
| Retained earnings                 |      | 43,401           | 90,478          |
| <b>TOTAL EQUITY</b>               |      | <b>100,459</b>   | 137,985         |

These financial statements were approved by the Board of Directors and authorised for issue on 15 May 2026. They were signed on its behalf by:


**Richard McCann**

Director  
15 May 2026

## Financial Statements

## CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

For the year ended 31 March 2026

|                                                      | Share capital<br>(£000s) | Shares held to be cancelled <sup>(13)</sup><br>(£000s) | Share premium<br>(£000s) | Other reserves<br>(note 23)<br>(£000s) | Share-based payment reserve<br>(£000s) | Translation reserve<br>(£000s) | Retained earnings<br>(£000s) | Total equity<br>(£000s) |
|------------------------------------------------------|--------------------------|--------------------------------------------------------|--------------------------|----------------------------------------|----------------------------------------|--------------------------------|------------------------------|-------------------------|
| <b>BALANCE AT 31 MARCH 2024</b>                      | 629                      | –                                                      | 9,419                    | 3,548                                  | 31,228                                 | (35)                           | 112,024                      | 156,813                 |
| Profit for the year                                  | –                        | –                                                      | –                        | –                                      | –                                      | –                              | 35,560                       | 35,560                  |
| Other comprehensive income                           | –                        | –                                                      | –                        | –                                      | –                                      | (1,595)                        | –                            | (1,595)                 |
| Total comprehensive income for the year              | –                        | –                                                      | –                        | –                                      | –                                      | (1,595)                        | 35,560                       | 33,965                  |
| Equity-settled share-based payment                   | –                        | –                                                      | –                        | –                                      | 5,679                                  | –                              | –                            | 5,679                   |
| Current tax for equity-settled share-based payments  | –                        | –                                                      | –                        | –                                      | –                                      | –                              | 21                           | 21                      |
| Deferred tax for equity-settled share-based payments | –                        | –                                                      | –                        | –                                      | –                                      | –                              | (25)                         | (25)                    |
| Issue of share capital – share options exercised     | 3                        | –                                                      | 62                       | –                                      | –                                      | –                              | –                            | 65                      |
| Share buyback programme                              | –                        | (22,785)                                               | –                        | –                                      | –                                      | –                              | –                            | (22,785)                |
| Shares cancelled                                     | (14)                     | 21,354                                                 | –                        | 14                                     | –                                      | –                              | (21,354)                     | –                       |
| Dividends                                            | –                        | –                                                      | –                        | –                                      | –                                      | –                              | (35,748)                     | (35,748)                |
| <b>BALANCE AT 31 MARCH 2025</b>                      | 618                      | (1,431)                                                | 9,481                    | 3,562                                  | 36,907                                 | (1,630)                        | 90,478                       | 137,985                 |
| Profit for the year                                  | –                        | –                                                      | –                        | –                                      | –                                      | –                              | 42,500                       | 42,500                  |
| Other comprehensive income                           | –                        | –                                                      | –                        | –                                      | –                                      | 869                            | –                            | 869                     |
| Total comprehensive income for the year              | –                        | –                                                      | –                        | –                                      | –                                      | 869                            | 42,500                       | 43,369                  |
| Equity-settled share-based payment                   | –                        | –                                                      | –                        | –                                      | 4,916                                  | –                              | –                            | 4,916                   |
| Current tax for equity-settled share-based payments  | –                        | –                                                      | –                        | –                                      | –                                      | –                              | 84                           | 84                      |
| Issue of share capital – share options exercised     | 3                        | –                                                      | 1,166                    | –                                      | –                                      | –                              | –                            | 1,169                   |
| Issue of shares as purchase consideration            | 2                        | –                                                      | –                        | 3,776                                  | –                                      | –                              | –                            | 3,778                   |
| Share buyback programme                              | –                        | (56,210)                                               | –                        | –                                      | –                                      | –                              | –                            | (56,210)                |
| Shares cancelled                                     | (34)                     | 55,029                                                 | –                        | 34                                     | –                                      | –                              | (55,029)                     | –                       |
| Dividends                                            | –                        | –                                                      | –                        | –                                      | –                                      | –                              | (34,632)                     | (34,632)                |
| <b>BALANCE AT 31 MARCH 2026</b>                      | <b>589</b>               | <b>(2,612)</b>                                         | <b>10,647</b>            | <b>7,372</b>                           | <b>41,823<sup>(14)</sup></b>           | <b>(761)</b>                   | <b>43,401</b>                | <b>100,459</b>          |

(13) Shares purchased as part of the share buyback programme due to be cancelled.

(14) £32.3 million relates to exercised or lapsed options or fully vested free share awards and is considered distributable.

## Financial Statements

## CONSOLIDATED STATEMENT OF CASH FLOWS

For the year ended 31 March 2026

|                                                                 | Note | 2026<br>(£000s) | 2025<br>(Restated) <sup>(15)</sup><br>(£000s) |
|-----------------------------------------------------------------|------|-----------------|-----------------------------------------------|
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>                     |      |                 |                                               |
| PROFIT FOR THE YEAR                                             |      | <b>42,500</b>   | 35,560                                        |
| <i>Adjustments for:</i>                                         |      |                 |                                               |
| Finance income                                                  | 7    | <b>(3,722)</b>  | (6,440)                                       |
| Finance expense                                                 | 7    | <b>383</b>      | 333                                           |
| Tax expense                                                     | 9    | <b>15,611</b>   | 13,080                                        |
| Research & Development Expenditure Credit                       |      | <b>(6,032)</b>  | (5,073)                                       |
| Share-based payment expense                                     | 24   | <b>5,373</b>    | 5,930                                         |
| Depreciation of property, plant and equipment                   | 13   | <b>3,278</b>    | 3,381                                         |
| Depreciation of right-of-use assets                             | 16   | <b>1,287</b>    | 1,277                                         |
| Amortisation of intangible assets                               | 12   | <b>1,302</b>    | 836                                           |
| Gain on disposal of property, plant and equipment               |      | <b>(121)</b>    | –                                             |
| Post-acquisition remuneration settled by shares                 |      | <b>445</b>      | –                                             |
| (Decrease)/increase in provisions                               | 22   | <b>(5,379)</b>  | 5,392                                         |
| <b>OPERATING CASH FLOWS BEFORE MOVEMENTS IN WORKING CAPITAL</b> |      | <b>54,925</b>   | 54,276                                        |
| (Increase)/decrease in trade and other receivables              |      | <b>(26,316)</b> | 11,795                                        |
| Increase in trade and other payables                            |      | <b>38,818</b>   | 5,703                                         |
| <b>CASH GENERATED FROM OPERATING ACTIVITIES</b>                 |      | <b>67,427</b>   | 71,774                                        |
| Income taxes paid                                               |      | <b>(9,684)</b>  | (12,967)                                      |
| <b>NET CASH FROM OPERATING ACTIVITIES</b>                       |      | <b>57,743</b>   | 58,807                                        |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES</b>                     |      |                 |                                               |
| Interest received                                               |      | <b>3,455</b>    | 6,027                                         |
| Purchases of property, plant and equipment                      | 13   | <b>(8,041)</b>  | (3,369)                                       |
| Proceeds from sale of property, plant and equipment             |      | <b>125</b>      | –                                             |
| Proceeds from sale of investment property                       | 14   | <b>–</b>        | 6,200                                         |
| Amounts placed on treasury deposit                              | 19   | <b>(848)</b>    | (996)                                         |
| Acquisition of subsidiaries net of cash acquired                | 28   | <b>(7,859)</b>  | –                                             |
| <b>NET CASH (USED)/FROM IN INVESTING ACTIVITIES</b>             |      | <b>(13,168)</b> | 7,862                                         |
| <b>CASH FLOWS FROM FINANCING ACTIVITIES</b>                     |      |                 |                                               |
| Dividends paid                                                  | 10   | <b>(34,632)</b> | (35,748)                                      |
| Share buyback programme                                         | 23   | <b>(55,682)</b> | (22,552)                                      |
| Interest paid                                                   |      | <b>(383)</b>    | (333)                                         |
| Repayment of lease liabilities                                  | 20   | <b>(1,183)</b>  | (1,121)                                       |
| Proceeds on issue of shares                                     |      | <b>1,169</b>    | 65                                            |
| <b>NET CASH USED IN FINANCING ACTIVITIES</b>                    |      | <b>(90,711)</b> | (59,689)                                      |
| <b>NET (DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS</b>     |      | <b>(46,136)</b> | 6,980                                         |
| Cash and cash equivalents at beginning of year                  |      | <b>128,288</b>  | 121,558                                       |
| Effect of exchange rate fluctuations on cash held               |      | <b>654</b>      | (250)                                         |
| <b>CASH AND CASH EQUIVALENTS AT END OF YEAR</b>                 | 19   | <b>82,806</b>   | 128,288                                       |

(15) The consolidated statement of cash flows for FY25 did not correctly include research & development expenditure credit of £5.1 million as an adjustment (add back) to profit to arrive at operating cash flows before movements in working capital. Previously this amount was presented within movements in working capital. The impact is to increase operating cash flows before movements in working capital by £5.1 million, increase movement in trade and other receivables by £0.9 million and increase movement in trade and other payables by £4.2 million. These have been corrected and the consolidated statement of cash flows has been restated.

## Financial Statements

### NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

#### 1. General information and basis of preparation

Kainos Group plc ('the Company') is a public company limited by shares incorporated in the United Kingdom under the Companies Act 2006 and is registered in England and Wales (company registration number 09579188), having its registered office at 21 Farringdon Road, 2nd Floor, London EC1M 3HA. The Company is listed on the London Stock Exchange.

The Group financial statements consolidate those of the Company and its subsidiaries (together referred to as the 'Group'). The parent Company financial statements present information about the Company as a separate entity and not about its Group.

The Group financial statements have been prepared and approved by the Directors in accordance with UK-adopted International Accounting Standards ('UK-Adopted IFRS'). The Company has elected to prepare its parent Company financial statements in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ('FRS101'). The financial statements are presented in Pounds Sterling, generally rounded to the nearest thousand.

The Group financial statements are prepared on a historical cost basis except for the following items which are measured at fair value or grant date fair value:

- share-based payment arrangements;
- investment property;
- business combinations; and
- equity investments that are in the scope of IFRS9.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these consolidated financial statements and have been applied consistently by the Group other than those detailed in changes in accounting policies.

The financial statements were authorised for issue by the Directors on 15 May 2026.

#### 2. Adoption of new and revised standards

In the current year, the Group and Company have applied a number of amendments for UK-adopted IFRS that are effective for an accounting period that begins on or after 1 January 2025.

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Amendments to IAS 21 – Lack of Exchangeability (effective date 1 January 2025).

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This adoption has not had any material impact on the disclosures or on the amounts reported in these financial statements.

#### New and revised UK-adopted IFRS in issue but not yet effective

The following UK-adopted IFRSs have been issued but have not been applied by the Group and Company in these financial statements. Their adoption is not expected to have a material effect in the financial statements.

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Amendments to IFRS 9 and IFRS 7 – Amendments to the Classification and Measurement of Financial Instruments (effective date 1 January 2026).

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Annual Improvements to IFRS Accounting Standards – Volume 11 (effective date 1 January 2026).

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IFRS 18 Presentation and Disclosure in Financial Statements (effective date 1 January 2027).

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## 2. Adoption of new and revised standards continued

### New and revised UK-adopted IFRS in issue but not yet effective continued

The impact of the following is under assessment:

#### IFRS18 Presentation and disclosure in financial statements

IFRS18 Primary Financial Statements, will replace IAS1 Presentation of Financial Statements, and will become effective in the Group financial statements for the financial year ending 31 March 2028, subject to UK endorsement.

The new standard introduces the following key new requirements.

- Entities are required to classify all income and expenses into five categories in the statement of profit or loss, namely the operating, financing, discontinued operations and income tax categories. Entities are also required to present a newly-defined operating profit subtotal. Entities' net profit will not change.
- Management defined performance measures (MPMs) are disclosed in a single note in the financial statements.
- Enhanced guidance is provided on how to group information in the financial statements.

In addition, all entities are required to use the operating profit subtotal as the starting point for the statement of cash flows when presenting operating cash flows under the indirect method.

The Group is in the process of assessing the impact of the new standard, particularly with respect to the structure of the Group's consolidated income statement, the statement of cash flows and the additional disclosures required for MPMs. The Group is also assessing the impact on how information is grouped in the financial statements, including for items currently labelled as 'other'.

## 3. Material accounting policies

### Going concern

The financial statements have been prepared on a going concern basis. The Group's business activities, together with the factors likely to affect its future development, performance and position are summarised in the Strategic Report. The principal risks, uncertainties and risk management processes are also described in the Strategic Report. The Group's policies and objectives with regards to financial risk management are further described in note 26 of the financial statements.

The Directors, having reviewed the future plans and projections for the business and the current financial position, believe that the Group is well placed to manage its business risks successfully. It has adequate financial resources, no borrowings, a good level of recurring revenue and a broad spread of customers.

In reaching its conclusion on the going concern assessment, the Directors also considered the findings of the work performed to support the long-term viability of the Company and Group. The Group's Viability Statement is included within the Strategic Report. The viability review included sensitivity analysis on the future performance and solvency over three years and for the principal and emerging risks facing the business in severe but plausible scenarios.

In performing this assessment, our long-term strategy and focus, the demand for our products and services, the level of recurring revenue and strong customer retention, the track record of strong cash generation and a healthy cash balance with no debt from financial institutions were all taken into consideration. Consideration was also given to the risks of regional and political changes in our main markets. Based on the results of this assessment, the Directors had a reasonable expectation that should these risks, either all or in part, manifest themselves, the resulting adverse outcomes can be managed and mitigated, such that the Group and Company will be able to continue in operation and meet their liabilities as they fall due over the period of their assessment. In doing so, they note that such future assessments are subject to a level of uncertainty that increases with time and, therefore, future outcomes cannot be guaranteed or predicted with certainty.

As a consequence of these factors and having reviewed the forecasts for the coming year, the Directors have a reasonable expectation that the Group and Company have adequate resources to continue in operational existence for the foreseeable future, being a period of not less than 12 months from the date these financial statements are authorised. For this reason, they continue to adopt the going concern basis of accounting in preparing our financial statements.

### Shares held to be cancelled

Shares purchased as part of the share buyback programme, not cancelled at the reporting date. Shares purchased for cancellation are included in the shares held to be cancelled reserve until cancellation, at which point the consideration is transferred to retained earnings, and the nominal value of the shares is transferred from share capital to the capital redemption reserve.

**Financial Statements****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT**

Continued

**3. Material accounting policies continued****Functional and presentational currency**

These consolidated financial statements are presented in Pounds Sterling, which is the Company's functional currency.

**Basis of consolidation****Subsidiaries**

Subsidiaries are entities controlled by the Group. The Group 'controls' an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

**Transactions eliminated on consolidation**

Intra-group balances and transactions, and any unrealised income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions, are eliminated.

**Business combinations**

Acquisitions of businesses are accounted for using the acquisition method.

The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at acquisition date fair value, and the amount of any non-controlling interests in the acquiree. The acquiree's identifiable assets, liabilities and contingent liabilities that meet the conditions for recognition under IFRS3 Business Combinations are recognised at their fair values at the acquisition date.

Any deferred and contingent consideration is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured, and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in profit or loss. Deferred and contingent consideration that is assessed as being payment for post-combination services (remuneration) is expensed as incurred in the post-combination period.

Acquisition-related costs, other than those associated with the issue of debt or equity securities, are expensed as incurred and included in operating expenses.

The Group measures goodwill at the acquisition date as:

- the fair value of the consideration transferred; plus
- the recognised amount of any non-controlling interests in the acquiree; plus
- if the business combination is achieved in stages, the fair value of the existing equity interest in the acquiree; less
- the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed. Identifiable intangibles are those which can be sold separately, or which arise from contractual or legal rights regardless of whether those rights are separable.

**Goodwill**

Goodwill is initially recognised and measured as set out above.

Goodwill is not amortised but is reviewed for impairment at least annually. For the purpose of impairment testing, goodwill acquired in a business combination is allocated to the cash-generating unit which represents the lowest level within the Group at which goodwill is monitored. Cash-generating units to which goodwill has been allocated are tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period.

### 3. Material accounting policies continued

#### Revenue

Revenue is recognised to depict the transfer of promised services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those services. The Group has adopted the five-step approach to the timing of revenue recognition based on performance obligations in customer contracts. This involves identifying the contract with customers, identifying the performance obligations, determining the transaction price, allocating the price to the performance obligations within the contract and recognising revenue when the performance obligations are satisfied.

Revenue from the Group's activities is recognised as detailed below.

The Group recognises a contract asset (accrued income) when the value of the satisfied performance obligations is in excess of the payment due to the Group or a contract liability (deferred income) when the amount of unconditional consideration is in excess of the value of satisfied performance obligations. Once a right to receive consideration is unconditional, that amount is recognised as a receivable.

Contract assets are represented by accrued income (note 17) and contract liabilities are represented by deferred income (note 21).

#### Service revenue

##### *Time and materials contracts*

Contracts for the provision of software-related services generally tend to be 'time and materials' contracts whereby the customer is contractually bound to pay for services for each hour or day spent in delivering a contractually agreed services scope. These contracts typically have no payment milestones, refunds or bundling with other services or products. Such services are recognised as a performance obligation satisfied over time in line with the chargeable 'time and materials' which are allocated to the contracted project.

##### *Fixed price contracts*

Other contracts for the provision of software-related services are contracted on a fixed price basis. The Directors have assessed that the stage of completion, determined as a proportion of the total hours expected for the project that has elapsed at the end of the reporting period is an appropriate measure of progress towards complete satisfaction of the performance conditions under IFRS15. This is reviewed on a monthly basis. Payment for services is not due from the customer unless milestones have been achieved or the project is complete, therefore a contract asset is recognised over the period in which the services are performed representing the Group's right to consideration for the services performed to date. Where costs are anticipated to be in excess of revenues an onerous contract will be recognised.

##### *Support*

Revenue relating to support services is recognised over time. The transaction price allocated to these services is recognised as a contract liability at the time of the initial sales transactions and is released on a straight-line basis over the contracted term in line with the estimated delivery of performance obligations.

#### Software as a Service (SaaS)

SaaS is charged on a subscription basis and the revenue is recognised pro-rata over the period that the service is provided.

#### Managed service subscription

Subscription revenue for the management of software applications for customers in the cloud is recognised pro-rata over the period the service is provided.

#### Commission revenue

Commission income is earned when the Group secures orders for end-user access to Workday Adaptive Planning software. The performance obligations are satisfied at the point the order is secured and revenue is recognised accordingly.

#### Third-party goods

Revenue from the sale of goods is recognised when control of the goods has transferred to the customer, usually on delivery of the goods.

#### Leases

The Group assesses whether a contract is or contains a lease, at inception of the contract. The Group recognises a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee, except for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets. For these leases, the Group continues to recognise the lease payments mainly as an operating expense on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits of the lease are consumed.



## Financial Statements

### NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

Continued

#### 3. Material accounting policies continued

##### Leases continued

##### Lease liability

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease when it can be readily determined. If this rate cannot be readily determined the Group uses its incremental borrowing rate, which is typically applied.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

The lease liability is presented as separate line items in the consolidated statement of financial position.

The Group remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

- the lease term has changed or there is a significant event or change in circumstances resulting in a change in the assessment, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate;
- the lease payments change due to a change in expected payment under a guaranteed residual value, in which case the lease liability is remeasured by discounting the revised lease payments using an unchanged discount rate; and
- a lease contract is modified, and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification.

##### Right-of-use asset

The right-of-use asset comprises the initial measurement of the corresponding lease liability, lease payments made at or before the commencement day, less any lease incentives received and plus any initial direct costs. It is subsequently measured at cost less accumulated depreciation and impairment losses.

Whenever the Group incurs an obligation for costs to restore the underlying asset to the condition required by the terms and conditions of the lease, a provision is recognised at commencement of the lease and measured under IAS37. These costs are included in the related right-of-use asset.

Right-of-use assets are depreciated over the shorter period of lease term and useful life of the underlying asset. The depreciation starts at the commencement date of the lease. The Group does not have any leases that include purchase options or that transfer ownership of the underlying asset at the end of the lease term.

The Group applies IAS36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the Property, Plant and Equipment policy.

The right-of-use assets are presented as a separate line in the consolidated statement of financial position.

##### Foreign currency

##### Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of Group companies at the exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary items that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of the transaction. Foreign currency differences are generally recognised in profit or loss and presented within operating expenses.

##### Foreign operations

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations are translated into Pounds Sterling at the exchange rates at the reporting date. Income and expense items are translated at the average exchange rates for the period, unless exchange rates fluctuate significantly during that period, in which case the exchange rates at the date of transactions are used. Foreign currency differences are recognised in the statement of comprehensive income and accumulated in the translation reserve until the foreign operation is disposed of, at which point the relevant proportion of the accumulated amount is reclassified to profit or loss.

### 3. Material accounting policies continued

#### Government grants

Government grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attaching to them and that the grants will be received. Government grants that compensate the Group for expenses incurred are recognised in profit and loss on a systematic basis in the periods in which the related costs for which the grants are intended to compensate are recognised. The Group has elected to present grants related to income as a reduction to the related expense within operating expenses.

#### Research and Development Expenditure Credits

Research and Development Expenditure Credits are accounted for as having the substance of a government grant and accordingly this income is accounted for under IAS20 Accounting for Government Grants. The grants are recognised on the basis of the fair value of claims made and are recognised within operating expenses in the profit or loss. A corresponding other receivable is recognised at the time the grants are earned.

#### Retirement benefit costs

The Group operates two defined contribution pension schemes and the pension charge represents the amounts payable by the Group to the funds in respect of the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the statement of financial position.

#### Taxation

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in equity or in other comprehensive income.

A provision is recognised for those matters for which the tax determination is uncertain, but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the Company supported by previous experience in respect of such activities and in certain cases based on specialist independent tax advice.

#### Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

#### Deferred tax

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit, and is accounted for using the liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from the initial recognition of goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that at the time of the transaction i) affects neither the taxable profit nor the accounting profit, and ii) does not give rise to equal taxable and deductible temporary timing differences.

Deferred tax liabilities are recognised for taxable temporary differences arising on investments in subsidiaries except where the Group is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised.

The carrying amount of deferred tax assets is reviewed at each statement of financial position date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled, or the asset is realised based on tax laws and rates that have been enacted or substantively enacted at the reporting date.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Group intends to settle its current tax assets and liabilities on a net basis.

## Financial Statements

### NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

Continued

#### 3. Material accounting policies continued

##### Property, plant and equipment

Property under construction is carried at cost, less any recognised impairment loss. Cost includes professional fees and, for qualifying assets, borrowing costs capitalised in accordance with the Group's accounting policy. Depreciation of these assets, determined on the same basis as other property assets, commences when the assets are ready for their intended use.

Property, plant and equipment assets are stated at cost less accumulated depreciation and accumulated impairment loss.

Depreciation is recognised so as to write off the cost or valuation of assets (other than freehold land and property under construction) less their residual values over their useful lives, using the straight-line method, on the following bases:

|                              |                                             |
|------------------------------|---------------------------------------------|
| Long-term leasehold property | 2.5%                                        |
| Leasehold improvements       | Over the term of the lease up to five years |
| Fixtures and fittings        | 20%                                         |
| Office equipment             | 25%–33%                                     |

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

At each reporting date, the Group reviews the carrying amounts of its property, plant and equipment to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated to determine the extent of the impairment loss (if any).

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. The gain or loss arising on the disposal or scrapping of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset, and is recognised in the income statement.

##### Investment property

Investment property is initially measured at cost and subsequently at fair value with any change therein recognised in profit or loss.

When the use of a property changes from owner-occupied to investment property, the property is remeasured to fair value and reclassified accordingly. Any gain arising on this remeasurement is recognised in profit or loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognised in other comprehensive income and presented in the revaluation reserve.

Where the fair value of construction property cannot be reliably measured, it is carried at cost less any accumulated impairment losses until the earlier of completion or the point at which fair value can be reliably measured.

##### Insurance

The Group has entered into arrangements to self-insure for professional indemnity, cyber and employment practices liability through the establishment of a protected cell captive ('PCC'). In accordance with IFRS10, the Group has assessed that the PCC should be classified as a separate entity and that the Company controls the entity. Accordingly, the PCC has been consolidated in these Group financial statements.

As the Group enters into self-insurance, in accordance with IAS37, the Group will recognise a provision when an event of loss occurs, before the reporting date and only for obligations incurred. A provision is not recognised for future losses or costs associated with self-insurance except for 'qualifying costs' related to events that have occurred before the reporting date.

##### Acquired intangible assets

Separately identified intangible assets acquired in a business combination are initially recognised at their fair value (which is regarded as their cost). Intangible assets are subsequently stated at fair value or cost less accumulated amortisation and any accumulated impairment losses. Amortisation is recognised on a straight-line basis over the estimated useful life of the asset. The carrying value of intangible assets is reviewed for impairment if events or changes in circumstances indicate the carrying value may not be recoverable.

Estimated useful lives typically applied are as follows:

- Customer relationships – over 2–15 years
- Order backlog – over 18–33 months
- Brand – over 3 years

### 3. Material accounting policies continued

#### Internally generated intangible assets – research & development expenditure

Expenditure on research activities is recognised as an expense in the period in which it is incurred.

An internally generated intangible asset arising from development (or from the development phase of an internal project) is recognised if, and only if, all of the following conditions have been demonstrated:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- the intention to complete the intangible asset and use or sell it;
- the ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- the ability to measure reliably the expenditure attributable to the intangible asset during its development.

The amount initially recognised for internally generated intangible assets is the sum of the expenditure incurred from the date when the intangible asset first meets the recognition criteria listed above. Where no internally generated intangible asset can be recognised, development expenditure is recognised in the income statement in the period in which it is incurred.

Subsequent to initial recognition, internally generated intangible assets are reported at cost less accumulated amortisation and accumulated impairment losses.

Judgement is required in assessing whether the development costs meet the criteria for capitalisation. The Group invests on a continual basis in the development of new and enhanced features in the product suite. Generally, commercial viability of new products is not proven until all high-risk development issues have been resolved through testing pre-launch versions of the product. As a result, technical feasibility is proven just before the products are ready to go to market. Research and product development expenditure incurred after the general release of internally generated software on minor or major upgrades, or other changes in software functionality, does not satisfy the criteria in order to capitalise. Such expenditure is therefore expensed as incurred and included within the research and development expense in the financial statements.

#### Financial instruments

Financial assets and financial liabilities are recognised in the Group's statement of financial position when the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

#### Trade receivables

Trade receivables, which typically have 30-day credit terms, are initially recognised and carried at their original invoice amount. Given the short lives of the trade receivables, there are generally no material fair value movements between initial recognition and the derecognition of the receivable and they are subsequently stated at cost less expected credit losses. The Group applies the simplified approach, which requires expected lifetime losses to be recognised from the initial recognition of the receivables.

#### Cash and cash equivalents

Cash and cash equivalents comprise cash and short-term bank deposits with an original maturity of three months or less. All of the cash and cash equivalents balance is available for use by the Group.

The Group has not recognised an expected credit loss on cash and cash equivalents as it has been assessed as not material.

## Financial Statements

### NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

Continued

#### 3. Material accounting policies continued

##### Treasury deposits

Treasury deposits represent bank deposits with an original maturity date of over three months and are held with a fixed rate of interest. Treasury deposits are held to collect and give rise to cash flows that are solely payments of principal and interest on the outstanding principal amount.

The Group has not recognised an expected credit loss on treasury deposits as it has been assessed as not material.

##### Investments in financial assets

Investments in equity shares, which are all unquoted equity investments, are stated at fair value through profit or loss (FVTPL).

##### Impairment of financial assets

The Group recognises a loss allowance at an amount equal to lifetime expected credit loss (ECL) on trade receivables and accrued income in accordance with the simplified approach as set out in IFRS9. The ECL is updated at each reporting date to reflect changes in credit risk.

The Group measures loss allowances at an amount equal to lifetime ECL, except for bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition, which are measured as 12-month ECL. Loss allowances for trade receivables and contract assets are always measured at an amount equal to lifetime ECL.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECL, the Group considers any change in credit quality of the amounts owing from the date the credit was initially granted up to the reporting date. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

ECLs are a probability-weighted estimate of credit losses estimated using a provision matrix.

The Group recognises a loss allowance of 100% against all receivables older than six months at the reporting date.

##### Financial liabilities

Financial liabilities are initially measured at fair value, net of transaction costs. Financial liabilities are subsequently measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or where appropriate, a shorter period, to the amortised cost of a financial liability.

##### Derecognition of financial assets and financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

The Group derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity.

On derecognition of a financial asset measured at amortised cost, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognised in profit or loss.

##### Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the statement of financial position date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received, and the amount of the receivable can be measured reliably.

### 3. Material accounting policies continued

#### Share-based payments

Equity-settled share-based payments to employees are measured at the fair value of the equity instruments at the grant date. The fair value excludes the effect of non-market-based vesting conditions.

The fair value determined at the grant date of the equity-settled share-based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of equity instruments that will eventually vest.

At each statement of financial position date, the Group revises its estimate of the number of equity instruments expected to vest as a result of the effect of non-market-based vesting conditions. The impact of the revision of the original estimates, if any, is recognised in profit or loss such that the cumulative expense reflects the revised estimate, with a corresponding adjustment to the share-based payment reserve.

The fair value of the amount payable to employees in respect of share options settled in cash is recognised as an expense with a corresponding increase in liabilities, over the period during which the employees become unconditionally entitled to payment. The liability is remeasured at each reporting date and at settlement date based on the fair value of the options. Any changes in the liability are recognised in profit or loss.

### 4. Material accounting judgements and key sources of estimation uncertainty

In applying the Group's accounting policies, which are described in note 3, the Directors are required to make judgements (other than those involving estimations) that have a significant impact on the amounts recognised and to make estimates and assumptions about the carrying amounts of the assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

#### Critical judgements in applying the Group's accounting policies

The Directors have concluded that, in applying the Group's accounting policies, there are no critical judgements, other than those involving estimates (which are disclosed separately below), that have had a significant effect on the amounts recognised in the financial statements.

#### Key sources of estimation uncertainty

The key assumptions concerning the future, and other key sources of estimation uncertainty at the reporting period that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are discussed below.

#### Revenue recognition

##### Service revenue

Kainos charges for its digital services on a time and materials or fixed price basis. Where there are fixed price contracts, revenue is recognised based on the stage of completion. Stage of completion is determined as the proportion of the total hours expected for the project that has elapsed at the end of the reporting period. The Group estimates costs to complete its contractual obligations by reference to the current run rate of these costs until contractual completion. The estimation of stage of completion is sensitive to future uncertainties such as technical challenges, timescale changes and commercial issues.

During the year revenue relating to fixed price project income was £88.8 million (2025: £57.3 million). The associated carrying values of accrued and deferred income at 31 March 2026 were £17.9 million (2025: £10.0 million) and £6.4 million (2025: £2.3 million) respectively. Management have considered the key assumptions in determining the stage of completion and consider there is no reasonable possible change to the estimated costs to complete that would result in a significant change in accrued and deferred income balances at 31 March 2026.

## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

Continued

## 5. Segment reporting

All of the Group's revenue during the year ended 31 March 2026 and for the year ended 31 March 2025 was derived from continuing operations.

The Group's Executive Directors are considered to be the Chief Operating Decision Maker (CODM) of the Group. They use internal management reports to assess both performance and strategy of the Group and the three specialist business areas: Digital Services, Workday Services and Workday Products, which are the Group's reportable segments.

The following is an analysis of the Group's revenue and results by reportable segment:

## 2026

| 12 MONTHS TO 31 MARCH                          | Digital Services (£000s) | Workday Services (£000s) | Workday Products (£000s) | Consolidated (£000s) |
|------------------------------------------------|--------------------------|--------------------------|--------------------------|----------------------|
| Revenue                                        | 241,737                  | 107,612                  | 81,749                   | 431,098              |
| Cost of sales                                  | (155,732)                | (58,313)                 | (18,145)                 | (232,190)            |
| <b>GROSS PROFIT</b>                            | <b>86,005</b>            | <b>49,299</b>            | <b>63,604</b>            | <b>198,908</b>       |
| Direct expenses <sup>(16)</sup>                | (30,403)                 | (36,490)                 | (39,968)                 | (106,861)            |
| <b>CONTRIBUTION</b>                            | <b>55,602</b>            | <b>12,809</b>            | <b>23,636</b>            | <b>92,047</b>        |
| Depreciation of property, plant and equipment  |                          |                          |                          | (3,278)              |
| Central overheads <sup>(16)</sup>              |                          |                          |                          | (25,045)             |
| Net finance income (note 7)                    |                          |                          |                          | 3,339                |
| <b>ADJUSTED PRE-TAX PROFIT</b>                 |                          |                          |                          | <b>67,063</b>        |
| Share-based payment expense and related costs  |                          |                          |                          | (5,373)              |
| Amortisation of acquired intangible assets     |                          |                          |                          | (1,302)              |
| Compensation for post-combination remuneration |                          |                          |                          | (2,132)              |
| Acquisition-related expenses                   |                          |                          |                          | (145)                |
| <b>PROFIT BEFORE TAX</b>                       |                          |                          |                          | <b>58,111</b>        |

## 2025

| 12 MONTHS TO 31 MARCH                          | Digital Services (£000s) | Workday Services (£000s) | Workday Products (£000s) | Consolidated (£000s) |
|------------------------------------------------|--------------------------|--------------------------|--------------------------|----------------------|
| <b>REVENUE</b>                                 | 197,173                  | 98,725                   | 71,348                   | 367,246              |
| Cost of sales                                  | (125,438)                | (47,647)                 | (18,252)                 | (191,337)            |
| <b>GROSS PROFIT</b>                            | <b>71,735</b>            | <b>51,078</b>            | <b>53,096</b>            | <b>175,909</b>       |
| Direct expenses <sup>(16)</sup>                | (21,546)                 | (33,491)                 | (33,615)                 | (88,652)             |
| <b>CONTRIBUTION</b>                            | <b>50,189</b>            | <b>17,587</b>            | <b>19,481</b>            | <b>87,257</b>        |
| Depreciation of property, plant and equipment  |                          |                          |                          | (3,381)              |
| Central overheads <sup>(16)</sup>              |                          |                          |                          | (24,341)             |
| Net finance income (note 7)                    |                          |                          |                          | 6,107                |
| <b>ADJUSTED PRE-TAX PROFIT</b>                 |                          |                          |                          | <b>65,642</b>        |
| Share-based payment expense and related costs  |                          |                          |                          | (5,930)              |
| Amortisation of acquired intangible assets     |                          |                          |                          | (836)                |
| Compensation for post-combination remuneration |                          |                          |                          | (877)                |
| Acquisition-related expenses                   |                          |                          |                          | (948)                |
| Restructuring costs                            |                          |                          |                          | (8,411)              |
| <b>PROFIT BEFORE TAX</b>                       |                          |                          |                          | <b>48,640</b>        |

(16) Direct expenses plus central overheads (including depreciation) plus balances below adjusted profit equals the sum of operating expenses plus impairment gain/(loss) and reversals on trade receivables and accrued income. Direct expenses are expenses that are directly attributable to each division.



**5. Segment reporting** continued

The Group's revenue from external customers by primary geographic region is detailed below:

|                                           | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------------------------------------|-----------------|-----------------|
| United Kingdom                            | 243,551         | 202,014         |
| Republic of Ireland                       | 10,387          | 15,360          |
| <b>TOTAL UNITED KINGDOM &amp; IRELAND</b> | <b>253,938</b>  | <b>217,374</b>  |
| United States of America                  | 112,568         | 97,102          |
| Canada                                    | 25,168          | 17,290          |
| <b>TOTAL AMERICAS</b>                     | <b>137,736</b>  | <b>114,392</b>  |
| Central Europe                            | 34,055          | 33,710          |
| Rest of world                             | 5,369           | 1,770           |
|                                           | <b>431,098</b>  | <b>367,246</b>  |

**Disaggregation of revenue by type**

|                        | Digital<br>Services<br>2026<br>(£000s) | Workday<br>Services<br>2026<br>(£000s) | Workday<br>Products<br>2026<br>(£000s) | Total<br>2026<br>(£000s) |
|------------------------|----------------------------------------|----------------------------------------|----------------------------------------|--------------------------|
| <b>TYPE OF REVENUE</b> |                                        |                                        |                                        |                          |
| Services               | 234,390                                | 103,575                                | 2,222                                  | 340,187                  |
| Subscriptions          | –                                      | –                                      | 79,527                                 | 79,527                   |
| Third party and other  | 7,347                                  | 4,037                                  | –                                      | 11,384                   |
|                        | <b>241,737</b>                         | <b>107,612</b>                         | <b>81,749</b>                          | <b>431,098</b>           |

|                        | Digital<br>Services<br>2025<br>(£000s) | Workday<br>Services<br>2025<br>(£000s) | Workday<br>Products<br>2025<br>(£000s) | Total<br>2025<br>(£000s) |
|------------------------|----------------------------------------|----------------------------------------|----------------------------------------|--------------------------|
| <b>TYPE OF REVENUE</b> |                                        |                                        |                                        |                          |
| Services               | 188,451                                | 95,047                                 | 4,061                                  | 287,559                  |
| Subscriptions          | –                                      | –                                      | 67,287                                 | 67,287                   |
| Third party and other  | 8,722                                  | 3,678                                  | –                                      | 12,400                   |
|                        | <b>197,173</b>                         | <b>98,725</b>                          | <b>71,348</b>                          | <b>367,246</b>           |

## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

Continued

## 5. Segment reporting continued

## Disaggregation of revenue by sector

|              | 2026<br>(£000s) | 2025<br>(£000s) |
|--------------|-----------------|-----------------|
| <b>GROUP</b> |                 |                 |
| Public       | <b>150,378</b>  | 125,537         |
| Commercial   | <b>201,554</b>  | 190,872         |
| Healthcare   | <b>79,166</b>   | 50,837          |
|              | <b>431,098</b>  | 367,246         |

Revenue for Digital Services is now presented separately for the North America region, reflecting its increasing strategic and operational importance:

|                         | 2026<br>(£000s) | 2025<br>(unaudited)<br>(£000s) |
|-------------------------|-----------------|--------------------------------|
| <b>DIGITAL SERVICES</b> |                 |                                |
| Public                  | <b>136,046</b>  | 122,145                        |
| Commercial              | <b>10,656</b>   | 17,965                         |
| Healthcare              | <b>74,881</b>   | 48,210                         |
| North America           | <b>20,154</b>   | 8,853                          |
|                         | <b>241,737</b>  | 197,173                        |

The accounting policies of the reportable segments are the same as the Group's accounting policies described in note 3. Segment assets and liabilities are not reported to the CODM on a segmental basis and are therefore not disclosed.

The following table provides information about receivables, accrued income and deferred income from contracts with customers.

|                   | Note | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------------|------|-----------------|-----------------|
| Trade receivables | 17   | <b>43,820</b>   | 31,481          |
| Accrued income    | 17   | <b>39,530</b>   | 22,673          |
| Deferred income   | 21   | <b>(60,793)</b> | (46,358)        |

Accrued income relates to the Group's right to consideration for work completed and delivered but not invoiced as at year-end and is transferred to trade receivables when an invoice is issued to the customer. Customers are typically invoiced on a monthly basis and consideration is payable when invoiced. The accrued income balance as at 31 March 2025 (£22.7 million) was invoiced during the year. Any amounts written-off were small and considered immaterial in the context of these financial statements.

Deferred income relates to advance consideration received from customers, where revenue is recognised over time as the services are provided and delivered to customers. During the year, all of the opening deferred revenue balance (2025: all) has been recognised as revenue.

Any revenue recognised in the period resulting from performance obligations satisfied (or partially satisfied) in previous periods would not be considered material in the context of these financial statements.

## 5. Segment reporting continued

### Disaggregation of revenue by sector continued

The Group's non-current assets (excluding deferred tax assets) are located as follows:

|                          | 2026<br>(£000s) | 2025<br>(£000s) |
|--------------------------|-----------------|-----------------|
| Northern Ireland         | 14,296          | 10,754          |
| Rest of UK               | 5,246           | 2,745           |
| United States of America | 31,497          | 33,131          |
| Finland                  | 8,442           | 8,145           |
| Canada                   | 14,636          | 1,729           |
| Poland                   | 1,461           | 1,769           |
| Other                    | 1,070           | 1,441           |

### Significant customer

No single customer contributed more than 10% to Group revenue in the period (2025: no single customer).

## 6. Profit for the year

Profit for the year has been arrived at after charging/(crediting):

|                                                         | 2026<br>(£000s) | 2025<br>(£000s) |
|---------------------------------------------------------|-----------------|-----------------|
| Total staff costs (note 8)                              | 273,861         | 259,119         |
| Government grants <sup>(17)</sup>                       | (131)           | (793)           |
| Research & development expensed as incurred             | 18,722          | 16,818          |
| Research & Development Expenditure Credit               | (6,032)         | (5,073)         |
| Depreciation of property, plant and equipment (note 13) | 3,278           | 3,381           |
| Depreciation of right-of-use assets (note 16)           | 1,287           | 1,277           |
| Gain on disposal of property, plant and equipment       | 121             | –               |
| Net foreign exchange loss                               | 953             | 461             |
| Amortisation of acquired intangibles (note 12)          | 1,302           | 836             |

The analysis of auditor's remuneration is as follows:

|                                                                                  | 2026<br>(£000s) | 2025<br>(£000s) |
|----------------------------------------------------------------------------------|-----------------|-----------------|
| Fees payable to the Group's auditor for the audit of the Group's annual accounts | 232             | 214             |
| Fees payable to the Group's auditor for the audit of subsidiaries                | 136             | 118             |
| <b>TOTAL AUDIT FEES</b>                                                          | <b>368</b>      | <b>332</b>      |
| Fees payable to the Group's auditor for other services to the Group:             | –               | –               |
| Review of interim report                                                         | 29              | 28              |
| <b>TOTAL AUDIT-RELATED FEES</b>                                                  | <b>397</b>      | <b>360</b>      |
| Non-audit fees                                                                   | –               | –               |
| Total audit and non-audit fees                                                   | 397             | 360             |
| Total % of non-audit fees                                                        | 0%              | 0%              |

(17) Grant income received in connection with training grants.

## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

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## 7. Finance income and expense

|                       | 2026<br>(£000s) | 2025<br>(£000s) |
|-----------------------|-----------------|-----------------|
| Bank interest         | 3,722           | 6,440           |
| <b>FINANCE INCOME</b> | <b>3,722</b>    | <b>6,440</b>    |

|                                       | 2026<br>(£000s) | 2025<br>(£000s) |
|---------------------------------------|-----------------|-----------------|
| Interest expense on lease liabilities | 380             | 328             |
| Other finance expense                 | 3               | 5               |
| <b>FINANCE EXPENSE</b>                | <b>383</b>      | <b>333</b>      |

## 8. Staff numbers and costs

The average number of employees during the year was:

|                | 2026<br>Number | 2025<br>Number |
|----------------|----------------|----------------|
| Technical      | 2,429          | 2,410          |
| Administration | 278            | 310            |
| Sales          | 240            | 233            |
|                | <b>2,947</b>   | <b>2,953</b>   |

The aggregate payroll costs of these persons were as follows:

|                                                       | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------------------------------------------------|-----------------|-----------------|
| Wages and salaries                                    | 232,098         | 222,692         |
| Social security costs                                 | 26,128          | 21,105          |
| Contributions to defined contribution plans (note 25) | 9,807           | 9,392           |
| Share-based payments (note 24)                        | 5,828           | 5,930           |
|                                                       | <b>273,861</b>  | <b>259,119</b>  |

The split of remuneration between cost of sales and operating expenses is as follows:

|                    | 2026<br>(£000s) | 2025<br>(£000s) |
|--------------------|-----------------|-----------------|
| Cost of sales      | 175,078         | 164,429         |
| Operating expenses | 98,783          | 94,690          |
|                    | <b>273,861</b>  | <b>259,119</b>  |

## 9. Tax expense

The following tax was recognised in the income statement:

|                                                   | 2026<br>(£000s) | 2025<br>(£000s) |
|---------------------------------------------------|-----------------|-----------------|
| <b>CURRENT TAX EXPENSE:</b>                       |                 |                 |
| Current year (UK)                                 | 10,829          | 9,909           |
| Current year (overseas)                           | 5,055           | 4,070           |
| Adjustments in respect of prior years             | 386             | (635)           |
|                                                   | 16,270          | 13,344          |
| <b>DEFERRED TAX (NOTE 18)</b>                     |                 |                 |
| Origination and reversal of temporary differences | (578)           | (1,277)         |
| Adjustments in respect of prior years             | (81)            | 1,013           |
|                                                   | (659)           | (264)           |
| <b>TOTAL TAX EXPENSE</b>                          | <b>15,611</b>   | <b>13,080</b>   |

In addition to the amount charged to the statement of comprehensive income, the following amounts relating to tax have been recognised directly in equity in relation to share-based payments:

|                                                    | 2026<br>(£000s) | 2025<br>(£000s) |
|----------------------------------------------------|-----------------|-----------------|
| <b>CURRENT TAX</b>                                 |                 |                 |
| Permanent element of share-based payment deduction | 84              | 21              |
| <b>DEFERRED TAX</b>                                |                 |                 |
| Deferred tax on share-based payments               | –               | (25)            |
| <b>TOTAL TAX RECOGNISED DIRECTLY IN EQUITY</b>     | <b>84</b>       | <b>(4)</b>      |

UK corporation tax has been calculated at 25% (2025: 25%) of the estimated taxable profit for the year, reflecting the statutory rate in effect at the balance sheet date.

Taxation in other jurisdictions is determined based on the applicable rates prevailing in those respective regions.

The effective tax rate for the year is 27% (2025: 27%), which is higher than the UK corporation tax rate, mainly due to the impact of higher tax rates in the United States and non-deductible acquisition expenses in Canada.

We envisage our future effective tax rates to be broadly in line with this rate.

The Group's tax charge can be reconciled to the profit in the income statement and effective tax rate as follows:

|                                                       | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------------------------------------------------|-----------------|-----------------|
| <b>PROFIT BEFORE TAX ON CONTINUING OPERATIONS</b>     | <b>58,111</b>   | <b>48,640</b>   |
| Tax at the UK corporation tax rate of 25% (2025: 25%) | 14,528          | 12,160          |
| Expenses not deductible for tax purposes              | 657             | 662             |
| Tax exempt income                                     | –               | (357)           |
| Effect of tax rates in foreign jurisdictions          | 121             | 237             |
| Adjustments to tax charge in respect of prior years   | 305             | 378             |
| <b>TAX EXPENSE FOR THE YEAR</b>                       | <b>15,611</b>   | <b>13,080</b>   |
| <b>EFFECTIVE TAX RATE</b>                             | <b>27%</b>      | <b>27%</b>      |

## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

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## 10. Dividends

|                                                                      | 2026<br>(£000s) | 2025<br>(£000s) |
|----------------------------------------------------------------------|-----------------|-----------------|
| AMOUNTS RECOGNISED AS DISTRIBUTIONS TO EQUITY HOLDERS IN THE PERIOD: |                 |                 |
| Interim dividend for 2026 of 9.8p per share                          | 11,697          | –               |
| Final dividend for 2025 of 19.1p per share                           | 22,935          | –               |
| Interim dividend for 2025 of 9.3p per share                          | –               | 11,721          |
| Final dividend for 2024 of 19.1p per share                           | –               | 24,027          |
|                                                                      | 34,632          | 35,748          |

The Board has proposed a final dividend in respect of the year ended 31 March 2026 subject to approval by shareholders at the AGM. This dividend has not been recognised as a liability in these financial statements and there are no tax consequences. The proposed final dividend, if approved by shareholders, will be 19.8p per share (£23.3 million in total) and payable on 23 October 2026 to all shareholders on the Register of Members on 2 October 2026, and with an ex-dividend date of 1 October 2026.

## 11. Earnings per share

## Basic

The calculation of basic earnings per share (EPS) has been based on the following profit attributable to ordinary shareholders and weighted average number of ordinary shares outstanding.

|                                                           | 2026<br>(£000s) | 2025<br>(£000s) |
|-----------------------------------------------------------|-----------------|-----------------|
| PROFIT ATTRIBUTABLE TO ORDINARY SHAREHOLDERS              | 42,500          | 35,560          |
|                                                           | Thousands       | Thousands       |
| Issued ordinary shares at 1 April                         | 123,620         | 125,788         |
| Effect of shares held in trust                            | (983)           | (882)           |
| Effect of share options vested and exercised              | 428             | 418             |
| Effect of shares issued related to a business combination | 210             | 58              |
| Effect of shares issued related to free share awards      | 121             | 122             |
| Effect of share buyback programme                         | (3,635)         | (468)           |
| Weighted average number of ordinary shares at 31 March    | 119,761         | 125,036         |
| BASIC EARNINGS PER SHARE                                  | 35.5p           | 28.4p           |

The shares held in trust are granted to beneficiaries of the Group's UK share incentive plan (SIP) and the restricted share scheme for employees of Kainos Software Ireland. The share awards are held in trust until the relevant conditions of the scheme are satisfied. Further information in relation to these share-based payment schemes is set out in note 24.

**11. Earnings per share** continued**Diluted**

The calculation of diluted EPS has been based on the following profit attributable to ordinary shareholders and weighted-average number of ordinary shares outstanding after adjustment for the effects of all dilutive potential ordinary shares.

|                                                                           | 2026<br>(£000s)  | 2025<br>(£000s) |
|---------------------------------------------------------------------------|------------------|-----------------|
| <b>PROFIT ATTRIBUTABLE TO ORDINARY SHAREHOLDERS</b>                       | <b>42,500</b>    | 35,560          |
|                                                                           | <b>Thousands</b> | Thousands       |
| Weighted average number of ordinary shares (basic)                        | <b>119,761</b>   | 125,036         |
| Effect of share options in issue                                          | <b>248</b>       | 228             |
| Effect of shares held in trust                                            | <b>983</b>       | 882             |
| Effect of potential shares to be issued related to a business combination | <b>99</b>        | –               |
| Weighted average number of ordinary shares (diluted) at 31 March          | <b>121,091</b>   | 126,146         |
| <b>DILUTED EARNINGS PER SHARE</b>                                         | <b>35.1p</b>     | 28.2p           |

The average market value of the Company's shares for the purpose of calculating the dilutive effect of share options was based on quoted market prices for the year during which the options were outstanding.

At 31 March 2026, 879,399 options (2025: 1,344,201) were excluded from the diluted weighted average number of ordinary shares calculation because their effect would have been anti-dilutive.

**Adjusted (unaudited)**

Adjusted basic and adjusted diluted earnings per share is calculated using the adjusted profit for the year measure. The calculation of adjusted profit for the year is detailed in the 'Financial Review' section of the Strategic Report.

|                                                                                           | 2026<br>(£000s)  | 2025<br>(£000s) |
|-------------------------------------------------------------------------------------------|------------------|-----------------|
| <b>Adjusted profit for the year</b>                                                       | <b>49,823</b>    | 48,304          |
|                                                                                           | <b>Thousands</b> | Thousands       |
| Weighted average number of ordinary shares for the purposes of basic earnings per share   | <b>119,761</b>   | 125,036         |
| Weighted average number of ordinary shares for the purposes of diluted earnings per share | <b>121,091</b>   | 126,146         |
| <b>ADJUSTED BASIC EARNINGS PER SHARE</b>                                                  | <b>41.6p</b>     | 38.6p           |
| <b>ADJUSTED DILUTED EARNINGS PER SHARE</b>                                                | <b>41.1p</b>     | 38.3p           |



## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

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## 12. Intangible assets and goodwill

|                                                      | Goodwill<br>(£000s) | Order<br>backlog<br>(£000s) | Customer<br>relationships<br>(£000s) | Brand<br>(£000s) | Total<br>(£000s) |
|------------------------------------------------------|---------------------|-----------------------------|--------------------------------------|------------------|------------------|
| <b>COST</b>                                          |                     |                             |                                      |                  |                  |
| At 1 April 2024                                      | 38,203              | 1,732                       | 12,499                               | –                | 52,434           |
| Exchange adjustments                                 | (890)               | (42)                        | (287)                                | –                | (1,219)          |
| At 31 March 2025                                     | 37,313              | 1,690                       | 12,212                               | –                | 51,215           |
| Acquisitions through business combinations (note 28) | 7,036               | 372                         | 3,864                                | 1,668            | 12,940           |
| Exchange adjustments                                 | (94)                | (16)                        | (115)                                | 33               | (192)            |
| <b>AT 31 MARCH 2026</b>                              | <b>44,255</b>       | <b>2,046</b>                | <b>15,961</b>                        | <b>1,701</b>     | <b>63,963</b>    |

## AMORTISATION AND IMPAIRMENT

|                         |          |              |              |            |               |
|-------------------------|----------|--------------|--------------|------------|---------------|
| At 1 April 2024         | –        | 1,254        | 7,769        | –          | 9,023         |
| Charge for the year     | –        | 231          | 605          | –          | 836           |
| Exchange adjustments    | –        | (28)         | (168)        | –          | (196)         |
| At 31 March 2025        | –        | 1,457        | 8,206        | –          | 9,663         |
| Charge for the year     | –        | 363          | 630          | 309        | 1,302         |
| Exchange adjustments    | –        | (16)         | (108)        | (2)        | (126)         |
| <b>AT 31 MARCH 2026</b> | <b>–</b> | <b>1,804</b> | <b>8,728</b> | <b>307</b> | <b>10,839</b> |

## CARRYING AMOUNT

|                         |               |            |              |              |               |
|-------------------------|---------------|------------|--------------|--------------|---------------|
| <b>AT 31 MARCH 2026</b> | <b>44,255</b> | <b>242</b> | <b>7,233</b> | <b>1,394</b> | <b>53,124</b> |
| At 31 March 2025        | 37,313        | 233        | 4,006        | –            | 41,552        |

Amortisation of customer relationships is calculated using the straight-line method over a period ranging from four to fifteen years (2025: four to ten years).

Amortisation of order backlog is calculated using the straight-line method over a period ranging from 18 to 33 months (2025: 33 months).

Amortisation of the brand intangible is calculated using the straight-line method over a period of three years (2025: nil).

Amortisation of acquired intangibles is included within operating expenses in the consolidated income statement.

## Impairment testing of goodwill

The carrying amount of goodwill has been allocated to cash-generating units (CGU) as follows:

|                                  | 2026<br>(£000s) | 2025<br>(£000s) |
|----------------------------------|-----------------|-----------------|
| Kainos Workday Adaptive Practice | 3,157           | 3,176           |
| Workday Services Americas        | 6,305           | 6,457           |
| Workday Services Europe          | 8,429           | 8,111           |
| Digital Services America         | 7,175           | –               |
| Workday Products                 | 19,189          | 19,569          |
| <b>TOTAL</b>                     | <b>44,255</b>   | <b>37,313</b>   |

## 12. Intangible assets and goodwill continued

### Impairment testing of goodwill continued

The Group tests goodwill annually for impairment or more frequently if there are indications that goodwill might be impaired. For the purpose of impairment testing, goodwill is allocated to the CGU which represents the lowest level within the Group at which goodwill is monitored.

The recoverable amount of the relevant CGU has been determined based on a value-in-use calculation using cash flows derived from financial projections covering a three-year period, with cash flows thereafter calculated using a terminal value methodology. The Group considers the three-year period to be appropriate as it aligns with the period underpinned by financial budgets and forecasts for the Group.

### Key assumptions

The pre-tax discount rates used in the calculations were as follows:

|                           | 2026<br>(£000s) | 2025<br>(£000s) |
|---------------------------|-----------------|-----------------|
| Workday Adaptive Practice | 10–11%          | 11–12%          |
| Workday Services Americas | 10–11%          | 11–12%          |
| Workday Services Europe   | 12–13%          | 12–13%          |
| Digital Services America  | 13–14%          | –               |
| Workday Products          | 10–11%          | 10–11%          |

Discount rates represent the Group's pre-tax discount rate adjusted for the risk profiles of the individual CGUs.

Long-term growth rates of net operating cash flows are reflective of long-term growth rates in the regions in which the CGU's operations are primarily undertaken.

The terminal value growth rates used in the calculations were as follows:

|                           | 2026<br>(£000s) | 2025<br>(£000s) |
|---------------------------|-----------------|-----------------|
| Workday Adaptive Practice | 2%              | 2%              |
| Workday Services Americas | 2%              | 2%              |
| Workday Services Europe   | 2%              | 2%              |
| Digital Services America  | 2%              | –               |
| Workday Products          | 2%              | 2%              |

Projected cash flows are most sensitive to assumptions regarding future growth of the CGU and its profitability. The values applied to these key assumptions are based on past experience together with management's future expectations about business performance.

### Summary of results

The Group performed its annual test for impairment for all CGUs as at 31 March 2026. The recoverable amount significantly exceeded the carrying value for each CGU; accordingly no impairment charge has been recognised in the year (2025: no impairment).

### Sensitivity analysis

The Group conducted an analysis of the sensitivity of the impairment test to changes in the key assumptions. Management concluded that no reasonably possible change in any of the key assumptions would reduce the recoverable amount below its carrying value.

## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

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## 13. Property, plant and equipment

|                                                   | Property under construction<br>(£000s) | Property and leasehold improvements<br>(£000s) | Office equipment<br>(£000s) | Fixtures and fittings<br>(£000s) | Total<br>(£000s) |
|---------------------------------------------------|----------------------------------------|------------------------------------------------|-----------------------------|----------------------------------|------------------|
| <b>COST</b>                                       |                                        |                                                |                             |                                  |                  |
| At 1 April 2024                                   | 4,213                                  | 5,201                                          | 10,166                      | 1,507                            | 21,087           |
| Impact of foreign exchange                        | –                                      | (134)                                          | (31)                        | (2)                              | (167)            |
| Additions                                         | 878                                    | 52                                             | 883                         | 1,556                            | 3,369            |
| Disposals                                         | –                                      | –                                              | (2,905)                     | (35)                             | (2,940)          |
| At 31 March 2025                                  | 5,091                                  | 5,119                                          | 8,113                       | 3,026                            | 21,349           |
| Impact of foreign exchange                        | –                                      | (4)                                            | (11)                        | (57)                             | (72)             |
| Additions                                         | 5,934                                  | –                                              | 1,988                       | 119                              | 8,041            |
| Acquired on business combination                  | –                                      | 89                                             | 55                          | 23                               | 167              |
| Disposals                                         | –                                      | (19)                                           | (687)                       | –                                | (706)            |
| Reclassification to investment property (note 14) | (3,904)                                | –                                              | –                           | –                                | (3,904)          |
| <b>AT 31 MARCH 2026</b>                           | <b>7,121</b>                           | <b>5,185</b>                                   | <b>9,458</b>                | <b>3,111</b>                     | <b>24,875</b>    |
| <b>ACCUMULATED DEPRECIATION</b>                   |                                        |                                                |                             |                                  |                  |
| At 1 April 2024                                   | –                                      | 1,248                                          | 6,696                       | 858                              | 8,802            |
| Impact of foreign exchange                        | –                                      | (30)                                           | (8)                         | (1)                              | (39)             |
| Charge for the year                               | –                                      | 1,145                                          | 1,874                       | 362                              | 3,381            |
| Eliminated on disposals                           | –                                      | –                                              | (2,905)                     | (35)                             | (2,940)          |
| At 31 March 2025                                  | –                                      | 2,363                                          | 5,657                       | 1,184                            | 9,204            |
| Impact of foreign exchange                        | –                                      | (6)                                            | (31)                        | (7)                              | (44)             |
| Charge for the year                               | –                                      | 1,107                                          | 1,681                       | 490                              | 3,278            |
| Eliminated on disposals                           | –                                      | (15)                                           | (687)                       | –                                | (702)            |
| <b>AT 31 MARCH 2026</b>                           | <b>–</b>                               | <b>3,449</b>                                   | <b>6,620</b>                | <b>1,667</b>                     | <b>11,736</b>    |
| <b>CARRYING AMOUNT</b>                            |                                        |                                                |                             |                                  |                  |
| <b>AT 31 MARCH 2026</b>                           | <b>7,121</b>                           | <b>1,736</b>                                   | <b>2,838</b>                | <b>1,444</b>                     | <b>13,139</b>    |
| At 31 March 2025                                  | 5,091                                  | 2,756                                          | 2,456                       | 1,842                            | 12,145           |

**Property under construction**

During the year ended 31 March 2020, the Group acquired a site for development of Kainos' future Belfast headquarters at a purchase price of £7.4 million. Part of this site was categorised as investment property and subsequently disposed of in FY25.

Construction of the new property is ongoing. During the year, a portion of the property under construction was transferred from property, plant and equipment to investment property, following a change in the intended use of the asset. The transferred element represents the portion of the property that is intended to be held to earn rentals rather than for owner occupation upon completion (note 14).

## 14. Investment property

|                                                     | (£000s)      |
|-----------------------------------------------------|--------------|
| At 1 April 2024                                     | 6,200        |
| Disposal                                            | (6,200)      |
| At 31 March 2025                                    | –            |
| Reclassification from property, plant and equipment | 3,904        |
| <b>AT 31 MARCH 2026</b>                             | <b>3,904</b> |

As described in note 13, during the year £3.9 million was transferred from property, plant and equipment to investment property, reflecting our intention to lease portions of the future building to potential tenants. The amount transferred represents the carrying amount at the date of transfer of the portion of the property under construction that is intended to be held to earn rental income rather than for owner occupation.

## 15. Subsidiaries

The subsidiary undertakings at 31 March 2026 are in the table below. All principally operate in their country of incorporation.

| Subsidiary undertakings                    | Incorporated        | Registered office                                                                           | Principal activity   | Proportion of ordinary share capital held |
|--------------------------------------------|---------------------|---------------------------------------------------------------------------------------------|----------------------|-------------------------------------------|
| <b>Kainos Software Limited</b>             | Northern Ireland    | Kainos House, 4-6 Upper Crescent, Belfast, BT7 1NT, Northern Ireland                        | Software development | 100%                                      |
| <b>Kainos Software Ireland Limited</b>     | Republic of Ireland | Fitzwilliam Hall, Fitzwilliam Place, Dublin 2, D02 T296, Ireland                            | Software development | 100%                                      |
| <b>Kainos Software Poland Spółka z o.o</b> | Poland              | 8th Floor, Tryton Business House, ul. Jana z Kolna 11, 80-864 Gdańsk, Poland                | Software development | 100%                                      |
| <b>Kainos Poland Services Spółka z o.o</b> | Poland              | 8th Floor, Tryton Business House, ul. Jana z Kolna 11, 80-864 Gdańsk, Poland                | Software services    | 100%                                      |
| <b>Kainos Trustees Limited</b>             | Northern Ireland    | Kainos House, 4-6 Upper Crescent, Belfast, BT7 1NT, Northern Ireland                        | Share Scheme Trustee | 100%                                      |
| <b>Kainos Evolve Limited</b>               | Northern Ireland    | Kainos House, 4-6 Upper Crescent, Belfast, BT7 1NT, Northern Ireland                        | Software development | 100%                                      |
| <b>Kainos WorkSmart Limited</b>            | Northern Ireland    | Kainos House, 4-6 Upper Crescent, Belfast, BT7 1NT, Northern Ireland                        | Software development | 100%                                      |
| <b>Kainos WorkSmart Inc.</b>               | US                  | Suite 4300, 111 Monument Circle, Indianapolis, Indiana 46204, USA                           | Software development | 100%                                      |
| <b>Kainos WorkSmart GmbH</b>               | Germany             | 5th Floor, Hahnstraße 70, 60528 Frankfurt am Main, Germany                                  | Software development | 100%                                      |
| <b>Kainos WorkSmart ApS</b>                | Denmark             | Office no. 280110080 Harsdorffs Hus Office Club, Kongens Nytorv 5, 1050 Copenhagen, Denmark | Software development | 100%                                      |
| <b>Kainos Canada Inc.</b>                  | Canada              | 25 King Street West, Suite 2200, Commerce Court, North Toronto, Ontario M5L 2A1, Canada     | Software development | 100%                                      |
| <b>Kainos WorkSmart SAS</b>                | France              | 3-5 Rue Saint Georges, TMF Pole 75009, Paris, France                                        | Software development | 100%                                      |
| <b>Kainos WorkSmart Oy</b>                 | Finland             | c/o TMF Finland Oy, Kansakoulukuja 1, 00100 Helsinki, Finland                               | Software development | 100%                                      |
| <b>Formulate Kainos Limited</b>            | England             | 2nd Floor, 21 Farringdon Road, London, EC1M 3HA, England                                    | Software services    | 100%                                      |
| <b>Kainos Planning, LLC</b>                | US                  | Suite 4300, 111 Monument Circle, Indianapolis, Indiana 46204, USA                           | Software services    | 100%                                      |

## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

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## 15. Subsidiaries continued

| Subsidiary undertakings                                     | Incorporated     | Registered office                                                                                            | Principal activity   | Proportion of ordinary share capital held |
|-------------------------------------------------------------|------------------|--------------------------------------------------------------------------------------------------------------|----------------------|-------------------------------------------|
| <b>KW Software Oy</b>                                       | Finland          | c/o TMF Finland Oy, Kansakoulukuja 1, 00100, Helsinki, Finland                                               | Software services    | 100%                                      |
| <b>Kainos AB</b>                                            | Sweden           | c/o Baker & McKenzie Advokatbyrå KB, Box 180, 101 23 Stockholm, Sweden                                       | Software services    | 100%                                      |
| <b>Kainos the Netherlands B.V.</b>                          | Netherlands      | Strawinskylaan 3051, Atrium Building 4th floor, 1077ZX Amsterdam, Netherlands                                | Software services    | 100%                                      |
| <b>Kainos Belgium BV</b>                                    | Belgium          | Nijverheidsstraat 70, 2160 Wommelgem, Belgium                                                                | Software services    | 100%                                      |
| <b>Kainos WorkSmart S.R.L.</b>                              | Romania          | București Sectorul 4, Calea Văcărești, Nr. 391, Intrarea A, Etaj 3, Sector 4, Bucuresti, Romania             | Software services    | 100%                                      |
| <b>Kainos AS</b>                                            | Norway           | c/o Azets Insigt AS, Drammensveien, 151, 0277 Oslo, Norway                                                   | Software services    | 100%                                      |
| <b>Kainos OÜ</b>                                            | Estonia          | Harju maakond, Tallinn, Lasnamäe linnaosa, Valukoja tn 8/1, 11415 Estonia                                    | Software services    | 100%                                      |
| <b>Blackline Group, Inc.</b>                                | US               | 522 W Riverside Avenue, Suite 4197, Spokane, WA 99201, USA                                                   | Software services    | 100%                                      |
| <b>Kainos Argentina S.A.U.</b>                              | Argentina        | Av. del Libertador 498, 13th floor, 'South', Buenos Aires, Argentina                                         | Software services    | 100%                                      |
| <b>Kainos (Philippines) Inc.</b>                            | Philippines      | 24/F AIA Tower, 8767 Paseo de Roxas Avenue, Brgy. Bel-Air, Makati City, NCR, Philippines 1226                | Software services    | 100%                                      |
| <b>RapidIT – Cloudbera, Inc.</b>                            | US               | Suite 4300, 111 Monument Circle, Indianapolis, Indiana 46204, USA                                            | Software development | 100%                                      |
| <b>Kainos cell, Mangrove Insurance Guernsey PCC Limited</b> | Guernsey         | PO BOX 155, Mill Court, La Charroterie, St Peter Port, GY1 4ET, Guernsey                                     | Insurance cell       | 100% (redeemable preference shares)       |
| <b>Kainos Software Technologies Private Limited</b>         | India            | Plot No.1202 & 1215A, 3rd Floor, SL Jubilee, Rd Number 36, Jubilee Hills, Hyderabad, Telangana 500033, India | Software development | 100%                                      |
| <b>Kainos Australia Pty Limited</b>                         | Australia        | c/o Baker McKenzie, 181 William Street, Melbourne, Victoria 3000, Australia                                  | Software services    | 100%                                      |
| <b>Bankmore Investments Limited</b>                         | Northern Ireland | Kainos House, 4-6 Upper Crescent, Belfast, BT7 1NT, Northern Ireland                                         | Property company     | 100%                                      |
| <b>Kainos Products Limited</b>                              | Northern Ireland | Kainos House, 4-6 Upper Crescent, Belfast, BT7 1NT, Northern Ireland                                         | Software development | 100%                                      |
| <b>Kainos Products Canada Inc</b>                           | Canada           | 25 King Street West, Suite 2200, Commerce Court North, Toronto, Ontario M5L 2A1, Canada                      | Software development | 100%                                      |
| <b>Kainos Services Canada Inc</b>                           | Canada           | 25 King Street West, Suite 2200, Commerce Court North, Toronto, Ontario M5L 2A1, Canada                      | Software services    | 100%                                      |
| <b>Kainos Services Inc</b>                                  | US               | 111 Monument Circle, Suite 4300, Indianapolis, Indiana 46204, USA                                            | Software services    | 100%                                      |
| <b>Davis Pierrynowski Limited</b>                           | Canada           | 600-1741 Lower Water Street, Halifax, Nova Scotia B3J 2X2, Canada                                            | Software services    | 100%                                      |

**16. Right-of-use assets**

|                                           | Property<br>(£000s) | Total<br>(£000s) |
|-------------------------------------------|---------------------|------------------|
| <b>COST</b>                               |                     |                  |
| At 1 April 2024                           | 6,613               | 6,613            |
| Additions                                 | 802                 | 802              |
| Exchange adjustments                      | (59)                | (59)             |
| At 31 March 2025                          | 7,356               | 7,356            |
| Acquisitions through business combination | 390                 | 390              |
| Additions arising from lease modification | 1,501               | 1,501            |
| Exchange adjustments                      | (168)               | (168)            |
| <b>AT 31 MARCH 2026</b>                   | <b>9,079</b>        | <b>9,079</b>     |
| <b>ACCUMULATED DEPRECIATION</b>           |                     |                  |
| At 1 April 2024                           | 1,397               | 1,397            |
| Charge for the year                       | 1,277               | 1,277            |
| Exchange adjustments                      | (36)                | (36)             |
| At 31 March 2025                          | 2,638               | 2,638            |
| Charge for the year                       | 1,287               | 1,287            |
| Exchange adjustments                      | (28)                | (28)             |
| <b>AT 31 MARCH 2026</b>                   | <b>3,897</b>        | <b>3,897</b>     |
| <b>CARRYING AMOUNT</b>                    |                     |                  |
| <b>AT 31 MARCH 2026</b>                   | <b>5,182</b>        | <b>5,182</b>     |
| At 31 March 2025                          | 4,718               | 4,718            |

The Group leases mainly property. The average lease term is 6.8 years (2025: 6.2 years). The Group is committed to £0.2 million for leases not yet commenced and therefore not reflected as at 31 March 2026 (2025: £Nil). The maturity analysis of lease liabilities is presented in note 20.

**Amounts recognised in profit or loss**

|                                                     | 2026<br>(£000s) | 2025<br>(£000s) |
|-----------------------------------------------------|-----------------|-----------------|
| Depreciation expense on right-of-use assets         | 1,287           | 1,277           |
| Interest expense on lease liabilities (note 7)      | 380             | 328             |
| Expense relating to short-term and low value leases | 317             | 374             |

**Amounts recognised in statement of cash flows**

|                                      | 2026<br>(£000s) | 2025<br>(£000s) |
|--------------------------------------|-----------------|-----------------|
| <b>TOTAL CASH OUTFLOW FOR LEASES</b> | <b>1,880</b>    | <b>1,823</b>    |

At 31 March 2026, the Group has no commitments (2025: £0.1 million) for short-term leases.

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## 17. Trade and other receivables

|                   | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------------|-----------------|-----------------|
| Trade receivables | 43,820          | 31,481          |
| Other receivables | 11,912          | 7,039           |
|                   | 55,732          | 38,520          |
| Prepayments       | 7,660           | 7,553           |
| Accrued income    | 39,530          | 22,673          |
|                   | 102,922         | 68,746          |

The Group's accrued income (contract asset) balance solely relates to revenue from contracts with customers. Movements in the accrued income balance were driven by transactions entered into by the Group within the normal course of business in the year.

Trade receivables and accrued income are net of a loss allowance for impairment. Further information is disclosed in note 26.

## 18. Deferred tax

## Recognised deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

|                                                    | Assets          |                 | Liabilities     |                 | Net             |                 |
|----------------------------------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|-----------------|
|                                                    | 2026<br>(£000s) | 2025<br>(£000s) | 2026<br>(£000s) | 2025<br>(£000s) | 2026<br>(£000s) | 2025<br>(£000s) |
| Accelerated capital allowances                     | –               | –               | (468)           | (715)           | (468)           | (715)           |
| Share-based payments                               | –               | –               | (436)           | (647)           | (436)           | (647)           |
| Right-of-use assets                                | 236             | 296             | –               | –               | 236             | 296             |
| Lease liability                                    | –               | –               | (201)           | (228)           | (201)           | (228)           |
| Short-term temporary differences                   | 4,645           | 5,515           | –               | –               | 4,645           | 5,515           |
| Short-term temporary differences – US acquisitions | 723             | –               | –               | –               | 723             | –               |
| Deferred tax on acquisitions                       | –               | –               | (2,734)         | (1,286)         | (2,734)         | (1,286)         |
| <b>TAX ASSETS/(LIABILITIES) BEFORE SET-OFF</b>     | <b>5,604</b>    | <b>5,811</b>    | <b>(3,839)</b>  | <b>(2,876)</b>  | <b>1,765</b>    | <b>2,935</b>    |
| Set-off of tax                                     | (714)           | (900)           | 714             | 900             | –               | –               |
| <b>NET TAX ASSETS/(LIABILITIES)</b>                | <b>4,890</b>    | <b>4,911</b>    | <b>(3,125)</b>  | <b>(1,976)</b>  | <b>1,765</b>    | <b>2,935</b>    |



**18. Deferred tax continued****Movement in deferred tax during the year**

|                                 | Accelerated capital allowances (£000s) | Share-based payment (£000s) | Right-of-use assets (£000s) | Lease liability (£000s) | Short-term temporary differences (£000s) | Deferred tax on acquisitions (£000s) | Deferred tax on US asset acquisitions (£000s) | Total (£000s) |
|---------------------------------|----------------------------------------|-----------------------------|-----------------------------|-------------------------|------------------------------------------|--------------------------------------|-----------------------------------------------|---------------|
| At 1 April 2024                 | (1,176)                                | (530)                       | 319                         | (277)                   | 5,901                                    | (1,461)                              | –                                             | 2,776         |
| Foreign exchange differences    | –                                      | –                           | –                           | –                       | (80)                                     | –                                    | –                                             | (80)          |
| Adjustment for prior years      | (172)                                  | –                           | –                           | –                       | (822)                                    | (19)                                 | –                                             | (1,013)       |
| Debit to retained earnings      | –                                      | (25)                        | –                           | –                       | –                                        | –                                    | –                                             | (25)          |
| Credit/(debit) to profit        | 633                                    | (92)                        | (23)                        | 49                      | 515                                      | 195                                  | –                                             | 1,277         |
| At 31 March 2025                | (715)                                  | (647)                       | 296                         | (228)                   | 5,514                                    | (1,285)                              | –                                             | 2,935         |
| Foreign exchange differences    | –                                      | –                           | –                           | –                       | (83)                                     | (34)                                 | –                                             | (117)         |
| Arising on business combination | –                                      | –                           | –                           | –                       | –                                        | (1,712)                              | –                                             | (1,712)       |
| Adjustment for prior years      | 62                                     | –                           | –                           | –                       | 12                                       | –                                    | 7                                             | 81            |
| Re-characterisation of category | –                                      | –                           | –                           | –                       | (783)                                    | –                                    | 783                                           | –             |
| Credit/(debit) to profit        | 185                                    | 211                         | (60)                        | 27                      | (15)                                     | 297                                  | (67)                                          | 578           |
| <b>AT 31 MARCH 2026</b>         | <b>(468)</b>                           | <b>(436)</b>                | <b>236</b>                  | <b>(201)</b>            | <b>4,645</b>                             | <b>(2,734)</b>                       | <b>723</b>                                    | <b>1,765</b>  |

Short-term temporary differences arise primarily on US tax-related balances in respect of liabilities and accrued income which are recognised in the income statement in the period to which they relate but are not deductible for tax purposes until paid. The associated deferred tax assets reverse on settlement of the underlying balances.

Deferred tax assets have been recognised in respect of all temporary differences giving rise to deferred tax assets where the Directors believe it is probable that these assets will be recovered.

**19. Cash and cash equivalents and treasury deposits**

|                                                              | 2026 (£000s)  | 2025 (£000s) |
|--------------------------------------------------------------|---------------|--------------|
| Cash at bank and in hand                                     | 36,827        | 29,288       |
| Short-term deposits                                          | 45,979        | 99,000       |
| <b>CASH AND CASH EQUIVALENTS</b>                             | <b>82,806</b> | 128,288      |
| <b>TREASURY DEPOSITS</b>                                     | <b>6,247</b>  | 5,399        |
| <b>TOTAL CASH AND CASH EQUIVALENTS AND TREASURY DEPOSITS</b> | <b>89,053</b> | 133,687      |

Short-term deposits are made for varying periods of between one day and three months, depending on the immediate cash requirements of the Group, and earn interest at the respective fixed short-term deposit rates. There is an insignificant risk to the change in value of the short-term deposits, as a result of the fixed interest deposit rates and the maturity dates being within three months of the date of deposit.

Treasury deposits represent bank deposits with an original maturity of over three months and are held with a fixed rate of interest.

£6.2 million (2025: £5.4 million) within treasury deposits relates to cash held in a PCC. The Group established the PCC for certain self-insurance purposes. To satisfy regulatory requirements, a minimum of £2.5 million must be retained in cash within the cell. The Group can access the funds with 95 days' notice and has control over the investing decisions made. Further information regarding the PCC arrangements is detailed in note 26 (insurance risk management).

## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

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## 20. Lease liabilities

|                         | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------------------|-----------------|-----------------|
| Less than one year      | 1,564           | 1,529           |
| One to five years       | 4,851           | 3,690           |
| More than five years    | 688             | 1,314           |
|                         | 7,103           | 6,533           |
| Less: unearned interest | (967)           | (975)           |
|                         | 6,136           | 5,558           |
| ANALYSED AS:            |                 |                 |
| Non-current             | 4,897           | 4,312           |
| Current                 | 1,239           | 1,246           |

The Group does not have a significant liquidity risk with regard to its lease liabilities.

## Reconciliation of movement of liabilities to cash flows arising from financing activities

|                                           | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------------------------------------|-----------------|-----------------|
| At 1 April                                | 5,558           | 5,898           |
| New leases                                | –               | 802             |
| Acquisitions through business combination | 364             | –               |
| Additions arising from lease modification | 1,501           | –               |
| Cash flow on principal                    | (1,183)         | (1,121)         |
| Cash flow on interest                     | (380)           | (328)           |
| Interest expense                          | 380             | 328             |
| Non-cash movement                         | (104)           | (21)            |
| AT 31 MARCH                               | 6,136           | 5,558           |

## 21. Trade and other payables

|                               | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------------------------|-----------------|-----------------|
| Trade payables and accruals   | 76,495          | 54,269          |
| Deferred income               | 60,793          | 46,358          |
| Current tax liabilities       | 8,706           | 2,526           |
| Other tax and social security | 15,456          | 11,452          |
|                               | 161,450         | 114,605         |

Trade and other payables principally comprise amounts outstanding for trade purchases and ongoing costs, including payroll. No interest is typically charged on payables.

The deferred income can arise in respect of support contracts billed quarterly or annually in advance and SaaS agreements which are billed annually in advance, with revenue being recognised for both over the contracted period. The period end deferred income balance will be recognised within 12 months.

The Directors consider that the carrying amount of trade payables approximates to their fair value.

## 22. Provisions

Other provisions are analysed as follows:

|                            | 2026<br>(£000s) | 2025<br>(£000s) |
|----------------------------|-----------------|-----------------|
| Restructuring provision    | –               | 5,388           |
| Property-related provision | 1,582           | 1,546           |
|                            | <b>1,582</b>    | <b>6,934</b>    |

|             | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------|-----------------|-----------------|
| Current     | –               | 5,388           |
| Non-current | 1,582           | 1,546           |
|             | <b>1,582</b>    | <b>6,934</b>    |

|                                  | Restructuring-<br>related<br>(£000s) | Property-related<br>(£000s) | Total<br>(£000s) |
|----------------------------------|--------------------------------------|-----------------------------|------------------|
| At 1 April 2025                  | 5,388                                | 1,546                       | 6,934            |
| Acquired on business combination | –                                    | 27                          | 27               |
| Exchange rate movements          | (9)                                  | 9                           | –                |
| Utilisation of provision         | (5,379)                              | –                           | (5,379)          |
| <b>AT 31 MARCH 2026</b>          | <b>–</b>                             | <b>1,582</b>                | <b>1,582</b>     |

### Property-related provision

The property-related provision represents management's best estimate of the Group's liability for future contractual repair works at the end of the lease period recognised at the commencement of the lease. The relevant properties have lease end dates ranging from January 2028 to October 2033.

### Insurance

As described in note 26 (insurance risk management), the Group has established a PCC for certain self-insurance purposes. A provision is recognised only when a loss occurs, and only for obligations incurred. As at 31 March 2026 the Group has not received any claims and no provision has therefore been recognised (2025: none), nor is the Group aware of any self-insured events having taken place before the reporting date.

### Restructuring

The restructuring provision comprises redundancy and severance costs incurred in the delivery of cost reduction measures. Total restructuring costs incurred in FY25 were £8.4 million, and was fully utilised with payments in FY25 (£3.0 million) and FY26 (£5.4 million).

## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

Continued

## 23. Share capital and reserves

## Share capital

|                                                 | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------------------------------------------|-----------------|-----------------|
| ISSUED AND FULLY PAID:                          |                 |                 |
| ORDINARY SHARES                                 |                 |                 |
| Opening balance                                 | 618             | 629             |
| Issued during the year                          | 3               | 3               |
| Issued as consideration on business combination | 2               | —               |
| Shares cancelled                                | (34)            | (14)            |
| <b>TOTAL SHARE CAPITAL</b>                      | <b>589</b>      | <b>618</b>      |

The Company has one class of ordinary share which carries no right to fixed income. The Company's Articles of Association do not specify any limit on the total authorised share capital of the Company. The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

At 31 March 2026, the Company had 117,854,417 issued ordinary shares (2025: 123,619,893) with a nominal value of £0.005 each.

## Shares issued

During the year the Group issued 702,619 shares due to the exercise of vested options and the award of shares under the UK SIP and ROI Restricted share schemes (2025: 383,953). The exercise price of options exercised during the year ranged from £0.005 per share to £10.81 per share (2025: from £0.005 per share to £9.92 per share).

426,686 shares were issued as purchase consideration on the acquisition of Davis Pier (note 28).

The Group issued no ordinary shares in respect of post-acquisition remuneration in the year (2025: 183,884).

## Shares purchased for cancellation

On 9 May 2025, the Group completed the share buyback programme announced on 11 November 2024. As part of this programme, a total of 3,993,382 shares were bought back for consideration of £30.2 million, including transaction costs (£0.2 million), of which 1,054,544 shares were purchased during the current year for consideration of £7.4 million, including transaction costs.

On 19 May 2025, the Board announced a £30.0 million share buyback programme to be executed over a period of six months. A total of 3,706,558 shares were purchased during the year for consideration of £30.1 million, including transaction costs of £0.1 million. The share buyback programme completed on 18 November 2025.

On 10 November 2025, the Board announced a further £30.0 million share buyback programme to be executed over a period of six months. A total of 2,292,044 shares were purchased during the year for consideration of £18.4 million, including transaction costs of £0.1 million. However, due to timing, only 1,930,500 were cancelled at 31 March 2026 and the remaining 361,544 shares purchased for £2.6 million were cancelled in April 2026. The share buyback programme is due to complete on the earlier of reaching the maximum of £30.0 million or 18 May 2026. The Group entered into an arrangement with its broker, Investec Bank plc, to execute the share buyback programme. Under the terms of the agreement, the arrangement can be terminated with two business days' notice except under certain conditions. One such condition is that the agreement cannot be terminated while the Company is in a closed period. As the Company was not in a closed period as at 31 March 2026, no financial liability for the remainder of the programme was recognised in these consolidated financial statements. Details of shares bought back since 31 March 2026 are included in note 30.

The sole purpose of the share buyback programmes is to reduce the share capital of the Company, with all shares subsequently cancelled.

## 23. Share capital and reserves continued

### Share capital continued

#### Shares purchased for cancellation continued

The table below presents the reconciliation of own shares purchased for cancellation between the consolidated statement of changes in equity and the consolidated statement of cash flows:

|                                                                             | 2026<br>(£000s) | 2025<br>(£000s) |
|-----------------------------------------------------------------------------|-----------------|-----------------|
| <i>Own shares purchased for cancellation</i>                                |                 |                 |
| INCLUDED IN THE CONSOLIDATED STATEMENT OF CHANGES IN EQUITY <sup>a, b</sup> | (56,210)        | (22,785)        |
| Payments in relation to prior year financial liabilities                    | (233)           | –               |
| Outstanding amount recognised as financial liabilities <sup>c</sup>         | 761             | 233             |
| INCLUDED IN THE CONSOLIDATED STATEMENT OF CASH FLOWS <sup>d</sup>           | (55,682)        | (22,552)        |

- (a) 7,053,146 (2025: 2,938,838) ordinary shares were purchased, representing approximately 6.0% of the called-up share capital as at 31 March 2026 (2025: 2.4%). This includes 361,544 ordinary shares purchased but not cancelled as at 31 March 2026 (2025: 203,179). Total consideration of £56.2 million (2025: £22.8 million), including expenses of £0.4 million (2025: £0.2 million), was incurred and recognised in the shares held to be cancelled reserve.
- (b) During the financial year, the aggregate nominal value of shares cancelled and transferred to the capital redemption reserve was £34 thousand (2025: £14 thousand).
- (c) £0.8 million consideration payable for shares purchased as at 31 March 2026, not yet settled, included in current liabilities (2025: £0.2 million).
- (d) 6,948,313 (2025: 2,904,060) ordinary shares purchased at an average price of £8.82 per share (2025: £7.71 per share).

Details of shares bought back since 31 March 2026 are included in note 30.

### Shares held to be cancelled

As at 31 March 2026, the Group held 361,544 ordinary shares (2025: 203,179) purchased but not cancelled as part of the share buyback programme at a cost of £2.6 million (2025: £1.4 million).

### Other reserves

|                                         | Capital redemption reserve<br>(£000s) | Merger reserve<br>(£000s) | Total other<br>(£000s) |
|-----------------------------------------|---------------------------------------|---------------------------|------------------------|
| At 31 March 2025                        | 14                                    | 3,548                     | 3,562                  |
| Shares cancelled                        | 34                                    | –                         | 34                     |
| Shares issued as purchase consideration | –                                     | 3,776                     | 3,776                  |
| <b>BALANCE AT 31 MARCH 2026</b>         | <b>48</b>                             | <b>7,324</b>              | <b>7,372</b>           |

### Nature and purpose of reserves

#### Share-based payment reserve

The share option reserve comprises the charge for share options and equity-settled compensation for post-combination services.

#### Merger reserve

The merger reserve arises from the capital reorganisation which occurred in 2015, together with the fair value of consideration given in excess of the nominal value of the ordinary shares issued on the acquisition of subsidiaries (interest of at least 90%) on share for share exchange, in accordance with requirements of Section 612 of the Companies Act 2006.

#### Capital redemption reserve

The capital redemption reserve relates to the legal reserve required to be maintained in respect of the nominal value of shares cancelled.

#### Translation reserve

The translation reserve comprises all foreign currency differences arising from the translation of the financial statements of foreign operations.

### Shares held to be cancelled

Shares purchased as part of the share buyback programme, not cancelled at the reporting date. Shares purchased for cancellation are included in shares to be cancelled reserve until cancellation, at which point the consideration is transferred to retained earnings, and the nominal value of the shares is transferred from share capital to the capital redemption reserve.

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### NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

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#### 24. Share-based payments

##### Share-based payments

The Group has the following equity-settled share-based payment arrangements:

##### Kainos Group Performance Share Plan (PSP)

Share options are granted to employees as determined by the Remuneration Committee and will only vest in accordance with the performance conditions established by the Committee. The options cannot generally be exercised within three years and have a maximum life of 10 years. The options will be settled by the issue of new shares and there are no cash settlement alternatives. Options ordinarily are forfeited if the employee leaves the Group before the options vest.

The specific performance conditions relating to the Group PSP are described in further detail as part of the Directors' Remuneration Report.

##### Company Share Option Plan (CSOP)

Share options are granted to employees as determined by the Remuneration Committee. The CSOP is a sub-plan of the PSP and permits the Company to grant CSOP options which have tax advantages pursuant to the provisions of Schedule 4 to the Income Tax (Earnings & Pensions) Act 2003 ('Schedule 4'). The options cannot be ordinarily exercised within three years and have a maximum life of 10 years. Exercise of the options will be settled by the issue of shares and there are no cash alternatives. Options ordinarily are forfeited if the employee leaves the Group before the options vest.

##### Save as you Earn (SAYE) Scheme

The Group has an all-employee share plan open to UK employees. Employees who participate enter into a savings contract under which they agree to save between £5 and £150 per month (or such limit as may be permitted by the tax legislation governing SAYE schemes from time to time) for three years. Options cannot be ordinarily exercised within three years and must be exercised within six months of the end of the three-year period. Options ordinarily are forfeited if the employee leaves the Group before the options vest. There are no cash settlement alternatives.

##### Republic of Ireland Share Option Scheme

The Group has a share option scheme for employees of Kainos Software Ireland Limited. This scheme utilised the PSP Scheme to grant options to all eligible employees. Options cannot be ordinarily exercised within three years and must be exercised within six months of the end of the three-year period. The options will be settled by shares and there are no cash alternatives. Options ordinarily are forfeited if the employee leaves the Group before the options vest.

##### UK Share Incentive Plan (SIP)

The Group has established a SIP for UK employees. Under this scheme all eligible employees are awarded a number of shares determined by length of service of each employee at a specified date for each respective grant. The shares are held in trust for each employee by Equiniti Share Plan Trustees Limited, which also administers the scheme. A minimum period of three years is ordinarily imposed before the employee can withdraw. There are no cash settlement alternatives.

##### Republic of Ireland Restricted Share Scheme

The Group introduced a Restricted Share Scheme for all eligible employees of Kainos Software Ireland Limited. Under this scheme all eligible employees were awarded a number of shares determined by length of service of each employee. A minimum period of five years and one week is ordinarily imposed before the employee can withdraw any free shares. The shares are held in trust for the employees until they vest. There are no cash settlement alternatives.

##### Kainos Group plc Poland Share Plans

In order to replicate the share-based awards available to staff in the UK and Ireland, the Group implemented the Kainos Group plc Poland Share Plan. The Remuneration Committee may grant Share Options or Conditional Share Awards (CSAs) to employees of the Group's Polish subsidiaries. Share options will not generally be exercisable within three years and have a maximum life of 3.5 years. CSAs may be granted for free or at a purchase price determined by the Remuneration Committee. CSAs will generally be subject to a minimum three-year vesting period. All options and awards will be satisfied out of newly issued shares and there are no cash settlement alternatives. Options and awards ordinarily are forfeited if the employee leaves the Group before vesting occurs.

##### Kainos Group plc US Share Plans

In order to replicate the share-based awards available to staff in the UK and Ireland, the Group implemented the US CSA which applies to US employees only. The Remuneration Committee may grant Share Options or CSAs to employees of the Group's US subsidiaries. Share options will not generally be exercisable within three years and have a maximum life of 3.5 years. CSAs may be granted for free or at a purchase price determined by the Remuneration Committee. CSAs will generally be subject to a minimum three-year vesting period. All options and awards will be satisfied out of newly issued shares and there are no cash settlement alternatives. Options and awards ordinarily are forfeited if the employee leaves the Group before vesting occurs.

## 24. Share-based payments continued

### Share-based payments continued

#### Fair values and awards outstanding

The fair value of shares awarded under the UK SIP scheme and the Republic of Ireland Restricted Share scheme is calculated using the closing share price on the award date. The total charge is adjusted for attrition and recognised on a straight-line basis over the three-year vesting period.

For share awards under the PSP, SAYE, CSOP, Republic of Ireland (ROI), US and Poland share option schemes, the fair value has been measured using the Black-Scholes model. During the year, options were granted on 2 June 2025, 23 June 2025 and 13 November 2025 (2025: 3 June 2024, 10 June 2024 and 12 November 2024) under the PSP, SAYE, CSOP, ROI, US and Poland option schemes, and under the US and Poland CSA schemes. The aggregate of the estimated fair values of the options granted on those dates is £2.8 million (2025: £3.4 million). The following table lists the key inputs to the model used in the year of grant. In calculating the fair value, the expected life of the options is based on historical data. Similarly, expected volatility was determined by calculating the historical volatility of the Group's share price over a period commensurate with the expected life of the option.

|                                 | Granted<br>during year to<br>31 March<br>2026 | Granted<br>during year to<br>31 March<br>2025 |
|---------------------------------|-----------------------------------------------|-----------------------------------------------|
| PSP                             |                                               |                                               |
| Weighted average exercise price | £0.01                                         | £0.01                                         |
| Fair value at grant date        | £5.29–£6.23                                   | £8.79–£10.34                                  |
| Share price at grant            | £7.31                                         | £11.76                                        |
| Expected volatility             | 43%                                           | 43%                                           |
| Expected life (years)           | 4.0                                           | 4.0                                           |
| Risk-free interest rate         | 4.1%                                          | 4.3%                                          |
| Expected dividends per annum    | 4.0%                                          | 3.2%                                          |

|                                 | Granted<br>during year to<br>31 March<br>2026 | Granted<br>during year to<br>31 March<br>2025 |
|---------------------------------|-----------------------------------------------|-----------------------------------------------|
| CSOP                            |                                               |                                               |
| Weighted average exercise price | –                                             | £11.56                                        |
| Fair value                      | –                                             | £3.82                                         |
| Share price at grant            | –                                             | £11.76                                        |
| Expected volatility             | –                                             | 43%                                           |
| Expected life (years)           | –                                             | 4.6                                           |
| Risk-free interest rate         | –                                             | 4.3%                                          |
| Expected dividends per annum    | –                                             | 3.2%                                          |

|                                 | Granted<br>during year to<br>31 March<br>2026 | Granted<br>during year to<br>31 March<br>2026 | Granted<br>during year to<br>31 March<br>2025 |
|---------------------------------|-----------------------------------------------|-----------------------------------------------|-----------------------------------------------|
| US CSA AND POLAND CSA           |                                               |                                               |                                               |
| Weighted average exercise price | £0.01                                         | £0.01                                         | £0.01                                         |
| Fair value                      | £8.55                                         | £9.74                                         | £7.90                                         |
| Share price at grant            | £9.74                                         | £9.74                                         | £8.77                                         |
| Expected volatility             | 43%                                           | 43%                                           | 43%                                           |
| Expected life (years)           | 3.25                                          | 3.25                                          | 3.25                                          |
| Risk-free interest rate         | 3.8%                                          | 3.8%                                          | 4.3%                                          |
| Expected dividends per annum    | 4.0%                                          | 0%                                            | 3.2%                                          |



## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

Continued

## 24. Share-based payments continued

## Share-based payments continued

## Fair values and awards outstanding continued

| UK SAYE, ROI AND POLAND SHARE OPTIONS | Granted during year to 31 March 2026 | Granted during year to 31 March 2025 |
|---------------------------------------|--------------------------------------|--------------------------------------|
| Weighted average exercise price       | –                                    | £9.39                                |
| Fair value                            | –                                    | £4.21                                |
| Share price at grant                  | –                                    | £11.78                               |
| Expected volatility                   | –                                    | 43%                                  |
| Expected life (years)                 | –                                    | 3.25                                 |
| Risk-free interest rate               | –                                    | 4.3%                                 |
| Expected dividends per annum          | –                                    | 3.2%                                 |

## Reconciliation of outstanding share options and share awards

## Number of share options 2025/2026

|                                           | PSP<br>(000s) | UK SAYE<br>(000s) | CSOP<br>(000s) | US<br>(000s) | ROI<br>(000s) | Poland<br>(000s) | Total<br>(000s) |
|-------------------------------------------|---------------|-------------------|----------------|--------------|---------------|------------------|-----------------|
| Outstanding at 31 March 2025              | 764           | 749               | 284            | 82           | 26            | 338              | 2,243           |
| Granted during period                     | 332           | –                 | –              | 47           | –             | 48               | 427             |
| Exercised during the period               | (162)         | (44)              | (53)           | (22)         | (3)           | (92)             | (376)           |
| Forfeited during the period               | (107)         | (339)             | (16)           | (16)         | (12)          | (69)             | (559)           |
| <b>OUTSTANDING AT 31 MARCH 2026</b>       | <b>827</b>    | <b>366</b>        | <b>215</b>     | <b>91</b>    | <b>11</b>     | <b>225</b>       | <b>1,735</b>    |
| <b>EXERCISABLE AT THE END OF THE YEAR</b> | <b>221</b>    | <b>7</b>          | <b>142</b>     | <b>–</b>     | <b>–</b>      | <b>–</b>         | <b>370</b>      |

## Weighted average exercise price 2025/2026

|                                           | PSP<br>£     | UK SAYE<br>£ | CSOP<br>£   | US<br>£      | ROI<br>£    | Poland<br>£ |
|-------------------------------------------|--------------|--------------|-------------|--------------|-------------|-------------|
| Outstanding at 31 March 2025              | 0.005        | 9.61         | 7.82        | 0.005        | 9.59        | 6.22        |
| Granted during period                     | 0.005        | –            | –           | 0.005        | –           | 0.005       |
| Exercised during the period               | 0.005        | 9.92         | 3.03        | 0.005        | 9.92        | 5.95        |
| Forfeited during the period               | 0.005        | 9.80         | 11.70       | 0.005        | 9.69        | 7.38        |
| <b>OUTSTANDING AT 31 MARCH 2026</b>       | <b>0.005</b> | <b>9.40</b>  | <b>8.68</b> | <b>0.005</b> | <b>9.39</b> | <b>4.61</b> |
| <b>EXERCISABLE AT THE END OF THE YEAR</b> | <b>0.005</b> | <b>9.92</b>  | <b>6.82</b> | <b>–</b>     | <b>–</b>    | <b>–</b>    |

## Number of share options 2024/2025

|                                           | PSP<br>(000s) | UK SAYE<br>(000s) | CSOP<br>(000s) | US<br>(000s) | ROI<br>(000s) | Poland<br>(000s) | Total<br>(000s) |
|-------------------------------------------|---------------|-------------------|----------------|--------------|---------------|------------------|-----------------|
| Outstanding at 31 March 2024              | 686           | 407               | 266            | 63           | 11            | 229              | 1,662           |
| Granted during period                     | 180           | 491               | 48             | 39           | 19            | 213              | 990             |
| Exercised during the period               | (29)          | (2)               | (8)            | –            | –             | (24)             | (63)            |
| Forfeited during the period               | (73)          | (147)             | (22)           | (20)         | (4)           | (80)             | (346)           |
| <b>OUTSTANDING AT 31 MARCH 2025</b>       | <b>764</b>    | <b>749</b>        | <b>284</b>     | <b>82</b>    | <b>26</b>     | <b>338</b>       | <b>2,243</b>    |
| <b>EXERCISABLE AT THE END OF THE YEAR</b> | <b>363</b>    | <b>–</b>          | <b>172</b>     | <b>–</b>     | <b>–</b>      | <b>–</b>         | <b>535</b>      |

**24. Share-based payments** continued**Reconciliation of outstanding share options and share awards** continued

## Weighted average exercise price 2024/2025

|                                           | PSP<br>£     | UK SAYE<br>£ | CSOP<br>£   | US<br>£      | ROI<br>£    | Poland<br>£ |
|-------------------------------------------|--------------|--------------|-------------|--------------|-------------|-------------|
| Outstanding at 31 March 2024              | 0.005        | 9.91         | 7.41        | 0.005        | 9.92        | 4.68        |
| Granted during period                     | 0.005        | 9.39         | 11.56       | 0.005        | 9.39        | 7.13        |
| Exercised during the period               | 0.005        | 8.54         | 6.04        | –            | –           | 0.005       |
| Forfeited during the period               | 0.005        | 9.70         | 12.04       | –            | 9.49        | 6.07        |
| <b>OUTSTANDING AT 31 MARCH 2025</b>       | <b>0.005</b> | <b>9.61</b>  | <b>7.82</b> | <b>0.005</b> | <b>9.59</b> | <b>6.22</b> |
| <b>EXERCISABLE AT THE END OF THE YEAR</b> | <b>0.005</b> | <b>–</b>     | <b>5.22</b> | <b>–</b>     | <b>–</b>    | <b>–</b>    |

The weighted average share price at the date of exercise of share options exercised during the year was £9.34 (2025: £9.59).

The options outstanding at 31 March 2026 had an exercise price in the range of £0.005 to £14.66 (2025: £0.005 to £14.66) and a weighted average contractual life of 7.41 years (2025: 6.54 years).

## Restricted shares 2025/2026

|                                     | UK SIP<br>(000s) | ROI<br>(000s) | Total<br>(000s) |
|-------------------------------------|------------------|---------------|-----------------|
| Outstanding at 31 March 2025        | 1,866            | 21            | 1,887           |
| Granted during period               | 389              | 5             | 394             |
| Released during the period          | (69)             | (4)           | (73)            |
| Forfeited during the period         | (226)            | (2)           | (228)           |
| <b>OUTSTANDING AT 31 MARCH 2026</b> | <b>1,960</b>     | <b>20</b>     | <b>1,980</b>    |

## Restricted shares 2024/2025

|                                     | UK SIP<br>(000s) | ROI<br>(000s) | Total<br>(000s) |
|-------------------------------------|------------------|---------------|-----------------|
| Outstanding at 31 March 2024        | 1,716            | 23            | 1,739           |
| Granted during period               | 373              | 7             | 380             |
| Released during the period          | (55)             | (6)           | (61)            |
| Forfeited during the period         | (168)            | (3)           | (171)           |
| <b>OUTSTANDING AT 31 MARCH 2025</b> | <b>1,866</b>     | <b>21</b>     | <b>1,887</b>    |

**Financial Statements****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT**

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**Cash-settled share-based payment arrangements**

The fair value of the amount payable to employees in respect of share options, which are settled in cash, is recognised as an expense with a corresponding increase in liabilities, over the period during which the employees become unconditionally entitled to payment. Based on share price information, the liability is remeasured at each reporting date and at the settlement date.

|                             | 2026<br>(£000s) | 2025<br>(£000s) |
|-----------------------------|-----------------|-----------------|
| At 1 April                  | 492             | 296             |
| Granted during period       | 86              | 312             |
| Released during the period  | (26)            | (31)            |
| Forfeited during the period | (206)           | (85)            |
| <b>AT 31 MARCH 2026</b>     | <b>346</b>      | <b>492</b>      |

During FY26, the fair value of awards on the award date was £0.7 million (2025: £3.2 million). At 31 March 2026, the total liability (inclusive of social security costs) recognised for all cash-settled awards outstanding was £0.5 million (2025: £0.4 million).

A further accrual of £0.6 million (2025: £0.6 million) has been recognised for social security costs in respect of PSP and unapproved share-option schemes.

**Expense recognised in the profit or loss**

The Group recognised a total expense of £5.8 million related to share-based payment transactions during the year (2025: £5.9 million). £4.9 million (2025: £5.7 million) has been recognised as an employee benefit expense in the share-based payment reserve. Overall a charge of £0.9 million (2025: £0.2 million) has been recognised relating to cash-settled share-based payment arrangements and social security contributions associated with equity-settled share-based payment arrangements.

**Compensation for post-combination services**

The total share-based payment expense of £5.8 million includes £0.5 million (2025: Nil) related to compensation for post-combination remuneration. In connection with the Group's acquisitions there were contingent consideration arrangements in place, which were subject to future service conditions being met and were settled through the allotment of shares. This equity-settled share-based payment expense was recognised over the service periods based on the grant date fair value.

**25. Pensions**

The Group operates two defined contribution retirement benefit schemes. The assets of the schemes are held separately from those of the Group in independently administered funds under the control of trustees. The total cost charged to the income statement of £9.8 million (2025: £9.4 million) represents contributions payable to these funds by the Group at rates specified in the rules of the schemes. As at 31 March 2026, contributions of £0.2 million (2025: £0.2 million) were payable to the funds and are included in trade creditors and accruals.

## 26. Financial instruments

### Accounting classifications and fair values

The following table shows the carrying amounts and fair values of financial assets and liabilities. The carrying amount of all financial assets and liabilities not measured at fair value are considered to be a reasonable approximation of fair value.

| 31 MARCH 2026                                                              | FVPL<br>(£000s) | Financial<br>assets at<br>amortised<br>cost<br>(£000s) | Other<br>financial<br>liabilities<br>(£000s) | Total<br>(£000s) | Fair value<br>(£000s) | Level |
|----------------------------------------------------------------------------|-----------------|--------------------------------------------------------|----------------------------------------------|------------------|-----------------------|-------|
| <b>FINANCIAL ASSETS MEASURED AT FAIR VALUE:</b>                            |                 |                                                        |                                              |                  |                       |       |
| Investments in equity instruments                                          | 1,299           | –                                                      | –                                            | 1,299            | 1,299                 | 3     |
| <b>FINANCIAL ASSETS NOT MEASURED AT FAIR VALUE:</b>                        |                 |                                                        |                                              |                  |                       |       |
| Trade and other receivables                                                | –               | 55,732                                                 | –                                            | 55,732           | –                     | –     |
| Cash and cash equivalents                                                  | –               | 82,806                                                 | –                                            | 82,806           | –                     | –     |
| Treasury deposits                                                          | –               | 6,247                                                  | –                                            | 6,247            | –                     | –     |
| <b>FINANCIAL LIABILITIES MEASURED AT FAIR VALUE:</b>                       |                 |                                                        |                                              |                  |                       |       |
| Cash settled share-based payments and<br>share-based social security costs | 1,116           | –                                                      | –                                            | 1,116            | 1,116                 | 1     |
| <b>FINANCIAL LIABILITIES NOT MEASURED AT FAIR VALUE:</b>                   |                 |                                                        |                                              |                  |                       |       |
| Trade payables and accruals                                                | –               | –                                                      | 75,379                                       | 75,379           | –                     | –     |
| <b>31 MARCH 2025</b>                                                       |                 |                                                        |                                              |                  |                       |       |
| <b>FINANCIAL ASSETS MEASURED AT FAIR VALUE:</b>                            |                 |                                                        |                                              |                  |                       |       |
| Investments in equity instruments                                          | 1,299           | –                                                      | –                                            | 1,299            | 1,299                 | 3     |
| <b>FINANCIAL ASSETS NOT MEASURED AT FAIR VALUE:</b>                        |                 |                                                        |                                              |                  |                       |       |
| Trade and other receivables                                                | –               | 38,520                                                 | –                                            | 38,520           | –                     | –     |
| Cash and cash equivalents                                                  | –               | 128,288                                                | –                                            | 128,288          | –                     | –     |
| Treasury deposits                                                          | –               | 5,399                                                  | –                                            | 5,399            | –                     | –     |
| <b>FINANCIAL LIABILITIES MEASURED AT FAIR VALUE:</b>                       |                 |                                                        |                                              |                  |                       |       |
| Cash settled share-based payments and<br>share-based social security costs | 1,014           | –                                                      | –                                            | 1,014            | 1,014                 | 1     |
| <b>FINANCIAL LIABILITIES NOT MEASURED AT FAIR VALUE:<sup>(18)</sup></b>    |                 |                                                        |                                              |                  |                       |       |
| Trade payables and accruals                                                | –               | –                                                      | 53,255                                       | 53,255           | –                     | –     |

(18) FY25 financial liabilities not measured at fair value have been restated to include accruals and exclude other tax and social security.

## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

Continued

## 26. Financial instruments continued

## Measurement of Level 3 fair values

## Investment in equity instruments

The Group continues to hold an investment in equity instruments in an unlisted company. The fair value of the investment is considered to be consistent with initial cost as there has been no material change in the underlying business and its environment since initial investment.

## Financial risk management objectives

The Group's Corporate Treasury function provides services to the business, manages and forecasts cash balances on each bank account held and researches available facilities and reports to the CFO on the financial risks relating to the operations of the Group. These risks include market risk (including currency risk, interest rate risk and price risk), credit risk and liquidity risk.

The use of financial derivatives is governed by the Group's policies approved by the Board of Directors, which provide written principles on foreign exchange risk, interest rate risk, credit risk, the use of financial derivatives and non-derivative financial instruments, and the investment of excess liquidity. Compliance with policies and exposure limits is reviewed by the CFO and the Finance function on a continuous basis.

The Finance function provides updates to the Audit Committee so it can monitor risk and policies implemented to mitigate risk exposures.

## Market risk

The Group's activities expose it primarily to the financial risks of changes in foreign currency exchange rates and interest rates. This risk is measured through the Group's budgeting and cash flow forecasting processes, which identify net foreign currency exposures in Polish Złoty, Euro and US Dollars. The Finance function quantifies and suggests risk mitigation measures to manage the risk in accordance with Group policies and obtains CFO approval for implementation of these risk mitigation procedures.

There has been no change to the nature of market risk which the Group was exposed to during the year.

## Foreign currency risk management

The Group considers currency risk to relate to the sales and purchases made by Group subsidiaries in a currency other than their functional currency, resulting in foreign currency trade receivables and trade payables balances. The table below details this exposure:

|                 | Liabilities     |                 | Assets          |                 |
|-----------------|-----------------|-----------------|-----------------|-----------------|
|                 | 2026<br>(£000s) | 2025<br>(£000s) | 2026<br>(£000s) | 2025<br>(£000s) |
| Polish Złoty    | 3,244           | –               | –               | 728             |
| Euro            | 11,934          | 326             | 2,435           | 1,109           |
| US Dollar       | 2,338           | 1,945           | 5,837           | 2,879           |
| Canadian Dollar | –               | –               | 4,302           | 23              |
| Sterling        | –               | 4,179           | 3,029           | 4,261           |

## Foreign currency sensitivity analysis

The following exchange rates were applied at the reporting date.

|                 | 2026  | 2025  |
|-----------------|-------|-------|
| Polish Złoty    | 4.937 | 5.000 |
| Euro            | 1.151 | 1.196 |
| US Dollar       | 1.320 | 1.295 |
| Canadian Dollar | 1.839 | 1.856 |

## 26. Financial instruments continued

### Market risk continued

#### Foreign currency sensitivity analysis continued

A 1% weakening of the following currencies against the Pound Sterling at 31 March 2026 would have increased (decreased) equity and profit or loss by the amounts shown below:

|                 | 2026<br>(£000s) | 2025<br>(£000s) |
|-----------------|-----------------|-----------------|
| Polish Złoty    | 32              | (7)             |
| Euro            | 94              | (8)             |
| US Dollar       | (35)            | (9)             |
| Canadian Dollar | (43)            | –               |

#### Forward foreign exchange contracts

The Group may enter into forward foreign exchange contracts to manage the risk associated with anticipated costs for a period up to 12 months.

There were no forward contracts entered into during the year and there are no outstanding forward contracts at 31 March 2026 (2025: nil).

The Group does not currently hedge expected future revenue denominated in Euro or US Dollars. The Finance function minimises exposure to currency risk by converting surplus foreign currency balances into Pounds Sterling on a regular basis while ensuring the balance remaining in foreign currency is sufficient to meet working capital requirements.

#### Interest rate risk management

The Group has no borrowings and therefore the exposure to interest rate risk is limited to the rates received as interest income on cash deposits. Bank deposit interest income amounted to £3.7 million during the year ended 31 March 2026 (2025: £6.4 million).

The following table details the Group's sensitivity to a 1% increase in interest rates received on cash deposits. The sensitivity analysis includes only short-term and treasury deposits where the Group receives a fixed rate of interest, and adjusts the interest income received for a 1% change in interest rates. A positive number below indicates an increase in profit and other equity. For a 1% decrease in interest rates, there would be a comparable impact on the profit and other equity and the balances would be opposite:

|                               | Interest rate impact |                 |
|-------------------------------|----------------------|-----------------|
|                               | 2026<br>(£000s)      | 2025<br>(£000s) |
| 1% increase in interest rates | 890                  | 1,337           |

### Credit risk management

#### Trade receivables and accrued income

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. In order to minimise credit risk, the Group has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from default. The concentration of credit risk is limited due to the customer base consisting largely of public sector bodies, state agencies and blue-chip corporates. The Group uses publicly available financial information and its own trading records to rate its major customers.

The typical credit period extended to customers is 30 days. Generally, no interest is charged on outstanding trade receivables. The maximum exposure on trade receivables and accrued income, as at the reporting date, is their carrying value.

Credit approvals and other monitoring procedures are also in place to ensure that follow-up action is taken to recover overdue debts on an ongoing basis. Furthermore, the Group reviews the recoverable amount of each trade debt and accrued income balance on an individual basis at the end of the reporting period to ensure that an adequate loss allowance is made for irrecoverable amounts.

## Financial Statements

## NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT

Continued

## 26. Financial instruments continued

## Credit risk management continued

## Trade receivables and accrued income continued

ECLs are measured using a provisioning matrix, applying a simplified approach based on the Group's historical experience and informed credit assessment, and adjusted, when required, to take into account current macroeconomic factors. The Group also considered the potential impact of climate-related risks and global political uncertainty and determined there is no significant credit risk relating to these factors. For certain significant customers the Group applies credit judgement that is determined to be predictive of the risk of ECL, taking into account external ratings, financial statements and other available information before applying a provision matrix to the residual population.

Accrued income relates to contractual revenue recognised not yet invoiced and is assessed for recoverability at the reporting date. At 31 March 2026, accrued income was £39.5 million (2025: £22.7 million).

The following table provides information about the exposure to credit risk and ECLs.

|                                 | Expected<br>loss rate<br>% | Gross carrying<br>amount<br>(£000s) | Loss allowance<br>(£000s) |
|---------------------------------|----------------------------|-------------------------------------|---------------------------|
| 31 MARCH 2026                   |                            |                                     |                           |
| Not past due                    | 1                          | 77,059                              | 497                       |
| Past due 1–90 days              | 2                          | 6,473                               | 122                       |
| Past due 91+ days               | 42                         | 751                                 | 314                       |
| <b>BALANCE AT 31 MARCH 2026</b> |                            | <b>84,283</b>                       | <b>933</b>                |

|                                 | Expected<br>loss rate<br>% | Gross carrying<br>amount<br>(£000s) | Loss allowance<br>(£000s) |
|---------------------------------|----------------------------|-------------------------------------|---------------------------|
| 31 MARCH 2025                   |                            |                                     |                           |
| Not past due                    | 2                          | 48,495                              | 776                       |
| Past due 1–90 days              | 2                          | 6,423                               | 142                       |
| Past due 91+ days               | 62                         | 405                                 | 251                       |
| <b>BALANCE AT 31 MARCH 2025</b> |                            | <b>55,323</b>                       | <b>1,169</b>              |

The movement in the allowance for impairment during the year was as follows:

|                                               | 2026<br>(£000s) | 2025<br>(£000s) |
|-----------------------------------------------|-----------------|-----------------|
| <b>BALANCE AT THE BEGINNING OF THE PERIOD</b> | <b>1,169</b>    | 1,908           |
| Remeasurement of loss allowance               | (37)            | (500)           |
| Amounts recovered during the year             | (118)           | (178)           |
| Amounts written off                           | (81)            | (61)            |
| <b>BALANCE AT THE END OF THE PERIOD</b>       | <b>933</b>      | 1,169           |



## 26. Financial instruments continued

### Credit risk management continued

#### Trade receivable and accrued income concentration risk

The Group has evaluated the concentration of risk with respect to its trade receivables and accrued income balance and considers it to be low. No single customer represents more than 10% of the combined accrued income and trade receivables balances at 31 March 2026 (2025: no single customer).

The table below presents the combined trade receivables and accrued income balances by geographic region at 31 March:

|                          | 2026<br>(£000s) | 2025<br>(£000s) |
|--------------------------|-----------------|-----------------|
| United Kingdom & Ireland | 45,977          | 31,925          |
| Americas                 | 28,896          | 17,385          |
| Central Europe           | 6,478           | 4,418           |
| Rest of world            | 1,999           | 426             |
|                          | 83,350          | 54,154          |

#### Cash and cash equivalents

The credit risk on liquid funds is limited because the counterparties are banks with high credit ratings assigned by international credit rating agencies. As at 31 March 2026, over 99% of the Group's funds were held in counterparty banks with ratings of 'BBB' and above (2025: over 99% 'BBB' or above), as assessed by Fitch or Moody's.

The Group's exposure and the credit ratings of its counterparties are continuously monitored, and the aggregate value of transactions concluded is spread amongst approved counterparties. Credit exposure is controlled by counterparty limits that are reviewed and approved by the CFO in line with Group policies.

The ECL in respect of cash and cash equivalents has been assessed as not material.

### Insurance risk management

The Group purchases insurance for commercial or, where required, for legal or contractual reasons. In addition, the Group retains insurable risk where external insurance is not considered an economic means of mitigating these risks.

The Group has entered into arrangements to insure through a PCC for professional indemnity, cyber and employment practices liability insurance (£16.0 million of self-insurance cover). The PCC arrangements impact a number of disclosures within these consolidated financial statements:

- Note 3 – Accounting policy (insurance).
- Note 15 – Insurance cell recorded as a subsidiary.
- Note 19 – Treasury deposits held within the cell.
- Note 22 – Accounting for loss in the event of a claim.

To satisfy regulatory PCC capital requirements, a minimum £2.5 million (2025: £2.5 million) must be retained in cash within the cell.

As at 31 March 2026 the Group has not recognised a provision as no events of loss have occurred (2025: none).

### Liquidity risk management

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has established an appropriate liquidity risk management framework for the management of the Group's short-, medium- and long-term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities, by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of financial assets and liabilities.

Cash and cash equivalents comprise cash and short-term bank deposits. The interest rates obtained on the Group's bank deposits during the year attracted interest rates ranging between 0.00% and 4.8% per annum. The carrying amount of these assets is approximately equal to their fair value. Cash and cash equivalents at the end of the reporting period as shown in the consolidated statement of cash flows can be reconciled to the related items in the consolidated statement of financial position.

The Group expects to meet its obligations from existing cash balances and future operating cash flows.

**Financial Statements****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT**

Continued

**26. Financial instruments continued****Liquidity risk management continued**

The Group has a strong period end cash and treasury deposit balance of £89.1 million (2025: £133.7 million) and no borrowings. The Group does not anticipate requiring additional credit facilities to manage liquidity.

Note 20 details the contractual maturity analysis for lease liabilities. There is no difference between the carrying value of trade creditors and accruals and the contractual cash flows in relation to these amounts. The financial liabilities of the Group, with the exception of lease liabilities (note 20), will be settled within 12 months of the financial year-end.

**Capital risk management**

The Group manages its capital to ensure that all Group entities will be able to continue as going concerns while maximising the return to shareholders. The capital structure of the Group consists of Company equity only (comprising issued capital, reserves and retained earnings). The Group is not subject to any externally imposed capital requirements and has no borrowings.

Where there is surplus cash over and above that needed to fund organic and inorganic growth, the Board will consider additional one-off returns of capital to shareholders. After applying the Board's capital allocation framework, the Group announced share buyback programmes on 11 November 2024, 19 May 2025 and 10 November 2025 (note 23). The Board will continue to keep its capital allocation policy and further distributions to shareholders under review, with consideration of other potential uses of capital that may drive value for shareholders over the medium term.

**27. Related party transactions**

Balances and transactions between the Company and its subsidiaries, which are related parties, have been eliminated on consolidation and are not disclosed in this note.

**Parent and ultimate controlling party**

There is no one party which is the ultimate controlling party of the Group and Company.

**Remuneration of key management personnel**

The remuneration of the Executive and Non-Executive Directors, who are the key management personnel of the Group, is set out below in aggregate for each of the categories specified in IAS24 Related Party Disclosures.

|                                                  | 2026<br>(£000s) | 2025<br>(£000s) |
|--------------------------------------------------|-----------------|-----------------|
| Short-term employee benefits (emoluments)        | 1,252           | 1,080           |
| Post-employment benefits (pension contributions) | –               | 6               |
| Gains on exercise of share options               | 928             | –               |
| Share-based payments charge                      | 221             | 149             |
|                                                  | <b>2,401</b>    | <b>1,235</b>    |

**Pension**

No Director was a member of the Group's defined contribution pension schemes (2025: one). Two Directors received additional salary in lieu of pension contributions during the year.

**Share options**

Two Directors exercised options over shares in the Group (2025: none).

**Highest paid Director**

Remuneration of the highest paid Director was £0.5 million (2025: £0.5 million), including pension contributions of £Nil (2025: £Nil). The highest paid Director exercised 544 options during the year (2025: none).

Further information about the remuneration of individual Directors is provided in the Directors' Remuneration Report.

**27. Related party transactions continued****Aggregate Executive Directors' remuneration**

|                                           | 2026<br>(£000s) | 2025<br>(£000s) |
|-------------------------------------------|-----------------|-----------------|
| Short-term employee benefits (emoluments) | 929             | 766             |
| Gains on exercise of share options        | 928             | –               |
| Share-based payments charge               | 221             | 149             |
|                                           | <b>2,078</b>    | <b>915</b>      |

**28. Acquisitions****Year ended 31 March 2026**

On 15 September 2025, the Group acquired 100% of the share capital of Davis Pierrynowski Limited ("Davis Pier"), a Canadian consultancy company known for its work in the Canadian public sector.

Founded in Halifax, Nova Scotia in 2014, Davis Pier brings deep expertise in policy, service design and change management. This acquisition marks a significant step in Kainos' North American growth strategy, strengthening its presence in Canada and expanding its capabilities in delivering transformation across public, healthcare and community services.

From 15 September 2025, Davis Pier has contributed revenue of £4.6 million and £0.1 million loss for the period. If the acquisition had occurred on 1 April 2025, management estimates that consolidated revenue for the year ended 31 March 2026 would have been £436.4 million and consolidated profit for the year would have been £43.1 million.

The following table summarises the recognised amounts of assets and liabilities assumed at the acquisition date.

|                                                       | Fair value<br>(£000s) |
|-------------------------------------------------------|-----------------------|
| <b>FAIR VALUE OF IDENTIFIABLE NET ASSETS ACQUIRED</b> |                       |
| Property, plant and equipment                         | 167                   |
| Right-of-use asset                                    | 390                   |
| Cash and cash equivalents                             | 931                   |
| Trade and other receivables                           | 1,305                 |
| Intangible assets                                     | 5,904                 |
| Deferred tax liability                                | (1,712)               |
| Lease liability                                       | (364)                 |
| Deferred income                                       | (319)                 |
| Trade and other payables                              | (2,119)               |
| <b>FAIR VALUE OF NET IDENTIFIABLE ASSETS</b>          | <b>4,183</b>          |
| Goodwill                                              | 7,036                 |
| <b>TOTAL CONSIDERATION</b>                            | <b>11,219</b>         |
| <b>SATISFIED BY:</b>                                  | <b>(£000s)</b>        |
| Cash                                                  | 7,441                 |
| Shares issued (426,686 shares)                        | 3,778                 |
| <b>TOTAL CONSIDERATION</b>                            | <b>11,219</b>         |
| <b>OUTFLOW OF CASH AND CASH EQUIVALENTS</b>           | <b>(£000s)</b>        |
| Cash consideration                                    | 7,441                 |
| Repayment of existing debt                            | 1,349                 |
| Less cash and equivalents acquired                    | (931)                 |
| <b>NET CASH OUTFLOW</b>                               | <b>7,859</b>          |

**Financial Statements****NOTES TO THE CONSOLIDATED FINANCIAL STATEMENT**

Continued

**28. Acquisitions** continued**Year ended 31 March 2026** continued**Shares issued**

The fair value of the ordinary shares issued was determined based on the listed share price of the Company on 15 September 2025 (£8.855 per share), the effective date of control.

**Goodwill**

Goodwill has arisen on the acquisition and reflects the future economic benefits arising from assets that are not capable of being identified individually and recognised as separate assets. The goodwill reflects the skilled and assembled workforce of the acquired entity and the anticipated profitability and synergistic benefits arising from the combination. None of the goodwill recognised is expected to be deductible for tax purposes.

**Acquisition-related costs**

The Group incurred acquisition-related costs of £0.1 million on legal and due diligence costs. These costs have been included in operating expenses.

**Compensation for post-combination remuneration**

In connection with the Group's current and prior acquisitions, additional compensation for post-combination services of up to £5.5 million (2025: £1.9 million) will be payable in future periods to September 2028, subject to future service conditions being met. Amounts relating to compensation for post-combination services are recognised as an expense over the service period. During the year, a charge of £2.1 million (2025: £0.9 million) has been recognised within operating expenses for compensation for post-combination services.

**Year ended 31 March 2025**

The Group did not make any acquisitions during the year ended 31 March 2025.

**29. Contractual commitments**

During FY25, the Group entered into a strategic partnership agreement with Workday, Inc. under which the Group is committed to incurring a total minimum expenditure of £23.6 million over three years. £8.8 million remains committed as at 31 March 2026 (2025: £16.7 million).

£31.2 million of capital commitments exist at 31 March 2026 (2025: £2.0 million) relating to the property under construction (note 13 and note 14).

**30. Subsequent events**

The Company bought back, for cancellation, 1,437,024 ordinary shares at a cost of £11.6 million between 1 April 2026 and 15 May 2026.

There have been no other material events subsequent to year end that would require adjustment or disclosure in these consolidated financial statements.

## Financial Statements

## COMPANY STATEMENT OF FINANCIAL POSITION

As at 31 March 2026

|                                               | Note | 2026<br>(£000s) | 2025<br>(£000s) |
|-----------------------------------------------|------|-----------------|-----------------|
| <b>NON-CURRENT ASSETS</b>                     |      |                 |                 |
| Investments in subsidiaries                   | 4    | 9,025           | 9,025           |
| Receivables                                   | 5    | 11,256          | 11,043          |
|                                               |      | <b>20,281</b>   | 20,068          |
| <b>CURRENT ASSETS</b>                         |      |                 |                 |
| Receivables                                   | 5    | 20,039          | 5,136           |
| Prepayments                                   |      | 730             | 967             |
| Cash at bank and in hand                      |      | 45,943          | 99,246          |
|                                               |      | <b>66,712</b>   | 105,349         |
| Payables: Amounts falling due within one year | 6    | (3,573)         | (16,159)        |
| <b>NET CURRENT ASSETS</b>                     |      | <b>63,139</b>   | 89,190          |
| <b>TOTAL ASSETS LESS CURRENT LIABILITIES</b>  |      | <b>83,420</b>   | 109,258         |
| <b>NET ASSETS</b>                             |      | <b>83,420</b>   | 109,258         |
| <b>CAPITAL AND RESERVES</b>                   |      |                 |                 |
| Share capital                                 | 7    | 589             | 618             |
| Share premium account                         |      | 10,647          | 9,481           |
| Share-based payments reserve                  |      | 41,823          | 36,907          |
| Other reserves                                |      | 12,644          | 8,834           |
| Shares held to be cancelled                   |      | (2,612)         | (1,431)         |
| Retained earnings                             |      | 20,329          | 54,849          |
| <b>SHAREHOLDERS' FUNDS</b>                    |      | <b>83,420</b>   | 109,258         |

As permitted by Section 408 of the Companies Act 2006, the parent Company has elected not to present its own profit and loss account for the year. The parent Company reported total profit and comprehensive income for the year of £55.1 million (2025: £69.9 million).

The financial statements of Kainos Group plc (registered number 09579188) were approved by the Board of Directors and authorised for issue on 15 May 2026.

They were signed on its behalf by:



**Richard McCann**

Director

15 May 2026

## Financial Statements

## COMPANY STATEMENT OF CHANGES IN EQUITY

|                                                      | Share capital<br>(£000s) | Shares held to be cancelled <sup>(19)</sup><br>(£000s) | Share premium account<br>(£000s) | Share-based payments<br>(£000s) | Other reserves<br>(£000s) | Retained earnings<br>(£000s) | Total equity<br>(£000s) |
|------------------------------------------------------|--------------------------|--------------------------------------------------------|----------------------------------|---------------------------------|---------------------------|------------------------------|-------------------------|
| <b>BALANCE AT 31 MARCH 2024</b>                      | 629                      | –                                                      | 9,419                            | 31,228                          | 8,820                     | 42,088                       | 92,184                  |
| Profit and total comprehensive income                | –                        | –                                                      | –                                | –                               | –                         | 69,888                       | 69,888                  |
| Issue of share capital – share options exercised     | 3                        | –                                                      | 62                               | –                               | –                         | –                            | 65                      |
| Equity-settled share-based payments                  | –                        | –                                                      | –                                | 5,679                           | –                         | –                            | 5,679                   |
| Deferred tax for equity-settled share-based payments | –                        | –                                                      | –                                | –                               | –                         | (25)                         | (25)                    |
| Share buyback programme                              | –                        | (22,785)                                               | –                                | –                               | –                         | –                            | (22,785)                |
| Shares cancelled                                     | (14)                     | 21,354                                                 | –                                | –                               | 14                        | (21,354)                     | –                       |
| Dividends                                            | –                        | –                                                      | –                                | –                               | –                         | (35,748)                     | (35,748)                |
| <b>BALANCE AT 31 MARCH 2025</b>                      | 618                      | (1,431)                                                | 9,481                            | 36,907                          | 8,834                     | 54,849                       | 109,258                 |
| Profit and total comprehensive income                | –                        | –                                                      | –                                | –                               | –                         | 55,141                       | 55,141                  |
| Issue of share capital – share options exercised     | 3                        | –                                                      | 1,166                            | –                               | –                         | –                            | 1,169                   |
| Equity-settled share-based payments                  | –                        | –                                                      | –                                | 4,916                           | –                         | –                            | 4,916                   |
| Issue of shares as purchase consideration            | 2                        | –                                                      | –                                | –                               | 3,776                     | –                            | 3,778                   |
| Share buyback programme                              | –                        | (56,210)                                               | –                                | –                               | –                         | –                            | (56,210)                |
| Shares cancelled                                     | (34)                     | 55,029                                                 | –                                | –                               | 34                        | (55,029)                     | –                       |
| Dividends                                            | –                        | –                                                      | –                                | –                               | –                         | (34,632)                     | (34,632)                |
| <b>BALANCE AT 31 MARCH 2026</b>                      | <b>589</b>               | <b>(2,612)</b>                                         | <b>10,647</b>                    | <b>41,823<sup>(20)</sup></b>    | <b>12,644</b>             | <b>20,329</b>                | <b>83,420</b>           |

(19) Shares purchased as part of the share buyback programme due to be cancelled.

(20) £32.3 million relates to exercised or lapsed options or fully vested free shares and is considered distributable.

## Financial Statements

### NOTES TO THE COMPANY FINANCIAL STATEMENTS

#### 1. General information

Kainos Group plc ('the Company') is a public company limited by shares incorporated in the United Kingdom under the Companies Act 2006 and is registered in England and Wales (company registration number 09579188), having its registered office at 21 Farringdon Road, 2nd Floor, London EC1M 3HA.

#### 2. Material accounting policies

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ('FRS101'). In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of UK-adopted international accounting standards ('Adopted IFRSs') but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS101 disclosure exemptions has been taken.

In these financial statements, the Company has applied the exemptions available under FRS101 in respect of the following disclosures:

- cash flow statement and certain related disclosures;
- certain disclosures regarding revenue;
- certain disclosures regarding leases;
- comparative period reconciliations for number of shares outstanding;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRSs; and
- disclosures in respect of the compensation of key management personnel.

As the consolidated financial statements include the equivalent disclosures, the Company has also taken the exemptions under FRS101 available in respect of the following disclosures:

- IFRS2 Share-based payments in respect of Group settled share-based payments
- Certain disclosures required by IFRS13 Fair Value Measurement, and the disclosures required by IFRS7 Financial Instrument Disclosures.

The financial statements have been prepared on the historical cost basis. The principal accounting policies adopted are the same as those set out in note 3 to the consolidated financial statements, including the following policies applicable to the Company.

#### Investments in subsidiaries

Investments in subsidiaries are stated at cost and, where appropriate, less allowances for impairment.

#### Share-based payments

Where the Company has granted rights to its equity instruments to employees of other Group companies, such arrangements are accounted for as equity-settled share-based payment arrangements. The share-based payment expense relating to employees of other Group companies is recharged to these companies.

#### Accounting judgements and key sources of estimation uncertainty

The Directors have identified no key sources of estimation uncertainty that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Furthermore, no individual judgements have been made that have a significant impact on the Company financial statements.



## Financial Statements

## NOTES TO THE COMPANY FINANCIAL STATEMENTS

Continued

## 3. Profit for the year

Under Section 408 of the Companies Act 2006 the Company is exempt from the requirement to present its own profit and loss account. The parent Company reported a profit for the year of £55.1 million (2025: £69.9 million).

The auditor's remuneration for audit and other services is disclosed in note 6 to the consolidated financial statements.

The average number of employees (including Executive Directors) was two (2025: two).

|                       | 2026<br>(£000s) | 2025<br>(£000s) |
|-----------------------|-----------------|-----------------|
| Wages and salaries    | 898             | 611             |
| Social security costs | 77              | 87              |
| Other pension costs   | 25              | 25              |
| Share-based payments  | 221             | 149             |
|                       | <b>1,221</b>    | <b>872</b>      |

Pension amounts for employees are payments in lieu of pension.

Further information about share-based payments is provided in note 24 to the consolidated financial statements.

## 4. Investments in subsidiaries

COST AND CARRYING AMOUNT

(£000s)

ON 1 APRIL 2025 AND 31 MARCH 2026

**9,025**

Details of the Group's subsidiaries at 31 March 2026 are included in note 15 of the consolidated financial statements.

## 5. Receivables

|                                                      | 2026<br>(£000s) | 2025<br>(£000s) |
|------------------------------------------------------|-----------------|-----------------|
| <b>AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR:</b> |                 |                 |
| Amounts owed from Group undertakings                 | 11,177          | 10,981          |
| Deferred tax asset                                   | 79              | 62              |
|                                                      | <b>11,256</b>   | <b>11,043</b>   |
| <b>AMOUNTS FALLING DUE WITHIN ONE YEAR:</b>          |                 |                 |
| Amounts owed from Group undertakings                 | 19,976          | 5,022           |
| Other receivables                                    | 63              | 114             |
|                                                      | <b>20,039</b>   | <b>5,136</b>    |

The deferred tax asset relates to share-based payments.

Amounts owed from other Group companies are unsecured. Management has assessed that the ECL on such balances is insignificant and, on this basis, have not provided for an ECL on this balance.

**6. Payables: Amounts falling due within one year**

|                                    | 2026<br>(£000s) | 2025<br>(£000s) |
|------------------------------------|-----------------|-----------------|
| Trade creditors and accruals       | 1,632           | 1,184           |
| Amounts owed to Group undertakings | 489             | 14,824          |
| Tax payable                        | 75              | 115             |
| Share buyback liability            | 761             | –               |
| Other tax and social security      | 616             | 36              |
|                                    | <b>3,573</b>    | <b>16,159</b>   |

Amounts owed to other Group companies are repayable on demand and are unsecured.

**7. Share capital and reserves**

Information on share capital and reserves and movements during the year is included in note 23 of the consolidated financial statements.

**8. Distributable reserves**

The Company's distributable reserves as at 31 March 2026 total £52.6 million (2025: £80.2 million).

**9. Commitments**

As at 31 March 2026 the Company has no commitments (2025: none).

**10. Subsequent events**

Information on subsequent events of the Company are included in note 30 of the consolidated financial statements.

## Other information

## DEFINITION OF TERMS

## Definition of terms

We use the following definitions for our key metrics and other terms:

**Active customer:** a customer who has signed a contract with us within the last three months or has generated revenue in the last six months.

**Adjusted earnings per share (basis and diluted):** adjusted profit after tax divided by the weighted average number of ordinary shares outstanding (basic) or weighted average number of ordinary shares outstanding after adjustment for the effects of all dilutive potential ordinary shares (diluted).

**Adjusted EBITDA:** adjusted pre-tax profit excluding interest, tax, depreciation of property, plant and equipment, and right-of-use assets, and amortisation of intangible assets.

**Adjusted pre-tax profit:** profit before tax excluding the effect of share-based payments expense, acquisition-related expenses including amortisation of acquired intangible assets, deferred consideration (including post combination remuneration expense) and restructuring costs incurred.

**Adjusted profit margin:** adjusted profit as a percentage of revenue for the period.

**Agentic AI:** refers to intelligent systems that can autonomously plan, decide and act to achieve defined goals, working across multiple steps and systems with minimal human intervention. These agents combine reasoning, learning and action capabilities to deliver outcomes, not just insights, while operating within clear ethical, governance and organisational boundaries.

**Annual recurring revenue (ARR):** the total of the annualised committed subscription value contracted at the end of the reporting period.

**Bookings:** the total value of sales contracted during the period.

**Carbon net zero:** any CO<sub>2</sub> released into the atmosphere from a company's entire value chain is reduced as much as possible and the rest is removed.

**Carbon neutral:** any CO<sub>2</sub> released into the atmosphere from a company's entire value chain activities is balanced by an equivalent amount being removed.

**Cash conversion:** cash generated from operating activities as a percentage of adjusted EBITDA.

**Compound annual growth rate (CAGR):** annual growth rate over a specified period of time.

**Constant currency (ccy):** excludes the effect of foreign currency exchange rate fluctuations on period-on-period performance by translating the relevant prior period figure at current period average exchange rates.

**Contracted backlog:** the value of contracted revenue that has yet to be recognised.

**Existing customer revenue:** total revenue recognised from customers in the current period who were also customers in the preceding year.

**International revenue:** total revenue derived from locations outside of UK and Ireland.

**Near-term net zero:** making science-based cuts to our day-to-day emissions in the short term, prioritising real reductions that set us on a credible path to full carbon net zero across our business.

**Net promoter score (NPS):** a metric that organisations use to measure customer loyalty toward their brand, product or service, which can range from -100 to +100. Bain & Co, the creators of the metric, held that a score above 0 is good; 20+ is favourable; 50+ is excellent; and 80+ is world-class.

**Net revenue retention (NRR):** a metric that measures the percentage of revenue retained from existing customers over a period of 12 months, including upsells, downgrades, and churn.

**Organic revenue:** our revenue excluding revenue from acquisitions completed in the current and comparative reporting periods.

**Science Based Targets initiative (SBTi):** a target for reducing greenhouse gases and CO<sub>2</sub> emissions which is aligned with the global effort to limit global warming to 1.5°C.

**Software as a service (SaaS):** a software distribution model that delivers application programmes over the internet, with users typically accessing the programme through a web browser. Users pay an ongoing subscription to use the software rather than purchasing it once and installing it.

## Other information

### COMPANY INFORMATION

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Kainos plc's commitment to environmental issues is reflected in this Annual Report, which has been printed on Arena Smooth Extra White which is an FSC® material. This document was printed by Maxim using its carbon neutral built indigo 7900, which minimises the impact of manufacture on the environment. Maxim is also a member of the carbon capture programme run by the Woodland Trust, which offsets the carbon cost of paper by planting trees. 99% of paper waste is also diverted from landfill and recycled.



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